Annual Report
2025/2026



SEEDING
THE FUTURE
SINCE 1856

KWS

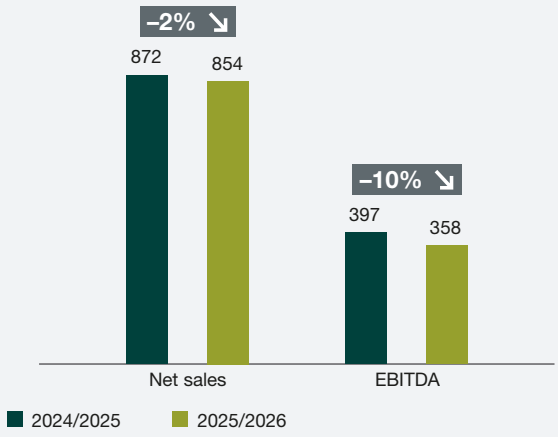
KWS **in Figures**

KWS Group (in € millions)	2025/2026	2024/2025	2023/2024	2022/2023	2021/2022	2020/2021
Net sales and income						
Continuing operations						
Net sales	1,626.8	1,676.6	1,678.1	1,500.3	1,275.8	1,158.6
EBITDA	343.1	350.5	404.9	278.8	230.0	205.6
as a % of net sales (EBITDA margin)	21.1	20.9	24.1	18.6	18.0	17.7
EBIT	239.0	247.6	302.0	195.1	141.5	118.3
as a % of net sales (EBIT margin)	14.7	14.8	18.0	13.0	11.1	10.2
Net financial income/expense	1.1	–35.4	–50.0	–23.8	–7.2	8.3
Net income for the year	158.4	140.0	184.1	126.1	106.4	99.9
Discontinued operations						
Net income	2.5	96.4	–53.2	0.9	1.3	10.7
Group						
Net income	160.8	236.3	130.8	127.0	107.8	110.6
Other figures on earnings						
R&D intensity in %	21.0	20.8	19.4	20.0	20.5	20.0
Financial position and assets						
Capital expenditure	108.6	119.6	139.9	100.8	83.4	73.3
Depreciation and amortization	104.1	102.9	102.9	83.7	88.5	87.2
Equity	1,728.2	1,601.5	1,399.9	1,291.1	1,245.9	1,053.7
Equity ratio in %	61.2	59.8	47.4	47.0	47.0	44.3
Return on equity in %	10.1	10.2	14.6	10.3	10.4	10.3
Return on assets in %	6.3	5.0	7.3	5.1	4.7	4.7
Net debt[1]	8.7	61.6	385.1	565.2	521.9	475.6
Total assets	2,824.2	2,676.2	2,956.1	2,749.6	2,651.8	2,376.7
Capital employed (avg.)[2]	1,896.9	1,775.3	1,819.1	1,819.1	1,667.9	1,604.7
ROCE (avg.) in %[3]	12.6	13.9	16.6	10.7	8.5	7.4
Cash flow from operating activities (continuing operations)	172.6	227.7	157.9	158.5	200.6	202.3
Free cash flow (continuing operations)	122.5	123.2	56.8	55.4	113.6	136.2
Employees						
Number of employees (avg. FTE)[4]	4,983	4,837	4,673	4,391	4,222	3,977
Personnel expenses	456.8	442.8	397.1	371.4	327.9	308.9
Key figures for the share						
Earnings per share from continuing operations in €	4.80	4.24	5.58	3.82	3.23	3.03
Earnings per share in €	4.87	7.16	3.96	3.85	3.27	3.35
Dividend per share in €[5]	1.30	1.25	1.00	0.90	0.80	0.80

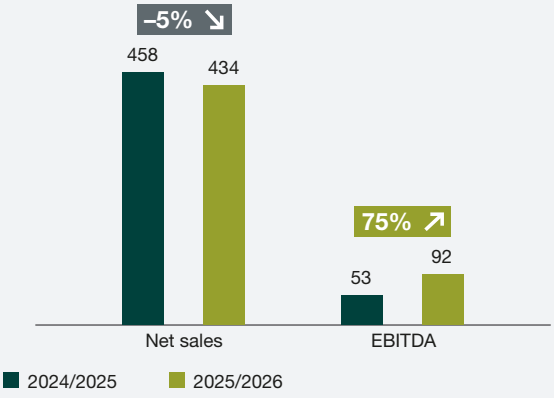
1 Short-term + long-term borrowings – cash and cash equivalents – securities
2 Total capital employed at the end of the quarters (intangible assets + property, plant and equipment + inventories + trade receivables – trade payables) / 4.
3 EBIT/Capital Employed (avg.)
4 FTE: Full-time equivalents excluding employees of discontinued operations
5 The dividend for 2025/2026 is subject to the consent of the Annual Shareholders' Meeting in December 2026.

Segments (in € millions)

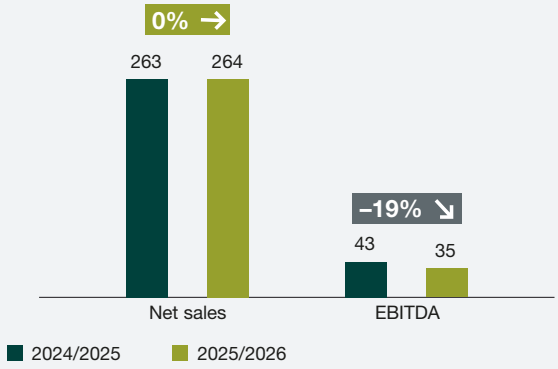
Sugarbeet



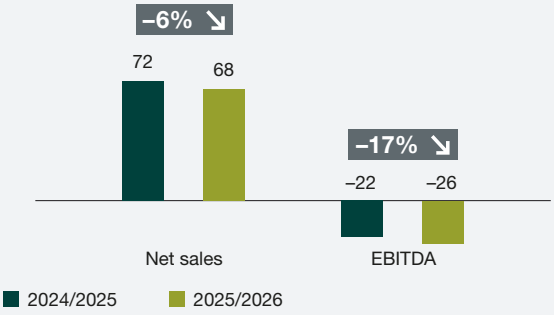
Corn



Cereals



Vegetables



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About the cover photo

Sugarbeet flowering in a seed multiplication field near Forlì in Emilia-Romagna, Italy. The densely branched inflorescences of the fertile paternal line release large amounts of pollen into the wind – a crucial moment in seed production. In precisely arranged strips, the pollinator plants are grown between the rows of the maternal line to ensure pollination. The precise interplay of flowering, wind, and planning forms the basis for high-quality sugarbeet seed. What makes sugarbeet so special and how modern plant breeding contributes to the agriculture of tomorrow can be found in the current issue of our KWS Portrait at portrait.kws.com/

1. To Our Shareholders

Foreword of the Executive Board

Dear shareholders,

This year we can look back at 170 years of our KWS – a company that, even in the face of crises and challenges, has continued to write an impressive success story to this day. Thanks to our family shareholders and their long-term commitment to preserving KWS' independence, we are what we are now: one of the leading plant breeding companies that stands out from its major competitors as a pure seed specialist. As a family business, we are shaped by our core values: independence, closeness, reliability and foresight. These give us the entrepreneurial freedom and strategic backing required to invest long term in the future.



Executive Board
Felix Büchting (Spokesperson) Research & Breeding, Human Resources, Farming, Corporate Office & Services, Group Strategy
Nicolás Wielandt Sugarbeet, Vegetables
Jörn Andreas Finance & Controlling, Global Business Operations, Legal Services & IP, Information Technology, Governance, Risk & Audit, Investor Relations
Sebastian Talg Corn, Cereals, Oilseed Rape & Special Crops, Marketing & Communications

As you read the 2025/2026 Annual Report, you will come across references to KWS' long-term orientation in many places – and I would like to highlight three specific examples here:

Genome editing: Technology with potential for agriculture and society

A hallmark of KWS has always been its ability to promptly translate the latest scientific findings into breeding progress. A fine example of this is genome editing. Shortly after CRISPR technology was first successfully applied to crops in 2013, we recognized its significance for plant breeding and made targeted investments in building our own expertise. With the Gateway Research Center in St. Louis, Missouri, KWS has had a specialized research platform since 2015 that pools technological excellence, our own proprietary rights and strategic partnerships.

Genome editing opens up new possibilities for plant breeding: Desired genetic changes can be made with precision and in a targeted manner. This can significantly shorten development times – in some cases by two to three years – and makes breeding programs faster, more efficient and more focused. Especially when it comes to complex traits such as resistances to diseases and pests, this technology can effectively complement and speed up conventional breeding.

We use genome editing where it delivers clear agronomic added value. Our project pipeline focuses in particular on biotic stress factors such as resistance to fungi, viruses, bacteria and insects, as well as on agronomic traits and plant quality. The recent decision at the EU level has laid the groundwork for incorporating the potential of genome editing into agricultural practice in Europe as well. That is an important step toward strengthening the innovativeness and competitiveness of European agriculture in the long term. KWS stands ready to translate this technology into innovative products – for the benefit of agriculture, the environment and society.

Vegetable seed: The next step in KWS' strategy

Another example of our long-term orientation is the systematic establishment of our vegetable breeding. By entering this attractive and strongly growing segment, we aim to apply our breeding expertise to high-quality crops that directly help provide healthy food for the world's growing population. Vegetables are one of the most important segments in the global seed market and, at the same time, offer attractive potential to create value added, as high-performance seed makes a crucial contribution to quality, yield reliability and efficiency in professional production systems.

The acquisition of Pop Vriend Seeds in 2019 gave us a strong springboard, especially in the spinach and bean markets. Alongside that, we are building our own breeding programs for five additional strategic vegetables. To this end, we have established the necessary research and development infrastructure in important cultivation regions over the past years. In this way, we ensure that our variety development is closely aligned with the requirements of local markets, climatic conditions and customer segments.

After years of intensive development work, this division is now entering a new phase: In the new 2026/2027 fiscal year, we will commercialize products for all types of vegetables for the first time and launch a range of new varieties on the market. This will create the basis for us to expand our vegetables business to around €100 million in net sales by 2030 and to grow significantly beyond that in the long term. Our mission is clear: KWS is to become a leading provider of vegetable seed – with innovative varieties that win over producers and provide consumers with high-quality, healthy food.

Hybrid wheat: Long-term potential for one of the world's most important crops

Wheat is the world's most important crop in terms of area under cultivation. At the same time, the price per hectare that can be achieved for wheat seed is comparatively low at present – far below that for crops such as corn, sugarbeet or oilseed rape. This is precisely where significant long-term market potential lies: Hybrid wheat seed can deliver higher and more stable yields, greater resilience and greater economic value added for farmers and breeders.

KWS is already a leader in the European wheat market and is working to create the technological requirements for hybrid wheat. We have achieved important milestones, particularly with our hybridization system. We expect to launch the first hybrid wheat products in the first half of the 2030s. This will enable KWS to tap long term into a significant new growth opportunity in the field of cereal seed.

These examples show how resolutely KWS is now laying the groundwork for future, long-term growth. At the same time, our business remains highly stable in the here and now. In a tough agricultural environment impacted by low agricultural commodity prices, geopolitical uncertainties and changing market conditions, KWS once again demonstrated its resilience in fiscal 2025/2026, posting solid business numbers. The free cash flow rose to €122.5 (123.2) million, while we were able to reduce our net debt to nearly zero – impressive proof of our financial strength.

Our dividend policy also remains reliable even in these challenging times: For the 2025/2026 fiscal year, we will propose to the Annual Shareholders' Meeting an increase in the dividend to €1.30 (1.25) – meaning our dividend has doubled in the past eight years.

Focus on growth as part of our strategic goals

In the new 2026/2027 fiscal year, we expect KWS to keep on growing operationally, provided conditions in the agricultural markets improve again. Backed by our innovative product portfolio, we are aiming for organic net sales growth of around 3% and an EBITDA margin of 19% to 20%, in line with our strategic goals.

At the same time, we will doggedly pursue the sustainability objectives we have defined as part of our Sustainability Ambition 2035. You can find comprehensive information on this topic in our Non-Financial Declaration in this Annual Report (starting on page 43).

Dear shareholders, your KWS is excellently equipped to meet the challenges moving forward. We therefore look to the future full of confidence – just as generations before us have done over the past 170 years and have helped our company advance.

A big key to KWS' success is the many dedicated and qualified employees worldwide, to whom I would like to express my special thanks on behalf of the entire Executive Board team. I would also like to take this opportunity to thank our many customers, business partners and shareholders for their trust in KWS.

I hope you find our 2025/2026 Annual Report both informative and interesting.



Dr. Felix Büchting
Spokesperson of the Executive Board

Report of the Supervisory Board

In fiscal year 2025/2026, the agricultural sector was characterized in particular by low agricultural commodity prices, a decline in cultivated land, and geopolitical uncertainties. Despite these challenges, KWS continued to develop systematically in line with its strategic priorities and laid important foundations for the future. These include, in particular, continued high expenditure on research and development as the basis for future innovations, further strengthening of our financial position thanks to the almost complete reduction of net debt, and the greater financial and strategic agility that gives us. KWS has thus demonstrated its resilience and further bolstered its future viability, too.

Key topics for the Supervisory Board were uncompromising implementation of the Strategic Planning 2035, the further strengthening of innovation and breeding activities, and expansion of the Business Unit Vegetables. In addition, the Supervisory Board dealt intensively with issues related to the risk situation, especially in connection with developments in the Russia/Ukraine conflict and in Iran.

The composition of the Supervisory Board of KWS SAAT SE & Co. KGaA in the year under review was unchanged. Dr. Hagen Duenbostel served as Chairman of the Supervisory Board and Dr. Marie Schnell as its Deputy Chairwoman. At its meeting on June 10, 2026, the Supervisory Board discussed the departure of Christine Coenen, who represented the German workforce on it. Christine Coenen left the company after reaching the regular retirement age effective September 1, 2026. In the summer of 2022, the KWS Group's German workforce had already elected Antoine Rombouts to the Supervisory Board as the potential successor to any employee representatives who might step down. A native of the Netherlands, he has held various positions in Purchasing and Logistics within the KWS Group for 26 years.

The Supervisory Boards of KWS SAAT SE & Co. KGaA and KWS SE still had the same shareholder representatives serving on both of them. The Supervisory Board of KWS SAAT SE also has two employee representatives alongside four shareholder representatives. Both boards held some meetings together, with the result that the employee representatives were informed at an early stage about upcoming decisions by the personally liable partner.

The Supervisory Board of KWS SAAT SE & Co. KGaA discharged the duties incumbent on it in accordance with the law, the company's Articles of Association and the bylaws, regularly advised and monitored the personally liable partner, represented by its Executive Board, and satisfied itself that the company was run properly and in compliance with the law and that it was organized efficiently and cost-effectively. The Supervisory Board extensively discussed all significant business transactions and carefully accompanied the Executive Board in all fundamental decisions of importance to the company. As is customary, the Executive Board involved the Supervisory Board in all key decisions. It reported to the Supervisory Board regularly, promptly and comprehensively, in particular on the topics of strategy, planning, business performance, personnel matters, financial position, risk situation, risk management, internal control systems, sustainability and compliance. In the period under review, there were no transactions with related parties which require the Supervisory Board's approval in accordance with Section 111b of the German Stock Corporation Act (AktG).

In particular, the company's current business performance, financial and medium-term planning, profitability and situation, the strategic further development of the crops and Business Units, the competitive environment, research and breeding activities, including new breeding technologies and AI applications, the Sustainability Ambition 2035 and risk management at the KWS Group were the subject of detailed discussions in the year under review.

Dr. Hagen Duenbostel continued the direct monthly discussions with the Spokesperson of KWS SE's Executive Board and individual members of the Executive Board outside the meetings of the Supervisory Board in the year under review. In addition, there were meetings at least twice every quarter with the Executive Board as a whole, where the company's current business development and, in particular, its strategy, budget and medium-term planning, risk issues, capital market matters and occurrences of special importance were dealt with. The Chairman of the Supervisory Board informed the Supervisory Board of the results of these meetings. The Supervisory Board did not make use of its right to conduct an examination granted by Section 111 (2) of the German Stock Corporation Act (AktG) since the reporting by the Executive Board meant there was no reason to do so.



Dr. Hagen Duenbostel, Chairman of the Supervisory Board

Focal areas of deliberations

Four meetings of the Supervisory Board of KWS SAAT SE & Co. KGaA were convened in fiscal 2025/2026. They were held on September 24, 2025, December 2, 2025, March 10, 2026, and June 10, 2026. The meetings were held in person, with all members of the Supervisory Board in full attendance.

At its meeting to discuss the financial statements on September 24, 2025, the Supervisory Board first heard a report from the independent auditor on the audit of the annual and consolidated financial statements for the 2024/2025 fiscal year. This discussion took place without the Executive Board of KWS SE. With the Executive Board in attendance, the Supervisory Board then approved the annual financial statements of KWS SAAT SE & Co. KGaA and approved the consolidated financial statements of the KWS Group as of June 30, 2025. In addition, it discussed the adjustment to the dividend policy and approved a future higher target payout ratio of 25% to 30% (previously 20% to 25%) of adjusted earnings after taxes. Accordingly, the Supervisory Board subsequently adopted a resolution that it, together with the Executive Board, would propose to the Annual Shareholders' Meeting on December 3, 2025, that a dividend of €1.25 (previously €1.00) per share be distributed. In addition, the Supervisory Board reviewed the current business performance and the results of its efficiency review.

At the meeting on December 2, 2025, the Executive Board reported on the business performance in the first quarter of 2025/2026 and provided an update on implementation of the holistic consulting approach for farmers, with its cross-crop support, integrated portfolio and KWS as "Your Seed Partner." Other focal areas were a comprehensive overview of research activities, including genome editing and digital and AI-driven applications, as well as the results of the second Group-wide employee survey (Employee Engagement Survey 2025).

The Supervisory Board dealt with the Semiannual Report 2025/2026 on March 10, 2026. Key topics of the meeting also included the performance status of the breeding programs for all major crops, including their strategic context. At the recommendation of the Audit Committee, the Supervisory Board decided to propose that PricewaterhouseCoopers GmbH Wirtschaftsprüfungsgesellschaft, Frankfurt am Main, be appointed as the independent auditor for the fiscal year 2026/2027.

The meeting on June 10, 2026, focused on the budget planning for the 2026/2027 fiscal year and medium-term planning, which were subsequently adopted by the Supervisory Board of KWS SE. In addition, the Supervisory Board dealt with selected AI use cases in administration, sales and R&D, the revised Sustainability Ambition, and further development of the internal control system.

Corporate governance

The Supervisory Board discussed compliance with the recommendations of the Government Commission for the German Corporate Governance Code and issued a new Declaration of Compliance with the German Corporate Governance Code in the version dated April 28, 2022, in accordance with Section 161 of the German Stock Corporation Act (AktG) together with the personally liable partner in September 2026. The Declaration of Compliance can be obtained on the company's website.

The Supervisory Board regularly addressed the question of any conflicts of interest on the part of its members and those of the Executive Board in the year under review. In the year under review, there were no such conflicts of interests that had to be disclosed immediately to the Supervisory Board and reported to the Annual Shareholders' Meeting.

The Supervisory Board also dealt with the results of the efficiency review conducted in the previous year, as part of which Deloitte GmbH Wirtschaftsprüfungsgesellschaft had conducted structured one-on-one interviews with all members of the Supervisory Board, as well as with the Spokesperson of the Executive Board and the Chief Financial Officer, and reached the conclusion that both the entire Supervisory Board and the Audit Committee work at a best practice level. Nevertheless, based on the results of the efficiency review, the Supervisory Board derived optimization measures, including an even sharper focus on strategic issues.

In addition, the Supervisory Board identified the potential need for further training. Given the growing importance of digitalization and AI, further training for the shareholder representatives in this field is planned. There are also plans for the employee representatives to undergo further training in the field of accounting.

Supervisory Board committees

In the year under review, the Supervisory Board of KWS SAAT SE & Co. KGaA had two committees: the Audit Committee and the Nominating Committee.

The **Audit Committee** convened for four joint meetings in fiscal 2025/2026, each of which was attended by all members either in person or online. In its meeting on September 10, 2025, the Audit Committee discussed the annual financial statements and accounting of KWS SAAT SE & Co. KGaA and the consolidated financial statements of the KWS Group for the fiscal year 2024/2025, along with the Combined Management Report and the proposal on the appropriation of the profits. The Compliance Report, the Quarterly Report Q1 2025/2026, the new tender for engagement of the independent auditor, tax-related issues and aspects concerning capital market communication were discussed in particular at the meeting on November 10, 2025. The meeting on February 11, 2026, discussed and defined the focus of the audit for fiscal year 2025/2026 in the presence of the appointed independent auditor. It also discussed the situation as regards the KWS Group's financing, the Semiannual Report 2025/2026 and the sustainability reporting in detail. The Quarterly Report 9M 2025/2026 and the report by Internal Auditing for fiscal 2025/2026 were discussed and the audit plan for the subsequent years was defined and adopted at the meeting on May 11, 2026. The risk situation and tax-related issues were also discussed, among other things.

In addition, the Audit Committee obtained the statement of independence from the auditor, ascertained and monitored the auditor's independence and examined its qualifications. The Audit Committee also satisfied itself that the regulations on internal rotation were observed by the independent auditor and dealt with the issue of any additional services rendered by the independent auditor.

In the year under review, the **Nominating Committee** of KWS SAAT SE & Co. KGaA met to discuss the successor to Christine Coenen and recommended to the Supervisory Board that Antoine Rombouts be elected as a member of the Audit Committee effective September 1, 2026.

Christine Coenen attended her final meeting as an employee representative on the Supervisory Board in the year under review. The Chairman of the Supervisory Board paid tribute to her exceptional professional career, her long service at KWS since 1988, her dedication as Chairwoman of the European Employees' Committee, and her reliable and constructive collaboration on the Supervisory Board. The Supervisory Board thanked Christine Coenen for her 38 years of loyalty and outstanding commitment to KWS and wished her all the best for her upcoming retirement.

Antoine Rombouts attended the Supervisory Board meeting on June 10, 2026, as a guest. He will succeed Christine Coenen as an employee representative on the Supervisory Board on September 1, 2026. The Supervisory Board unanimously elected him as a member of the Audit Committee effective September 1, 2026.

The Supervisory Board of KWS SAAT SE & Co. KGaA does not hold personnel responsibility as regards management, in particular in relation to the Executive Board of KWS SE. Nevertheless, we would like to take this opportunity to inform you about a significant personnel change in the year under review:

Sebastian Talg began his work as a member of the Executive Board of KWS SE on September 1, 2025. He was responsible for Corn, Cereals, Oilseed Rape/Special Crops & Organic Seed, and Marketing & Communications in the year under review.

Annual and consolidated financial statements and auditing

EY GmbH & Co. KG, Wirtschaftsprüfungsgesellschaft, Stuttgart, the independent auditor chosen at the Annual Shareholders' Meeting on December 3, 2025, and commissioned by the Audit Committee, has audited the financial statements of KWS SAAT SE & Co. KGaA that were presented by the personally liable partner, KWS SE, and prepared in accordance with the provisions of the German Commercial Code (HGB) for fiscal 2025/2026 and the financial statements of the KWS Group (IFRS consolidated financial statements), as well as the Combined Management Report of KWS SAAT SE & Co. KGaA and the KWS Group (Group Management Report), including the accounting reports, and awarded them its unqualified audit certificate. In addition, the auditor concluded that the audit of the financial statements did not reveal any facts that might indicate a misstatement in the Declaration of Compliance issued by the personally liable partner and the Supervisory Board in accordance with Section 161 of the German Stock Corporation Act (AktG) with respect to the recommendations of the Government Commission for the German Corporate Governance Code. The Non-Financial Declaration (Section 289b and Section 315b of the German Commercial Code (HGB)) in the Combined Management Report was likewise audited by the independent auditor.

The Supervisory Board received and discussed the annual financial statements of KWS SAAT SE & Co. KGaA and the consolidated financial statements of the KWS Group and Combined Management Report of KWS SAAT SE & Co. KGaA and the KWS Group, along with the report by the independent auditor of KWS SAAT SE & Co. KGaA and the KWS Group and the proposal on appropriation of the net retained profit for the year made by KWS SAAT SE & Co. KGaA, in due time. Comprehensive documents and drafts were submitted to the members of the Supervisory Board as preparation. For example, all of them were provided with the annual financial statements, consolidated financial statements, Combined Management Report, audit reports by the independent auditor, and the proposal by the personally liable partner on the appropriation of the profits. The Supervisory Board likewise received and discussed the Non-Financial Declaration (Section 289b and Section 315b of the German Commercial Code (HGB)), which is part of the Combined Management Report and contains disclosures on the KWS Group and the parent company KWS SAAT SE & Co. KGaA, as well as the related audit report by the independent auditor (Section 111 (2) Sentence 4 of the German Stock Corporation Act (AktG)) as part of a limited assurance engagement.

The Audit Committee convened on September 7, 2026, to discuss the annual financial statements of KWS SAAT SE & Co. KGaA and the KWS Group's consolidated financial statements for the 2025/2026 fiscal year and the accounting, along with the Combined Management Report. The independent auditor for fiscal 2025/2026 explained the results of its audit of the annual financial statements and consolidated financial statements. It pointed out that there were no grounds for assuming a lack of impartiality on the part of the independent auditor in its audit. The Audit Committee also dealt with the proposal by the personally liable partner on the appropriation of the net retained profit of KWS SAAT SE & Co. KGaA and recommended that the Supervisory Board approve it.

In accordance with the final results of its own examination, among other things as a result of the preliminary examination by the Audit Committee, the Supervisory Board endorsed the results of the audit of the financial statements and of the audit of the Non-Financial Declaration and did not raise any objections at its meeting to discuss the financial statements on September 22, 2026. The auditor took part in the meeting. It reported on the main results of the audit and was also available to answer additional questions and provide further information for the Supervisory Board. According to the report of the independent auditor, there were no material weaknesses in the internal control and risk management system in relation to the accounting process. There were also no circumstances that might raise concerns about a lack of impartiality on the part of the independent auditor. The independent auditor did not provide any additional services.

The Supervisory Board accordingly gave its consent to the annual financial statements of KWS SAAT SE & Co. KGaA submitted by the personally liable partner, and to the consolidated financial statements of the KWS Group and the Combined Management Report of KWS SAAT SE & Co. KGaA and the KWS Group and recommended that the Annual Shareholders' Meeting on December 1, 2026, approve the annual financial statements of KWS SAAT SE & Co. KGaA prepared by the personally liable partner. The Supervisory Board also endorsed the proposal by the personally liable partner to the Annual Shareholders' Meeting on the appropriation of the net retained profit of KWS SAAT SE & Co. KGaA after having examined it.

The Supervisory Board expresses its thanks to the Executive Board and all employees of the KWS Group for their dedication, commitment and contribution to the successful further development of KWS in the past fiscal year 2025/2026.

Seligenstadt, September 22, 2026



Dr. Hagen Duenbostel
Chairman of the Supervisory Board
KWS SAAT SE & Co. KGaA

KWS on the Capital Market

Stock markets and share performance

Despite ongoing geopolitical tensions and increased macroeconomic uncertainty, global stock indexes performed positively overall in the 2025/2026 fiscal year. That was underpinned by a robust global economy and continued expectations of a gradual easing of monetary policy. The DAX moved sideways amid fluctuations until the beginning of December 2025 and then rose by the end of February 2026. This positive performance came to an abrupt end with the escalation of the U.S./Israel/Iran conflict. After suffering losses up to the end of March 2026, the DAX rebounded as the year progressed and closed at 24,996 points at the end of June 2026 – a rise of 4.5% compared to its level of 23,910 points on June 30, 2025.

The SDAX, in which the KWS share is listed, largely followed this trend, rising by 2.7% in the period under review to stand at 18,046 (17,563) points at the end of trading on June 30, 2026.

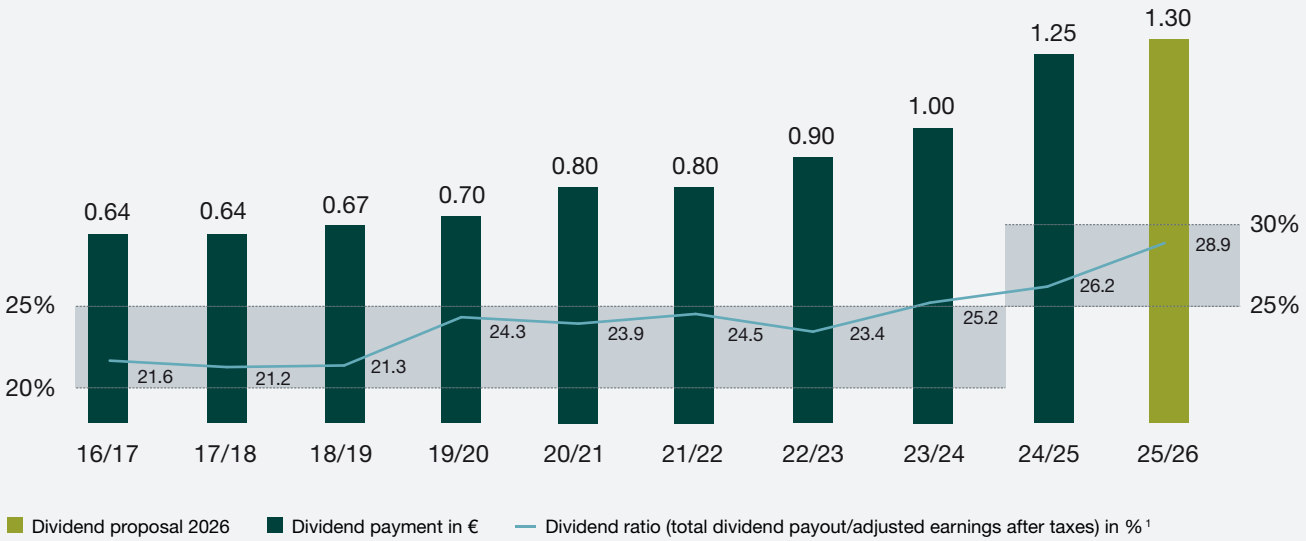
KWS' share closed at €67.40 at the end of June 2026 and thus around 9.2% above the level at the start of the fiscal year (€61.70). That meant it outperformed the DAX and SDAX in the period under review.

The average trading volume per day on XETRA rose sharply by 22.8% from 12,364 to 15,186 shares.

Employee Stock Purchase Plan

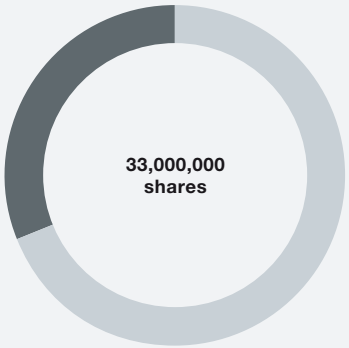
For many years, KWS has offered its employees the chance to become shareholders in the company and thus participate in its success. 467 (507) employees in eight (seven) European countries utilized this year's Employee Stock Purchase Plan and purchased a total of 50,164 (56,015) shares. The acquired shares are subject to a lock-up period of four years. They cannot be sold, transferred or pledged during this period. As in previous years, the shares used for the Employee Stock Purchase Plan were acquired in accordance with Section 71 (1) No. 2 of the German Stock Corporation Act (AktG). More details have been published in information released for the capital market and can be viewed on our website at www.kws.com/corp/en/investors/.

Dividend payment and dividend ratios of the past ten years



1 Adjusted for portfolio effects and other special effects

Shareholder structure at June 30, 2026



- Family Büchting, Family Arend Oetker, Family Tessner 69.3% (thereof 15.4% Tessner Beteiligungs GmbH)
- Free float 30.7%

Planned appropriation of profits: Increase in the dividend to €1.30 (1.25) per share

In line with KWS' continuous dividend policy, the Executive and Supervisory Boards will propose a dividend of €1.30 (1.25) per share for fiscal year 2025/2026 to the Annual Shareholders' Meeting on December 1, 2026. This would result in a distribution of €42.9 (41.3) million to the shareholders of KWS SAAT SE & Co. KGaA. This corresponds to a payout ratio of 28.9% (26.2%) of the adjusted earnings after taxes.

Key figures for the KWS share (Xetra®)

ISIN	DE0007074007
Share class	Non-par
Number of shares	33,000,000
Index	SDAX
Closing price	**in €**
June 30, 2026	67.40
June 30, 2025	61.70
High and low	**in €**
High (May 5, 2026)	79.60
Low (July 1, 2025)	61.40
Trading volume	**in shares/day**
2025/2026	15,186
2024/2025	12,364
Market capitalization	**in € million**
June 30, 2026	2,244
June 30, 2025	2,036
Earnings per share (continuing operations)	**in €**
2025/2026	4.80
2024/2025	4.24

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2. Combined Management Report

The Combined Management Report comprises the KWS Group's sustainability reporting in addition to content related to financial reporting. As part of it, we show how sustainability aspects and financial factors interact and influence our commercial success. The KWS Group's Combined Non-Financial Declaration was prepared taking into account the European Corporate Sustainability Reporting Directive (CSRD) and based on the European Sustainability Reporting Standards (ESRS). That is also reflected in our reporting structure. In deviation from the legally required external reasonable assurance audit of the contents of the consolidated financial statements and the Combined Management Report, the contents of our Combined Non-Financial Declaration were subject to a voluntary external limited assurance audit.

2.1 Fundamentals of the KWS Group

2.1.1 Business model

Since it was founded in 1856, KWS has specialized in breeding, producing and distributing high-quality seed for agriculture. From its beginnings in sugarbeet breeding, KWS has evolved into an innovative, international supplier with a broad portfolio of crops. The company covers the complete value chain of a modern seed producer that focuses on sustainable agriculture – from developing new varieties, propagation and processing, to marketing of the seed and consulting for farmers. KWS' core competence lies in breeding new, high-performance varieties that are adapted to regional needs, such as climatic and soil conditions, and use fewer resources, such as water and fertilizer. Targeted breeding of resistances against fungi or viruses, for example, also enables a significant reduction in the use of chemical pesticides in agriculture. Every new variety delivers sustainable added value for our customers. KWS' business model is based on this added value – which is ultimately attributable to breeding progress, optimization of seed quality and pinpointed consulting.

Organization and segments of the KWS Group

The KWS Group's operational business consists of four Business Units, which were grouped in the four product segments Sugarbeet, Corn, Cereals and Vegetables. The Business Units are identical to the corresponding segments.

The **Sugarbeet Segment** comprises sugarbeet seed breeding, production and distribution, as well as the development of diploid hybrid potatoes. KWS' high-quality sugarbeet varieties are consistently some of the highest yielding in the industry. KWS is the world market leader in sugarbeet seed, not least thanks to many innovations. Its main sales markets are the European Union, Eastern Europe, North America and Türkiye. Sugarbeet is sown in the spring, which means that net sales in this segment are likewise largely generated in the second half of the fiscal year (January to June).

The **Corn Segment** covers breeding, production and distribution of seed for corn and sunflowers.

Its operating performance depends largely on the spring sowing season in the northern hemisphere. That means the lion's share of the segment's net sales is generated in the second half of the fiscal year (January to June). According to our own surveys, KWS is the market leader for silage corn in Europe.

The **Cereals Segment** includes the breeding, production and distribution of seed for rye, wheat, barley and oilseed rape. Oilseed rape accounts for the largest share of revenue from cereals (around 39%), followed by rye, wheat and barley. KWS also generates revenue from other crops such as peas, catch crops (e.g. mustard) and oats. Farmers in KWS' core markets (Germany, Poland, the UK, France and Scandinavia) predominantly sow cereals seed in the fall. Consequently, the segment generates most of its revenue in the first half of the fiscal year (July to December).

The **Vegetables Segment** comprises vegetable seed breeding, production and distribution. KWS is the world leader in spinach seed. Its portfolio also includes seed for beans, Swiss chard, red beet and tomatoes. North America is the segment's most important sales market. KWS' strategic objective is to build a significant position in the vegetable seed market long-term. Our focus apart from spinach and beans is on the world's five most important crops in this segment: tomatoes, peppers, cucumbers, watermelons and melons.

Apart from the operating segments, there is also **Corporate**, a segment which by and large does not conduct any operational activities. Its relatively low net sales come from the revenue from our own farms in Germany, France and Poland. Since the KWS Group's basic research expenditure and costs for administrative functions are charged to the Corporate Segment, its income is usually negative.

The sale of the corn business in North America was completed in the year under review → 2.3.3.2 segment report on the Corn Segment. Apart from that, there were no significant changes in the KWS Group's composition and organization. Further information on the segments' share of net sales and income can be found in our → 2.3.3 segment reports.

Main business processes

KWS' breeding processes are geared toward exploiting plants' potential as much as possible and leveraging that potential to tackle the major challenges of modern sustainable agriculture. Whether it is plants for producing food, fodder or energy, conventional, organic or genetically modified: KWS offers its customers a broad portfolio of high-performance varieties. It takes an average of eight to ten years to breed a new variety. Thanks to its large network of breeding and trial stations in the markets of relevance to KWS, the company can develop the individual candidates for a wide range of climatic and local conditions and test whether the varieties are suitable for cultivation. In most markets, variety development ends in an official approval process in which candidates must meet high quality standards, usually in three-year field trials. Seed propagation in selected cultivation regions also takes up to two years. Only then can the varieties be marketed via the various distribution channels.

2.1.2 Structure of the KWS Group

KWS SAAT SE & Co. KGaA is the parent company of the KWS Group. Strategic management of all of KWS' global activities is pooled under its roof. It is headquartered in Einbeck, Germany, and controls breeding of the KWS Group's range of varieties. There are also currently 69 subsidiaries and associated companies in 31 countries. An overview of our subsidiaries and associated companies can be found in section → 9.8 List of shareholdings of the Notes for the KWS Group.

2.1.3 Vision and Mission[1]

Vision

"Seeding the future for generations."

Our vision comprises all of KWS' core values. With foresight, we shape a sustainable future, staying close to generations of farmers and serving as a trusted, reliable partner to all our customers while remaining an independent company.

Mission

"Our passion for plants sustains farming, food and planet."

We are convinced that we can make a difference with our specialization in plant breeding and seed. We are passionate about breeding and research – and we optimize the potential of plants and varieties in order to contribute to increasing sustainability in agriculture year after year.

Apart from continuous improvements in yield, we provide solutions by delivering varieties with relevant traits such as improved drought tolerance and less need for pesticide and help agriculture successfully tackle future challenges.

KWS' seed is at the beginning of the food chain – and therefore makes an important contribution throughout the agricultural production process. End consumers are also a growing focus: What variety traits are important for processing and the end product, and how can plant breeding help improve them? Finally, our work also has an impact on the environment as a whole: Reducing inputs such as pesticide or water, innovations also for areas such as alternative energies, and of course the efficient use of available land all make a contribution to the agriculture of the future.

1 Not an audited part of the Combined Management Report

2.1.4 Objectives and Strategy

Our strategic planning is the foundation for the KWS Group's further development. It defines strategic objectives, initiatives and core measures for existing activities and for potential new fields of business. The planning is based on a long-term horizon (10 years) and includes an analysis and assessment of market trends, competitors and the KWS Group's position.

We updated our strategic planning in fiscal 2024/2025, honing KWS' fundamental business model and defining fields of activity that are to generate KWS' future growth.

We aim to further expand our market positions in established crops and defend our leading positions. With an extensive product portfolio geared to the needs of our customers, we want to keep on making an important contribution to sustainable agricultural practices, such as comprehensive crop rotations, in the future.

In the long term, we also want to strengthen our activities in areas where we can tap into additional value potential, such as vegetable seed.

Innovations in breeding play a fundamental role in our business model. In order to keep on successfully developing products with agronomic added value long-term, we aim to leverage the full potential of hybrid breeding and new breeding technologies such as genome editing.

We intend to systematically expand our range of services and tools in the future in order to offer our customers the resources and support they need to succeed in an increasingly digital agricultural landscape.

Corporate objectives of the KWS Group

As part of the strategic planning we updated in fiscal 2024/2025, we revised our objectives relating to profitable growth.

In the medium-term period 2025–2028, we aim to achieve annual organic net sales growth of 3% to 5% and an EBITDA margin of 19% to 21% as a measure of our profitability. At the same time, we intend to continue investing significantly in our research and development moving ahead.

Sustainability is and always will be both an obligation and an opportunity for us. Agriculture faces huge challenges globally. They include the world's growing population, increasingly severe consequences of climate change, and the preservation of biodiversity and natural resources. Innovations in plant breeding play a key role in tackling these challenges. As part of our Sustainability Ambition 2035, we have set ourselves concrete goals, which we report on in our section → 2.4 Sustainability information.

Motivated and qualified employees are the key to our success. It is therefore vital to acquire, encourage and retain the right talents. As a global seed company, we strive to provide a value-based work environment, a supportive culture and appropriate development opportunities for individual career paths. With our diverse range of offerings and programs, we are constantly working to be a highly attractive employer in the seed industry.

Our business developed partly in line with our strategic objectives in the year under review. We deal with that and other details of achievement of our objectives in the respective sections, which are referred to in the table on the corporate objectives.

The KWS Group's medium- and long-term objectives

Main strategic subject areas		Explanation
Profitable growth	■ Focus on organic growth of consolidated net sales; medium-term ambition (2025–2028): average organic growth of 3% to 5% p.a.	→ 2.3 Economic Report
	■ Medium-term ambition (2025–2028): 19% to 21% EBITDA margin [1]	→ 2.3 Economic Report
	■ A dividend payout ratio of 25% to 30% of the adjusted earnings after taxes [2]; high degree of dividend continuity	→ Section 9.1 "Proposal for the appropriation of net retained profits" of the Notes for the KWS Group
Innovation	■ Continuous and significant research and development expenditures	→ 2.2 Research & Development Report
Attractiveness as an employer	■ Acquisition, retention and encouragement of talents	→ 2.4.3.1 Own workforce, recruitment and employee loyalty
Sustainability	■ Implementation of the goals in the KWS Sustainability Ambition 2035	→ 2.4 Sustainability information

1 Operating income before depreciation and amortization as a % of net sales
2 Adjusted for portfolio effects and other special effects

2.1.5 Control System

Detailed annual and medium-term operational plans are used to control the Group and our Business Units. The medium-term plan covers the time frame of the annual plan and the three subsequent fiscal years. It is thus an anchor point for our strategic planning, which covers a timescale of 10 years.

The targets set in the annual planning ("top-down target") are based on the strategic planning, results achieved, regional economic and legal situation, anticipated macroeconomic trends and assessments of the company's position in the market and the potential product performance. In a subsequent bottom-up process, we use these premises to plan figures for sales volumes and net sales, breeding activities, production capacities and quantities, the allocation of resources (including capital spending and personnel), the level of material costs and internal charge allocation and the resultant balance sheet data, along with the financial budget. In principle, part of the planning documentation is also an opportunity/risk assessment which every manager must conduct for his or her unit.

The planning is compared every quarter with the company's actual business performance and the underlying general conditions. If necessary, we initiate suitable countermeasures and adjust. We update the forecast for the current fiscal year at the end of every quarter. At the end of each fiscal year, all the units conduct a detailed variance analysis of the planned and actual results. It serves to optimize the quality of our planning assumptions.

Controlling is responsible for coordinating and documenting all planning processes and our current expectations. It reports on compliance with adopted budgets and analyzes the efficiency and cost-effectiveness of business processes and measures. Business Partner Finance and Controlling also advise our decision-makers on economic optimization measures. In particular, the heads of the product segments, the regional directors and the heads of research and breeding activities and the central functions are responsible for the content of the planning and current forecasts.

The Executive Board uses various indicators for planning, controlling and monitoring the business performance of the KWS Group and its operating units. The main performance indicators for that are "development of net sales" and, since July 1, 2025, the "EBITDA margin" (operating income before depreciation and amortization as a percentage of net sales). The indicators used up to the end of fiscal 2024/2025 – "EBIT margin" and "R&D intensity" [2] – are no longer applied as of July 1, 2025.

The focus in controlling the development of net sales is exclusively on key operating indicators for our business, in particular the development of sales volumes and prices of our product portfolio. Forecasts of our net sales development are therefore based on these key indicators, while exchange rate and portfolio effects (from significant acquisitions or divestments) are not considered. Exchange rate effects are the difference between net sales in the period under review at exchange rates for the period under review minus net sales in the period under review at exchange

2 Research & development expenditure as a percentage of net sales

rates for the comparison period. In addition, the exchange rate effects also include impacts from the application of IAS 29 (Financial Reporting in Hyperinflationary Economies).

KWS' product segments, which are divided into Business Units, are in turn geared toward the main indicators of organic net sales growth and EBITDA margin. All cross-segment costs for the KWS Group's central functions and research expenditure are charged to the Corporate Segment; the key performance indicator for controlling here is EBITDA (operating income before depreciation and amortization).

Management and control

The company is a partnership limited by shares (KGaA). The personally liable partner is responsible for the tasks of running the business of a partnership limited by shares. The company's sole personally liable partner is KWS SE, whose Executive Board is therefore responsible for management of the company's business.

The rights and obligations of the Supervisory Board at a partnership limited by shares differ greatly from those at a stock corporation (AG) or a European Company (Societas Europaea or SE). In particular, the Supervisory Board at a partnership limited by shares does not hold personnel responsibility as regards management; moreover, it cannot appoint any further personally liable partners and define the contractual terms and conditions for them, enact bylaws for the Executive Board, or define business transactions requiring its consent.

The Annual Shareholders' Meeting of a partnership limited by shares basically has the same rights as the Annual Shareholders' Meeting of a stock corporation or SE. It also adopts resolutions on whether to approve the company's annual financial statements and ratify the acts of the personally liable partner. Certain resolutions adopted by the Annual Shareholders' Meeting of a partnership limited by shares also require the approval of the personally liable partner. The declaration on corporate governance in accordance with Section 289f and Section 315d of the German Commercial Code (HGB) contains detailed information on the extensive and close cooperation between the Executive Board and the Supervisory Board and has been published at **www.kws.com/corp/en/investors/corporate-governance/**.

2.1.6 Fundamentals of Research & Development

Innovation at KWS is driven by research and development. KWS' objective is to create high-performance varieties that meet various environmental and application requirements and deliver continuous value added to farmers. Plant breeding is a very research-intensive and long-term business.

It takes an average of eight to ten years to develop a new, high-performance variety.

Using state-of-the-art breeding methods, KWS has generated steady yield progress for decades and supports agriculture with solutions to tackle future challenges – for example, through varieties that boast improved drought tolerance or need less pesticide. The company also increases genetic diversity, which is vital to improving crops, through its breeding work on plants. We contribute to sustainable agriculture by continuously improving yields, minimizing the use of resources and increasing varietal diversity and play a key role in supplying people with food.

2.2 Research & Development Report[3]

Key research & development figures

		2025/2026	2024/2025	+/–
R & D-employees[1]	ø	2,031	1,944	+4.5%
Share of R & D employees relative to total workforce	in %	38.8	38.1	–
R & D-expenditure	in € million	342.1	349.0	–2.0%
R & D-intensity[2]	in %	21.0	20.8	–
Sales approvals for new varieties		527	584	–9.8%

1 Average Headcount
2 As a % of net sales

Sugarbeet: Progress in disease tolerance and technology platforms

In the year under review, KWS' research and development activities in the Sugarbeet Segment focused in particular on breeding robust varieties to withstand the disease complex SBR (Syndrome Basses Richesses, "low sugar syndrome") and RTD (rubbery taproot disease), as well as on the further development of existing herbicide resistance for the North American market. In the future, KWS will be able to offer sugarbeet varieties with triple-stacked resistance to various herbicide active ingredients.

The SBR/RTD disease complex, which is transmitted by the reed glass-winged cicada, now affects approximately 120,000 hectares of land under cultivation in Germany and can significantly reduce sugar content and yield. ELSABELLA KWS is the first variety from KWS approved by the German Federal Office of Plant Varieties to receive official designation as having SBR/RTD tolerance. In addition, ELSABELLA KWS is resistant to nematodes and also boasts high resistance to Cercospora (CR+). The already approved variety LORENZA KWS has also been awarded the designation as SBR/RTD-tolerant, thereby expanding the range of varieties available for affected cultivation regions.

At the same time, sugarbeet breeding has further developed the CONVISO® SMART portfolio. BTS SMART 1980 N, a new CR+ variety with nematode tolerance, obtained approval and was included in the SBR trial series conducted by the Institute of Sugar Beet Research. SMART URIELLA KWS, the first CONVISO® SMART variety with Rhizoctonia resistance, was likewise approved for the German market. In the year under review, the CONVISO® SMART system was used on an area of around 954,000 hectares worldwide (previous year: 874,000 hectares), capturing a market share of some 27% (previous year: 23%) of total land under cultivation for sugarbeet.

Alongside these activities in Europe, KWS made further progress with TRUVERA, a broad-spectrum herbicide tolerance system for sugarbeet cultivation in North America. After completion of the regulatory approval process in the U.S., the first trial varieties were registered in the relevant variety testing regimes in several regions suffering from high weed pressure. The ongoing evaluations will create the basis for the system's further development and market launches in the coming years.

3 Not an audited part of the Combined Management Report

Corn: Further development of the European product pipeline

Following the strategic realignment of the Corn Segment, KWS' corn breeding is focused on the continuous expansion of its European portfolio.

The efficiency and effectiveness of our breeding were demonstrated, among other things, by the variety approvals granted by the German Federal Office of Plant Varieties in the year under review. Of a total of 19 newly approved corn varieties, 10 come from KWS' breeding programs. These approvals strengthen the portfolio in the area of grain and silage corn and expand our offering in several market segments. The new varieties include very early-maturing types of grain corn with low residual grain moisture, as well as silage and dual-purpose varieties that offer flexible uses. As a result, KWS addresses diverse requirements in agricultural practice – from vegetation periods of differing length to multi-use systems for animal feed or biogas production.

In Southeastern Europe, our grain corn varieties confirmed their ability to perform well under drought and heat stress. Ensuring stable yields in challenging environmental conditions is an important breeding objective in light of increasing climatic fluctuations. In addition, KWS pressed ahead with developing the next generation of grain corn varieties for France and Central and Eastern Europe.

KWS also achieved further breeding progress in the late-maturing grain corn segment. The breeding programs broaden the genetic base and develop varieties suited to different environmental conditions, including maritime, continental and Mediterranean growing regions.

The results in the year under review emphasize how important it is for corn breeding to focus on Europe as part of further development of our portfolio. Numerous variety approvals, stable performance under drought and heat stress, and a broader genetic base are vital to that.

Hybrid wheat: Laying the groundwork for market launch

Accounting for more than 220 million hectares of cultivated land worldwide, wheat is one of the world's most important crops and plays a crucial role in global food security.

While hybrid breeding has already delivered fundamental improvements in crops such as corn, rye, oilseed rape and sugarbeet, KWS sees significant long-term potential in breeding hybrid wheat. Farmers could benefit from higher and more stable yields, as well as greater resilience. A key obstacle to commercial launch to date has been the difficulty in producing hybrid seed efficiently, reliably and on a large scale. The establishment of economically viable seed production systems is widely regarded as a major prerequisite for the future commercialization of hybrid wheat.

To address this challenge, KWS has further developed the blue aleurone (BLA) system as part of its long-term hybrid wheat research activities. The system combines male sterility with a natural marker for grain color, thereby enabling efficient separation of the seed needed to maintain the parent lines from the seed intended for hybrid production. This supports scalable and efficient seed production while also simplifying important breeding activities.

With its expertise in hybrid breeding and based on its own technological developments, KWS is laying an important foundation for the future development of hybrid wheat. This represents a strategic area of innovation for KWS and underscores the company's long-term commitment to tackling future agricultural challenges through research, breeding innovations and proprietary technologies. The launch of initial hybrid wheat products is planned for the first half of the 2030s.

Vegetables: Product pipeline reaches next stage of development

KWS pushed on with developing its vegetable business in the year under review. In the 2026/2027 fiscal year, active sales activities are envisaged for all nine types of vegetables: cucumbers, peppers, tomatoes, melons, watermelons, spinach, beans, red beet and Swiss chard. That will help the vegetable business achieve an important milestone on its path toward a broad, international variety portfolio. At the same time, progress was made in product development, including the identification of a new source of resistance to downy mildew in spinach and the introduction of a new method for doubled haploids aimed at increasing efficiency in pepper breeding.

The research and development infrastructure was also expanded. Following the inauguration of the research and development center in Andijk, the Netherlands, last year, the next phase of expansion at the location was initiated in the year under review. Additional laboratory, processing and office space is intended to support seed processing as well as research and breeding activities in the future. In this way, KWS is creating the foundation to speed up the development of new vegetable varieties worldwide and scale up its vegetable business.

Genome editing: KWS is ready for the new regulatory framework

Genome editing is a core component of KWS' innovation strategy. The new breeding method enables targeted and precise genetic changes to plants and helps make breeding processes more efficient. KWS invested proactively in genome editing at an early stage and has built up extensive expertise across multiple crops in recent years.

The European Parliament's approval of the regulation on new genomic techniques (NGT) in June 2026 marked a significant step toward establishing a science-based legal framework in the European Union. It facilitates applications in which targeted, minor changes that could also occur through natural processes or conventional breeding are made to the genome. This approach creates the conditions for leveraging genome editing not only in research but also in product development.

Against this backdrop, KWS is excellently positioned to gradually integrate genome editing into its breeding programs once the new statutory regulations come into force in two years and to put such products on the market moving forward. Its existing expertise means development times can be shortened and new traits can be specifically incorporated so as to deliver high-performing varieties.

The focus is on developing agronomically relevant traits, particularly to improve resistance to diseases and pests. Given the increasing restrictions on chemical plant protection products and how pests keep on adapting in the wake of climate change, such approaches are gaining greater strategic importance. For example, KWS is working to use genome editing in oilseed rape to specifically enhance an existing genetic tolerance, thereby reducing susceptibility to the cabbage stem flea beetle, one of the main pests in European oilseed rape cultivation, in order to limit yield losses.

The new regulatory framework in the European Union thus expands KWS' strategic options in the field of innovative breeding methods and creates a significant springboard for future product developments.

2.3 Economic Report

2.3.1 Business Performance

General macroeconomic conditions

The economic environment in the 2025/2026 fiscal year continued to be shaped by geopolitical tensions, trade conflicts, higher energy and commodity prices, and subdued consumer confidence. The International Monetary Fund (IMF) anticipates that gross domestic product (GDP) will grow in real terms by 0.9% (1.4%) in the eurozone and by 0.7% (0.2%) in Germany in 2026.

The U.S. economy continued to perform positively in fiscal 2025/2026, benefiting from robust investment activity, an expansionary fiscal policy and its comparatively low dependence on rising energy prices. The IMF expects that gross domestic product (GDP) there will grow in real terms by 2.3% (2.1%) in 2026. The euro appreciated against the US dollar to nearly 1.20 USD per EUR before weakening again at the end of the fiscal year. The average EUR/USD exchange rate in fiscal 2025/2026 was around 1.17 USD per EUR and thus well above the level of around 1.09 USD per EUR in the previous year.

KWS' international orientation means that changes in exchange rates impact our key economic figures. The following overview shows the exchange rates of KWS' most important currencies relative to the euro on the balance sheet date:

Exchange rates for main currencies on the balance sheet date

	Rate on balance sheet date	
	06/30/2026	06/30/2025
UK	0.86	0.86
Russia	88.65	92.28
Türkiye	53.10	46.55
Ukraine	51.17	48.78
U.S.	1.14	1.18

General conditions in the agricultural sector

The general conditions in the global agricultural sector remained challenging in the year under review. Key agricultural raw materials, such as corn and wheat, recorded declining prices up to and through the spring of 2026, a factor that influenced our customers' decisions on what crops to grow. High wheat inventories worldwide, favorable U.S. harvest prospects and extensive corn inventories weighed on prices up to that time. As the year under review progressed, the prices rose again. The main factors behind that were weather-related harvest uncertainties in major cultivation regions, as well as robust global demand.

Area under sugarbeet cultivation fell for the second year in succession in fiscal 2025/2026. After a decline of around 2% in the previous year, the area decreased by about 10% in the year under review. This trend was particularly pronounced in the European Union. One major reason for this was the decline in the world market price of sugar.

Summary of the course of business and achievement of targets

The basis for the net sales forecasts for the year under review was comparable net sales (excluding exchange rate and portfolio effects) for both the Group and the segments.

The course of business in fiscal year 2025/2026 was shaped by a subdued agricultural environment. In particular, low prices for agricultural raw materials, the anticipated decline in business with Russia, and the reduction in global area under sugarbeet cultivation had a negative impact.

We revised our net sales guidance for the fiscal year on February 12, 2026, as part of our reporting on the first six months of 2025/2026. The key factors in that were the persistently subdued agricultural market environment, with low prices for agricultural commodities, and a stronger than expected decline in land under sugarbeet cultivation. As part of the adjustment to the Group's net sales guidance, the net sales and EBITDA forecasts for the segments were also updated.

The two following tables present a comparison of the actual and forecast business course figures.

All in all, the KWS Group's Executive Board assesses the course of business as stable, given the challenging environment in the year under review.

Guidance versus actual business performance of the KWS Group

	Results in 2024/2025	Guidance for 2025/2026	Adjustments to the guidance during the year	Results in 2025/2026
		Annual Report 2024/2025	6M Report 2025/2026 dated February 12, 2026	
Net sales in € million	1,659.3[1]			1,642.9[2]
Net sales growth		ca. +3%	At the level of the previous year	–1.0%
EBITDA margin	20.9%	19–21%[3]	19–21%[3]	19.3%[3]

1 Adjusted for portfolio effects
2 Adjusted for exchange rate effects, also including impacts from the application of IAS 29 (Financial Reporting in Hyperinflationary Economies)
3 EBITDA in fiscal 2025/2026 adjusted for a positive special effect of €29.0 million from sale of license rights as part of the divestment of the North American corn business

Guidance versus actual business performance of the segments

		Results in 2024/2025	Guidance for 2025/2026	Adjustments to the guidance during the year	Results 2025/2026
Sugarbeet	Net sales in € million	871.8	Slight increase	At the level of the previous year	866.4[2]
	EBITDA margin	45.5%	Below the previous year	Below the previous year	41.9%
Corn	Net sales in € million	444.1[1]	Slight increase	At the level of the previous year	436.9[2]
	EBITDA margin	11.5%	Well above the previous year	Well above the previous year	21.3%[3]
Cereals	Net sales in € million	263.3	Slight increase	Slight increase	264.8[2]
	EBITDA margin	16.3%	Slightly below the previous year	Slightly below the previous year	13.1%
Vegetables	Net sales in € million	72.1	At the level of the previous year	Slightly below the previous year	67.4[2]
	EBITDA margin	–30.4%	Below the previous year	Below the previous year	–38.2%
Corporate	EBITDA	–120.1	At the level of the previous year	At the level of the previous year	–116.0

1 Adjusted for portfolio effects
2 Adjusted for exchange rate effects, also including impacts from the application of IAS 29 (Financial Reporting in Hyperinflationary Economies)
3 EBITDA in fiscal 2025/2026 contains a positive special effect of €29.0 million from sale of license rights as part of the divestment of the North American corn business

2.3.2 Earnings, Financial Position and Assets

Earnings

Condensed income statement

in € million		2025/2026	2024/2025	+/–
Continuing operations				
Net sales		1,626.8	1,676.6	–3.0%
EBITDA		343.1	350.5	–2.1%
EBIT		239.0	247.6	–3.5%
Net financial income/expenses		1.1	–35.4	–
Earnings before taxes		240.1	212.2	13.1%
Taxes		81.7	72.2	13.2%
Earnings after taxes		158.4	140.0	13.1%
Discontinued operation				
Earnings after taxes		2.5	96.4	–97.4%
Group				
Earnings after taxes		160.8	236.3	–31.9%
Earnings per share from continuing operations	**in €**	**4.80**	**4.24**	**13.1%**
Earnings per share	**in €**	**4.87**	**7.16**	**–31.9%**
EBITDA margin	**in %**	**21.1**	**20.9**	**–**
EBITDA margin (excluding special effects)	**in %**	**19.3**	**20.4**	**–**

KWS maintains net sales in a challenging agricultural market environment

Despite persistently challenging conditions in the agricultural markets and, in some cases, a sharp decline in land under cultivation, the KWS Group posted net sales that were only slightly below the figure for the previous year on a comparable basis. Net sales fell by 3.0% to €1,626.8 (1,676.6) million. Consolidated net sales were 1.0% below the previous year's figure on a comparable basis (excluding exchange rate and portfolio effects).

There were negative exchange rate effects mainly from the depreciation of the US dollar, the Turkish lira and the Ukrainian hryvnia against the euro. These were partly offset by the appreciation of the Russian ruble.

The net sales performance in our product segments varied greatly (all figures excluding exchange rate and portfolio effects).

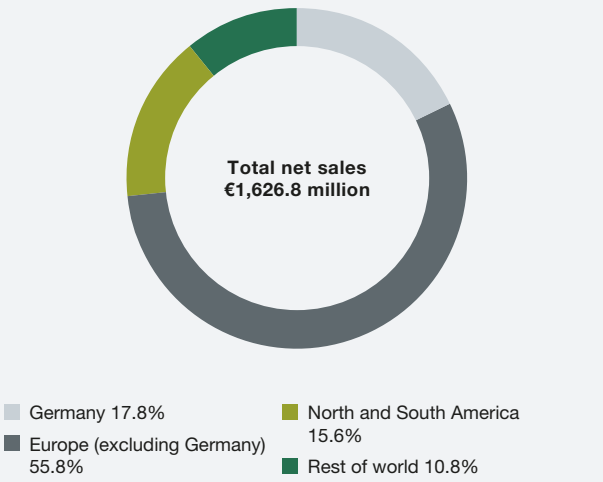
Comparable net sales rose slightly in the Cereals Segment, while net sales in the Sugarbeet and Corn Segments declined slightly. Net sales in the Vegetables Segment fell.

→ 2.3.3 Segment reports

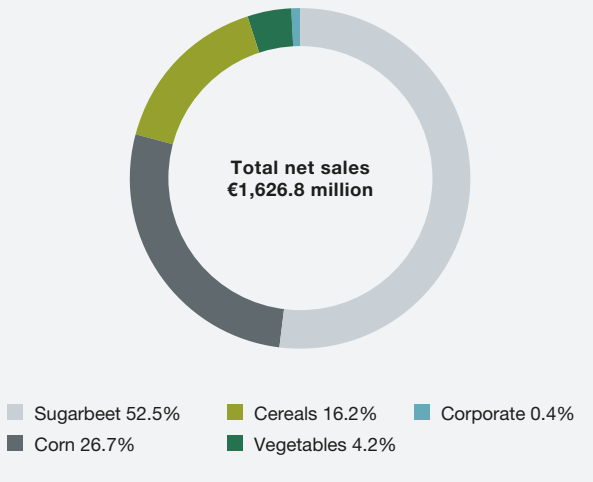
As in the previous year, Sugarbeet and Corn were the two segments with the highest net sales, accounting for 52.5% (52.0%) and 26.7% (27.3%) respectively. The Cereals Segment increased its share of total net sales to 16.2% (15.7%). The share of net sales contributed by the Vegetables Segment fell to 4.2% (4.3%).

The region where we generated most of our business was Europe, which accounted for 73.5% (73.5%) of net sales (Germany: 17.8% (17.6%)). Net sales in North and South America accounted for 15.6% (18.5%) of our total figure.

Net sales by region



Net sales by segment



Decline in key indicators for operating income

The KWS Group's operating income before depreciation and amortization (EBITDA) decreased by 2.1% to €343.1 (350.5) million in the fiscal year. The EBITDA margin rose slightly to 21.1% (20.9%). EBITDA in the year under review contained a positive special effect of €29.0 million from sale of license rights as part of the divestment of the North American corn business. However, EBITDA in the previous year was positively influenced by the reversal of a provision for VAT risks totaling €7.7 million in the Sugarbeet Segment. After adjustment for these two special effects, EBITDA was €314.1 (342.5) million and the EBITDA margin fell to 19.3% (20.4%). In addition, a provision of €5.0 million for ongoing antitrust proceedings by an antitrust authority in the Cereals Segment, as well as negative exchange rate effects totaling approximately €16 million, had a negative impact on EBITDA in the period under review.

The KWS Group's cost of sales rose by 1.9% to €631.0 (619.2) million. As a result of that and the decline in net sales, gross profit fell by 5.8% to €995.8 (1,057.4) million. The gross margin was 61.2% (63.1%). This was mainly due to changes in the product mix.

Selling expenses fell by 3.7% to €285.8 (296.6) million. The selling expense ratio in the fiscal year was 17.6%, slightly down on the previous year (17.7%).

Research & development expenditure in the period under review decreased by 2.0% to €342.1 (349.0) million. As net sales were lower, the Research and development intensity rose to 21.0% (20.8%).

Administrative expenses were €154.7 (165.3) million or 6.4% lower year over year. The administrative expense ratio fell to 9.5% (9.9%).

The cost-cutting measures initiated in the first half of the year under review had an impact and contributed to the decline in function costs.

At €25.7 (1.2) million, the balance of other operating income and other operating expenses was well above the level of the previous year. The rise was mainly due to the sale of license rights as part of the divestment of the North American corn business. The figure for the previous year included a reversal of a provision for VAT risks. Details and explanations on the related individual items can be found in section → **6.2 Other operating income** and section → **6.3 Other operating expenses** of the Notes for the KWS Group.

Sharp improvement in net financial income/expenses

Net financial income/expenses are made up of the result from equity investments and the interest result. In addition, we report realized and unrealized foreign exchange differences from financing activities within net financial income/expenses.

The result from equity investments improved sharply to €10.0 (–33.7) million. The positive result in the period under review is attributable to closing of the sale of the joint ventures in the North American corn business. In the previous year, the result from equity investments was impacted to an amount of € –20.7 million by the operating loss and the impairment loss as part of the sale of the joint ventures.

The net interest result was € –6.0 million, almost on a par with the previous year (€ –6.3 million). The net result from foreign exchange gains and losses amounted to € –2.9 (4.6) million. This development is primarily related to short-term intra-Group foreign currency positions in connection with the Group's financing and reflects changes in exchange rate movements as well as the structure of the underlying loans. The above changes resulted overall in a significant improvement in net financial income/expenses to €1.1 (–35.4) million.

Higher earnings after taxes from continuing operations

Earnings before taxes rose by 13.1% to €240.1 (212.2) million. Income taxes increased to €81.7 (72.2) million. The tax rate was 34.0% and thus the same as in the previous year (34.0%).

Earnings after taxes from continuing operations rose to €158.4 (140.0) million. Given that the number of shares remained unchanged at 33,000,000, earnings per share from continuing operations were €4.80 (4.24).

Earnings after taxes including the earnings from discontinued operations were €160.8 (236.3) million. Earnings from discontinued operations of €2.5 (96.4) million included the profit of €96.4 million from the sale of the South American corn and sorghum business in the previous year.

Financial situation

Selected key figures on the financial situation

in € million	2025/2026	2024/2025	+/–
Cash and cash equivalents	394.4	374.0	5.5%
Net cash from operating activities from continuing operations	172.6	227.7	–24.2%
Net cash from investing activities from continuing operations	–50.0	–104.5	–52.2%
Free cash flow from continuing operations	122.5	123.2	–0.6%
Net cash from financing activities from continuing operations	–101.8	–230.6	–52.2%

Securing the KWS Group's financial flexibility, enabling its profitable growth and preserving its independence are the core tasks of our financial management. Among other things, we ensure that by extensive liquidity planning, monitoring of cash flows and, in some cases, hedging the risk of interest rate changes and currency risks.

The main financial instruments used by the Group in the fiscal year, apart from a syndicated credit line and a loan from the European Investment Bank (EIB) to fund research and development, were in particular borrower's notes and commercial papers with different loan periods and terms (see section → 7.11 Noncurrent liabilities in the Notes for the KWS Group for the presentation of the main terms and conditions of our financing instruments).

At June 30, 2026, the KWS Group had firmly promised loans it had not used totaling €430.7 (432.1) million.

Contingent liabilities and other financial obligations at June 30, 2026, were €36.8 (172.5) million. The year-on-year decline is mainly due to the fact that the guarantees for the sold joint ventures of the North American corn business ceased to apply; for further details, please refer to section → 7.16 Contingent liabilities and other financial obligations of the Notes for the KWS Group.

The maturity profile of the Group's borrowings has a broad spread, with a high proportion of medium- and long-term financing.

To secure growth, we also consider the option of a capital increase in exceptional cases, for example to fund a further large acquisition.

Net cash from operating activities from continuing operations decreased to €172.6 (227.7) million in the period under review. This was mainly attributable to higher net working capital.

The KWS Group's net cash from investing activities was €–50.0 (166.8) million. The figure for the previous year includes proceeds of €271.4 million from the divestment of the South American corn and sorghum business. The net cash from investing activities from continuing operations was €–50.0 (–104.5) million. The year-over-year improvement is primarily due to partial payments received for the purchase price of the North American corn activities. Payments for capital expenditures on property, plant and equipment and on intangible assets fell to €109.5 (122.0) million in the fiscal year. The capital expenditures went predominantly toward research and development projects, as well as the modernization and expansion of our production.

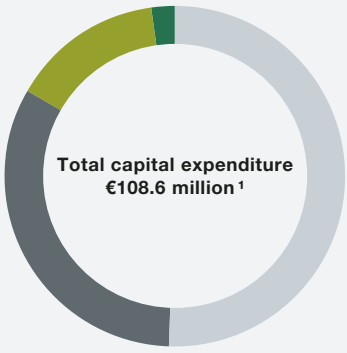
At the Einbeck location, construction of the new phytopathology center that was begun last year was continued. In addition, KWS invested in construction of a highly automated greenhouse facility at its Gran Canaria site in Spain. The facility supports faster product development for corn and sunflower seed and enables multiple breeding generations per year under controlled conditions. Alongside that, we pressed ahead with key projects aimed at further digitalizing company processes, in particular implementation of new ERP software. In the Sugarbeet Segment, KWS strengthened its U.S. research location in Kimberly with the construction of two new high-tech greenhouses and additional office space. At the headquarters of our vegetable activities in Andijk, the Netherlands, we expanded vegetable seed production, processing and treatment capacities. Further details of the capital spending can be found in section → **2.3.3 Segment Reports**.

On the other hand, there were proceeds from the disposal of tangible assets and intangible assets totaling €6.2 (4.0) million.

Depreciation and amortization in the year under review totaled €104.1 million and was thus slightly above the previous year's figure (€102.9 million). While depreciation and amortization in the Sugarbeet, Corn, Cereals and Corporate Segments was higher due to the capital spending in past years, it was lower in the Vegetables Segment. The previous year's depreciation and amortization for the Vegetables Segment included a figure of €10.4 million due to the shorter useful life of the "Pop Vriend" brand.

The free cash flow from continuing operations was €122.5 million and thus at the level of the previous year (€123.2 million).

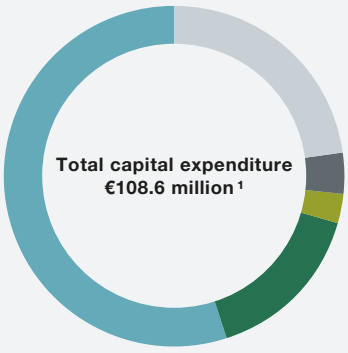
Capital expenditure by region



Germany 50.8%
North and South America 14.3%
Europe (excluding Germany) 32.8%
Rest of world 2.1%

1 Excluding capital expenditure of the discontinued operation

Capital expenditure by segment



Sugarbeet 22.8%
Cereals 3.0%
Corporate 54.9%
Corn 3.9%
Vegetables 15.4%

1 Excluding capital expenditure of the discontinued operation

The net cash from financing activities from continuing operations was € –101.8 (–230.6) million. This was mainly attributable to the lower repayment of borrowings to an amount of €36.8 (169.5) million. On the other hand, dividend payments increased to €41.3 (33.0) million. We did not raise any long-term borrowings either in the year under review or in the previous year.

Assets

The KWS Group's balance sheet is impacted by the seasonal nature of our business. In the course of the year, there are usually balance sheet items that differ significantly from the corresponding figures at the end of the fiscal year, in particular in relation to working capital.

Total assets at June 30, 2026, were €2,824.2 (2,676.2) million.

Noncurrent assets totaled €1,223.4 (1,126.2) million and current assets totaled €1,600.8 (1,471.0) million.

The increase in noncurrent assets is mainly attributable to the purchase price receivables from the sale of the North American corn activities, which were reported for the first time under the other noncurrent assets of €74.4 (10.8) million in the period under review. In addition, property, plant and equipment rose to €695.6 (661.0) million. The change in current assets was impacted by far higher cash and cash equivalents totaling €394.4 (374.0) million, higher inventories of €460.9 (420.3) million, and higher trade receivables of €536.7 (489.3) million.

Equity increased to €1,728.2 (1,601.5) million, mainly due to the net income for the year. The dividend payment of €41.3 (33.0) million had the opposite impact. Higher equity coupled with moderate growth in total assets led to an increase in the equity ratio to 61.2% (59.8%).

Noncurrent liabilities fell to €411.4 (553.3) million, mainly due to lower long-term borrowings. The fall in long-term borrowings to €249.3 (393.4) million is attributable in particular to the fact that borrowings were reclassified as short-term on account of their maturities.

Current liabilities totaled €684.6 (521.4) million, a change that was mainly due to the fact that some long-term borrowings were reclassified as being short-term. The short-term borrowings increased sharply to €153.7 (42.1) million due to these reclassifications, although this rise was partially offset by loan repayments. Apart from that, current tax liabilities rose to €119.9 (85.1) million.

As a result of the increase in cash and cash equivalents and the fall in borrowings, net debt (long-term and short-term borrowings from banks less cash and cash equivalents) improved sharply to €8.7 (61.6) million.

Condensed balance sheet

in € million	06/30/2026	06/30/2025	+/–
Assets			
Noncurrent assets	1,223.4	1,126.2	8.6%
Current assets	1,600.8	1,471.0	8.8%
Assets held for sale	0.0	79.0	–
Equity and liabilities			
Equity	1,728.2	1,601.5	7.9%
Noncurrent liabilities	411.4	553.3	–25.6%
Current liabilities	684.6	521.4	31.3%
Total assets	**2,824.2**	**2,676.2**	**5.5%**



Sugarbeet Segment

2.3.3 Segment Reports

2.3.3.1 Sugarbeet Segment

General industry-specific conditions: Low sugar prices lead to sharp decline in land under cultivation
After reaching their highest peaks for years in the fall of 2023, global sugar prices continuously fell up to November 2025. Subsequently, the price of sugar stabilized at this subdued level until the spring of 2026, the sugarbeet sowing season in the major cultivation countries. This market environment influenced decisions on what to grow and led to a sharp fall in the global area under sugarbeet cultivation of around 10% to approximately 4.1 million hectares. This decline was particularly pronounced in the European Union.

The price of sugar rose again by the end of the 2025/2026 fiscal year, as growing conditions deteriorated, particularly in India, the second-largest producer of sugar cane after Brazil. Forecasts predicting potentially severe impacts from the El Niño weather phenomenon contributed to the rise in prices. In May 2026, the U.S. Department of Agriculture (USDA) lowered its estimate for global sugar production in the 2025/2026 season. The production volume is now expected to grow by 3.2% (0.4%) in that period.

The USDA estimates that global sugar consumption will rise by 2.6% (1.5%) in the 2025/2026 season. This growth will mainly be driven by higher consumption in Asian and African countries. Overall, it is anticipated that sugar consumption will remain stable in the European Union and North America.

The segment's performance: Slight decline in net sales in a challenging market environment, but profitability remains high

Net sales at the Sugarbeet Segment fell by 2.0% to €854.2 (871.8) million in the year under review. Net sales fell only slightly by 0.6% on a comparable basis (excluding exchange rate and portfolio effects), despite the sharp decline in global land under cultivation. There were negative exchange rate effects mainly from the depreciation of the US dollar and the Turkish lira, and to a lesser extent the Ukrainian hryvnia, against the euro. This was partly offset by the appreciation of the Russian ruble. There were no portfolio effects.

There were varying changes in net sales from region to region. KWS posted sharp growth in the Middle East, driven in particular by Türkiye and Egypt. Net sales in the Asia region likewise rose. However, net sales declined in the European Union, especially in Western and Northern Europe, as well as in North America. KWS remains the global market leader in sugarbeet seed and gained additional market share in the year under review.

Europe remained the segment's most important market by far, accounting for 61% (62%) of total net sales, followed by North America with 23% (27%).

The share of net sales generated by our sustainable product innovations CONVISO® SMART and CR+ rose again in the 2026 growing season, reaching 63% (61%). In this regard, the share of varieties combining CONVISO© SMART and CR+ increased above-proportionately.

KWS successfully launched these unique varieties in several other European countries in the year under review.

Against the backdrop of increasing regulation of pesticides and rising disease pressure as a result of climate change, these innovations make an important contribution to achieving stable beet yields with less use of pesticides.

In the year under review, we pressed unswervingly ahead with developing new, innovative sugarbeet varieties. One focus was preparing for the planned launch of TRUVERA in the coming fiscal year. The new generation of herbicide-tolerant varieties for the U.S. market enables effective and flexible weed control thanks to triple-stacked tolerance.

The segment's EBITDA fell to €358.1 (397.0) million. In the previous year, the segment's income included a positive special effect of €7.7 million resulting from the reversal of a provision for VAT risks. The EBITDA margin was a high 41.9% and thus slightly below the previous year's figure (45.5%). After adjustment for the special effect of €7.7 million, the previous year's EBITDA margin was 44.6%.

We are continuing to invest strongly in expanding our sugarbeet breeding so that we can continue to provide our farmers with innovative seed in the future. The focus is on solutions to combat increasing disease or insect infestation as a consequence of climate change and to enable effective weed control. In addition, development of diploid hybrid potatoes was continued in the year under review. In the long term, KWS aims to offer seed for sub-segments of the potato market.

Important capital spending projects

In fiscal 2025/2026, capital spending in the Sugarbeet Segment focused on construction of two new high-tech greenhouses and offices at the Kimberly research location in the U.S. In addition, work was begun at our headquarters in Einbeck to convert the old elite storehouse into laboratories equipped with state-of-the-art technology, given that the building is no longer used for its original purpose since the completion of the new elite seed storehouse. Additional capital spending was aimed at modernizing our seed production, including the purchase of an X-ray system to enable fully automated seed selection. In addition, measures to improve energy efficiency were implemented.

The investment volume in the year under review was €24.7 million, well below the figure for the previous year (€41.2 million). The high basis for comparison from the previous year was mainly due to completion of the new elite storehouse.

Key figures

in € million		2025/2026	2024/2025	+/–
Net sales		854.2	871.8	–2.0%
EBITDA[1]		358.1	397.0	–9.8%
EBITDA margin	in %	41.9	45.5	–
EBIT		326.6	367.2	–11.1%
EBIT margin	in %	38.2	42.1	–
Amortization/depreciation		31.5	29.7	5.8%
Capital expenditure		24.7	41.2	–39.9%
Capital employed (avg.)[2]		564.8	522.5	8.1%
ROCE (avg.)[3]	in %	57.8	70.3	–

1 EBITDA = EBIT (incl. IAS 29 Hyperinflation) + depreciation (incl. IAS 29 Hyperinflation) + amortization (incl. IAS 29 Hyperinflation)
2 Capital employed (average capital employed) = (quarterly figures at the reporting date for intangible assets + property, plant and equipment + inventories + trade receivables – trade payables) / 4
3 ROCE = EBIT / average capital employed



2.3.3.2 Corn Segment

General industry-specific conditions: Declining land under corn cultivation in Europe, positive environment for sunflowers
Global conditions for corn growing were less favorable than in the previous year, as regional weather extremes weighed on yield prospects in individual cultivation regions. Following the previous year's record harvest, the International Grains Council (IGC) forecasts a roughly 2% decline in global corn production.

The general conditions for corn cultivation in Europe in the 2026 growing season were challenging. The main sowing season in the spring of 2026 coincided with an environment characterized by low producer prices, persistently high input costs, and regionally varying weather conditions.

In parts of Southern and Eastern Europe, recurring heat waves and droughts in recent years have adversely affected growing conditions and yield stability for corn. In response to declining yield reliability, the amount of land used to grow corn was reduced and alternative crops were planted. All in all, the land under corn cultivation in Europe declined. The area used to grow grain corn continued to decline, above all in France and the countries of Southeastern Europe. While the amount of land used for silage corn remained largely stable in key sales markets, it fell in parts of Southern and Eastern Europe in particular. Despite these trends, corn remains the most important crop in Europe and continues to offer KWS significant market potential.

The land used for cultivating sunflower (part of the Corn Segment) rose by 4% in the European Union. The area increased in France and Spain in particular. This trend was aided by attractive marketing prospects and sunflower's comparatively high tolerance to drought.

The segment's performance: Moderate decline in net sales in a challenging environment; EBITDA margin improves

Net sales at the Corn Segment fell by 5.3% to €433.6 (458.1) million in the year under review.[4] They declined by 1.6% on a comparable basis (excluding exchange rate and portfolio effects). The portfolio effect of approximately €14 million is primarily attributable to net sales from the previous year from research and development services related to the divested North American corn activities. The negative exchange rate effect was mainly due to the depreciation of the Turkish lira and the Ukrainian hryvnia against the euro. In addition, lower net sales in the Russian market had a negative impact on net sales.

Adjusted for the expected decline in business in Russia, net sales of corn seed in Europe were higher than in the previous year, despite a decrease in land under cultivation for this crop. In the European corn market, which was characterized by a fall in area under cultivation in the year under review, we were able to gain market share thanks to our high-performing portfolio. KWS remains the market leader in silage corn, and is the third-largest supplier of grain corn in Europe.

Our own surveys indicate that we grew our market share in the overall European corn market to 13% (11%).

Net sales of sunflower seed were very positive, rising by 35%. This sharp growth is primarily driven by the launch of higher-performing varieties. Backed by targeted innovations, we aim to significantly increase our market share in this important crop in the future and raise our net sales to €100 million by 2035.

Our research and development activities focus on high-performing silage and grain corn hybrids that offer high energy and starch yields, improved feed digestibility, greater drought tolerance, and good dry-down ability so as to reduce drying costs. The focus with sunflowers is particularly on yield stability, drought tolerance and adaptation to regional growing conditions.

The segment's EBITDA increased sharply to €92.2 (52.7) million. The EBITDA margin improved to 21.3% (11.5%). EBITDA includes a positive special effect of €29.0 million from sale of license rights as part of the divestment of the North American corn business. Excluding this special effect, the EBITDA margin was 14.6%, likewise higher than in the previous year.

Expansion of production plants

The segment's capital spending decreased sharply to €4.2 (16.0) million in the year under review. Apart from routine maintenance measures, our capital spending focused on expanding drying capacity for sunflower seed in Ukraine and storage capacities in France.

4 Net sales and earnings for the segment are no longer included proportionately following the sale of the North American corn business, but instead are directly based on the financial reporting requirements defined in the International Financial Reporting Standards (IFRS)

Key figures

in € million		2025/2026	2024/2025[1]	+/–
Net sales		433.6	458.1	–5.3%
EBITDA[2]		92.2	52.7	74.9%
EBITDA margin	in %	21.3	11.5	–
EBIT		68.5	29.6	131.5%
EBIT margin	in %	15.8	6.5	–
Amortization/depreciation		23.7	23.1	2.5%
Capital expenditure		4.2	11.8	–64.0%
Capital employed (avg.)[3]		398.6	393.1	–31.2%
ROCE (avg.)[4]	in %	17.2	7.4	–

1 Net sales and earnings for the segment are no longer included proportionately following the sale of the North American corn business, but instead are directly based on the financial reporting requirements defined in the International Financial Reporting Standards (IFRS)
2 EBITDA = EBIT (incl. IAS 29 Hyperinflation) + depreciation (incl. IAS 29 Hyperinflation) + amortization (incl. IAS 29 Hyperinflation)
3 Capital employed (average capital employed) = (quarterly figures at the reporting date for intangible assets + property, plant and equipment + inventories + trade receivables – trade payables) / 4
4 ROCE = EBIT / average capital employed



Cereals Segment

2.3.3.3 Cereals Segment

General industry-specific conditions: Oilseed rape performs positively, while cereal crops face challenging environment
The general conditions for the crops of relevance to the segment varied in the year under review.

Winter sowing of oilseed rape was bolstered by positive demand expectations, attractive prices and predominantly good sowing conditions. The land under cultivation grew in large parts of Europe. However, global area under rye cultivation declined. Lower areas in key European cultivation regions were partially offset by expansion in other markets, particularly Canada. Prices for wheat and barley remained at a relatively low level during the winter sowing period. Nevertheless, the area used to grow wheat in the EU increased slightly, while that for barley remained largely stable. Key factors were the predominantly favorable sowing conditions in important cultivation regions, as well as the significant role these two cereals play in the crop rotations of European arable farms.

According to estimates by the Food and Agriculture Organization (FAO) of the United Nations, the level of supply on the global cereals markets was sufficient as a whole during the period under review.

The segment's performance: Slight increase in net sales, EBITDA lower year on year
Net sales at the Cereals Segment in fiscal 2025/2026 rose slightly as expected by 0.2% to €263.9 (263.3) million The increase on a comparable basis (excluding exchange rate and portfolio effects) was 0.6%. Revenue from oilseed rape seed rose sharply, while net sales of rye, wheat and barley seed declined. The segment's further activities generated low revenues.

The exchange rate effects in the year under review were low and were mainly due to the depreciation of the Ukrainian hryvnia and pound sterling against the euro, while the performance of Russian ruble had a positive impact. There were no portfolio effects.

Business with oilseed rape seed trended very positively. KWS' market share in Europe rose to 17% in the year under review. KWS was able to increase its market share in France, Poland and Germany, the three main European cultivation countries. KWS is also the market leader in France and Germany. Oilseed rape's share of the segment's net sales increased sharply to 39% (31%), making it the segment's strongest-selling field crop in the year under review. We achieved revenue growth particularly in the German, French and Romanian markets.

Net sales from rye seed fell by 13% in the year under review. This was primarily due to unfavorable market conditions in Germany and Poland. Higher revenues in other European cultivation countries partially offset this, while the decline in net sales in Russia had an additional negative impact. Rye seed business still accounted for a large share of the segment's net sales, namely around 33% (38%).

Revenue from wheat seed was slightly below the previous year's level, falling by 2%. While net sales increased in Germany, revenue declined in France and the Netherlands. Wheat's share of the segment's net sales was almost unchanged at 15% (16%).

Net sales in the barley seed business decreased by 9%, primarily due to lower revenues in Germany and France. This was partially offset by a sharp increase in net sales of hybrid barley, albeit from a previously low level. Its share of the segment's net sales declined slightly to 7% (8%).

The segment's income (EBITDA) was €34.6 million and thus below the level of the previous year (€42.9 million). This is mainly attributable to a provision of €5.0 million for ongoing antitrust proceedings by an antitrust authority, as well as higher research and development expenditures. In addition, the other function costs also increased.

As part of our strategic orientation, the focus of our research and development is on breeding hybrid seed, including for wheat and barley. The hybrid barley we first marketed in the United Kingdom last year achieved a sharp increase in net sales in the year under review. Additional varieties are currently undergoing approval in several markets. Another focus is on breeding high-performance varieties as well as on their resource efficiency and improved traits to promote sustainable agriculture.

Continued investment in breeding and production

The segment's capital spending in the year under review was €3.3 million and thus well below that of the previous year (€10.7 million). Investment activities focused on production in Germany, France and Poland.

Key figures

in € million		2025/2026	2024/2025	+/–
Net sales		263.9	263.3	0.2%
EBITDA[1]		34.6	42.9	–19.3%
EBITDA margin	in %	13.1	16.3	–
EBIT		22.1	32.1	–31.1%
EBIT margin	in %	8.4	12.2	–
Amortization/depreciation		12.6	10.9	15.5%
Capital expenditure		3.3	10.7	–69.1%
Capital employed (avg.)[2]		173.8	161.3	7.8%
ROCE (avg.)[3]	in %	12.7	19.9	–

1 EBITDA = EBIT (incl. IAS 29 Hyperinflation) + depreciation (incl. IAS 29 Hyperinflation) + amortization (incl. IAS 29 Hyperinflation)
2 Capital employed (average capital employed) = (quarterly figures at the reporting date for intangible assets + property, plant and equipment + inventories + trade receivables – trade payables) / 4
3 ROCE = EBIT / average capital employed



2.3.3.4 Vegetables Segment

General industry-specific conditions: Growth in the vegetables market anticipated
According to expert estimates, global demand for vegetables rose in the fiscal year. Vegetables are an attractive growth market in the medium and long term. We expect global demand for vegetable seed to increase at a similarly buoyant rate.

Demand for vegetables is likely to be influenced in the future by the growing number of vegans and vegetarians, health and wellness trends and the increasing popularity of vegetables as a source of protein. At the same time, there is a growing trend toward higher-priced organic vegetables.

The segment's performance: Net sales fall year on year; income impacted by planned expansion of breeding activities
Net sales at the Vegetables Segment fell by 6.4% to €67.5 (72.1) million in the year under review. They decreased to 6.8% on a comparable basis (excluding exchange rate and portfolio effects). The lower revenue was partly due to the expected delay in recognizing net sales originally planned for the year under review, as well as a high basis for comparison in China.

Net sales at the segment were mainly impacted by lower revenue from spinach seed, which accounts for about two-thirds of the overall figure for the segment. The decline in net sales was primarily attributable to spinach business in the U.S. and was only partially offset by higher revenues in Europe. A key factor in this was the challenging market conditions in KWS' important U.S. subsegment for high-quality spinach for food service applications. KWS maintained its strong market position and remained the global market leader in spinach seed.

The bean seed business, which accounts for about a quarter of the segment's net sales, posted a slight decline in net sales compared with the previous year. While revenues in North America and Central Europe were higher, net sales in Western Europe and Southeastern Europe fell.

Red beet and Swiss chard performed positively in the year under review, although they account for only a small portion of the segment's net sales. In addition, net sales from the first two new vegetable varieties to be commercialized – tomatoes and melons – rose sharply from what was still a small revenue base.

The segment's EBITDA decreased to € –25.8 (–22.0) million, mainly as a result of the planned increase in expenditure on establishing our vegetable breeding activities and the related distribution organization.

Continued expansion of vegetable breeding
KWS' strategic objective is to build a significant position in the vegetable seed market long-term.

KWS has an international network of vegetable seed breeding stations in Spain, Italy, the Netherlands, Türkiye, Brazil and Mexico. The breeding programs in the strategic crops were successfully developed further in the fiscal year. With commercial market entry of all five new vegetable crops[5] in the coming fiscal year, we plan to achieve another important milestone in the evolution of our vegetable business.

As in the previous year, substantial capital spending totaling €16.7 (18.6) million was made at the Vegetables Segment. Following completion of the new research and development center in Andijk (the Netherlands) in June 2025, capital spending was systematically continued in the 2025/2026 fiscal year. The focus was on expanding production, processing and treatment capacities for vegetable seed at the headquarters of our vegetable activities in Andijk. In addition, we invested in expanding our research and breeding infrastructure in Brazil, at our location in Uberlândia. The capital spending is intended, in particular, to support expansion of activities in the five fruity crops.

5 Tomatoes, peppers, cucumbers, melons and watermelons

Key figures

in € million		2025/2026	2024/2025	+/–
Net sales		67.5	72.1	–6.4%
EBITDA[1]		–25.8	–22.0	–17.5%
EBITDA margin	in %	–38.2	–30.4	–
EBIT		–41.6	–45.8	9.2%
EBIT margin	in %	–61.6	–63.5	–
Amortization/depreciation		15.8	23.9	–33.8%
Capital expenditure		16.7	18.6	–9.9%
Capital employed (avg.)[2]		448.1	434.3	3.2%
ROCE (avg.)[3]	in %	–9.3	–10.6	–

1 EBITDA = EBIT (incl. IAS 29 Hyperinflation) + depreciation (incl. IAS 29 Hyperinflation) + amortization (incl. IAS 29 Hyperinflation)
2 Capital employed (average capital employed) = (quarterly figures at the reporting date for intangible assets + property, plant and equipment + inventories + trade receivables – trade payables) / 4
3 ROCE = EBIT / average capital employed



Corporate Segment

2.3.3.5 Corporate Segment

Key figures

in € million	2025/2026	2024/2025	+/–
Net sales	7.5	11.3	–33.7
EBITDA[1]	–116.0	–120.1	3.4%
EBIT	–136.6	–135.4	–0.9%
Amortization/depreciation	20.6	15.3	34.6%
Capital expenditure	59.6	37.4	58.5%

1 EBITDA = EBIT (incl. IAS 29 Hyperinflation) + depreciation (incl. IAS 29 Hyperinflation) + amortization (incl. IAS 29 Hyperinflation)

Net sales in the Corporate Segment are mainly generated from our farms in Germany, France and Poland and decreased to €7.5 (11.3) million in the period under review.

At the same time, since cross-segment costs for the KWS Group's central functions and central research and development expenditure are charged to the Corporate Segment, its income is usually negative.

The segment's income (EBITDA) improved to € –116.0 million compared to the previous year (€ –120.1 million).

In addition to key infrastructure and digitalization projects, a particular focus of the capital spending in the Corporate Segment was on research and development projects.

One focus in research and development was the construction of the new phytopathology center at the Einbeck site, which began in the previous year. The center will be dedicated to the diagnosis and monitoring of plant diseases and pests, as well as the development of solutions to improve plant health. The new facility includes a functional building with laboratories and climatic chambers, as well as a state-of-the-art research greenhouse in which various climatic conditions can be simulated in a controlled manner. The total investment will amount to approximately €25 million.

In addition, KWS invested in construction of a highly automated greenhouse facility at its Gran Canaria site in Spain. The facility supports faster product development for corn and sunflower seed and enables multiple breeding generations per year under controlled conditions. This will further speed up the processes of trait integration and breeding progress, in particular. Other capital spending went toward the purchase of new and modernization of existing laboratory equipment.

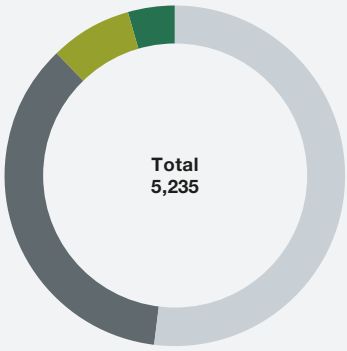
Alongside that, we pressed ahead with key projects aimed at further digitalizing company processes, in particular implementation of new ERP software. In addition, KWS invested in measures to increase energy efficiency, including the optimization of cooling management.

2.3.4 Employment Trends

The KWS Group employed an average of 5,235 (5,102) people (excluding seasonal workers and employees from the discontinued operation) in the year under review, a year-on-year increase of 2.6%. The number of employees increased above-proportionately in Research & Development and in Production.

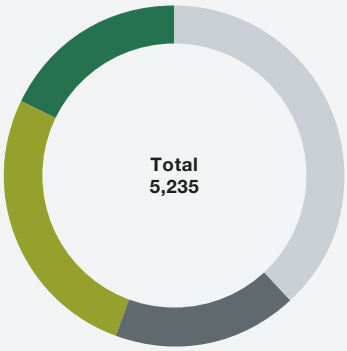
2,732 (2,662), or around 52.2% (52.2%) of the workforce, were employed in Germany. Once again, the area that accounted for the most employees was Research & Development, which made up 38.8% (38.1%) of the total workforce.

Employees by region



- Germany 2,732
- North and South America 418
- Europe (excluding Germany) 1,871
- Rest of world 214

Employees by function



- Research & Development 2,031
- Distribution 1,355
- Production 923
- Administration 926

2.4 Sustainability Information (Combined Non-Financial Declaration)

2.4.1 General Information

Sustainability Ambition 2035 (SBM-1)

Our Sustainability Ambition 2035 aims to enable farmers and growers to produce more with less by ensuring innovation leadership in plant breeding, while also contributing to sustainable agriculture, operating more sustainably across our business, and securing long-term food security for a growing population.

We do this by focusing on four key clusters.

Enhance agricultural resilience
Deliver yield gains consistently while developing varieties that are able to withstand drought, pests and diseases, and reduce the need of chemical inputs ensuring farmers benefit from both resilience and productivity.

Empower farmers
Equip farmers with our product portfolio across the full crop rotation, combined with cross-crop agronomic advice and data-driven solutions to sustain farms and the environment.



Foster social and employee engagement
Promote a culture of trust, belonging and growth for our people, ensuring occupational health and safety that exceed recognized benchmarks, while supporting the communities where we work with expertise, resources and initiatives that generate social impact.

Drive sustainability in our operations
Reduce our ecological footprint by implementing state of the art, resource-efficient measures that lower greenhouse gas emissions and ensure responsible and efficient water management throughout our operations.

For each of the four clusters, one or more strategic and measurable key performance indicators (KPIs) have been defined to measure progress toward our targets and guide the implementation of our Sustainability Ambition.

Sustainability Ambition 2035

Sustainability clusters and key performance indicators	2026/2027 targets	2035 targets	Chapter
Enhance agricultural resilience			
Yield gain	We deliver annual yield gains for farmers of above 0.7% through plant breeding.	We deliver annual yield gains for farmers through plant breeding, reaching a cumulative increase of at least 10%.	→ 2.4.3.4
Empower farmers			
Supported hectares	We aim to reach a total of 30 million supported hectares through our personal and digital advice.	We aim to reach a total of 35 million supported hectares through our personal and digital advice.	→ 2.4.2.5
Drive sustainability in our operations			
Scope 1 and Scope 2 GHG emissions	We will reduce our greenhouse gas emissions caused by using natural gas in our headquarter in Einbeck by at least 2,000 tons of CO_2e emissions.	We target a 50% reduction by 2030 and a 63% reduction in Scope 1 and Scope 2 greenhouse gas emissions by 2035, aligned with leading international climate pathways for limiting global temperature increase.	→ 2.4.2.1
Water efficiency	We enable measurement of field irrigation at every breeding station globally.	We develop and implement tailored water management concepts to systematically enhance water efficiency across our breeding stations in regions exposed to high or extremely high water stress.	→ 2.4.2.3
Foster social and employee engagement			
Social spending	We strive to invest at least 0.7% of EBIT in external social projects.	We strive to invest at least 1% of EBIT in external social projects.	→ 2.4.3.3
Employee Engagement Index (EEI)	Our EEI meets or exceeds the annually updated global benchmark.	Our EEI consistently meets or exceeds the global benchmark.	→ 2.4.3.1
Lost Time Incident Rate (LTIR)	We achieve an LTIR of 7.5 or lower.	We aim to reach an LTIR of 5 or lower.	→ 2.4.3.1

Voluntary limited assurance engagement

In addition to the legally required external audit of the Consolidated Financial Statements and the Combined Management Report with reasonable assurance, our Combined Non-Financial Declaration was subject to a voluntary assurance engagement with limited assurance by our auditor EY GmbH & Co. KG Wirtschaftsprüfungsgesellschaft.

General basis for preparation (BP-1)

In accordance with Sections 289b et seq. of the German Commercial Code (HGB) and Sections 315b et seq. of the German Commercial Code (HGB), KWS is required to prepare a Non-Financial Declaration for the parent company, KWS SAAT SE & Co. KGaA and the KWS Group. This reporting requirement is fulfilled by the present Combined Non-Financial Declaration. The KWS Group's Combined Non-Financial Declaration was prepared in accordance with European Directive 2022/2464, the Corporate Sustainability Reporting Directive (CSRD) and in line with the European Sustainability Reporting Standards (ESRS), which is also reflected in the structure of our reporting. We do not claim full compliance with the ESRS.

In preparing our Non-Financial Declaration, we have made use of all transitional reliefs relevant to us in accordance with European Regulation 2025/1416, which postpones the date of application of the disclosure requirements for certain companies (the "Quick Fix" Regulation). Moreover, we have not reported on certain quantitative disclosure requirements for the time being in order to further expand the underlying data set. In light of the revision of the ESRS and the associated changes to reporting requirements, we have also omitted certain very specific or detailed qualitative disclosures from the current report. The "ESRS index" section at the end of this chapter provides an overview of the ESRS disclosure requirements covered in our Non-Financial Declaration and outlines the scope of their implementation. In financial year 2025/2026, we conducted a materiality analysis based on the principle of double materiality in accordance with the requirements of the CSRD, which serves as the basis for our reporting.

In addition, the following table maps the sustainability matters under Section 289c of the German Commercial Code (HGB) to the corresponding topical chapters of our Non-Financial Declaration.

Sustainability matters pursuant to Section 289c of the German Commercial Code (HGB) and their coverage in the Non-Financial Declaration

Sustainability matter pursuant to Section 289c of the German Commercial Code (HGB)	Chapter of the Non-Financial Declaration
Business model	→ 2.4.1 General Information
Environmental matters	→ 2.4.2.1 Climate Change
	→ 2.4.2.2 Pollution
	→ 2.4.2.3 Water and Marine Resources
	→ 2.4.2.4 Biodiversity and Ecosystems
	→ 2.4.2.5 Sustainable Agricultural Practices
Employee-related matters	→ 2.4.3.1 Own Workforce
Combating corruption and bribery	→ 2.4.4.1 Business Conduct
Human rights	→ 2.4.3.1 Own Workforce
	→ 2.4.3.2 Workers in the Value Chain
	→ 2.4.3.3 Affected Communities
	→ 2.4.3.4 Consumers and End-Users
Social matters	→ 2.4.3.1 Own Workforce
	→ 2.4.3.2 Workers in the Value Chain
	→ 2.4.3.3 Affected Communities
	→ 2.4.3.4 Consumers and End-Users

The reporting period for our Combined Non-Financial Declaration corresponds to the financial year from July 1, 2025, to June 30, 2026. Unless otherwise stated, the scope of consolidation for the Combined Non-Financial Declaration includes KWS SAAT SE & Co. KGaA and its subsidiaries. Joint arrangements or associated companies are not included in the scope of consolidation of the Non-Financial Declaration. The subsidiaries of KWS SAAT SE & Co. KGaA are listed in the Notes to the Consolidated Financial Statements under → 9.8 List of shareholdings.

Our Combined Non-Financial Declaration covers the KWS Group's own operations as well as, in principle, the upstream and downstream value chain. Moreover, the specific reporting requirements are derived from our material impacts, risks and opportunities related to sustainability matters. Our value chain is described in the section "Strategy, business model and value chain (SBM-1)" and was accordingly taken into account in our materiality analysis. Unless otherwise stated, topic-specific reporting on policies, actions, metrics and targets primarily relates to our own operations. Furthermore, certain reporting requirements necessitate the inclusion of the upstream and downstream value chains due to their nature. This applies in particular to Scope 3 GHG emissions in section → 2.4.2.1 Climate Change and to information on workers in the value chain in section → 2.4.3.2 Workers in the Value Chain. No information regarding intellectual property, know-how, or innovations was omitted from our Non-Financial Declaration under a confidentiality clause. Besides, no use was made of the option to omit information regarding upcoming developments or ongoing negotiations.

The Combined Non-Financial Declaration was subject to a limited assurance engagement conducted by EY GmbH & Co. KG Wirtschaftsprüfungsgesellschaft. No further external audit of individual reported metrics was performed.

Disclosures in relation to specific circumstances (BP-2)

Time horizons

Our definition of short-, medium- and long-term time horizons generally corresponds to the definition provided by the ESRS. As part of our climate scenario and resilience analysis in chapter → 2.4.2.1 Climate Change, we apply the following alternative time horizons, which are based on planning and investment cycles: short-term: 1–3 years, medium-term: 3–10 years and long-term: >10 years.

Estimates and uncertainties regarding water withdrawals and energy consumption

Our water withdrawals and energy consumption are subject to increased outcome uncertainty regarding certain KWS locations. For some locations within the KWS Group, complete data on water withdrawals and energy consumption for the financial year was not available at the time this report was prepared. The missing data were extrapolated based on prior-year figures, taking into account the average deviation from the prior year. Where no historical data were available, the estimates were based on average values derived from available consumption data for the current period. For some smaller leased office locations, water withdrawals and energy consumption were estimated using assumed average consumption values per employee. Moreover, estimates were made for water withdrawals associated with field irrigation at individual locations, as these are not always measured. These estimates are based on site- and crop-specific assumptions and were developed in collaboration with the respective local management. We plan to gradually reduce the share of estimated water data related to field irrigation by installing water meters.

Estimates and uncertainties regarding Scope 3 GHG emissions

The calculation of greenhouse gas emissions in our upstream and downstream value chains is based in part on assumptions and estimates and is therefore subject to increased outcome uncertainty. In determining our Scope 3 greenhouse gas emissions, primary data from purchasing and controlling were used in particular for the first three quarters of the financial year. Since the relevant data for the fourth quarter of the financial year were not yet fully available at the time of the calculation, these greenhouse gas emissions were estimated based on the available data. Our methodology for determining Scope 3 greenhouse gas emissions is described in chapter → 2.4.2.1 Climate Change.

Estimates and uncertainties regarding working hours

The Lost Time Incident Rate (LTIR) indicates the number of workplace accidents involving employees per million hours worked. The hours worked used in the calculation may differ from the actual hours worked and are therefore subject to increased measurement uncertainty. The number of hours worked annually by employees is primarily based on the contractually agreed-upon annual working hours minus paid absences. Besides, in individual cases, working hours are estimated based on expected working time. For seasonal employees, the actual hours worked are taken into account.

The role of the administrative, management and supervisory bodies (GOV-1)

Since our founding in 1856, our successful corporate development has consistently been shaped by long-term thinking and sustainable practices. As a family-run company, KWS has always placed a high priority on responsible corporate governance. The Supervisory Board of KWS SAAT SE & Co. KGaA and the Executive Board of the general partner of KWS SAAT SE & Co. KGaA, KWS SE (hereinafter: the Executive Board), guide and support the company accordingly toward sustainable, value-creating development.

KWS SAAT SE & Co. KGaA has a dual management system in which responsibilities are strictly divided as follows: Management is the responsibility of the Executive Board of the general partner. The Supervisory Board of KWS SAAT SE & Co. KGaA advises and oversees the management carried out by the general partner.

Executive Board

As of June 30, 2026, the Executive Board consisted of four members. The members of the Executive Board have extensive experience with various products, value chains and geographic regions. This expertise forms the basis for managing the KWS Group's sustainability activities as well as for assessing material sustainability-related impacts, risks and opportunities.

Experience profile of the Executive Board

Dr. Felix Büchting	Dr. Jörn Andreas	Sebastian Talg	Nicolás Wielandt
Dr. Felix Büchting has been a member of the KWS Executive Board since January 2019 and has served as its spokesperson since January 2023. He studied agricultural biology at the University of Stuttgart-Hohenheim and agricultural sciences and molecular biology at Oregon State University, where he earned his doctorate in plant breeding. Felix Büchting has over 20 years of professional experience in the agricultural industry, including more than ten years within the KWS Group.	Dr. Jörn Andreas has served as CFO on the KWS Executive Board since January 2025. He studied business administration at the Leipzig Graduate School of Management and earned his doctorate from the Karlsruhe Institute of Technology (KIT). He has over 20 years of professional experience in the consumer goods, agricultural and biotechnology sectors and is an expert in corporate development and finance.	Sebastian Talg has been a member of the KWS Executive Board since September 2025. He is responsible for the Corn, Cereals/Oilseed Rape/ Special Crops and Marketing & Communications divisions. Sebastian Talg holds a degree in mechanical engineering with a focus on agricultural machinery. He brings over 20 years of professional experience in agriculture and agricultural machinery to the company.	Nicolás Wielandt has been a member of the KWS Executive Board since January 2022. He is responsible for the Sugarbeet and Vegetables divisions. Nicolás Wielandt studied agricultural sciences at the Pontificia Universidad Católica de Chile. He has more than 20 years of professional experience in the agricultural industry as well as in various roles within the KWS Group.

As of June 30, 2026, the Executive Board consisted of four male members.

Executive Board by gender

in %	06/30/2026
Female	0%
Male	100%

The composition of the Executive Board by age group is shown in the following table.

Executive Board by age group

in %	06/30/2026
Under 30 years	0%
30 to 50 years	75%
Over 50 years old	25%

The Executive Board's areas of responsibility are organized by divisions. The division of duties plan can be found in the Consolidated Financial Statements in the Notes under → 9.9.3 Executive Board.

In accordance with the Rules of Procedure for the Executive Board, individual Executive Board members are directly responsible for the business areas assigned to them. This responsibility also encompasses sustainability-related impacts, risks and opportunities within their respective business areas. Moreover, the Group-wide sustainability department is assigned to the division "Group Governance, Compliance, Risk & Internal Audit". Material matters are decided by the Executive Board as a whole within the framework of its collective responsibility for management.

The Executive Board develops the company's strategic direction, coordinates it with the supervisory bodies and ensures its implementation. In doing so, corporate planning encompasses both financial and sustainability-related targets. Furthermore, the Executive Board coordinates and oversees the company's material activities and decides on the allocation of resources. It defines the guidelines and principles of business conduct, is responsible for ensuring compliance with these as well as with legal requirements and ensures appropriate risk management and risk control within the company. This includes risks and opportunities related to social and environmental factors, as well as the ecological and social impacts of the company's operations.

The Executive Board regularly, promptly and comprehensively informs the Supervisory Board about all matters relevant to the company, particularly those related to strategy and planning, business development, the risk situation, risk management and compliance. This includes material sustainability-related impacts, risks and opportunities.

Supervisory Board

The Supervisory Board is composed in such a way that the qualifications of its members ensure professional advice and oversight of the Executive Board's management. Collectively, the members of the Supervisory Board possess the knowledge, skills and professional experience necessary to properly fulfill the duties of a Supervisory Board in a publicly traded, internationally active corporation in the seed industry. The competency profile of the members of the Supervisory Board is summarized in the following qualifications matrix.

Qualifications matrix of the Supervisory Board of KWS SAAT SE & Co. KGaA

Areas of expertise	Dr. Hagen Duenbostel	Dr. Marie Schnell	Victor Balli	Prof. Dr. Stefan Hell	Christine Coenen	Eric Gombert
Sustainability issues of ecological importance to KWS	×	×	✓	✓	○	×
Sustainability issues of social significance to KWS	○	⊗	○	✓	○	○
Accounting principles	⊗	○	⊗	○	○	✓
Internal control procedures	⊗	○	⊗	○	✓	✓
Risk management	⊗	×	⊗	○	×	✓
Compliance Management System	⊗	⊗	⊗	×	×	×
Auditing	⊗	⊗	⊗	○	×	✓
Sustainability reporting	×	○	⊗	✓	○	✓
Expertise in research & development	○	○	✓	⊗	✓	⊗
Development of corporate strategies	⊗	×	⊗	×	✓	✓
Knowledge of the KWS business model	⊗	×	○	○	×	×
Knowledge of KWS's business segments	⊗	×	○	○	×	×
Monitoring of comparable international companies	×	✓	⊗	✓		

⊗ Expertise × Know-how ○ Experience ✓ Familiarity

As of June 30, 2026, the Supervisory Board consisted of six members, including two women and four men.

Supervisory Board by gender

in %	06/30/2026
Female	33%
Male	67%

As of June 30, 2026, four shareholder representatives served on the Supervisory Board. Pursuant to Section 111 (5) of the German Stock Corporation Act (AktG), the Supervisory Board is required to set a target for the proportion of women and men on the Supervisory Board, as well as a time frame for achieving that target. Accordingly, at its meeting on June 23, 2022, the Supervisory Board of KWS SAAT SE & Co. KGaA resolved that among the shareholder representatives on the Supervisory Board the proportions of women and men should not fall below 25% by June 30, 2027. As of June 30, 2026, the share of female shareholder representatives on the Supervisory Board was 25%.

During the reporting period, 75% of the shareholder representatives on the Supervisory Board were independent of both the company and the Executive Board as well as of any controlling shareholder.

The following table provides an overview of the age structure of the Supervisory Board.

Supervisory Board by age group

in %	06/30/2026
Under 30 years	0%
30 to 50 years	17%
Over 50 years old	83%

The roles and responsibilities of the members of the Supervisory Board are described in the Consolidated Financial Statements in the Notes sections → 9.9.1 Supervisory Board and → 9.9.2 Supervisory Board Committees.

In accordance with its Rules of Procedure, the Audit Committee of the Supervisory Board monitors, among other things, the effectiveness of the internal control system, the risk management system and the Compliance Management System, as well as the work of the internal audit function. In this context, it also takes into account material sustainability-related impacts, risks and opportunities.

Christine Coenen served on the Supervisory Board as a workers' representative until August 2026. Since September 2026, Antoine Rombouts has been a member of the Supervisory Board as a workers' representative.

Additional information about our Executive Board and Supervisory Board can be found in our declaration on corporate governance **www.kws.com/corp/en/investors/declaration-of-corporate-governance.html**.

Information provided to and sustainability matters addressed by the company's administrative, management and supervisory bodies (GOV-2)

The members of the Executive Board and the Supervisory Board, including the Audit Committee, are informed about material sustainability matters both as part of regular communication and on an ad hoc basis.

The key sustainability-related issues that the Executive Board, Supervisory Board and Audit Committee regularly address include, in particular:

- the further development and management of the corporate strategy and the sustainability strategy ("Sustainability Ambition"), including actions, key performance indicators and targets,
- risk management, including sustainability risks,
- the Compliance Management System, including sustainability matters,
- the establishment and monitoring of business conduct guidelines and principles related to sustainability-related impacts, risks and opportunities,
- the KWS Group's annual sustainability reporting,
- the materiality analysis based on the principle of double materiality to identify material impacts, risks and opportunities, as well as
- the internal control system (ICS) for sustainability reporting.

The Group-wide sustainability department deals with sustainability issues at an operational level, coordinates them and serves as a point of contact for the Executive Board and the Supervisory Board.

The members of the Executive Board continuously address sustainability-related impacts, risks and opportunities within the scope of their respective business divisions. This includes addressing sustainability-related matters requiring approval on an ad hoc basis. Furthermore, the KWS Group's sustainability department provides the Audit Committee of the Supervisory Board with comprehensive information on current sustainability issues at least once a year. In addition, the Supervisory Board is informed on sustainability-related matters by the Executive Board member responsible for the respective matter.

In financial year 2025/2026, the central sustainability department conducted a comprehensive materiality analysis based on the principle of double materiality in accordance with the CSRD. The underlying methodology and the resulting findings were discussed and reviewed together with the Executive Board. Subsequently, the results of the materiality analysis and the resulting reporting requirements were addressed by the Audit Committee. Besides, during the reporting year, the KWS Group's Sustainability Ambition – including the associated key performance indicators and targets – was further developed in collaboration with the Executive Board and presented to the Supervisory Board. Likewise, the internal control system was expanded to include sustainability reporting and presented to both the Executive Board and the Audit Committee.

Integration of sustainability-related performance in incentive schemes (GOV-3)

The compensation systems for the Executive Board of KWS SE, as the managing partner of KWS SAAT SE & Co. KGaA, are geared toward sustainable and long-term corporate development. Since the 2024/2025 financial year, the variable compensation components have also covered sustainability-related ("Environmental, Social, Governance" or "ESG" for short) performance criteria. These include climate-related targets for reducing greenhouse gas emissions in relation to seed production, as well as innovation-related targets measured by the share of revenue generated by varieties introduced to the market no more than five years ago ("Innovation Barometer").

Sustainability-related targets are an integral part of both short-term and long-term variable compensation. The annual ESG compensation component amounts to a maximum of €100 thousand and is linked 50% each to the achievement of innovation and climate targets. Moreover, the average degree of achievement of the ESG targets is factored into the calculation of multi-year variable compensation. Overall, between 31% and 38% of the maximum compensation for the Spokesperson of the Executive Board and, depending on individual arrangements, between 28% and 34% for the other members of the Executive Board depend on the achievement of sustainability-related targets. The shares shown represent the calculated shares of the maximum achievable ESG compensation relative to the respective maximum compensation and should not be understood as fixed shares of current compensation. They depend on the individual maximum compensation, the contractual terms and the calculated impact of the ESG components.

The climate-related performance targets in Executive Board compensation complement the KWS Group's externally communicated absolute greenhouse gas reduction targets and are based on an annual target for reducing Scope 1 and Scope 2 greenhouse gas emissions in relation to seed production. The Supervisory Board is responsible for setting and monitoring the sustainability-related performance targets and for incorporating them into the compensation systems.

Further information on the structure of the compensation systems and the ESG-related compensation components is included in the Remuneration Report of KWS SAAT SE & Co. KGaA.

Statement on due diligence (GOV-4)

The following table provides an overview of the information contained in our Non-Financial Declaration regarding our due diligence processes and refers to the corresponding sections.

Core elements of due diligence and their coverage in the Non-Financial Declaration

Core elements of due diligence	Sections in the Non-Financial Declaration
Embedding due diligence in governance, strategy and business model	■ The role of the administrative, management and supervisory bodies (GOV-1) ■ Information provided to and sustainability matters addressed by the company's administrative, management and supervisory bodies (GOV-2) ■ Integration of sustainability-related performance in incentive schemes (GOV-3) ■ Risk management and internal controls over sustainability reporting (GOV-5) ■ Strategy, business model and value chain (SBM-1) ■ Interests and views of stakeholders (SBM-2) ■ Material impacts, risks and opportunities and their interaction with strategy and business model (SBM-3) (in each topical chapter)
Engaging with affected stakeholders in all key steps of the due diligence	■ Interests and views of stakeholders (SBM-2) ■ Description of the processes to identify and assess material impacts, risks and opportunities (IRO-1) ■ Processes for engaging with own workers and workers' representatives about impacts (S1-2) ■ Sections on actions and resources in each topic-specific chapter
Identifying and assessing adverse impacts	■ Description of the processes to identify and assess material impacts, risks and opportunities (IRO-1) ■ Material impacts, risks and opportunities and their interaction with strategy and business model (SBM-3) (in each topical chapter) ■ Processes for engaging with own workers and workers' representatives about impacts (S1-2) ■ Processes to remediate negative impacts and channels for own workers to raise concerns (S1-3)
Taking actions to address those adverse impacts	■ Sections on actions and resources in each topical chapter
Tracking the effectiveness of these efforts and communicating	■ Sections on metrics and targets in each topical chapter

Risk management and internal controls over sustainability reporting (GOV-5)

The KWS Group's internal control system (ICS) supports reliable, complete and compliant corporate reporting. The sustainability reporting processes are integrated into the ICS, ensuring that the associated process risks are systematically identified, assessed and managed. Moreover, defined control measures, clear roles and responsibilities as well as systematic control and monitoring processes help mitigate risks in sustainability reporting. In this way, the ICS strengthens the compliance, completeness and reliability of sustainability reporting.

The scope of sustainability reporting processes covered by the ICS was derived primarily based on the results of the materiality analysis. The risks associated with the relevant datapoints are assessed within the framework of the ICS using a standardized scale with four defined characteristics and are subsequently prioritized.

For significant risks – provided that existing controls do not offer sufficient coverage – appropriate, standardized control mechanisms are defined, implemented and documented both centrally and locally. Among the most significant risks are the accuracy, completeness and integrity

of the reported sustainability data. The results of the risk assessment and the defined controls are integrated into the data collection, validation and approval processes for sustainability reporting. Besides, the risks and controls are regularly reviewed by the responsible functions and adjusted as needed.

The effectiveness of the ICS is ensured through continuous monitoring, ongoing tests of the controls and reporting to the Executive Board and the Audit Committee of the Supervisory Board at least once a year.

Strategy, business model and value chain (SBM-1)

Strategy and business model

The KWS Group specializes in the breeding, production and distribution of high-quality seeds for agriculture. Its business model encompasses the entire value chain of a modern seed company – from the development of new varieties through propagation, processing and marketing to advising farmers. The focus is on breeding high-performing varieties that require fewer inputs – such as farmland, water, fertilizer and pesticides – and thus contribute to more sustainable agriculture.

The KWS Group's main products include sugarbeet, corn, sunflower and soybean seeds; cereal seeds such as rye, wheat, barley and rapeseed; and vegetable seeds. Moreover, we offer catch crop mixtures that complement crop rotation. Consulting and technical support for farmers round out our range of services. The most important markets for sugarbeet are primarily in the European Union, North America, Eastern Europe and Turkey; for corn, the focus is on Europe; for grains, particularly in Germany, Poland, the United Kingdom, France and Scandinavia; and for vegetables, in the United States. Products with genetically modified traits are offered in North American markets. During the reporting period, there were no significant changes to the product or market portfolio. Further information on our business model is included in the Combined Management Report in the section → 2.1.1 Business model.

The average number of employees in financial year 2025/2026 was 5,226, excluding seasonal employees.

Employees[1] by geographic region

Headcount	2025/2026
Germany	2,732
Europe excluding Germany	1,863
North and South America	418
Rest of the world	214
Total[1]	**5,226**

1 Excluding seasonal employees.

Further key figures regarding our own workforce and the underlying calculation methods can be found in chapter → 2.4.3.1 Own Workforce.

The KWS Group's net sales for the 2025/2026 financial year amounted to €1,626.8 million. Our net sales by segment can be found in the Consolidated Financial Statements in the Notes section → 5 Segment Reporting for the KWS Group.

Sustainability is part of our vision and mission. Accordingly, we take sustainability-related developments and trends into account in our strategic planning and use them to identify areas of action designed to support KWS's future growth. Moreover, as part of our strategic planning, we consider sustainability matters such as climate change, biodiversity, water, workforce, consumers and issues of good corporate governance. For us, the most important future-oriented challenges include, in particular, climate change, limited agricultural land, the shortage of skilled workers and the ongoing growth of the world's population. We address these challenges specifically in our corporate strategy.

Furthermore, we have set sustainability-related targets as part of our Sustainability Ambition 2035. These are designed to increase the resilience of agriculture, advise farmers, promote social engagement and employee retention and strengthen sustainability in our own operations. Our Sustainability Ambition 2035 is presented at the beginning of our Non-Financial Declaration. From a strategic perspective, we view enhancing agricultural resilience as an integral part of our business model. Against this backdrop, our various products and markets are equally relevant to achieving our sustainability goals.

Value chain

Our product portfolio includes high-performance seeds for various crop types, as well as complementary advisory services and digital solutions for farmers. KWS creates value for customers through high-performance seeds that enable high yields while supporting resource-efficient crop production. The value for investors lies in the innovation-driven business model with a global market presence, a strategic long-term orientation and the ability to translate agronomic and climatic challenges into marketable product solutions.

Implementing our business model in line with our corporate strategy requires the use of various resources. In our upstream value chain, access to seeds, plant propagules and chemical products for research & development activities is of particular importance. New seed varieties are tested in agricultural cultivation during their development and multiplied after successful development. Agricultural cultivation primarily requires farmland, water and energy for the operation of agricultural machinery. Besides, depending on the crop type and growing conditions, plant protection products and fertilizers are also used. Since a significant share of seed propagation is carried out by external propagation partners, these partners also represent important business partners for KWS within the upstream value chain. Chemical products and energy are used to process the propagated seed; energy is particularly crucial for seed drying. Finally, the finished seed is packaged, which requires the procurement of packaging materials. Moreover, qualified employees and scientific expertise are indispensable throughout all our business activities. We ensure the availability of these resources primarily by recruiting, developing and retaining a qualified workforce; through trusting collaboration with suppliers, external propagation partners and scientific partners; and through measures to ensure the availability of water and energy.

Our sales activities are directed at agricultural customers both directly and indirectly, for example through agricultural dealers. In the downstream value chain, our products – the seeds – are sown by farmers. KWS's defined value chain ends with the sowing of the seeds in the field and the subsequent growth phase. The farmers' business activities are followed by further agricultural and food-related value chains, such as in the food and feed industries or in the production of biofuels. These extend all the way to consumers and end-users and are not considered part of KWS's defined value chain. Nevertheless, these additional value chains are taken into account as part of the materiality analysis to the extent that they are relevant for identifying sustainability-related impacts, risks and opportunities. This applies in particular to sustainability matters related to consumers and end-users.

Interests and views of stakeholders (SBM-2)

We engage in ongoing dialogue with relevant stakeholders and incorporate their perspectives into the further development of our strategy and business model, as well as into business decisions. This takes place both through established dialogue formats and on an ad hoc basis. Our most important stakeholders, along with the formats we use to incorporate their interests and views, are as follows:

- **Employees:** Co-determination bodies and collective interest groups, such as works councils and unions; employee surveys; HR business partners; intranet communications; town hall meetings; employee-supervisor dialogues; and other feedback formats;
- **Customers, particularly farmers:** Field days, customer visits, online meetings and phone calls;
- **Suppliers:** Supplier meetings, supplier audits and supplier evaluations;
- **Shareholders and analysts:** Annual General Meeting, Capital Market Days, analyst meetings, investor meetings and regular dialogue with private and institutional shareholders;
- **Executive Board and Supervisory Board:** Executive Board and Supervisory Board meetings, Global Leadership Team (GLT) meetings, strategic workshops;
- **Government agencies:** Meetings with government agencies, public consultations, approval procedures;
- **Scientific partners:** Research collaborations, expert discussions, joint workshops, project meetings, conferences.

Stakeholder engagement serves different purposes depending on the stakeholder group: While business partners may focus primarily on financial opportunities and risks, affected stakeholders are primarily concerned with potential negative impacts of KWS and approaches to prevent or mitigate them. The outcomes of these interactions are incorporated into the relevant business units. There, depending on the content, they are either immediately implemented through operational actions or taken into account or passed on for the strategic further development of management approaches. This may result in adjustments to priorities, processes and actions. In KWS's assessment, an ongoing and transparent exchange with stakeholders can help strengthen mutual understanding and foster a long-term relationship based on trust.

As part of the materiality analysis, KWS systematically incorporated the interests and perspectives of relevant stakeholders into the identification and assessment of sustainability-related impacts, risks and opportunities. The stakeholders' perspectives have thus significantly shaped the results of our materiality analysis. In the case of actual or potential negative impacts, the interests of affected stakeholders generally lie in avoiding or mitigating these impacts. In the environmental sphere, this includes the protection of the climate, water resources and biodiversity, as well as the reduction of pollution. In the social sphere, the focus is on human rights issues. For our own employees and workers in the value chain, decent working conditions play a particularly central role. Affected communities and consumers have, above all, a legitimate interest in safety and protection. In the area of governance, information security and data protection are among the key concerns.

The Executive Board and Supervisory Board, including the Audit Committee, are informed about material sustainability matters both on a regular basis and on an ad hoc basis. In doing so, the relevant interests and expectations of stakeholders are also taken into account. Further information on this topic can be found in the section "Information provided to and sustainability matters addressed by the company's administrative, management and supervisory bodies (GOV-2)".

Material impacts, risks and opportunities and their interaction with strategy and business model (SBM-3)

As part of the materiality analysis based on the concept of double materiality, which was conducted in financial year 2025/2026 in accordance with the CSRD, the KWS Group identified the following material sustainability matters:

Material sustainability matters of the KWS Group

Material sustainability matters	Chapter in the Non-Financial Declaration
Climate change	→ 2.4.2.1 Climate Change
Pollution	→ 2.4.2.2 Pollution
Water and marine resources	→ 2.4.2.3 Water and Marine Resources
Biodiversity and ecosystems	→ 2.4.2.4 Biodiversity and Ecosystems
Sustainable agricultural practices	→ 2.4.2.5 Sustainable Agricultural Practices
Own workforce	→ 2.4.3.1 Own Workforce
Workers in the value chain	→ 2.4.3.2 Workers in the Value Chain
Affected communities	→ 2.4.3.3 Affected Communities
Consumers and end-users	→ 2.4.3.4 Consumers and End-Users
Business conduct	→ 2.4.4.1 Business Conduct

Our material impacts, risks and opportunities related to sustainability matters are presented at the beginning of the respective sections in our Non-Financial Declaration.

In financial year 2025/2026, no financial effects resulting from material impacts, risks and opportunities on our financial position, profitability, or cash flows were identified. Moreover, no material impacts, risks, or opportunities were identified that would give rise to significant adjustment in the carrying amounts of reported assets or liabilities in the future.

Description of the processes to identify and assess material impacts, risks and opportunities (IRO-1)

The KWS Group's materiality analysis for the 2025/2026 financial year was conducted in accordance with the CSRD using the principle of double materiality. The target was to systematically identify the material impacts, risks and opportunities of the KWS Group in connection with sustainability matters. This process took into account both our own operations and our upstream and downstream value chains. The principle of double materiality encompasses two perspectives: impact materiality and financial materiality. Impact materiality refers to the actual or potential, positive or negative impacts of the KWS Group on sustainability matters. In contrast, financial materiality is based on the risks or opportunities arising from sustainability matters for the KWS Group. According to the principle of double materiality, a sustainability matter is material if it is material from at least one of these two perspectives.

In the first step of the materiality analysis, we identified our impacts, risks and opportunities related to sustainability matters. All sustainability matters specified in the ESRS were considered consistently using the same approach. Besides, we took our company's specific circumstances into account to identify potential entity-specific sustainability matters. In the second step, we assessed the identified impacts, risks and opportunities to determine which ones are material. The basis for identifying and assessing impacts, risks and opportunities was a structured understanding of our business model, our operations, our business relationships and our value chain. The identification and assessment process drew on both internal and external sources, such as international regulations and standards, recognized sustainability reporting frameworks and corporate policies, to promote the objectivity of our materiality analysis.

Impact materiality
We identified and assessed our impacts by taking into account the perspectives of affected stakeholders. In particular, we considered the interests of our own employees, workers in the value chain, local communities, society and nature as a "silent stakeholder". These interests were derived from external sources such as international regulations and standards, recognized sustainability reporting frameworks and regulatory analyses. In this way, external expertise was also incorporated into the process. Moreover, the results of our annual employee survey were included in the analysis. The identified impacts were then assessed. Actual impacts were assessed based on their severity. For potential impacts, the likelihood of occurrence was also factored into the assessment. The severity of an impact is composed of the dimensions of scale, scope and – in the case of negative impacts – irremediable character. These dimensions were assessed for each impact by subject matter experts using an ordinal scale from 1 to 5. This approach promoted the objectivity and consistency of the assessments. The individual assessments were then discussed, scrutinized and validated by the Group-wide sustainability department. Based on this, an average score was determined for each impact. For potential impacts, the score was weighted by an internally estimated likelihood of occurrence to determine an expected value. In accordance with the ESRS, for potential negative human rights impacts, greater weight was given to severity than to the likelihood of occurrence. Finally, a threshold was established to identify material impacts. When setting the threshold, careful consideration was given to ensure that impacts below this threshold are not classified as material.

Financial materiality
In identifying risks and opportunities, we assessed the extent to which negative or positive impacts, as well as business dependencies, could have financial effects on the KWS Group – for example, in the context of operational disruptions, price and availability risks, or strategic market opportunities. The assessment of risks and opportunities is based on the potential magnitude of their financial effects as well as their likelihood of occurrence. It was conducted in collaboration with our internal risk management department using the existing assessment methodology. The potential magnitude of the financial risks and opportunities was rated on an ordinal scale from 1 to 4 and then weighted by an internally estimated likelihood of occurrence to arrive at an expected value. Finally, a threshold was also established with regard to financial materiality and critically evaluated to determine our material risks and opportunities.

Completion of the materiality analysis and outlook
In the final step, the materiality analysis was reviewed in its entirety. The approach and results of the materiality analysis were presented to the Executive Board, discussed and approved. Going forward, we will review our materiality analysis annually as part of the reporting process and update it as needed. Furthermore, an ad hoc reassessment will be conducted if relevant changes occur, such as those related to our business model, our activities, our value chain, regional risk situations, regulatory frameworks, or other influencing factors.

Climate change

As part of our materiality analysis, we also considered climate-related issues. We analyzed our company's impact on climate change – particularly greenhouse gas emissions – as well as climate-related physical risks, transition risks and opportunities within our own operations and along the upstream and downstream value chains. For physical climate risks, climate-related hazards were identified by incorporating high-emission climate scenarios and the vulnerability of relevant assets and business activities was assessed with regard to gross physical risks. For climate-related transition risks and opportunities, transition events were considered using a climate scenario that reflects limiting global warming to 1.5°C with no or only limited exceedance. Besides, an assessment was conducted to determine the extent to which relevant assets and business activities may be exposed to these transition events and whether this could give rise to gross transition risks or opportunities.

Water and marine resources

Our procedures for identifying and assessing the material impacts, risks and opportunities regarding the topic of water and marine resources follow the overarching methodology described in this section. The identification and assessment of our impacts were conducted taking into account the perspectives of affected stakeholders. These were incorporated using external sources, including international regulations and standards, recognized sustainability reporting frameworks and regulatory analyses. Direct consultations, for example with affected communities, were not conducted.

Business conduct

The procedures for identifying and assessing our material impacts, risks and opportunities related to business conduct follow the overarching methodology described in this section. As part of our materiality analysis, we have taken into account our own operations as well as our upstream and downstream value chains. With regard to the topic of business conduct, we have identified an entity-specific impact and an associated risk, both of which are reflected in our Group-wide risk management.

ESRS index

The following table provides an overview of the applicable ESRS disclosure requirements resulting from our material impacts, risks and opportunities and indicates their scope of implementation in our Non-Financial Declaration.

ESRS disclosure requirements included in the Non-Financial Declaration

ESRS	Disclosure requirement	Implementation of ESRS Reporting Requirements
ESRS 2 General disclosures	BP-1 – General basis for preparation	Full implementation of the ESRS
	BP-2 – Disclosures in relation to specific circumstances	Full Implementation of the ESRS
	GOV-1 – The role of the administrative, management and supervisory bodies	Full implementation of the ESRS
	GOV-2 – Information provided to and sustainability matters addressed by the company's administrative, management and supervisory bodies	Full implementation of the ESRS
	GOV-3 – Integration of sustainability-related performance in incentive schemes	Full implementation of the ESRS
	GOV-4 – Statement on due diligence	Full implementation of the ESRS
	GOV-5 – Risk management and internal controls over sustainability reporting	Full implementation of the ESRS
	SBM-1 – Strategy, business model and value chain	Partial implementation of the ESRS Datapoints not reported: 40 (a) (iv)

ESRS	Disclosure requirement	Implementation of ESRS Reporting Requirements
	SBM-2 – Interests and views of stakeholders	Full implementation of the ESRS
	SBM-3 – Material impacts, risks and opportunities and their interaction with strategy and business model	Full implementation of the ESRS
	IRO-1 – Description of the processes to identify and assess material impacts, risks and opportunities	Full implementation of the ESRS
	IRO-2 – Disclosure requirements in ESRS covered by the company's sustainability statement	Full implementation of the ESRS
ESRS E1 Climate change	GOV-3 – Integration of sustainability-related performance in incentive schemes	Full implementation of the ESRS
	E1-1 – Transition plan for climate change mitigation	Full implementation of the ESRS
	SBM-3 – Material impacts, risks and opportunities and their interaction with strategy and business model	Full implementation of the ESRS
	IRO-1 – Description of the processes to identify and assess material climate-related impacts, risks and opportunities	Full implementation of the ESRS
	E1-2 – Policies related to climate change mitigation and adaptation	Full implementation of the ESRS
	E1-3 – Actions and resources in relation to climate change policies	Full implementation of the ESRS
	E1-4 – Targets related to climate change mitigation and climate change adaptation	Full implementation of the ESRS
	E1-5 – Energy consumption and mix	Partial implementation of the ESRS Datapoints not reported: 37 (b), 37 (c) (ii)
	E1-6 – Gross Scopes 1, 2, 3 and Total GHG emissions	Partial implementation of the ESRS Datapoints not reported: AR 45 (e), AR 46 (j)
	E1-7 – GHG removals and GHG mitigation projects financed through carbon credits	Full implementation of the ESRS
	E1-8 – Internal carbon pricing	Full implementation of the ESRS
ESRS E2 Pollution	SBM-3 – Material impacts, risks and opportunities and their interaction with strategy and business model	Full implementation of the ESRS
	E2-1 – Policies related to pollution	Full implementation of the ESRS
	E2-2 – Actions and resources related to pollution	Full implementation of the ESRS
	E2-3 – Targets related to pollution	Full implementation of the ESRS
ESRS E3 Water and marine resources	IRO-1 – Description of the processes to identify and assess material impacts, risks and opportunities related to water and marine resources	Full implementation of the ESRS
	E3-1 – Policies related to water and marine resources	Full implementation of the ESRS
	E3-2 – Actions and resources related to water and marine resources	Full implementation of the ESRS
	E3-3 – Targets related to water and marine resources	Full implementation of the ESRS

ESRS	Disclosure requirement	Implementation of ESRS Reporting Requirements
	E3-4 – Water consumption	Partial implementation of the ESRS Datapoints not reported: 28 (a) – (e), 29
Entity-specific topic: Sustainable agricultural practices	SBM-3 – Material impacts, risks and opportunities and their interaction with strategy and business model	Full implementation of the ESRS
	MDR-P – Policies related to sustainable agricultural practices	Full implementation of the ESRS
	MDR-A – Actions and resources related to sustainable agricultural practices	Full implementation of the ESRS
	MDR-T – Targets related to sustainable agricultural practices	Full implementation of the ESRS
ESRS S1 Own workforce	SBM-2 – Interests and views of stakeholders	Full implementation of the ESRS
	SBM-3 – Material impacts, risks and opportunities and their interaction with strategy and business model	Full implementation of the ESRS
	S1-1 – Policies related to the company's own workforce	Full implementation of the ESRS
	S1-2 – Processes for engaging with own workers and workers' representatives about impacts	Full implementation of the ESRS
	S1-3 – Processes to remediate negative impacts and channels for own workers to raise concerns	Full implementation of the ESRS
	S1-4 – Taking action on material impacts on own workforce and approaches to mitigating material risks and pursuing material opportunities related to own workforce and effectiveness of those actions	Full implementation of the ESRS
	S1-5 – Targets related to managing material negative impacts, advancing positive impacts and managing material risks and opportunities	Full implementation of the ESRS
	S1-6 – Characteristics of the undertaking's employees	Partial implementation of the ESRS Datapoints not reported: 50 (b) (iii)
	S1-9 – Diversity metrics	Full implementation of the ESRS
	S1-10 – Adequate wage	Implementation pending
	S1-14 – Health and safety metrics	Full implementation of the ESRS
	S1-16 – Compensation metrics (pay gap and total compensation)	Implementation pending
	S1-17 – Incidents, complaints and severe human rights impacts	Full implementation of the ESRS
ESRS S2 Workers in the value chain	SBM-3 – Material impacts, risks and opportunities and their interaction with strategy and business model	Full implementation of the ESRS
	MDR-P – Policies related to value chain workers	Full implementation of the ESRS
	MDR-A – Actions and resources related to value chain workers	Full implementation of the ESRS

ESRS	Disclosure requirement	Implementation of ESRS Reporting Requirements
	MDR-T – Targets related to value chain workers	Full implementation of the ESRS
ESRS S3 Affected communities	SBM-3 – Material impacts, risks and opportunities and their interaction with strategy and business model	Full implementation of the ESRS
	MDR-P – Policies related to affected communities	Full implementation of the ESRS
	MDR-A – Actions and resources related to affected communities	Full implementation of the ESRS
	MDR-T – Targets related to affected communities	Full implementation of the ESRS
ESRS S4 Consumers and end-users	SBM-3 – Material impacts, risks and opportunities and their interaction with strategy and business model	Full implementation of the ESRS
	MDR-P – Policies related to consumers and end-users	Full implementation of the ESRS
	MDR-A – Actions and resources related to consumers and end-users	Full implementation of the ESRS
	MDR-T – Targets related to consumers and end-users	Full implementation of the ESRS
ESRS G1 Business conduct	GOV-1 – The role of the administrative, management and supervisory bodies	Full implementation of the ESRS
	IRO-1 – Description of the processes to identify and assess material impacts, risks and opportunities	Full implementation of the ESRS
	G1-1 – Business conduct policies and corporate culture	Full implementation of the ESRS

The ESRS include datapoints derived from other EU legislation. The following table provides an overview of these datapoints and how they are addressed in our Non-Financial Declaration.

Datapoints deriving from other EU legislation

ESRS disclosure requirement	Datapoint		Legislation	Applicability and, if applicable, sections in the Non-Financial Declaration
ESRS 2, GOV-1	21 (d)	Board's gender diversity	SFDR BMR	General applicability → 2.4.1 General Information, The role of the administrative, management and supervisory bodies (GOV-1)
	21 (e)	Percentage of board members who are independent	BMR	
ESRS 2, GOV-4	30	Statement on due diligence	SFDR	General applicability → 2.4.1 General Information, Statement on due diligence (GOV-4)
ESRS 2, SBM-1	40 (d) (i)	Involvement in activities related to fossil fuels	SFDR BMR P3	Not applicable
	40 (d) (ii)	Involvement in activities related to chemical production	SFDR BMR	

ESRS disclosure requirement	Datapoint		Legislation	Applicability and, if applicable, sections in the Non-Financial Declaration
	40 (d) (iii)	Involvement in activities related to controversial weapons	SFDR BMR	
	40 (d) (iv)	Involvement in activities related to cultivation and production of tobacco	BMR	
ESRS E1-1	14	Transition plan to reach climate neutrality by 2050	ECL	Not applicable
	16 (g)	Undertakings excluded from Paris-aligned Benchmarks	BMR P3	
ESRS E1-4	34	GHG emission reduction targets	SFDR BMR P3	Material → **2.4.2.1 Climate Change**, Targets related to climate change mitigation and adaptation (E1-4)
ESRS E1-5	38	Energy consumption from fossil sources disaggregated by sources (only high climate impact sectors)	SFDR	Material → **2.4.2.1 Climate Change**, Energy consumption and mix (E1-5)
	37	Energy consumption and mix	SFDR	
	40 - 43	Energy intensity associated with activities in high climate impact sectors	SFDR	
ESRS E1-6	44	Gross Scopes 1, 2, 3 and Total GHG emissions	SFDR BMR P3	Material → **2.4.2.1 Climate Change**, Gross scopes 1, 2, 3 and total GHG emissions (E1-6)
	53 - 55	Gross GHG emissions intensity	SFDR BMR P3	
ESRS E1-7	56	GHG removal and carbon credits	ECL	Not applicable
ESRS E1-9	66	Exposure of the benchmark portfolio to climate-related physical risks	BMR	Transitional relief applied
	66 (a); 66 (c)	Disaggregation of monetary amounts by acute and chronic physical risk; location of significant assets at material physical risk	P3	
	67 (c)	Disaggregation of the carrying value of its real estate by energy efficiency class	P3	
	69	Degree of exposure of the portfolio to climate-related opportunities	BMR	
ESRS E2-4	28	Amount of each substance listed in Annex II of the E-PRTR Regulation (European Pollutant Release and Transfer Register) emitted to air, water and soil	SFDR	Not material
ESRS E3-1	9	Water and marine resources	SFDR	Material → **2.4.2.3 Water and Marine Resources**, Policies related to water and marine resources (E3-1)
	13	Dedicated policy	SFDR	
	14	Sustainable oceans and seas	SFDR	
ESRS E3-4	28 (c)	Total water recycled and reused	SFDR	Material → **2.4.2.3 Water and Marine Resources**, Water consumption (E3-4)
	29	Total water consumption in m^3 per net revenue on own operations	SFDR	

ESRS disclosure requirement	Datapoint		Legislation	Applicability and, if applicable, sections in the Non-Financial Declaration
ESRS E4, SBM-3 (ESRS 2)	16 (a) (i)	Activities that have a negative impact on areas important for biodiversity	SFDR	Transitional relief applied
ESRS E4-2	16 (b)	Soil degradation, desertification, or soil sealing	SFDR	Transitional relief applied
	16 (c)	Threatened species	SFDR	
	24 (b)	Sustainable land / agriculture practices or policies	SFDR	
	24 (c)	Sustainable oceans / seas practices or policies	SFDR	
	24 (d)	Policies to address deforestation	SFDR	
ESRS E5-5	37 (d)	Non-recycled waste	SFDR	Not material
	39	Hazardous waste and radioactive waste	SFDR	
ESRS S1, SBM-3 (ESRS 2)	14 (f)	Risk of incidents of forced labour	SFDR	Material → 2.4.3.1 Own Workforce
	14 (g)	Risk of incidents of child labour	SFDR	
ESRS S1-1	20	Human rights policy commitments	SFDR	Material → 2.4.3.1 Own Workforce, Strategies related to the company's own workforce (S1-1)
	21	Due diligence policies on issues addressed by the fundamental International Labor Organisation Conventions 1 to 8	SFDR	
	22	Processes and measures for preventing trafficking in human beings	SFDR	
	23	Workplace accident prevention policy or management system	SFDR	
ESRS S1-3	32 (c)	Grievance/complaints handling mechanisms	SFDR	Material → 2.4.3.1 Own Workforce, Processes to remediate negative impacts and channels for own workers to raise concerns (S1-3)
ESRS S1-14	88 (b), (c)	Number of fatalities and number and rate of work-related accidents	SFDR BMR	Material → 2.4.3.1 Own Workforce, Health and safety metrics (S1-14)
	88 (e)	Number of days lost to injuries, accidents, fatalities or illness	SFDR	
ESRS S1-16	97 (a)	Unadjusted gender pay gap	SFDR BMR	Implementation pending
	97 (b)	Excessive CEO pay ratio	SFDR	
ESRS S1-17	103 (a)	Incidents of discrimination	SFDR	Material → 2.4.3.1 Own Workforce, Incidents, complaints and severe human rights impacts (S1-17)
	104 (a)	Non-respect of UNGPs on Business and Human Rights and OECD	SFDR BMR	

ESRS disclosure requirement	Datapoint		Legislation	Applicability and, if applicable, sections in the Non-Financial Declaration
ESRS S2, SBM-3 (ESRS 2)	11 (b)	Significant risk of child labour or forced labour in the value chain	SFDR	Transitional relief applied
ESRS S2-1	17	Human rights policy commitments	SFDR	Transitional relief applied
	18	Policies related to value chain workers	SFDR	
	19	Non-respect of UNGPs on Business and Human Rights principles and OECD Guidelines	SFDR BMR	
	19	Due diligence policies on issues addressed by the fundamental International Labor Organisation Conventions 1 to 8	BMR	
ESRS S2-4	36	Human rights issues and incidents connected to its upstream and downstream value chain	SFDR	Transitional relief applied
ESRS S3-1	16	Human rights policy commitments	SFDR	Transitional relief applied
	17	Non-respect of UNGPs on Business and Human Rights and OECD Guidelines	SFDR BMR	
ESRS S3-4	36	Human rights issues and incidents	SFDR	Transitional relief applied
ESRS S4-1	16	Policies related to consumers and end-users	SFDR	Transitional relief applied
	17	Non-respect of UNGPs on Business and Human Rights and OECD Guidelines	SFDR BMR	
ESRS S4-4	35	Human rights issues and incidents	SFDR	Transitional relief applied
ESRS G1-1	10 (b)	United Nations Convention against Corruption	SFDR	Not material
	10 (d)	Protection of whistle-blowers	SFDR	
ESRS G1-4	24 (a)	Fines for violation of anti-corruption and anti-bribery laws	SFDR BMR	Not material
	24 (b)	Standards of anti-corruption and anti-bribery	SFDR	

SFDR – Sustainable Finance Disclosure Regulation (Regulation on sustainability-related disclosures in the financial services sector)
BMR – Benchmark Regulation (Regulation on indices used as benchmarks in financial instruments and financial contracts or to measure the performance of investment funds)
P3 – Pillar 3 (Regulation on prudential requirements for credit institutions and investment firms)
ECL – European Climate Law (Regulation establishing the framework for achieving climate neutrality)

2.4.2 Environmental Information

2.4.2.1 Climate Change

Material impacts, risks and opportunities and their interaction with strategy and business model (SBM-3)

Climate change poses a major challenge for global agriculture and has a significant impact on the KWS Group's business activities. As part of the materiality analysis, material climate-related impacts, risks and opportunities were identified for the KWS Group, particularly in connection with emissions, energy consumption and the further development of the business model. KWS addresses these by adapting to climate change and utilizing market opportunities, particularly through the development of climate-resilient seed varieties to ensure stable yields. Climate-related targets and actions are integrated into our strategic and operational management processes and are monitored using defined key performance indicators. Furthermore, the implementation of corresponding actions at our locations is managed through Group-wide standards and a centralized energy management system.

Material impacts, risks and opportunities related to climate change

ID	Sustainability matter	Impact, risk or opportunity	Description	Value chain	Time horizon
E1 I Impact 1	Climate change adaptation	Positive impact (actual)	Enabling stable crop yields for farmers through the development of seed varieties that can withstand extreme weather conditions	Own operations	Ongoing
E1 I Impact 2	Climate change mitigation	Negative impact (actual)	GHG emissions and the associated negative impact on the climate, for example using fossil fuels and fertilizers	Upstream value chain, Own operations, Downstream value chain	Ongoing
E1 I Impact 3	Energy	Negative impact (actual)	Consumption of energy from fossil fuels as well as energy efficiency potentials that have not yet been fully realized	Upstream value chain, Own operations, Downstream value chain	Ongoing
E1 I Risk 1	Climate change mitigation	Risk (transition risk)	Increase in investment costs and operating costs to achieve a significant reduction in GHG emissions	Own operations	Medium-term
E1 I Risk 2	Climate change mitigation	Risk (physical risk)	Increase in operating costs due to lost revenue, production disruptions and supply chain interruptions resulting from climate change and associated extreme weather events, as well as long-term changes in climate patterns	Own operations	Long-term
E1 I Risk 3	Energy	Risk (physical and transition risk)	Increase in operating costs due to energy price fluctuations as well as disruptions in production and supply chains related to the availability and affordability of energy	Own operations	Short-term
E1 I Opportunity 1	Climate change adaptation	Opportunity	Strategic market opportunity related to the rising demand for climate-resilient seed varieties	Own operations	Short-term

Short-term | Medium-term | Long-term | Ongoing
Upstream value chain | Own operations | Downstream value chain

Climate scenario and resilience analysis

In financial year 2025/2026, we conducted a climate scenario and resilience analysis for selected, particularly relevant locations with significant assets. These include, in particular, locations for production, warehousing and research & development. The analysis is based on three time horizons aligned with planning and investment cycles: short-term: 1–3 years; medium-term: 3–10 years; and long-term: >10 years. Furthermore, the analysis took into account both direct and indirect financial effects resulting from physical and transitional risks. The analysis is based on three IPCC climate scenarios that depict different

trajectories of greenhouse gas emissions, regulatory frameworks and climate change through the year 2100. These are described in more detail below.

- **SSP1-1.9 (low-emission scenario):** This scenario assumes the consistent global implementation of ambitious climate protection actions and the achievement of net zero emissions by the middle of the century. While physical climate risks remain limited in the long term, the KWS Group faces increased transition risks – particularly in the short- to medium-term – due to stricter regulatory requirements and transformation costs.
- **SSP2-4.5 (medium-emission scenario):** In this scenario, climate protection actions remain moderate, so that emissions initially remain stable and only decline later, without reaching net zero. Transition risks are less pronounced in the medium-term, while in the long-term, both the intensity and frequency of physical risks increase and have an impact on the KWS Group's business activities.
- **SSP5-8.5 (high-emission scenario):** This scenario assumes sharply rising emissions and a lack of climate protection actions, leading to a significant rise in temperature. As a result, physical risks increase considerably and may have significant long-term impacts on the KWS Group's production, supply chains and financial performance. By contrast, the impact of transition risks is comparatively minor.

Results of the climate scenario and resilience analysis

ID	Risk or opportunity	Description	Time horizon	Classification	Mitigation measures
E1 I Risk 1	Risk (transition risk)	Increase in investment costs and operating costs to achieve a significant reduction in greenhouse gas emissions	Medium-term	Low to moderate risk in high-emission scenarios	Planning and implementation of construction projects are based on an early assessment of greenhouse gas reduction actions and materials, as well as bindingly agreed-upon construction costs
E1 I Risk 2	Risk (physical risk)	Increase in operating costs due to lost revenue, production disruptions and supply chain interruptions resulting from climate change and associated extreme weather events, as well as long-term changes in climate patterns	Long-term	Medium to high risk in high-emission scenarios. Both are heavily dependent on agricultural production (field propagation) and transportation routes (roads, ports, etc.)	Through cross-site planning and diversification of procurement, KWS strengthens the resilience of production and reduces supply risks
E1 I Risk 3	Risk (physical and transition risk)	Increase in operating costs due to energy price fluctuations as well as disruptions in production and supply chains related to the availability and affordability of energy	Short-term	Low to moderate risk in high-emission scenarios. Energy is a key input factor for production, storage, processing and transportation and is heavily influenced by location-specific conditions	The energy supply is largely stabilized through procurement contracts and diversification of energy sources to reduce price volatility and supply risks
E1 I Opportunity 1	Opportunity	Strategic market opportunity related to rising demand for climate-resilient seed varieties	Short-term	As climate change intensifies, cultivation opportunities are shifting toward climate-resilient, drought- and heat-tolerant and protein-based crop varieties – noticeable under SSP2-4.5 and clearly pronounced under SSP5-8.5	Targeted expansion of research and the portfolio for climate-resilient, drought- and heat-tolerant crop varieties, tailored to changing growing conditions

Based on the qualitative analysis conducted, the KWS Group's strategy and business model are generally assessed as resilient regarding climate change. Material climate-related impacts and risks are addressed in particular through the KWS Group's broad geographic footprint, its diversified crop and product base, the continuous development of climate-resilient varieties and actions to reduce its own greenhouse gas emissions. At the same time, opportunities arise from the growing demand for seed solutions that help farmers adapt to changing climatic conditions.

Transition plan for climate change mitigation (E1-1)

With regard to climate change mitigation, KWS has Group-wide policies, actions and targets. These are presented in the relevant sections of this chapter. As of the reporting date, KWS does not have a formal transition plan for climate change mitigation as defined by the ESRS.

Policies related to climate change mitigation and climate change adaptation (E1-2)

KWS is committed to protecting the climate and mitigating climate change. To this end, we track and monitor our Group-wide energy consumption and greenhouse gas emissions. Moreover, we have established internal guidelines regarding energy efficiency. The following table provides an overview of our policies related to climate change.

Policies related to climate change mitigation

Policy	Content	Scope	Overarching responsibility	Commitment to external standards	Availability	Relevant impacts, risks and opportunities
Vision and mission	Definition of our overarching target and what KWS stands for	Group-wide	Executive Board	–	Website: www.kws.com/corp/en/company/vision-mission-values/	E1 I Impact 1 E1 I Impact 2 E1 I Impact 3 E1 I Risk 1 E1 I Risk 2 E1 I Risk 3 E1 I Opportunity 1
Strategic planning	Definition of strategic targets, initiatives and key actions with a ten-year time horizon as the basis for the further development of the KWS Group	Group-wide	Executive Board	–	Intranet	E1 I Impact 1 E1 I Impact 2 E1 I Impact 3 E1 I Risk 1 E1 I Risk 2 E1 I Risk 3 E1 I Opportunity 1
Sustainability Ambition 2035	Definition of the KWS Group's sustainability targets	Group-wide	Executive Board	–	Website: www.kws.com/corp/en/sustainability/strategy-targets/	E1 I Impact 2 E1 I Impact 3 E1 I Risk 1 E1 I Risk 2 E1 I Risk 3
Health, Safety and Environment Guideline	Definition of minimum requirements for environmental protection, occupational and operational safety, as well as emergency preparedness and hazard mitigation	Group-wide	Executive Board	–	Intranet	E1 I Impact 2 E1 I Impact 3 E1 I Risk 1 E1 I Risk 2 E1 I Risk 3
Code of Business Ethics for Suppliers	Code to ensure that suppliers adhere to high standards regarding working conditions, ethical and lawful business practices and social and environmental requirements	Group-wide with regard to the upstream value chain	Executive Board	UN Guiding Principles on Business and Human Rights	Website: www.kws.com/corp/en/company/suppliers/code-of-business-ethics-for-suppliers.html Additional direct communication with suppliers	E1 I Impact 2 E1 I Impact 3 E1 I Risk 1 E1 I Risk 2 E1 I Risk 3
CO_2 Guideline	Defines standards for the procurement of energy and renewable energy at all locations operated by KWS	Group-wide for our own locations	Executive Board	GHG Protocol	Intranet	E1 I Impact 2 E1 I Impact 3 E1 I Risk 1 E1 I Risk 2 E1 I Risk 3

Part of KWS's mission is to help address the challenges of climate change in agriculture by developing climate-resilient varieties. Based on this, KWS continuously analyzes global developments and trends as part of its strategic planning and identifies corresponding areas of action for future growth, systematically taking sustainability matters into account. As part of its Sustainability Ambition 2035, KWS also has the target of ensuring responsible and efficient emissions and energy management.

The Group-wide guideline for occupational safety and environmental protection (Health, Safety & Environment; HSE) addresses energy and emissions management and is intended to promote resource-efficient and low-emission work practices, particularly with a view to reducing greenhouse gas emissions. Furthermore, as part of the Code of Business Ethics for Suppliers, KWS expects suppliers to comply with applicable environmental regulations and to ensure responsible energy use and the minimization of emissions.

In addition, KWS has a CO_2 Guideline that governs the Group-wide management and reduction of greenhouse gas emissions.

Actions and resources in relation to climate change policies (E1-3)

Breeding programs to develop resilient seed varieties that can withstand extreme weather conditions

E1 I Impact 1 and E1 I Opportunity 1

As part of our core business, we are working to develop seed varieties that can withstand extreme weather conditions. In doing so, we aim to contribute to stable crop yields in agriculture. This effort is based on targeted, multi-year breeding programs with various breeding objectives. These breeding objectives include specific traits, such as drought tolerance. The breeding programs involve the targeted crossing of parent plants as well as the systematic testing and selection of offspring based on defined target traits. Different methods are used depending on the crop type and breeding objective.

Development and implementation of emissions concepts

E1 I Impact 2, E1 I Impact 3, E1 I Risk 1, E1 I Risk 2 and E1 I Risk 3

KWS is implementing targeted actions to improve energy efficiency at its production and breeding sites. To this end, location-specific CO_2 concepts are continuously being developed to systematically identify suitable efficiency actions. In addition, the use of technologies such as heat pumps, heat exchangers, district heating and wind energy is being evaluated. The target is to develop site-specific solutions that contribute to sustainable emissions reduction. When selecting actions, KWS considers both their potential for reducing emissions and their economic viability.

Transition to renewable energy

E1 I Impact 2, E1 I Impact 3, E1 I Risk 1, E1 I Risk 2 and E1 I Risk 3

A key lever for achieving our climate goals is the transformation of our energy supply toward renewable energy. This includes, for example, replacing natural gas with biomethane at German locations and the continued Group-wide expansion of our own photovoltaic systems. As part of a pilot project at one of our farms, we are exploring the use of biogenic fuels as an alternative to diesel for agricultural machinery. Furthermore, a Group-wide investment budget of €4 million per financial year has been introduced for emission-reducing investments to facilitate the implementation of such actions in the future.

Targets related to climate change mitigation and adaptation (E1-4)

E1 I Impact 2, E1 I Impact 3, E1 I Risk 1, E1 I Risk 2 and E1 I Risk 3

KWS aims to reduce Scope 1 and Scope 2 greenhouse gas emissions by 63% by 2035 compared to the base year 2025/2026 and to achieve net zero by 2050. The base year 2025/2026 shows Scope 1 and market-based Scope 2 greenhouse gas emissions totaling 49,135 metric tons of CO_2e. KWS has not defined a target for reducing Scope 3 greenhouse gas emissions and does not currently plan to set one. This is because the calculation of Scope 3 greenhouse gas emissions relies heavily on estimates and assumptions. As a result, there are currently only limited possibilities to reliably manage and track progress toward achieving the target through appropriate actions.

Sustainability Ambition 2035: Targets related to climate change

in metric tons of CO_2e	2030 target	2035 target	2050 target[1]	2025/2026
Scope 1 and Scope 2 GHG emissions[2]	50% reduction compared to the base year 2025/2026	63% reduction compared to the base year 2025/2026	Net zero	49,135

1 The 2050 target is not part of our Sustainability Ambition 2035.
2 Market-based Scope 2 GHG emissions.

Furthermore, we have set the following annual target:

Sustainability Ambition 2035: Annual target related to climate change

in metric tons of CO_2e	Annual target for 2026/2027	2025/2026
Scope 1 natural gas emissions at the headquarter in Einbeck	Reduction of 2,000 metric tons of CO_2e at the headquarter in Einbeck compared to the base year 2025/2026	7,684

Methodology

The targets for Scope 1 and Scope 2 greenhouse gas emissions follow a science-based 1.5-degree pathway in line with established international frameworks. Moreover, a publicly available calculation tool from the Science Based Targets Initiative (SBTi), including the underlying reduction pathways, was used to set the target values. The targets were formulated based on the assumptions of an emissions reduction pathway compatible with the 1.5-degree target. No further direct involvement of other stakeholders took place. Our methodology for determining Scope 1 and Scope 2 greenhouse gas emissions is described in the section “Gross Scopes 1, 2, 3 and total greenhouse gas emissions”.

Energy consumption and mix (E1-5)

The following table provides insights into our Group-wide energy consumption and mix for the past financial year.

Energy consumption and mix

in MWh	2025/2026
Fuel consumption from coal and coal products	212
Fuel consumption from crude oil and petroleum products	59,778
Fuel consumption from natural gas	91,835
Fuel consumption from other fossil sources	0
Consumption of purchased or acquired electricity, heat, steam and cooling from fossil sources	53,154
Total fossil energy consumption	**204,979**
Share of fossil sources in total energy consumption	83%
Consumption from nuclear sources1	**n/a**
Share of consumption from nuclear sources in total energy consumption 1	n/a
Fuel consumption from renewable sources, including biomass	41,423
Consumption of purchased or acquired electricity, heat, steam and cooling from renewable sources 2	n/a
Consumption of self-generated non-fuel renewable energy	1,488
Total renewable energy consumption	**42,911**
Share of renewable sources in total energy consumption	17%
Total energy consumption	**247,890**

1 Energy consumption from nuclear sources is not reported separately, as information on the share of nuclear energy in purchased electricity is not fully available.
2 Energy consumption from purchased or acquired electricity, heat, steam and cooling, as well as from renewable sources, is not reported separately, as information regarding the share of this energy in the purchased electricity is not fully available.

Our Group-wide total energy consumption amounted to 247,890 MWh in financial year 2025/2026, with a share of 17% covered by renewable energy and a share of 83% covered by fossil fuels. Our energy requirements stem primarily from the heat needed for seed drying, the cooling and heating requirements for breeding work in greenhouses or climate chambers and the operation of agricultural machinery. Weather conditions, such as prevailing humidity, can significantly influence our energy demand and lead to fluctuations. Currently, we meet our energy needs primarily through natural gas, the purchase of electricity from national power grids, diesel and energy derived from biomass. Company-owned photovoltaic systems are also in use at various locations and reduce our reliance on external energy sources.

The KWS Group's total consolidated net sales and total energy consumption are attributable to agricultural activities and thus to climate-intensive sectors. Energy intensity associated with activities in high climate impact sectors calculates our Group-wide total energy consumption relative to consolidated net sales and is presented below.

Energy intensity associated with activities in high climate impact sectors

in MWh per million euros	2025/2026
Energy intensity associated with activities in high climate impact sectors	152

Our energy intensity associated with activities in high climate impact sectors is based on the consolidated net sales reported in the Consolidated Statement of Comprehensive Income.

Methodology

The calculation of energy-related KPIs is based on the Group-wide recording of energy consumption by the respective responsible persons at the locations in a central data collection system. The subsequent analysis of the data is performed by the Group-wide sustainability department. Moreover, for individual locations of the KWS Group, complete energy consumption data for the financial year was not available at the time of reporting. Missing data was extrapolated based on the previous year's consumption figures, taking average deviations into account. Where no historical data was available, average values were derived from the available consumption data for the current reporting period. For certain smaller leased office locations, energy consumption was estimated using assumed average consumption values per employee.

Gross Scopes 1, 2, 3 and total greenhouse gas emissions

Our Group-wide total greenhouse gas emissions for the financial year are presented in the table below.

Overview of gross greenhouse gas emissions

in metric tons of CO_2e	2025/2026 (base year)	2035	2050	Annual % of Target/ base year
Scope 1 GHG emissions				
Gross Scope 1 GHG emissions	**35,488**	**–63%**	**Net zero**	**–6.3%**
Scope 2 GHG emissions				
Gross location-based Scope 2 GHG emissions	16,260			
Gross market-based Scope 2 GHG emissions	13,647	–63%	Net zero	–6.3%
Gross Scope 1 and Scope 2 GHG emissions (location-based)	**51,748**			
Gross Scope 1 and Scope 2 GHG emissions (market-based)	**49,135**	**–63%**	**Net zero**	**–6.3%**
Significant Scope 3 GHG emissions				
Total gross indirect (Scope 3) GHG emissions	**748,773**			
of which (3.1) Purchased goods and services	527,427			
of which (3.2) Capital goods	19,253			
of which (3.3) Fuel and energy-related activities (not included in Scope1 or Scope 2)	11,285			
of which (3.4) Upstream transportation and distribution	8,915			
of which (3.10) Processing of sold products	164,903			
of which other categories[1]	16,991			
Total GHG emissions				
Total GHG emissions (location-based)	**800,521**			
Total GHG emissions (market-based)	**797,908**			

1 Other categories include categories (3.5) Waste generated in operations, (3.6) Business travel, (3.7) Commuting employees, (3.9) Downstream transportation, (3.12) End-of-life treatment of sold products and (3.13) Downstream leased assets. Each of these categories accounts for less than 1% of total gross Scope 3 GHG emissions and is therefore classified as immaterial.

The following table provides an overview of our biogenic GHG emissions.

Biogenic GHG emissions

in metric tons of CO_2	2025/2026
Biogenic Scope 1 CO_2 emissions from the combustion or biodegradation of biomass	15,301

Our greenhouse gas emissions intensity calculates our total Group-wide greenhouse gas emissions relative to consolidated net sales and is presented below.

Greenhouse gas emissions intensity

in metric tons of CO_2e per million euros	2025/2026
GHG emissions intensity (location-based)	492
GHG emissions intensity (market-based)	490

Our greenhouse gas emissions intensity is based on the consolidated net sales reported in the Consolidated Statement of Comprehensive Income.

Methodology

We calculate our greenhouse gas emissions in accordance with the guidelines of the Greenhouse Gas Protocol. Our Scope 1 and Scope 2 greenhouse gas emissions are based on global energy and fertilizer consumption data, which is centrally consolidated and converted into CO_2 equivalents using emission factors. To calculate Scope 1 greenhouse gas emissions, we use the emission factors from the UK Department for Environment, Food & Rural Affairs (DEFRA). Scope 1 greenhouse gas emissions from fertilizers are determined based on the IPCC Tier 1 methodology. To calculate location-based Scope 2 greenhouse gas emissions, we use emission factors from the International Energy Agency (IEA). Moreover, we generally determine market-based Scope 2 greenhouse gas emissions using supplier-specific emission factors. If these are not available despite our best efforts, we use location-based emission factors. KWS currently does not use any contractual instruments for the purchase or sale of energy bundled with energy generation attributes or for claims to unbundled energy attributes.

The methodology used to calculate our Scope 3 greenhouse gas emissions is summarized below according to the categories of the Greenhouse Gas Protocol that are relevant and material to the KWS Group. No primary data from suppliers or other partners in the value chain was used in this calculation.

- **(3.01) Purchased goods and services:** To calculate Scope 3 greenhouse gas emissions, we use actual, spend-based procurement data for the first three quarters of the financial year. For the fourth quarter of the financial year, procurement data is estimated based on historical data and our revenue forecast. The emission factors used are sourced from the US Environmental Protection Agency (EPA) and the database of the Statistical Office of the European Union (Eurostat).
- **(3.02) Capital goods:** When calculating Scope 3 greenhouse gas emissions for this category, we take into account all upstream processes, including raw material extraction as well as the production and delivery of purchased capital goods. Greenhouse gas emissions are fully accounted for at the time of purchase. For the first three quarters of the financial year, we use actual, spend-based data from the Controlling department. For the fourth quarter of the financial year, an estimate is made based on forecasts.
- **(3.03) Fuel and energy-related activities:** To calculate Scope 3 greenhouse gas emissions for this category, we account for all upstream processes related to purchased primary and secondary energy. We use data from our central data collection system for energy consumption as activity data. The emission factors are based on the “UK Government GHG Conversion Factors for Company Reporting”.
- **(3.04) Upstream transportation and distribution:** To calculate Scope 3 greenhouse gas emissions for this category, we use actual, spend-based procurement data for the first three quarters of the financial year. For the fourth quarter of the financial year, procurement data is estimated based on historical data and our revenue forecast. The emission factors used are sourced from the US Environmental Protection Agency (EPA) and the database of the Statistical Office of the European Union (Eurostat).
- **(3.10) Processing of sold products:** To calculate Scope 3 greenhouse gas emissions for the first three quarters of the financial year, we use actual sales data. The fourth quarter of the financial year is estimated based on sales forecasts. Direct emissions from agricultural operations are taken into account.

The categories (3.08) Upstream leased assets, (3.14) Franchises and (3.15) Investments are not relevant to the KWS Group’s upstream value chain. Furthermore, category (3.11) Use of sold products is not relevant with regard to the KWS Group’s downstream value chain. This is because the seed is not a component of the end product used by the end consumer – such as feed or food – but is completely consumed during plant growth.

GHG removals and GHG mitigation projects financed through carbon credits (E1-7)

We did not carry out any projects to remove or store Greenhouse gases in the past financial year. Moreover, KWS does not currently purchase CO_2 certificates or carbon credits to support its climate strategy or for offsetting purposes in the context of calculating greenhouse gas emissions. There are also no plans to do so at this time.

Internal carbon pricing (E1-8)

The implementation of the KWS Group’s climate targets is managed and regularly reviewed based on defined processes and responsibilities. In this context, appropriate actions are planned and implemented. At the moment, the existing management and governance structures are considered sufficient. Therefore, additional instruments such as internal carbon pricing are not currently planned.

2.4.2.2 Pollution

Material impacts, risks and opportunities and their interaction with strategy and business model (SBM-3)

In conventional agricultural crop production, fertilizers, plant protection products and seed coatings are used to ensure yields, protect crops and guarantee the quality and usability of the seed. Moreover, some important and widely used products in these categories are currently not available on the market without microplastics. Furthermore, alternative microplastic-free products do not currently offer comparable and sufficient effectiveness or technical suitability in all relevant applications. Consequently, KWS will continue to use products containing microplastics for the time being until suitable alternatives become available. Our material impact related to pollution is presented in the following table.

Material impacts, risks and opportunities related to pollution

ID	Sustainability matter	Impact, risk or opportunity	Description	Value chain	Time horizon
E2 I Impact 1	Microplastics	Negative impact (actual)	Pollution caused by microplastics due to significant and widespread use of fertilizers, pesticides and seed coatings that are currently not available on the market in plastic-free form	←	—

■ Short-term ■■ Medium-term ■■■ Long-term — Ongoing
← Upstream value chain ● Own operations → Downstream value chain

New EU regulatory requirements regarding plant protection products, fertilizers and seed treatments containing microplastics are being incorporated into the further development of our strategy and business model. KWS aims to comply with EU Regulation 2023/2055, which has been in effect since October 17, 2023, and provides for transition periods for various product categories. The actions and resources described in the section “Actions and resources related to pollution (E2-2)” support the adaptability of our business model to the new regulatory requirements.

Policies related to pollution (E2-1)

KWS strives to minimize negative impacts on the environment within the scope of its existing influence. The policies established for this purpose are summarized in the table below.

Policies related to pollution

Policy	Content	Scope of application	Overarching responsibility	Commitment to external standards	Availability	Relevant impacts, risks and opportunities
Health, Safety and Environment Guideline	Definition of minimum requirements for environmental protection, occupational and operational safety, as well as emergency preparedness and hazard mitigation	Group-wide	Executive Board	–	Intranet	E2 I Impact 1
Code of Business Ethics for Suppliers	Code to ensure that suppliers adhere to high standards regarding working conditions, ethical and lawful business practices and social and environmental requirements	Group-wide with regard to the upstream value chain	Executive Board	UN Guiding Principles on Business and Human Rights	Website: www.kws.com/corp/en/company/suppliers/code-of-business-ethics-for-suppliers.html Additional direct communication with suppliers	E2 I Impact 1

In accordance with the HSE Guideline, the use of operating resources such as plant protection products and fertilizers must be limited to the necessary minimum Group-wide. Legal and product-specific requirements must be complied with when using plant protection products and fertilizers and the application of plant protection products may only be carried out by qualified personnel. In the Code of Business Ethics for Suppliers, KWS expects compliance with all applicable environmental regulations as well as appropriate actions to avoid substances and materials that are harmful to the environment and human health. Moreover, suppliers are expected to use natural resources sparingly, minimize environmental and health impacts and avoid harmful soil, water and air pollution. This also includes implementing and operating suitable environmental management systems.

Actions and resources related to pollution (E2-2)

Dialogue with manufacturers of plant protection products

E2 I Impact 1

Our long-term target is to reduce our environmental impact and transition to the use of plastic-free plant protection products, with an initial focus on the countries of the European Union. Against this backdrop, KWS is in dialogue with plant protection product manufacturers to evaluate the availability, regulatory approval potential and practical suitability of alternative products. At the same time, KWS continuously monitors market developments to identify suitable alternatives at an early stage and implement them within the scope of its existing influence.

Trials with alternative seed treatments

E2 I Impact 1

In the area of seed treatment, KWS is working to gradually phase out seed treatments containing microplastics – initially in the European Union. To this end, the effectiveness of microplastic-free alternative products is being tested. In light of new regulatory requirements in the EU regarding plant protection products, fertilizers and seed treatments containing microplastics, KWS is pursuing a cross-crop approach to gradually establish more environmentally friendly alternatives.

Targets related to pollution (E2-3)

KWS aims to continuously reduce the environmental impacts associated with the use of products containing microplastics within the scope of its influence. No specific, measurable and results-oriented targets have been set for this to date. This is due, among other things, to the fact that KWS has only limited influence over the formulation and further development of products sourced from third parties. The effectiveness of the strategies and actions in this area is monitored through established internal management and review processes. Furthermore, KWS is working to comply with the requirements of EU Regulation 2023/2055 of September 25, 2023, which has been in effect since October 17, 2023, and provides for different transition periods for the use of microplastics in various product categories.

2.4.2.3 Water and Marine Resources

Material impacts, risks and opportunities and their interaction with strategy and business model (SBM-3)

As a plant breeding company, water is a business-critical resource for KWS. A water supply tailored to needs in breeding processes and propagation activities is essential for harvesting healthy seeds and ensuring high yields. At the same time, incorporating traits such as drought tolerance into plant breeding can reduce the water requirements of crops. Water-related impacts, risks and opportunities are integrated into strategic and operational decision-making processes due to their relevance to our business model and are anchored in our Sustainability Ambition 2035. Based on the geographic diversification of our business model, the ability to adapt operational processes and targeted actions regarding our water withdrawals, we consider our strategy and business model to be resilient in addressing water-related impacts, risks and opportunities. In the area of water and marine resources, we have identified material impacts, risks and opportunities, which are summarized in the following table.

Material impacts, risks and opportunities related to water and marine resources

ID	Sustainability matter	Impact, risk or opportunity	Description	Value chain	Time horizon
E3 I Impact 1	Water	Positive impact (actual)	Enabling a reduction in water consumption in agriculture through the development of drought-tolerant seed varieties.	●	—
E3 I Impact 2	Water	Negative impact (actual)	Water consumption, including water withdrawal, due to the need for water resources in agricultural processes, particularly for irrigating cropland.	← ● →	—
E3 I Risk 1	Water	Risk	Increase in operating costs due to fluctuations in water prices, as well as disruptions in production and supply chains related to the availability and affordability of water.	●	■■
E3 I Opportunity 1	Water	Opportunity	Strategic market opportunities related to the demand for drought-tolerant seed varieties.	●	■

■ Short-term ■■ Medium-term ■■■ Long-term — Ongoing

← Upstream value chain ● Own operations → Downstream value chain

Policies related to water and marine resources (E3-1)

KWS strives to use water as efficiently as possible. To this end, we track and monitor our global water withdrawals and have implemented internal guidelines for water management. The following table summarizes our policies related to water and marine resources.

Policies related to water and marine resources

Policy	Content	Scope	Overarching responsibility	Commitment to external standards	Availability	Relevant impacts, risks and opportunities
Vision and mission	Definition of our overarching target and what KWS stands for	Group-wide	Executive Board	–	Website: www.kws.com/corp/en/company/vision-mission-values/	E3 I Impact 1 E3 I Impact 2 E3 I Risk 1 E3 I Opportunity 1
Strategic planning	Definition of strategic targets, initiatives and key actions with a ten-year time horizon as the basis for the further development of the KWS Group	Group-wide	Executive Board	–	Intranet	E3 I Impact 1 E3 I Impact 2 E3 I Risk 1 E3 I Opportunity 1
Sustainability Ambition 2035	Definition of the KWS Group's sustainability targets	Group-wide	Executive Board	–	Website: www.kws.com/corp/en/sustainability/strategy-targets/	E3 I Impact 1 E3 I Impact 2 E3 I Risk 1 E3 I Opportunity 1
Health, Safety and Environment Guideline	Definition of minimum requirements for environmental protection, occupational and operational safety, as well as emergency preparedness and hazard mitigation	Group-wide	Executive Board	–	Intranet	E3 I Impact 2 E3 I Risk 1
Code of Business Ethics for Suppliers	Code to ensure that suppliers adhere to high standards regarding working conditions, ethical and lawful business practices and social and environmental requirements	Group-wide with regard to the upstream value chain	Executive Board	UN Guiding Principles on Business and Human Rights	Website: www.kws.com/corp/en/company/suppliers/code-of-business-ethics-for-suppliers.html Additional direct communication with suppliers	E3 I Impact 2 E3 I Risk 1

In line with our mission, we create solutions through varieties with traits such as improved drought tolerance and support the agricultural sector in successfully meeting the challenges of the coming years. Building on this, as part of our strategic planning, we analyze global developments and trends and identify areas of focus designed to drive KWS's future growth. We also incorporate sustainability matters into this process. As part of our Sustainability Ambition 2035, we aim to ensure responsible and efficient water management at our breeding stations located in areas of high or extremely high water stress.

Our Group-wide HSE Guideline addresses the issue of water management and calls for the promotion of resource-conserving work practices, particularly at locations in areas of high or extremely high water stress. Furthermore, as part of our Code of Business Ethics for Suppliers, we expect compliance with applicable local environmental laws and regulations and that excessive water consumption be avoided as a matter of principle.

Since our business activities related to field irrigation primarily impact groundwater and surface water, we do not pursue any policies or practices regarding marine sustainability. Accordingly, we have not identified marine resources as a material issue in our materiality analysis.

Actions and resources related to water and marine resources (E3-2)

Development of drought-tolerant varieties through breeding programs

E3 I Impact 1 and E3 I Opportunity 1

As part of our core business, we are working to develop drought-tolerant seed varieties and thereby reduce water consumption in agriculture. To this end, we conduct targeted breeding programs that take into account a range of different breeding objectives, including specific traits such as drought tolerance. Multi-year breeding programs involve the targeted crossing of parent plants as well as the systematic testing and selection of offspring based on defined target traits. Different methods are used depending on the crop type and targets.

Expansion of water meter installation

E3 I Impact 2 and E3 I Risk 1

To increase data transparency regarding our water withdrawals, we plan to expand the installation of water meters at our breeding stations. This will enable us to measure the volumes of water withdrawn for irrigation purposes more comprehensively in the future. This will help reduce the share of estimated water withdrawals in our report.

Development and implementation of tailored water management concepts

E3 I Impact 2 and E3 I Risk 1

In addition to water withdrawal for production processes, research facilities and offices, the largest share of our water withdrawal is used for irrigating plants at our in-house breeding stations. Starting in the coming financial year, we plan to develop and implement tailored water management concepts for breeding stations in regions with high or extremely high water stress in order to systematically improve the water efficiency of these breeding stations. A water management plan provides a structured overview of the current state of water management at a location and identifies appropriate actions to improve water efficiency, taking into account relevant influencing factors and a cost-benefit analysis.

Targets related to water and marine resources (E3-3)

E3 I Impact 2 and E3 I Risk 1

In line with our Sustainability Ambition 2035, we aim to improve water efficiency in our operations. To this end, we have defined specific targets for our breeding stations in financial year 2025/2026, as these facilities incur increased water withdrawals due to field irrigation. Group-wide, we currently operate 53 breeding stations, 34 of which are located in regions with high or extremely high water stress.

Sustainability Ambition 2035: Targets related to water and marine resources

	2035 target	06/30/2026	Annual target for 2026/2027	06/30/2026
Water efficiency	Development and implementation of tailored water management concepts for all 34 breeding stations in regions with high or extremely high water stress	0 of 34	We enable measurement of field irrigation at every breeding station globally	36 of 53

For our breeding stations experiencing high or extremely high water stress, tailored water management concepts are to be developed and implemented by 2035. A water management concept describes the current state of water management at a location and identifies suitable actions to improve water efficiency, taking into account various influencing factors and a cost-benefit analysis. We are currently in the planning phase for the basic framework and will begin developing tailored water management plans in the coming financial year. We intend to incorporate both the results of internal analyses and scientific findings into these individual water management concepts. Additionally, we have set ourselves the goal of further increasing transparency regarding our water withdrawals and making the field irrigation at our breeding stations fully measurable by June 30, 2027. The base year for our targets is the 2025/2026 financial year.

Methodology

The targets set by KWS are voluntary and not based on legal requirements. The targets were formulated in collaboration between the KWS Group's Group-wide sustainability department and key functions from R&D and breeding station management. From today's perspective, we do not consider an absolute reduction in our water withdrawal to be appropriate due to the impact of weather on our business model and the associated fluctuations in water demand.

To identify breeding stations in regions with high or extremely high water stress, we use the Aqueduct Water Risk Atlas from the World Resources Institute (WRI). The assessment is generally based on a 50-kilometer radius around the respective location. If an area of high or extremely high water stress is located within this radius, the entire breeding station is classified accordingly. A different methodology applies to vegetable breeding stations due to their significantly smaller operational radius. Here, a point-specific assessment is conducted based on the location. Since the Aqueduct Water Risk Atlas is continuously updated, the classification of our breeding stations is adjusted accordingly.

Water consumption (E3-4)

Our Group-wide water withdrawal for the past financial year is shown in the table below.

Water withdrawal

m^3	2025/2026
Water withdrawal	3,372,338

A large portion of our water withdrawal is attributable to field irrigation using surface water and groundwater. Moreover, a portion of the water withdrawn seeps into the ground during field irrigation and thus contributes to groundwater recharge.

Water intensity compares our water withdrawal to consolidated net sales and is presented below.

Water intensity

in m³ per million €	2025/2026
Water intensity	2,073

Our water intensity is based on the consolidated net sales reported in the Consolidated Statement of Comprehensive Income.

Methodology

The calculation of water withdrawal is based on Group-wide data collection by designated personnel at the various KWS locations, which is entered into a central data collection system. The data is then analyzed by the Group-wide sustainability department. For some KWS Group locations, complete data on water withdrawal for the financial year was not available at the time this report was prepared. Missing data was generally extrapolated based on prior-year figures, taking into account the average deviation from the prior year. Where no historical data was available, an estimate was made based on average values derived from the available consumption data for the current reporting period. For individual smaller leased office locations, water withdrawal was estimated using assumed average water withdrawal values per employee. Moreover, estimates were made for water withdrawals associated with field irrigation, as these are not always measured. The estimates are based on location- and crop-specific assumptions and were developed in collaboration with the respective local management. In financial year 2025/2026, 50% of our water withdrawals were determined through direct measurements, 0% based on sampling, 1% based on extrapolation and 49% based on best estimates.

2.4.2.4 Biodiversity and ecosystems

Material impacts, risks and opportunities and their interaction with strategy and business model (SBM-3)

As a plant breeding company, our business activities are closely linked to biodiversity and ecosystems. Our agricultural activities – in particular, the use of agricultural land and natural resources, as well as the use of agricultural inputs – have an impact on biodiversity and ecosystems. At the same time, KWS relies on functioning ecosystems and fertile soils, as they form an important foundation for breeding, seed propagation and agricultural production. However, as part of our business model, we can also specifically support the environmental sustainability of agricultural production systems through plant breeding. Strategic market opportunities arise in particular from the demand for varieties that enable higher yields on the same amount of land or require less use of plant protection products and fertilizers. We capitalize on these opportunities as part of our breeding activities. Consequently, we take into account our impacts, risks and opportunities related to biodiversity and ecosystems as we further develop our strategy and make business decisions. Through the actions described in the section “Actions and Resources Related to Biodiversity and Ecosystems (MDR-A)”, we address our impacts, risks and opportunities in this area while simultaneously strengthening our business model. Given these actions, our diversified product portfolio, our global presence and our breeding programs, we consider our strategy and business model to be resilient in relation to biodiversity and ecosystems.

Our material impacts, risks and opportunities related to biodiversity and ecosystems are presented in the table below.

Material impacts, risks and opportunities related to biodiversity and ecosystems

ID	Sustainability matter	Impact, risk or opportunity	Description	Value chain	Time horizon
E4 I Impact 1	Land-use change	Positive impact (actual)	Development of seed varieties that enable higher yields on the same production area, thereby counteracting land-use changes from natural ecosystems, such as forests, to areas for agricultural production	○	—
E4 I Impact 2	Environmental pollution	Positive impact (actual)	Enabling a reduction in the use of pesticides and fertilizers through the development of seed varieties that are less dependent on these inputs	○	—
E4 I Impact 3	Impacts on the status of species	Negative impact (actual)	Loss of biodiversity due to the use of pesticides and fertilizers in agricultural production	← ○ →	—
E4 I Impact 4	Impacts on the status of species	Negative impact (actual)	Restriction of species' habitats in connection with agricultural production	← ○ →	—
E4 I Impact 5	Soil degradation	Negative impact (potential)	Potential soil degradation due to inadequate soil management of agricultural land	← ○ →	—
E4 I Risk 1	Soil degradation	Risk	Yield losses in agricultural production due to a potential deterioration in soil health	○	■
E4 I Risk 2	Impacts and dependencies of ecosystem services	Risk	Yield losses in agricultural production due to the decline in ecosystem services such as pollination	○	■
E4 I Opportunity 1	Land-use change	Opportunity	Strategic market opportunity related to the general demand for seed varieties that enable higher yields on the same production area	○	■
E4 I Opportunity 2	Environmental pollution	Opportunity	Strategic market opportunity related to the general demand for seed varieties that are less dependent on pesticides and fertilizers	○	■

■ Short-term ■■ Medium-term ■■■ Long-term — Ongoing
← Upstream value chain ○ Own operations → Downstream value chain

Policies related to biodiversity and ecosystems (MDR-P)

Our work as a plant breeding company is directly linked to biodiversity and ecosystems. Accordingly, we address the resulting impacts, risks and opportunities through various policies. These are summarized in the table below.

Policies related to biodiversity and ecosystems

Policy	Content	Scope of application	Overarching responsibility	Commitment to external standards	Availability	Relevant impacts, risks and opportunities
Vision and mission	Definition of our overarching target and what KWS stands for	Group-wide	Executive Board	–	Website: www.kws.com/corp/en/company/vision-mission-values/	E4 I Impact 1 E4 I Impact 2 E4 I Impact 3 E4 I Impact 4 E4 I Impact 5 E4 I Risk 1 E4 I Risk 2 E4 I Opportunity 1 E4 I Opportunity 2
Strategic planning	Definition of strategic targets, initiatives and key actions with a ten-year time horizon as the basis for the further development of the KWS Group	Group-wide	Executive Board	–	Intranet	E4 I Impact 1 E4 I Impact 2 E4 I Impact 3 E4 I Impact 4 E4 I Impact 5 E4 I Risk 1 E4 I Risk 2 E4 I Opportunity 1 E4 I Opportunity 2
Health, Safety and Environment Guideline	Definition of minimum requirements for environmental protection, occupational and operational safety, as well as emergency preparedness and hazard mitigation	Group-wide	Executive Board	–	Intranet	E4 I Impact 3 E4 I Impact 4 E4 I Impact 5 E4 I Risk 1 E4 I Risk 2
Code of Business Ethics for Suppliers	Code to ensure that suppliers adhere to high standards regarding working conditions, ethical and lawful business practices and social and environmental requirements	Group-wide with regard to the upstream value chain	Executive Board	UN Guiding Principles on Business and Human Rights	Website: www.kws.com/corp/en/company/suppliers/code-of-business-ethics-for-suppliers.html Additional direct communication with suppliers	E4 I Impact 3 E4 I Impact 4 E4 I Impact 5 E4 I Risk 1 E4 I Risk 2

In line with our mission, we develop solutions in the form of varieties with higher yields and reduced input requirements, such as pesticides. In this way, we support the agricultural sector in successfully meeting the challenges of the future. Building on this, we analyze global developments and trends as part of our strategic planning and derive areas of action designed to support KWS's future growth. Sustainability matters are incorporated into these analyses.

Our HSE Guideline stipulates, Group-wide, that the use of materials such as plant protection products and fertilizers must be limited to the absolute minimum necessary. In doing so, both the relevant legal requirements and product-specific requirements must be complied with. The application of plant protection products may only be carried out by qualified personnel. Furthermore, the Guideline calls for strengthening soil health through appropriate soil management actions. KWS also sets out clear expectations regarding environmental protection for suppliers in the Code of Business Ethics for Suppliers. These include compliance with all applicable environmental regulations, the responsible use of natural resources and actions to avoid substances and materials that are harmful to the environment and human health. Besides, suppliers are expected to minimize environmental and health impacts as much as possible, prevent contamination of soil, water and air and implement and apply appropriate environmental management systems.

Actions and resources related to biodiversity and ecosystems (MDR-A)

Breeding programs for the development of varieties with lower environmental impacts

E4 I Impact 1, E4 I Impact 2, E4 I Impact 3, E4 I Impact 4, E4 I Impact 5, E4 I Risk 1, E4 I Risk 2, E4 I Opportunity 1 and E4 I Opportunity 2

KWS strives to make a positive contribution to the conservation of biodiversity and ecosystems. A key driver of this effort is our core business: Through breeding advances, we continuously develop varieties that enable higher and more stable yields on the same amount of land, thereby counteracting land-use changes resulting from the conversion of natural ecosystems into agricultural land. As part of our breeding efforts, we are working on reducing the need for inputs such as plant protection products and fertilizers – for example, through varieties with greater resilience – in order to minimize impacts on species and habitats.

KWS conducts targeted breeding programs with a range of different breeding targets. These breeding targets include specific traits, such as yield gain or resistance. As part of multi-year breeding programs, parent plants are specifically crossed and the offspring are systematically tested and selected based on defined target traits. Depending on the crop and the targets, we use traditional breeding approaches – including hybrid breeding – as well as complementary biotechnological methods to further develop variety traits such as yield stability and resilience. In this way, we indirectly contribute to reducing pressure on land use as well as the impact on species and habitats.

Development of biological seed treatments

E4 I Impact 3, E4 I Impact 4, E4 I Impact 5, E4 I Risk 1 and E4 I Risk 2

To counteract biodiversity loss caused by the use of plant protection products and fertilizers in agricultural production, we have been developing so-called “biologicals” for several years as an alternative or supplement to chemical seed treatments. These include microorganisms such as fungi and bacteria, as well as substances derived from plants or microorganisms. Biological seed treatments are already being used in sugarbeet, canola, corn, rye and sorghum crops. Furthermore, biological applications are being developed for other crops, including sunflowers, barley, spinach, fodder beet and beans.

Resilient cropping systems and sustainable agriculture

E4 I Impact 3, E4 I Impact 4, E4 I Impact 5, E4 I Risk 1 and E4 I Risk 2

The KWS Fit4NEXT cover crop mix program is an integral part of our offerings for farmers in Europe. With our tailored solutions, we support sustainable and resilient crop production. The mixtures specifically complement existing crop rotations and help to further improve their performance. Cover crops fulfill a variety of important functions: They protect the soil from stress and erosion, fix and store nutrients and provide valuable habitats for numerous animal and plant species. At the same time, they help suppress unwanted weeds and reduce the presence of harmful nematodes. The use of mixtures containing legumes also enables additional nitrogen fixation, thereby helping to reduce fertilizer requirements. Together with the preservation of nitrogen reserves already present in the soil, this supports an efficient and resource-conserving use of nutrients. Moreover, cover crops contribute to carbon sequestration by absorbing CO_2 from the atmosphere during their growth. After incorporation into the soil, a portion of the sequestered carbon can be stored long-term in the soil’s organic matter. In this way, they make an important contribution to maintaining and improving soil fertility.

Targets related to biodiversity and ecosystems (MDR-T)

With regard to the sustainability matter of biodiversity and ecosystems, KWS did not set any measurable, results-oriented targets during the reporting period. Setting such targets will only be considered once the necessary processes and procedures for Group-wide data collection, evaluation and management related to this topic have been established. A specific time horizon for this has not yet been defined. Nevertheless, KWS monitors the effectiveness of its strategies and actions in this area through regular internal management and review processes. A specific level of ambition has been defined with regard to the annual yield gain of seed varieties. Further details on this are provided in the chapter → 2.4.3.4 Consumers and End-Users in the section "Tracking effectiveness of strategies and actions through targets (MDR-T targets)" are described in more detail.

2.4.2.5 Sustainable Agricultural Practices

Material impacts, risks and opportunities and their interaction with strategy and business model (SBM-3)

Sustainable agriculture is of central importance to KWS. As part of our materiality analysis, we have therefore taken into account not only the sustainability matters defined in the ESRS but also entity-specific factors. Given our business model and our Sustainability Ambition 2035, we have identified sustainable agricultural practices as a material entity-specific issue. This issue is closely linked to our commitment to specifically empower farmers and contribute to productive and resource-efficient agriculture. It illustrates how our business activities are linked to sustainability matters and how financial opportunities for KWS arise from sustainable agricultural productivity and efficient farming practices. Thanks to its business model which focuses on breeding high-performing seed varieties and advising farmers as well as its strategy, the KWS Group is well-positioned to capitalize on these opportunities. Our products and advisory services help farms optimize their cultivation practices, use resources more efficiently and strengthen their resilience to changing environmental and market conditions. In this way, we contribute to productive and resource-efficient agriculture while simultaneously increasing the relevance of our service offerings for our customers. Against this backdrop, we expect positive effects on our earnings both now and in the future.

The topic of sustainable agricultural practices reflects our sustainability efforts within the context of our direct business activities and brings together various sustainability matters. Through our consulting and support for farmers,

- we promote the cultivation of seed varieties that can withstand extreme weather conditions and enable stable crop yields (chapter → 2.4.2.1 Climate Change);
- we promote the cultivation of drought-tolerant seed varieties and enable a reduction in water consumption in agriculture (chapter → 2.4.2.3 Water and Marine Resources);
- we promote the cultivation of seed varieties that are less dependent on pesticides and fertilizers, thereby enabling a reduction in the use of these inputs (see chapter → 2.4.2.4 Biodiversity and Ecosystems) as well as a reduction in greenhouse gas emissions through fewer field passes;
- we promote the cultivation of seed varieties that enable higher yields on the same area of land, thereby counteracting land-use changes from natural ecosystems, such as forests, to areas used for agricultural production (chapter → 2.4.2.4 Biodiversity and Ecosystems);
- we promote the cultivation of seed varieties that ensure yield stability and enable sustainable yield gains, thereby contributing to feeding a growing global population (chapter → 2.4.3.4 Consumers and End-Users).

Our material opportunity related to sustainable agricultural practices is presented in the following table.

Material impacts, risks and opportunities related to sustainable agricultural practices

ID	Sustainability matter	Impact, risk or opportunity	Description	Value chain	Time horizon
Entity-specific I Opportunity 1	Sustainable agricultural practices (entity-specific)	Opportunity	Financial opportunities related to empowering farmers by combining innovations in plant breeding with agronomic and digital support to optimize cultivation processes, enhance sustainability performance and adapt to market and climate changes	●	■

■ Short-term ■■ Medium-term ■■■ Long-term — Ongoing
Upstream value chain ● Own operations Downstream value chain

Policies related to sustainable agricultural practices (MDR-P)

The following overview presents our overarching policies related to sustainable agricultural practices.

Policies related to sustainable agricultural practices

Policy	Content	Scope of application	Overarching responsibility	Commitment to external standards	Availability	Relevant impacts, risks and opportunities
Vision and mission	Definition of our overarching target and what KWS stands for	Group-wide	Executive Board	–	Website: www.kws.com/corp/en/company/vision-mission-values/	Entity-specific I Opportunity 1
Strategic planning	Definition of strategic targets, initiatives and key actions with a ten-year time horizon as the basis for the further development of the KWS Group	Group-wide	Executive Board	–	Intranet	Entity-specific I Opportunity 1
Sustainability Ambition 2035	Definition of the KWS Group's sustainability targets	Group-wide	Executive Board	–	Website: www.kws.com/corp/en/sustainability/strategy-targets/	Entity-specific I Opportunity 1

In line with its vision and mission, the KWS Group aims to create added value for farmers. Through innovative plant breeding, KWS helps make agriculture more productive and resilient. At the same time, KWS is committed to promoting resource-efficient agriculture and contributing to feeding a growing global population. Our vision and mission are reflected in our strategic planning as well as in our Sustainability Ambition. Our Sustainability Ambition 2035 is presented at the beginning of our Non-Financial Declaration.

Actions and resources related to sustainable agricultural practices (MDR-A)

Targeted expansion of our advisory services and support for farmers

Entity-specific I Opportunity 1

As part of its sales organization, the KWS Group continuously tracks agricultural land owned by its customers – the farmers – on which both digital applications and advisory services are utilized. Building on this, KWS pursues a data-driven management approach to expand sustainable agricultural practices by advising and supporting farmers.

Key actions include prioritizing farmers with high land area and value potential, structured planning of customer support and visits and ongoing monitoring of relevant performance metrics to identify and close gaps in coverage. Furthermore, KWS is specifically aligning its sales resources toward effective customer interactions, strengthening sales effectiveness through training and incentive programs and continuously optimizing operational processes to efficiently increase its reach across relevant agricultural land.

Targets related to sustainable agricultural practices (MDR-T)

Entity-specific I Opportunity 1

In line with our Sustainability Ambition 2035, we aim to empower farmers through targeted advice and support and, in this context, expand sustainable agricultural practices. For this reason, we have set a target for the "Supported Hectares" metric. This metric indicates how many hectares of agricultural land are covered by customers using KWS's digital tools and on which additional expert advice is provided. It thus enables us to assess the scope of support for agricultural land, which is provided through digital solutions and advisory services, thereby strengthening sustainable agricultural practices.

Sustainability Ambition 2035: Targets related to sustainable agricultural practices

in hectares	2035 target	Annual target for 2026/2027	2025/2026
Supported hectares	35 million hectares farmed by KWS customers are supported by digital tools and advisory services	30 million hectares farmed by KWS customers will be supported by digital tools and advisory services	30 million hectares

The first data collection of supported hectares was conducted in financial year 2025/2026, which also serves as the base year for the targets. Management continuously monitors this metric as part of sustainability and business management and uses it to assess the reach of digital solutions. The metric does not provide direct insight into environmental or social impacts. Instead, it reflects KWS's efforts to empower farmers and expand sustainable agricultural practices.

Methodology

The supported hectares metric is based on the global agricultural land of KWS customers whom KWS supports through direct advisory services. The calculation of supported hectares is based on land area data voluntarily entered by farmers via the myKWS platform. The focus here is on dialogue with customers. As part of the supported hectares metric, the agricultural land of customers with whom interactions took place during the financial year is recorded. Possible interactions include in-person visits, order entries, web meetings, or phone calls; interactions via the myKWS platform; and verifiable digital interactions in the context of opened emails. Purely one-way communication without the possibility of feedback – such as via text message – is not taken into account. Duplicate counts of interactions regarding the same land parcels are excluded through system-level aggregation. The data is collected annually based on defined internal IT systems and operational reports. The target was defined in collaboration with our Commercial Analytics division. In this way, insights into customer expectations and market-based requirements were specifically incorporated into the definition of the target.

2.4.2.6 EU Taxonomy

In accordance with Article 8 of the EU Taxonomy Regulation (EU) 2020/852 and the supplementary delegated acts thereto, KWS is required to disclose the proportions of Taxonomy-eligible and Taxonomy-aligned turnover, capital expenditures (CapEx) and operating expenditures (OpEx) in relation to the following environmental objectives for the financial year 2025/2026:

- climate change mitigation,
- climate change adaptation,
- sustainable use and protection of water and marine resources,
- transition to a circular economy,
- pollution prevention and control,
- protection and restoration of biodiversity and ecosystems.

The European Commission publishes delegated acts that set out criteria for assessing the sustainable pursuit of economic activities with regard to the environmental objectives. As a first step, an economic activity is Taxonomy-eligible if it is described in one of these delegated acts. In this case, criteria for assessing the sustainability of this economic activity are laid down in the relevant delegated act. If an economic activity is Taxonomy-eligible, the second step is to assess whether it is pursued in an environmentally sustainable manner, i.e. whether it is Taxonomy-aligned.

A Taxonomy-eligible economic activity is deemed to be Taxonomy-aligned if it

- contributes substantially to at least one environmental objective,
- does not significantly harm other environmental objectives and
- is carried out in compliance with the minimum safeguards.

The requirements regarding the substantial contribution and the avoidance of significant harm are activity-specific, whereas compliance with the minimum safeguards applies in principle across all activities. The minimum safeguards comprise existing procedures that ensure compliance with the following frameworks:

- the OECD Guidelines for Multinational Enterprises,
- the UN Guiding Principles on Business and Human Rights,
- the Declaration of the International Labour Organisation (ILO) on Fundamental Principles and Rights at Work and
- the International Bill of Human Rights.

The requirements for compliance with the minimum safeguards are concretized by the Final Report on Minimum Safeguards by the Platform on Sustainable Finance (PSF). Accordingly, the minimum safeguards relate to four core topics: human rights (including labour and consumer rights), corruption and bribery, taxation and fair competition. Our analysis has shown that we ensure compliance with the minimum safeguards.

In order to avoid double-counting in determining the Taxonomy-eligible and Taxonomy-aligned proportions, economic activities are considered under only one environmental objective.

Commission Delegated Regulation (EU) 2026/73 of July 4, 2025 simplifies the requirements for EU Taxonomy reporting. The regulation generally applies to reports published on or after January 1, 2026. The simplifications include, in particular, the introduction of a materiality principle and a streamlining of the reporting templates.

Under the materiality principle, a full assessment of Taxonomy-eligibility or Taxonomy-alignment with respect to a specific KPI may be waived if the proportion of Taxonomy-eligible economic activities related to that KPI is less than 10% in total. The materiality principle must be applied separately to each of the KPIs: turnover, CapEx and OpEx. We apply the 10% materiality threshold to the three key performance indicators.

Turnover

Turnover corresponds to consolidated net revenue in accordance with IAS 1.82(a) as presented in the Consolidated Statement of Comprehensive Income. The relevant accounting policies are presented in the Consolidated Financial Statements in the section → 3.6 Recognition of income and expenses of the Notes. Our total turnover (we use the term “net sales” in our Financial Statements) in financial year 2025/2026 was €1,626.8 (1,676.6) million.

As a plant breeding company, our core business activities are currently not covered by the European Commission's delegated acts on the six environmental objectives and are therefore not Taxonomy-eligible. That means there are at present no activity-specific criteria that we can use to assess the environmental sustainability of our turnover. Consequently, the proportions of our Taxonomy-eligible and Taxonomy-aligned turnover in financial year 2025/2026 are 0% (0%) each and are thus below the materiality threshold of 10%.

Operating expenditure (OpEx)

The EU Taxonomy defines operating expenditures (OpEx) as direct, non-capitalized costs relating to research & development, building renovation measures, short-term lease, maintenance and repairs and other direct expenditures relating to the day-to-day servicing of assets of property, plant and equipment. In financial year 2025/2026, our total operating expenditure amounted to €365.0 (370.0) million.

To drive innovation, we invest a significant amount in research & development every year. Accordingly, our operating expenditures (OpEx) consist largely of research & development expenses. Since the EU Taxonomy does not yet include economic activities in the field of plant breeding, the proportion of our Taxonomy-eligible operating expenditures (OpEx) in financial year 2025/2026 amounts to 0.3% and thus falls below the materiality threshold of 10%. These operating expenditures relate to the economic sector "Construction and Real Estate".

Capital expenditure (CapEx)

Capital expenditures comprise gross additions to property, plant and equipment (IAS 16), intangible assets (IAS 38) and right-of-use assets (IFRS 16). The relevant accounting policies are presented in the Consolidated Financial Statements in the sections → **3.7 Intangible assets**, → **3.8 Property, plant and equipment** and → **3.9 Leases** of the Notes. In financial year 2025/2026, our total capital expenditure amounted to €135.6 (134.9) million. This total value comprises additions to intangible assets (Notes section → **7.1 Intangible Assets**), property, plant and equipment (Notes section → **7.2 Property, Plant and Equipment**) and rights-of-use assets (Notes section → **7.15 Leases**) during the period under review.

In financial year 2025/2026, material Taxonomy-eligible and Taxonomy-aligned capital expenditures were identified. These are summarized in the following table:

Taxonomy-eligible and Taxonomy-aligned capital expenditures (CapEx)

Economic activity (environmental objective)	Taxonomy-aligned capital expenditures 2025/2026 in € million	Taxonomy-eligible capital expenditures 2025/2026 in € million
6.5 Transport by motorcycles, passenger cars and light commercial vehicles (climate change mitigation)	0	13.2
7.6 Installation, maintenance and repair of renewable energy technologies (climate change mitigation)	1.5	1.6
7.7 Acquisition and ownership of buildings (climate change mitigation)	0	14.5
Total	**1.5**	**29.3**

In the financial year just ended, Taxonomy-aligned capital expenditures (CapEx) related to the economic activity “7.6 Installation, maintenance and repair of renewable energy technologies” under the environmental objective “climate change mitigation” were identified in the amount of €1.5 million. This represents a proportion of 1.1% of total capital expenditures (CapEx). These Taxonomy-aligned capital expenditures (CapEx) primarily relate to photovoltaic and heat recovery systems.

Furthermore, there are Taxonomy-eligible capital expenditures that are not material. These accounted for 9.7% of total capital expenditures in the financial year and are therefore below the materiality threshold of 10%. These capital expenditures relate to the economic sectors “Manufacturing”, “Energy”, “Water supply, sewerage, waste management and remediation”, “Transportation”, and “Construction and real estate”.

The templates required to be disclosed in accordance with the EU Taxonomy Regulation are presented below.

Template 1: Proportion of turnover, CapEx and OpEx from products or services associated with Taxonomy-eligible or Taxonomy-aligned economic activities – Disclosure for financial year 2025/2026 (Summary)

KPI	Total	2025/2026			Breakdown by environmental objectives of Taxonomy-aligned activities						Proportion of enabling activities	Proportion of transitional activities	Not assessed activities considered non-material	Taxonomy-aligned activities 2024/2025	Proportion of Taxonomy-aligned activities 2024/2025
		Proportion of Taxonomy-eligible activities	Taxonomy-aligned activities	Proportion of Taxonomy-aligned activities	Climate change mitigation	Climate change adaptation	Water	Circular economy	Pollution	Biodiversity					
(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)	(13)	(14)	(15)	(16)
	in € thousand	%	in € thousand	%	%	%	%	%	%	%	%	%	%	in € thousand	%
Turnover	1,626,821	0	0	0	0	0	0	0	0	0	0	0	0	0	0
CapEx	135,627	21.6	1,477	1.1	0	0	0	0	0	0	0	0	9.7	16,582	12.3
OpEx	364,956	0	0	0	0	0	0	0	0	0	0	0	0.3	0	0

Template 2: Proportion of CapEx from goods or services associated with Taxonomy-eligible or Taxonomy-aligned economic activities – Disclosure for 2025/2026 financial year (Breakdown by activity)

Economic activities	2025/2026			Environmental objective of taxonomy-compliant activities									
	Code	Proportion of Taxonomy-eligible CapEx	Taxonomy-aligned CapEx	Proportion of Taxonomy-aligned CapEx	Climate change mitigation	Climate change adaptation	Water	Circular economy	Pollution	Biodiversity	Enabling activity	Transitional activity	Proportion of Taxonomy-aligned in Taxonomy-eligible
(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)	(13)	(14)
		%	in € thousand	%	%	%	%	%	%	%	ggf. E	ggf. T	%
Transport by motorcycles, passenger cars and light commercial vehicles	CCM 6.5	9.7	0	0	0	0	0	0	0	0		T	0
Installation, maintenance and repair of renewable energy technologies	CCM 7.6	1.2	1,477	1.1	1.1	0	0	0	0	0	E		93.4
Acquisition and ownership of buildings	CCM 7.7	10.7	0	0	0	0	0	0	0	0			0
Sum of alignment per objective					**1.1**	**0**	**0**	**0**	**0**	**0**			
Total CapEx		**21.6**	**1,477**	**1.1**	**1.1**	**0**	**0**	**0**	**0**	**0**			**5.0**

2.4.3 Social Information

2.4.3.1 Own Workforce

Material impacts, risks and opportunities and their interaction with strategy and business model (SBM-3)

Our workforce is a key factor in the success of our corporate strategy and the sustainable development of our business model. Moreover, our qualified and dedicated employees make a significant contribution to the successful execution of research & development, production, marketing and sales, as well as administration throughout our value chain. The working environment of the own workforce is closely linked to KWS's operational performance, innovative strength and competitiveness. Accordingly, actual and potential impacts as well as risks and opportunities related to our own workforce are incorporated into the further development of our strategy, our business model and our business decisions. This is reflected in corresponding policies, actions and targets, which are continuously evaluated and further developed as needed. The goal is to mitigate our potential negative impacts as much as possible, strengthen our positive impacts and, in doing so, to utilize the opportunities arising from a qualified, dedicated and long-term committed workforce. In this way, we promote the long-term performance and resilience of the KWS Group. Our corporate values – closeness, reliability, foresight and independence – are firmly anchored in our corporate culture. They form the foundation for collaboration within the company and for how we interact with our own workforce. On this basis, we contribute to a work environment characterized by mutual respect, personal recognition and collaborative partnership, which supports the long-term retention of our employees. Our material impacts, risks and opportunities related to our own workforce thus interact with our strategy and business model and are presented below.

Material impacts, risks and opportunities related to own workforce

ID	Sustainability matter	Impact, risk or opportunity	Description	Value chain	Time horizon
S1 I Impact 1	Working conditions	Positive impact (actual)	Proactive creation of positive working conditions that go beyond legal requirements	●	—
S1 I Impact 2	Training and skills development	Positive impact (actual)	Promotion of our employees' professional and personal skills	●	—
S1 I Impact 3	Diversity	Positive impact (actual)	Promoting diversity in the workplace	●	—
S1 I Impact 4	Health and safety	Negative impact (potential)	Potential adverse effects on the health of our own workforce due to exposure to physical, psychological and social health risks	●	■
S1 I Impact 5	Gender equality and equal pay for equal work	Negative impact (potential)	Potential unconscious discrimination against employees in terms of compensation based on gender	●	■
S1 I Impact 6	Measures against violence and harassment in the workplace	Negative impact (potential)	Potential inappropriate and intrusive behavior in the workplace despite existing preventive measures	●	■
S1 I Opportunity 1	Working conditions	Opportunity	Strengthening employee attraction and retention by proactively creating positive working conditions that go beyond legal requirements	●	■
S1 I Opportunity 2	Training and skills development	Opportunity	Increased efficiency through the targeted, continuous professional development of our employees and the resulting improvement in employee satisfaction	●	■

■ Short-term ■■ Medium-term ■■■ Long-term — Ongoing
← Upstream value chain ● Own operations → Downstream value chain

Our employees are a key factor in KWS's sustainable business success. Accordingly, we specifically design the work environment to foster positive impacts for our employees. This creates financial opportunities, particularly in attracting and retaining qualified talent and in fostering high employee engagement. The identified positive impacts and the resulting opportunities primarily relate to our own employees. At the same time, KWS systematically analyzes potential impacts and addresses them through appropriate measures. Potential negative impacts on the health of the workforce, as well as potential inappropriate behavior – including workplace harassment – typically occur as individual incidents. In contrast, potential unconscious discrimination against the workforce regarding compensation based on gender can also occur systematically, for example, more frequently in certain regions. Negative impacts on the health of our workforce can occur in particular as a result of physical health risks at our breeding and production sites.

As part of our materiality analysis, we have gained an understanding of which groups within our own workforce may be potentially more affected by negative impacts due to their work contexts or specific characteristics. This understanding was derived from the systematic evaluation of internal information sources, such as accident statistics, as well as insights from HR processes. Furthermore, characteristics such as gender were taken into account to consider factors that may influence the extent to which individuals are affected by negative impacts.

Our statements regarding our own workforce address both our employees and our non-employee workers who may be affected by material impacts. We have not identified any material impacts resulting from transition plans aimed at reducing negative environmental impacts and achieving more environmentally friendly and climate-neutral operations.

Types of employees and non-employee workers within our own workforce

Composition of our own workforce	Description
Employees	
Research & development	Employees who contribute to the development of seed varieties, for example through plant breeding or genetic research
Production	Employees who propagate and process seeds and ensure their quality
Marketing and sales	Employees who market seeds and complementary solutions such as digital tools and who advise and support customers such as farmers
Administration	Employees who work in central functions such as human resources, finance, or IT
Seasonal employees	Employees who perform seasonal harvesting tasks or are employed in areas related to production and research
Non-employee workers	
Self-employed workers	External, self-employed workers (e.g., consultants, interim managers, service providers) who provide services to KWS on a contractual basis without being in a traditional employment relationship
Employees provided by third-party companies	External workers who perform seasonal harvesting tasks or are employed in areas related to production and research without being in a traditional employment relationship

Policies related to own workforce (S1-1)

KWS aims at ensuring a fair and safe work environment, promoting the professional and personal development of employees and strengthening its long-term attractivity as an employer. The policies outlined below form the foundation for addressing our material impacts, risks and opportunities related to our own workforce.

Policies related to own workforce

Policy	Content	Scope of applications	Overarching responsibility	Commitment to external standards	Availability	Relevant impacts, risks and opportunities
Sustainability Ambition 2035	Definition of the KWS Group's sustainability goals	Group-wide	Executive Board	–	Website: www.kws.com/corp/en/sustainability/strategy-targets/	S1 I Impact 1 S1 I Impact 2 S1 I Impact 3 S1 I Impact 4 S1 I Impact 5 S1 I Impact 6 S1 I Opportunity 1 S1 I Opportunity 2
Collective bargaining agreements	A written agreement between employers and labor unions governing work-related conditions and rights, particularly issues of compensation	Own employees at respective locations	Respective management	–	Intranet	S1 I Impact 1 S1 I Opportunity 1
Company agreements	Written agreements between the employer and the works council that establish binding rules governing working conditions within the company	The company's own employees at the respective locations	Respective management and works council	–	Intranet	S1 I Impact 1 S1 I Opportunity 1
Code of Business Ethics	Code setting forth binding principles of business ethics and compliance with legal frameworks	Group-wide for own workforce	Executive Board	–	Website: www.kws.com/corp/en/sustainability/social-responsibility/human-rights-due-diligence/	S1 I Impact 3 S1 I Impact 4 S1 I Impact 5 S1 I Impact 6
Human Rights Policy	Definition of Minimum Requirements Regarding Human Rights	Group-wide for own workforce	Executive Board	UN Guiding Principles on Business and Human Rights OECD due diligence on human rights German supply chain law	Website: www.kws.com/corp/en/sustainability/social-responsibility/human-rights-due-diligence/	S1 I Impact 3 S1 I Impact 4 S1 I Impact 5 S1 I Impact 6

Policy	Content	Scope of applications	Overarching responsibility	Commitment to external standards	Availability	Relevant impacts, risks and opportunities
Health, Safety and Environment Guideline	Definition of minimum requirements for environmental protection, occupational and operational safety, as well as emergency preparedness and hazard mitigation	Group-wide for own workforce	Executive Board	–	Intranet	S1 I Impact 4
Leadership Capability Model	A central framework for executives that describes the material capabilities required for effective leadership at KWS	Group-wide for own employees	Global HR	–	Intranet	S1 I Impact 2 S1 I Opportunity 2
Leadership development framework	A structured development framework for executives to define the skills, behaviors and training required at various leadership levels	Group-wide for our own employees	Global HR	–	Intranet	S1 I Impact 2 S1 I Opportunity 2
Diversity & Inclusion concept	Concept for a holistic approach to promoting diversity, equal opportunities and inclusive collaboration at KWS	Group-wide for own workforce	Global HR	–	Global HR	S1 I Impact 3

The interests of our own workforce are generally taken into account in all of the policies described, but particularly in collective bargaining and company agreements.

Human rights

KWS is committed to internationally recognized human rights standards, such as the United Nations (UN) Charter of Human Rights and the relevant standards of the International Labour Organisation (ILO). We have enshrined the principles of these and other human rights standards in our Human Rights Policy. In this context, we prohibit all forms of human trafficking, forced labour and child labour. We also commit to respecting human rights in our Code of Business Ethics. As a member of the UN Global Compact (UNGC) network, KWS submits an annual progress report in accordance with defined requirements. Moreover, KWS has an internal management system for human rights due diligence that monitors compliance with the UN Guiding Principles on Business and Human Rights, the International Labor Organization's Declaration on Fundamental Principles and Rights at Work and the OECD Guidelines for Multinational Companies regarding the fulfillment of human rights due diligence obligations. The management system is based on the OECD Guidelines for Multinational Companies and is described in our Human Rights Policy. In addition, our employees' right to health is addressed in greater depth through our HSE Guideline and our HSE Management System. We are aware of our responsibility to take appropriate remediation measures as part of our human rights due diligence obligations. Our approach to addressing negative impacts, including those related to human rights, is described in the section "Processes to remediate negative impacts and channels for own workers to raise concerns (S1-3)".

Furthermore, our Code of Business Ethics for Suppliers sets out requirements for our suppliers regarding worker safety, fair employment conditions and the prohibition of human trafficking, forced labour and child labour. These provisions are in line with applicable ILO standards. Further information on our workforce in the value chain is provided in chapter → **2.4.3.2 Workers in the Value Chain**.

Anti-discrimination

KWS takes a firm stand against any form of discrimination and advocates for equal opportunities and rights for all employees. We have codified this in our Code of Business Ethics, which is binding on all employees. Besides, the principle of equal treatment is addressed in our Human Rights Policy. The KWS Group does not tolerate any discrimination against its employees. In accordance with ILO Conventions No. 100 and No. 111, we prohibit discrimination and harassment in the workplace and promote a diverse, fair and inclusive environment in which all employees are treated with dignity and respect and the rights of vulnerable employees are safeguarded. Employees must not be disadvantaged, given preferential treatment, or harassed on the basis of characteristics such as gender and gender identity, skin color, ethnic origin, religion, nationality, political or other beliefs, disability, age, sexual orientation, social background, or other characteristics protected by local laws. Building on this, we address the topics of diversity, equal opportunities and inclusive collaboration in our Diversity & Inclusion Concept to promote them holistically at KWS. Actions to promote diversity are described in the section "Taking action on material impacts on own workforce and approaches to mitigating material risks and pursuing material opportunities related to own workforce and effectiveness of those actions (S1-4)".

Processes for engaging with own workers and workers' representatives about impacts (S1-2)

KWS views ongoing dialogue with employees as a central component of corporate due diligence and as a valuable source of inspiration for the further development of our business activities. Depending on national frameworks and local structures, our employees are engaged – either directly or through workers' representatives – regarding the impacts of KWS on them. Their perspectives are incorporated through various processes into initiatives and decisions designed to address actual and potential impacts on them. Depending on the content and urgency of the feedback, it is taken into account directly or indirectly in policies, guidelines and actions.

General procedures for incorporating the perspectives of our own workforce

Channel	Description	Target group	Frequency
Co-determination bodies	Works councils and, where applicable, other employee participation bodies in the respective countries	Company's own employees	Ongoing
Employee surveys	Annual survey for all employees as well as ad hoc surveys	Company's own employees	Annual or as needed
HR Business Partner	Point of contact for strategic HR-related topics	Company's own employees	Ongoing
Intranet	Feedback via posts on the intranet	Our own employees with access to the intranet	Ongoing
Town Hall Meetings	Virtual meeting formats on specific topics with opportunities for active participation	Company's own employees	Several times a year
Hiring Surveys	Feedback on the application process and onboarding	Candidates who have had a job interview with the KWS Group	Ongoing
Employee-supervisor dialogue	Annual employee feedback meeting between employees and leaders	Company's own employees	Ongoing
360° or 270° feedback	Anonymous feedback for leaders	Leaders at the first three management levels or potential future leaders	Ongoing

We assess the effectiveness of our engagement primarily through participation and response rates, as well as the results. Operational responsibility for engaging our own workforce and incorporating the results into corporate strategies lies with the Executive Board member responsible for Global Human Resources. With its business model which focuses on breeding high-yielding seed varieties and empowering farmers as well as with its strategic direction, the KWS Group is well-positioned to capitalize on these opportunities.

Processes to remediate negative impacts and channels for own workers to raise concerns (S1-3)

In general, employees can address their concerns at any time by speaking with their leader, the appropriate HR contacts, or – at locations with the relevant structures – workers' representatives. Additionally, leaders are required to identify any adverse impacts on the health of their own workforce and report them through the "Health & Safety Incident Reporting".

Furthermore, the KWS Group has specific compliance reporting channels through which concerns and complaints can be raised. These include the KWS Group Compliance Office and the Compliance Reporting Platform. With the Compliance Reporting Platform, KWS has established a whistleblower system through which concerns can also be reported anonymously if necessary. KWS works to ensure that its own workforce is familiar with the existing structures and reporting channels and has confidence in them. The effectiveness of these channels is promoted in particular through regular communication, training, their integration into relevant policies and a corporate culture that encourages the open expression of concerns. In accordance with our Code of Business Ethics, no one who reports a violation in good faith need fear retaliation. For tracking and monitoring purposes, reported concerns are recorded in an appropriate manner and processed until resolution. Incoming reports are received, reviewed, investigated and documented. If necessary, external or regulatory authorities are involved in the investigation. Depending on the outcome of the investigation, appropriate actions are taken. Based on the circumstances, remedies may include, for example, corrective and preventive actions, process adjustments, training, disciplinary measures, support for affected individuals and restitution. The effectiveness of the remediation measures is evaluated on a case-by-case basis, particularly with regard to whether the reported issue has been resolved, whether recurrences have been prevented and whether affected individuals were involved in the investigation to the extent possible and appropriate. The insights gained from this are incorporated into the further development of processes, training and preventive measures.

Taking action on material impacts on own workforce and approaches to mitigating material risks and pursuing material opportunities related to own workforce and effectiveness of those actions (S1-4)

KWS is taking steps to prevent material negative impacts on its own workforce, reinforce positive impacts and capitalize on the resulting opportunities. These actions are integrated into our existing business processes and are primarily planned, coordinated and implemented by the HR department. With regard to potential negative impacts, the HSE Management and the Compliance department, in addition to the HR department, are also taking appropriate actions. Areas requiring action are identified through, among other things, employee surveys, dialogue with workers' representatives and HR functions, the Employee-Supervisor Dialogue, reports submitted via compliance reporting channels and, where applicable, through appropriate metrics or internal audits. At the same time, this process is used to track the effectiveness of existing actions. The responsible functions and management levels evaluate the results and, if necessary, implement local or Group-wide actions. Accordingly, we strive to further enhance transparency regarding our own workforce by collecting data and determining key performance indicators. KWS aims to avoid negative impacts of its own business practices on its workforce, for example in connection with the use of personal data. Details on the handling of personal data are included in chapter → 2.4.4.1 Business Conduct under the section "Data protection". If negative impacts on our own workforce are identified in connection with business relationships, KWS addresses them. Further information on this can be found in the section "Processes to remediate negative impacts and channels for own workers to raise concerns (S1-3)". By strengthening our positive impacts in relation to working conditions, training and skills development – as well as diversity – we simultaneously capitalize on the resulting opportunities.

Our various actions related to our material impacts, risks and opportunities are described below.

Working conditions

S1 I Impact 1 and S1 I Opportunity 1

The working conditions of KWS Group employees are governed by the respective country-specific legal requirements and are set forth in their employment contracts. We structure our compensation in accordance with prevailing market standards. Depending on the country and company, a KWS employee's compensation package consists of base pay and various benefits. In addition, depending on the country and company, we offer our employees the opportunity to share in the company's success, for example through performance-based and variable compensation models as well as an employee share program. The principle of equal pay is the target of our compensation policy and is reflected in laws, collective bargaining agreements and company regulations, where such regulations exist. The same applies, for example, to regulations regarding working time, vacation, business travel and partial retirement.

The collective representation of employees' interests vis-à-vis the respective management is carried out by locally elected works councils, as well as, where applicable, by youth and trainee representatives and representatives for employees with severe disabilities. Employee participation bodies exist in Germany, France, Spain and the Netherlands, among other countries. These bodies work closely and in a spirit of trust with the respective management and maintain an open and constructive dialogue. In countries where there is no collective employee representation, we place the same great importance on treating employees with respect and maintaining an open dialogue with them as where we have employee representatives. If the workforce expresses a desire for collective employee representation or if such representation is required by law, we support our employees in establishing it. For example, new employee participation bodies were established in Spain and the Netherlands during the past financial year. Since 2015, the European Employee Committee (EEC) has served as a European employee representative body, successfully and trustfully collaborating with company management on cross-border matters within the EU. The structured integration of employee interests helps actively shape the day-to-day work environment and continuously promote positive working conditions.

KWS is committed to a family-friendly work environment. Our employees' life situations are diverse and unique. Accordingly, their needs regarding working time and work location also vary. One of the factors that enables our employees to achieve a good work-life balance is our wide range of working time models, which are available to nearly all employees. In addition, we have a global policy that generally allows our employees to work remotely, provided this is compatible with their specific job duties and local laws. At our Berlin location, where employees from more than 60 countries are represented, there is the option of working remotely from abroad for a limited period of time. In this way, we enable our employees to spend additional time with their families abroad.

Training and other skills development initiatives

S1 I Impact 2 and S1 I Opportunity 2

To support the professional development of our employees, individual development dialogues are held annually between employees and leaders. Furthermore, we have a structured talent and succession management process. This process targets securing the long-term staffing of critical positions and promoting internal development opportunities. It also includes the Orientation Center (OC), which is conducted once or twice a year to evaluate potential successors for senior leadership roles.

Our portfolio of international leadership development programs is based on the "Leadership Capability Model" and takes a holistic approach to developing leadership competencies. It combines structured feedback formats (such as 360°/270° feedback), international training programs and specific development formats for different career stages – from high-potential employees to experienced leaders. The target is to strengthen values-based leadership, promote individual growth and prepare leaders specifically for their current and future responsibilities. In financial year 2025/2026, 282 employees from various KWS Group locations began or completed one or more modules of the leadership development program.

To support our employees in developing their soft skills, we have been offering the Knowledge Expert Programs Levels I and II since 2023/2024. Each three-day training session is designed for generalists and subject matter experts alike and teaches skills that enable participants to act effectively even without formal leadership responsibilities. Participants learn to apply their expertise strategically, build relationships with leaders, drive innovation and contribute to company-wide performance. Following the pilot group for Level I in financial year 2024/2025, Level II was also piloted in 2025/2026. A total of 28 employees participated in the programs in 2025/2026.

As part of our professional development initiatives, we have been specifically strengthening our employees' skills in managing change since the 2025/2026 financial year. Through a central intranet page, we provide comprehensive information, guidelines and support services that offer guidance in situations of change and promote knowledge transfer. Additionally, since the end of the reporting year, we have been offering target-group-specific training formats for employees and leaders alike, aimed at actively shaping change processes, constructively addressing uncertainties and sustainably strengthening the organization's adaptability.

The KWS Learning Management System makes our international training and development offerings transparent and easily accessible to our employees worldwide. In addition, it encompasses our internal subject-specific academies, such as the International Sugarbeet Academy, the Sales and Farming Academy and the various self-study options that extend beyond professional development. Our self-study offerings include, for example, LinkedIn Learning and Bookboon.

In keeping with the KWS essence "Make yourself grow", we will continue to focus on supporting and challenging our employees and leaders, while continuously expanding our training portfolio both nationally and internationally.

Diversity

S1 I Impact 3

The diversity of our employees is reflected, among other things, in their individual educational backgrounds, skills, knowledge, experiences, beliefs, personalities and ideas and represents an important competitive advantage for us. In financial year 2022/2023, a five-year diversity strategy was developed that aims to promote diversity among employees and leaders as well as an inclusive corporate culture. The resulting actions are designed to strengthen all diversity dimensions, with a particular focus on age, gender and nationality. During the reporting year, initiatives were implemented that contribute to a more inclusive work environment. For example, a global intranet page on diversity and inclusion was set up and launched; among other things, it provides information on unconscious biases, offers leaders guidance on fostering an inclusive leadership culture and consolidates training opportunities on various diversity topics.

In general, an inclusive leadership culture plays a crucial role at KWS. This is reflected in our "Leadership Capability Model", in which "promoting Diversity and developing talent" is one of six key competencies and is an integral part of our Assessment, Orientation and Development Centers as well as our annual performance reviews.

Occupational health and safety

S1 I Impact 4

KWS has a globally oriented HSE Management System. Our internal occupational safety standards include technical, organizational and occupational health actions to prevent workplace accidents and work-related ill health. We regularly review the implementation of these standards through internal audits. The HSE Guideline serves as a material tool for implementation by establishing a global framework. Among other things, it stipulates that the respective leaders must ensure the reporting of workplace accidents. Our breeding and production sites are the primary areas where accidents occur. After analyzing the respective accident hotspots, targeted actions are taken in the form of training or, if necessary, decisions to modify work processes. In financial year 2024/2025, an awareness campaign on occupational health and safety was launched as a supporting measure, which will be supplemented by further actions in financial year 2026/2027.

Gender equality and equal pay for equal work

S1 I Impact 5

We are committed to gender equality and have a target to ensure equal opportunities as well as fair and non-discriminatory compensation for all employees. The fundamental principle here is: equal pay for work of equal value. To provide women with equal opportunities for leadership positions, the Group-wide diversity concept outlines targeted actions to break down structural barriers and promote equal development opportunities. For example, during the reporting year, the "Women Mentoring Program" was introduced – a mentoring program for women that specifically promotes female talent, supports their career development and contributes to the sustainable development of future female leaders.

Actions against inappropriate and harassing behavior in the workplace

S1 I Impact 6

KWS combats violence, harassment and other forms of inappropriate and abusive behavior in the workplace through binding policies, clear rules of conduct and established reporting and remedial procedures. KWS provides various channels for the early detection of such incidents. Employees can contact their leader, the Human Resources department, or – where applicable – workers' representatives. Moreover, the Group-wide Compliance Reporting Platform serves as a reporting channel through which anonymous reports of harassment, violence, or other integrity violations can be submitted. In accordance with our Code of Business Ethics, we are committed to complying with all applicable laws as well as the company's rules of conduct. Our Compliance Management System serves to ensure compliance with all applicable internal and external regulations and is described in more detail in chapter → **2.4.4.1 Business Conduct**.

Employee attraction and retention

S1 I Opportunity 1

The central focus of our human resources efforts is our ambition to be recognized as the employer of choice in the seed industry over the long-term. In light of our planned growth, demographic changes and the increasing labor shortage, we therefore place particular emphasis on creating an attractive work environment for both current employees and potential new talent. An important foundation for this is our Employer Value Proposition, which defines KWS's unique selling points as an employer and is currently being revised.

To ensure that KWS's recruitment process is candidate-centric, we analyze each step a candidate takes, from their first contact with KWS through to hiring. In financial year 2025/2026, the project focused on implementing more effective and target-group-oriented communication actions on our website, but especially on social media. For example, an international group of employees was formed to serve as Social Media Advocates. These employees received specialized training in social media communication and now regularly post about KWS on social media.

Supporting young talent is a particular priority for KWS. For this reason, we award scholarships to universities and offer a global graduate program for graduates in agricultural sciences as well as interdisciplinary fields such as international business administration with an agricultural focus. Furthermore, it is important to us to offer high-quality apprenticeship opportunities. This is reflected in the quality of our training programs. For example, KWS SAAT SE & Co. KGaA holds the "TOP AUSBILDUNG" quality seal from the Hanover Chamber of Industry and Commerce (IHK). In the past financial year, we once again supported many young people on their path to obtaining a vocational qualification and entering the workforce.

To give young scientists insights into research & development work at KWS, we organized the "R&D TalentCampus" in Einbeck for the second time in financial year 2025/2026. The target of the event is to provide participants with insights into the practical work of one of the leading plant breeding companies and to maintain KWS's traditionally close ties to scientific educational institutions. Throughout the day, participants at the "R&D TalentCampus" could choose from around 90 program activities: guided tours, presentations, exhibits and even a hackathon. More than 500 participants moved from station to station, visiting the laboratory, the wheat breeding field and the greenhouse; discussing data models and disease resistance; and gradually gaining an understanding of how the individual topics are interconnected.

Employee satisfaction

S1 I Opportunity 2

For generations, our employees have been the key to our success. Each individual's strong commitment and determination to give their best every day make all the difference and reflect our unique culture in a forward-looking work environment. To this end, we conduct an annual Group-wide Employee Engagement Survey. The Employee Engagement Survey provides us with valuable insights into both the strengths and areas for improvement in our work environment. The results of the Employee Engagement Survey are discussed within the various teams. Based on these results, specific actions are planned and implemented. Additionally, we conduct targeted employee surveys as part of projects and processes to incorporate employee feedback directly into these ongoing initiatives.

Targets related to managing material negative impacts, advancing positive impacts and managing material risks and opportunities (S1 – 5)

Our Sustainability Ambition includes two targets related to our own workforce. These targets pertain to our Employee Engagement Index, which is determined as part of our Employee Engagement Survey, as well as to the topic of Occupational health and safety. These targets, set by KWS, are voluntary and not based on legal requirements. Our Sustainability Ambition is presented at the beginning of our Non-Financial Declaration. Moreover, we are pursuing another target to increase the share of women in leadership positions. Our progress toward these targets is regularly monitored by the relevant departments.

Employee feedback

S1 I Impact 1, S1 I Impact 2, S1 I Impact 3, S1 I Impact 4, S1 I Impact 5, S1 I Impact 6, S1 I Opportunity 1 and S1 I Opportunity 2

The Group-wide annual Employee Engagement Survey is a key tool for regularly gathering feedback from the workforce, deriving actions from it and assessing their impact. In financial year 2025/2026, the survey comprised a total of 45 questions, three of which allowed participants to provide comments of any length. The Employee Engagement Survey includes, among other things, questions on topics such as leadership, culture, strategy, working conditions, development, compensation, safety and well-being and thus directly or indirectly addresses all of our material impacts, risks and opportunities related to our workforce. Based on the results of the Employee Engagement Survey, the Employee Engagement Index (EEI) is calculated as the average of the share of positive responses to three key questions. Our target for the EEI is presented in the table below.

Sustainability Ambition 2035: Targets for the employee engagement index

	2035 target	Annual target for 2026/2027	Global Benchmark 2025/2026	EEI 2025/2026
Employee Engagement Index (EEI)	Our EEI consistently meets or exceeds the annual external global benchmark	Our EEI meets or exceeds the annual external global benchmark	73%	73%

Although the EEI may vary from year to year, we strive to maintain a consistently high level of employee engagement. For this reason, KWS has set a target to ensure that the Employee Engagement Index always meets or exceeds the external global benchmark from the survey.

Methodology
Our Employee Engagement Survey is aimed at all active employees, including working students and interns, who had been employed by the KWS Group for at least three months at the start of the survey. Seasonal employees are therefore not included in the participant pool. The targets were defined by the HR department as part of the development of our Sustainability Ambition 2035 and confirmed by the responsible member of the Executive Board. No other stakeholders were involved in setting the target. The global benchmark reflects the results of surveys conducted by approximately 500 companies that administered an employee survey in cooperation with the same external provider. It is calculated as a moving average over the last three years and thus represents a global benchmark that incorporates feedback from a broad employee base at other companies. The global benchmark is provided to us annually by the external provider of our Employee Engagement Survey.

Occupational health and safety
S1 I Impact 4
KWS pursues the clear target of systematically reducing workplace accidents and creating safe working conditions for its own workforce. This is reflected in an overarching target for the Lost Time Incident Rate (LTIR), which is set for the year 2035. Moreover, annual targets are defined to continuously manage and monitor progress. The LTIR indicates the number of work-related accidents resulting in lost-time days per million hours worked and is thus used to assess workplace safety.

Sustainability Ambition 2035: Target for the Lost Time Incident Rate

	2035 target[1]	Annual target for 2026/2027	2025/2026
Lost Time Incident Rate (LTIR)[1]	≤5	≤7.5	5.9

1 Work-related accidents involving employees with at least one lost workday per million hours worked.

As part of our targets, the LTIR does not include commuting accidents unless driving was part of the employee's job or the transportation was organized by the KWS Group. Our LTIR, including commuting accidents, is 7.4.

Methodology
This target was established in collaboration with Group-wide HSE management as part of the development of our Sustainability Ambition 2035. It was based on our past experience in occupational health and safety, including historical accident metrics. The methodology for calculating the LTIR is described in the section "Health and safety metrics (S1-14)".

Gender equality and equal pay for equal work
S1 I Impact 5
KWS is committed to promoting gender equality, particularly with regard to the equal participation of women in leadership positions. Therefore, we have set a target to increase the share of female leaders.

Target for the share of female leaders at top management level

	Target for 2026/2027	2025/2026
Share of female leaders at top management level		
First management level	≥25%	19%
Second management level	≥30%	26%

Methodology
As part of the implementation of the Leadership Positions Act, KWS established targets for the first time in 2017 regarding the share of female executives at the first two management levels below the Executive Board. These targets were set by the HR department and approved by the full Executive Board. They are based on the annual trend in the share of women in the first two management levels at KWS and form the basis for a continuous increase in the share of female executives. The share of female executives is determined based on the headcount of executives in the first two management levels below the Executive Board as of June 30, 2026, broken down by gender.

Characteristics of the company's employees (S1–6)

Transparent insights into the workforce structure are essential for understanding trends in our workforce and for strategically steering human resources management actions. In financial year 2025/2026, KWS employed an average of 6,168 employees, including seasonal employees. The total number of employees and their breakdown by gender are shown in the following table.

Employees by gender

Headcount	2025/2026
Male	3,659
Female	2,508
Not reported	1
Total	**6,168**

KWS currently has employees in 33 countries. The following table breaks down the total number of employees by country in which KWS has 50 or more employees, representing at least 10% of the company's total workforce.

Employees by country

Headcount	2025/2026
Germany	2,864
Total	**2,864**

Additional information on our headcount can be found in the Notes to the Consolidated Financial Statements under → 6.6 Personnel Expenses/Employees.

The following table shows our employees by contract type and gender.

Employees by contract type and gender

Headcount	2025/2026			
	Female	Male	Not reported	Total
Number of permanent employees	1,927	3,024	1	4,952
Number of temporary employees[1]	115	159	0	274
Number of seasonal employees	466	476	0	942
Total	**2,508**	**3,659**	**1**	**6,168**
Number of full-time employees	1,546	3,005	1	4,552
Number of part-time employees	496	178	0	674
Total[1]	**2,042**	**3,183**	**1**	**5,226**

1 Excluding seasonal employees.

Part-time work offers employees the opportunity to flexibly adjust their working time to their personal circumstances. It thus supports the work-life balance as well as other individual needs and is accordingly integrated into our internal processes.

The number of employees who left the company during the reporting period was 570. The employee turnover rate for the reporting period was 10.5%. These figures do not include seasonal employees, who are specifically hired on a seasonal basis during harvest periods.

Methodology

Unless otherwise specified, the employee figures in this and the following sections are based on the headcount. They include all active employees of the KWS Group, including seasonal employees. The employee figures do not include apprentices, working students, or interns. Moreover, the categories of our own employees and non-employee workers within our own workforce are presented in the section "Material Impacts, Risks and Opportunities and Their Interaction with Strategy and Business Model (SBM-3)". In accordance with Section 267 of German GAAP, average figures for the current financial year are calculated based on the quarterly reporting dates of September 30, 2025, December 31, 2025, March 31, 2026 and June 30, 2026. The employee turnover rate indicates how many employees left the company during the financial year, relative to the average number of employees. The average number of employees used to calculate the employee turnover rate is derived from the employee headcounts as of July 1, 2025 and June 30, 2026.

Diversity metrics (S1-9)

Diversity in the workforce and in leadership roles helps to incorporate different perspectives and strengthen equal opportunities. The distribution of our employees by age group is shown in the following table.

Employees by age group[1]

Headcount	2025/2026
Under 30 years	1,122
30 to 50 years old	3,597
Over 50 years old	1,351
Total	**6,070**

1 Since the age of employees changes over the course of the financial year, we report this metric as of June 30, 2026.

The following table provides an overview of the gender distribution at the top management level. In accordance with the ESRS, the definition of top management corresponds to the first two levels below the Executive Board.

Gender distribution at the top management level

Headcount	2025/2026
Female leaders	37
Male leaders	111
Total	**148**

In percentage terms, 25% of employees at the top management level are female and 75% are male.

Health and safety metrics (S1-14)

Occupational health and safety are essential for preventing workplace accidents and safeguarding the well-being of our employees. Moreover, selected key performance indicators help us transparently track the status and development of our occupational health and safety performance.

Health and safety of our own workforce

	2025/2026
Share of our own workforce covered by the health and safety management system	100%
Number of employee fatalities resulting from work-related injuries and work-related ill health	0
Number of reportable work-related accidents involving employees	64
Rate of reportable workplace accidents involving employees / Lost Time Incident Rate (LTIR)[1]	5.9
Commuting accidents involving employees[2]	17
Rate of reportable workplace accidents involving employees / Lost Time Incident Rate (LTIR) including commuting accidents[1]	7.4
Number of fatalities resulting from work-related injuries and work-related ill health among other employees employed at KWS locations	0

1 Work-related accidents involving employees resulting in at least one lost workday per million hours worked.
2 Provided that the trips were not part of the employee's work or the transportation was not organized by the company.

Methodology

Work-related accidents include work-related injuries and work-related ill health. These result from hazards in the workplace. Commuting accidents are not included if the trip was not part of the employee's work or if the transportation was not organized by the company. To calculate the LTIR, the work-related accidents that occurred during the financial year and resulted in at least one day of absence are divided by the annual hours worked and multiplied by one million. The annual hours worked are primarily based on the contractually agreed-upon annual working hours, minus absences with continued pay. In individual cases, working hours are estimated based on expected working time. For seasonal employees, the actual hours worked are used.

Incidents, complaints and severe human rights impacts (S1-17)

Responsible handling of incidents and complaints is essential to protect the rights of our employees, strengthen trust and effectively address grievances.

Number of reported incidents of discrimination and work-related complaints

	2025/2026
Number of reported incidents of discrimination (including harassment)	18
Number of work-related complaints filed through channels where employees can raise concerns[1]	8
Number of work-related complaints filed to the OECD National Contact Points for Multinational Companies[1]	0

1 Excluding reported incidents of discrimination (including harassment).

In financial year 2025/2026, no material fines, penalties and compensation for damages were incurred in connection with the incidents and complaints. Moreover, no severe human rights incidents involving the company's own workforce – such as forced labour, human trafficking, or child labour – were identified in financial year 2025/2026.

Methodology

Work-related complaints include complaints regarding working conditions, equal treatment, equal opportunities and other work-related rights. Incidents and complaints can be reported through the KWS Group's compliance reporting channels and are assessed and classified at the professional discretion of the compliance officers. Our Compliance Management System, including our compliance reporting channels, is described in chapter → 2.4.4.1 Business conduct.

2.4.3.2 Workers in the Value Chain

Material impacts, risks and opportunities and their interaction with strategy and business model (SBM-3)

As an internationally active plant breeding and seed company, KWS is integrated into a global value chain. This includes, in particular, agricultural operations for seed propagation, processing and logistics service providers, as well as sales and distribution structures in various geographic regions. Due to the labor-intensive nature of the agricultural industry and, in some cases, limited regulation in individual production countries, there are inherent human rights risks for workers in the value chain. Moreover, as part of our materiality analysis, we have identified the following potential human rights impacts on workers in the value chain.

Material impacts, risks and opportunities related to workers in the value chain

ID	Sustainability matter	Impact, risk or opportunity	Description	Value chain	Time horizon
S2 I Impact 1	Working conditions	Negative impact (potential)	Potentially inadequate working conditions in our upstream and downstream value chains, which may be exacerbated by informal employment practices in the agricultural industry	← →	■
S2 I Impact 2	Child labor or forced labor	Negative impact (potential)	Potential cases of child or forced labour in our upstream and downstream value chains due to the presence of high-risk regions where such practices have historically been documented in agriculture	← →	■

■ Short-term ■■ Medium-term ■■■ Long-term — Ongoing
← Upstream value chain ○ Own operations → Downstream value chain

In the agricultural industry, there may be heightened risks of inadequate working conditions, which are exacerbated by informal employment practices. Furthermore, certain geographic regions are structurally exposed to an increased risk of child labor and incidents of forced labor in the agricultural industry. These risks primarily affect workers at suppliers, contractors and other actors in the value chain, over whose employment practices KWS has only limited direct influence. Our potential negative impacts related to workers in the value chain are taken into account in the further development of our human rights due diligence obligations as well as in our business decisions. This applies in particular to our collaboration with business partners in the upstream value chain. The identified issues shape both our procurement practices and our self-image as a seed company that acts responsibly. Human rights due diligence will be increasingly integrated into the procurement process in the future. Moreover, KWS conducts an annual risk analysis of human rights-related risks in the upstream supply chain. The risk analysis serves to identify potential risks at an early stage and to take appropriate risk mitigation measures along the upstream value chain. In this way, we strengthen the resilience of our business model.

Policies related to value chain workers (MDR-P)

KWS's strategic approach aims to identify potential negative impacts at an early stage, prioritize them based on risk and gradually integrate mitigation measures into existing governance, risk and procurement processes. In doing so, KWS is committed to respecting internationally recognized labor and human rights standards and pursues a continuous improvement approach. To implement this commitment, the Human Rights Policy and the Code of Business

Ethics for Suppliers have been established Group-wide. They provide the framework for actively promoting working conditions and business practices that comply with human rights standards throughout our value chain.

Policies related to value chain workers

Policy	Content	Scope of application	Overarching responsibility	Commitment to external standards	Availability	Relevant impacts, risks and opportunities
Code of Business Ethics for Suppliers	Code to ensure that suppliers adhere to high standards regarding working conditions, ethical and lawful business practices, as well as social and environmental requirements	Group-wide with regard to the upstream value chain	Executive Board	UN Guiding Principles on Business and Human Rights	Website: www.kws.com/corp/en/company/suppliers/code-of-business-ethics-for-suppliers.html	S2 I Impact 1 S2 I Impact 2
Human rights policy	Definition of minimum requirements regarding human rights	Group-wide	Executive Board	UN Guiding Principles on Business and Human Rights OECD Due Diligence on Human Rights German Supply Chain Act	Website: www.kws.com/corp/en/sustainability/social-responsibility/human-rights-due-diligence/	S2 I Impact 1 S2 I Impact 2

Our Code of Business Ethics for Suppliers is available in German, English, French and Spanish on our website.

Actions and resources related to value chain workers (MDR-A)

We continuously identify and assess potential human rights risks in our value chain. Based on this analysis, we review the ongoing development of our specific prevention and remediation measures. To address the identified potential negative impacts, KWS implements measures as part of existing company-wide processes and policies. These include, in particular, the actions described below.

Contractual incorporation of fundamental expectations regarding labor and human rights standards for business partners

S2 I Impact 1 and S2 I Impact 2

KWS expects suppliers to comply with all internationally recognized standards regarding human rights, working conditions, ethical business practices and other relevant social and environmental requirements. Our Code of Business Ethics for Suppliers provides the framework for this. It sets forth the minimum standards that the KWS Group expects its suppliers to meet. For the supply of goods and services, purchasing contracts are concluded based on standardized contract templates that define the framework conditions, including the significance of the Code of Business Ethics for Suppliers.

Identification of regions and stages of the value chain with an increased risk of potentially inadequate working conditions, as well as potential child or forced labour

S2 I Impact 1 and S2 I Impact 2

KWS conducts an annual human rights risk analysis for the countries and upstream stages of the Group's value chain. The first step in this process is an abstract risk analysis, which systematically identifies those countries and stages of the value chain where potential human rights risks may exist. Among other things, risks related to inadequate working conditions as well as potential child or forced labour are assessed. The analysis thus provides a structured foundation for identifying risk areas at an early stage and deriving appropriate follow-up measures within the framework of the specific risk analysis.

Consideration of human rights risks in supplier audits

S2 I Impact 1 and S2 I Impact 2

Based on the results of the risk analyses, KWS conducts risk-based audits of suppliers. Moreover, since 2024 KWS has had an audit process in place that governs the procedure for global supplier audits, which serve to verify compliance with established social and environmental standards in accordance with the Supply Chain Due Diligence Act.

Targets related to value chain workers (MDR-T)

KWS strives to avoid potential negative impacts on workers in the value chain. There are currently no measurable, results-oriented targets in this regard. At present, the focus is on the gradual expansion of transparency, risk-based due diligence processes and the integration of human rights considerations into relevant business processes. The definition of measurable, results-oriented targets will only be considered once reliable data is available. The effectiveness of strategies and actions related to value chain workers is regularly reviewed as part of the human rights due diligence systems.

2.4.3.3 Affected Communities

Material impacts, risks and opportunities and their interaction with strategy and business model (SBM-3)

As an international seed company, KWS interacts with local communities in a variety of ways. The agricultural value chain is associated with various impacts on affected communities. Water is a business-critical resource in agriculture. Water withdrawals for agricultural production can potentially lead to deterioration in the availability of water for local communities. Furthermore, agricultural production regularly involves the use of pesticides and fertilizers, which can also affect access to clean water. Since agricultural activities often take place in rural areas, they simultaneously create important jobs and promote the economic security of affected communities. These impacts are closely linked to our business model and can influence our strategy as well as business decisions, such as site selection.

As an active member of society, we aim to extend our corporate values – such as foresight, proximity and reliability – beyond the boundaries of our company into society at large. For this reason, we make an annual financial contribution to support social projects. Our commitment focuses on education and science – particularly in the fields of natural and agricultural sciences – as well as on nutrition. Our commitment encompasses both international and regional projects aimed at enhancing the attractiveness of KWS locations. We view this commitment as an opportunity resulting from strengthened trust in KWS, increased regional attractiveness of KWS locations and an expansion of the KWS science and talent network. However, the associated positive financial impact cannot be reliably quantified.

The following table summarizes our material impacts and opportunities in relation to affected communities.

Material impacts, risks and opportunities related to affected communities

ID	Sustainability matter	Impact, risk or opportunity	Description	Value chain	Time horizon
S3 I Impact 1	Safety-related impacts	Positive impact (actual)	Strengthening of rural regions through the creation of important jobs and sources of income in rural areas	← ● →	—
S3 I Impact 2	Water and sanitation	Negative impact (potential)	Potential deterioration of access to clean water due to agricultural water withdrawals and the use of fertilizers and pesticides in agricultural production	← ● →	■
S3 I Opportunity 1	Social engagement (entity-specific)	Opportunity	Financial opportunities related to strengthening trust in KWS, increasing the regional appeal of KWS locations and expanding the KWS science and talent network in connection with the KWS Group's social engagement	●	■

■ Short-term ■■ Medium-term ■■■ Long-term — Ongoing
← Upstream value chain ● Own operations → Downstream value chain

KWS has Group-wide environmental and social standards that govern the responsible use of natural resources and the consideration of social concerns. Building on these, we take appropriate actions to manage our material impacts, risks and opportunities. On this basis, we strengthen the resilience of our strategy and business model in the face of our impacts, risks and opportunities related to affected communities. Details on the responsible use of water resources are presented in section → 2.4.2.3 Water and Marine Resources. Moreover, section → 2.4.2.4 Biodiversity and Ecosystems contains information regarding the use of fertilizers and plant protection products. The chapter → 2.4.3.1 Own workforce contains information on KWS's role as an employer. The information in this chapter focuses on the KWS Group's social engagement.

Policies related to affected communities (MDR-P)

With regard to social engagement, KWS sees itself as an active member of society and pursues the target of assuming corporate responsibility beyond its core business activities. The KWS Group also incorporates this into its Sustainability Ambition 2035. The strategic guiding principle of social engagement is:

"Provide expertise, resources and inspiration to generate a social impact from science to farm to fork".

The internal Social Engagement Guideline provides the binding framework for social engagement.

Policies related to affected communities

Policy	Content	Scope of application	Overarching responsibility	Commitment to external standards	Availability	Relevant impacts, risks and opportunities
Sustainability Ambition 2035	Definition of the KWS Group's sustainability targets	Group-wide	Executive Board	–	Website: www.kws.com/corp/en/sustainability/strategy-targets/	S3 I Opportunity 1
Social Engagement Guideline	Definition of standards for the decentralized organization of social engagement and the implementation of partnership-based projects with a focus on natural sciences, agriculture and food	Group-wide	Executive Board	UN Sustainable Development Goals	Intranet	S3 I Opportunity 1

Actions and resources related to affected communities (MDR-A)

Regional engagement at KWS locations

S3 I Opportunity 1

KWS is particularly active in the cities and communities where its locations are situated, which are often in rural regions. The target of this engagement is to support local socioeconomic development while also enhancing the appeal of the surrounding region. This is achieved, among other things, through long-term public-private partnerships, ongoing cultural initiatives such as the "KWS Art Lounge" and the "Kulturkrafttage", as well as through support for local cultural, social and socioeconomic projects.

Education in the field of natural sciences

S3 I Opportunity 1

To promote the next generation of scientists, KWS is committed to various long-term educational initiatives. These include, among other things, sponsoring the state finals of "Jugend forscht junior" to foster STEM skills over the long term, as well as operating a student laboratory in Einbeck. During the 2025/2026 financial year, KWS awarded various scholarship programs, including university scholarships in the field of research & development, "Deutschlandstipendium" scholarships in the field of human resources and the Ferdinand von Lochow Scholarship for particularly dedicated students of agricultural sciences.

Education and development in agriculture

S3 I Opportunity 1

A particular focus of our social engagement is on development cooperation in Africa, which contributes to the economic empowerment of rural communities. In Zambia, KWS is collaborating with Good Nature Agro to improve access to inputs, market connections and locally adapted seeds, including for corn, beans, sorghum and sunflowers. Besides, the training project with Good Hope Zambia e. V. was continued in financial year 2025/2026, which trains young farmers in regenerative farming methods. In Kenya, KWS is continuing its partnership with Agventure to diversify cropping systems and is supporting improved access to more resilient varieties, including maize, sorghum, sunflowers, rapeseed and peas. KWS also promotes initiatives to support the next generation of agricultural professionals and foster social dialogue on resource-efficient agriculture. These include projects that bring agricultural topics directly into the community, such as a local farm club or the Forum on Modern Agriculture.

Education in the field of nutrition
S3 I Opportunity 1
In the area of nutrition, KWS supports projects focused on nutrition education and food security. This includes the establishment of ten school gardens in Brazil in cooperation with STÄDTE OHNE HUNGER e. V., ranging in size from 100 to 3,000 m². The target is to promote access to fresh vegetables for children from socially disadvantaged backgrounds. The collaboration began in the financial year 2024/2025 and is contractually set to last five years. Furthermore, KWS has been supporting school garden projects in Berlin and Wohlde since 2024/2025 in cooperation with Acker e. V., with this partnership set to last four years.

Engagement in crisis contexts
S3 I Opportunity 1
KWS also continued its commitment to Ukraine in the 2025/2026 financial year. In addition, KWS provided targeted sponsorship to support projects initiated by employees.

Targets related to affected communities (MDR-T)
S3 I Opportunity 1
The importance of KWS's social engagement is firmly anchored in the company's strategic sustainability goals. The KWS Executive Board has committed to allocating approximately 1% of annual operating profit (EBIT) to social projects and social engagement by 2035.

Sustainability Ambition 2035: Targets related to affected communities

in %	2035 target	Annual target for 2026/2027	2025/2026
Social spending	Allocation of 1% of annual operating profit (EBIT) to social projects and social engagement	Allocation of 0.7% of annual operating profit (EBIT) to social projects and social engagement	0.8%

Our operating profit can be found in our Consolidated Statement of Comprehensive Income.

These targets support affected communities while also helping to realize business opportunities, for example by strengthening trust in KWS and enhancing the regional appeal of KWS locations. The stated targets are voluntary and are not based on legal requirements.

Expenditures for social engagement in financial year 2025/2026 are broken down as follows.

Expenditures for social engagement

in € million	2025/2026
Expenditures for social engagement	**2.0**
of which for donations as well as for development programs in Kenya and Zambia	1.3
of which for sponsorship activities	0.7
As a percentage of operating income (EBIT)	**0.8**

Methodology
Our expenditures for social engagement are calculated based on the expenses recorded during the financial year that are allocated to social engagement according to defined criteria. These expenses are identified, validated and totaled. The total amount is then compared to operating profit (EBIT) and reported as a percentage share.

2.4.3.4 Consumers and End-Users

Material impacts, risks and opportunities and their interaction with strategy and business model (SBM-3)

As a plant breeding and seed company, KWS is a key actor in the agricultural value chain and thus stands at the beginning of food production for consumers. As part of our materiality analysis, we have identified one material impact and one material opportunity related to consumers and end-users, which are presented in the following table.

Material impacts, risks and opportunities related to consumers and end-users

ID	Sustainability matter	Impact, risk or opportunity	Description	Value chain	Time horizon
S4 I Impact 1	Personal safety of consumers and end-users	Positive impact (actual)	Contribution to feeding a growing global population through a diverse portfolio of seed varieties that enable yield security and sustainable yield gains	Downstream	Ongoing
S4 I Opportunity 1	Personal safety of consumers and end-users	Opportunity	Strategic market opportunity related to the growing global population and the resulting increase in demand for food	Own operations	Short-term

Short-term | Medium-term | Long-term | Ongoing
Upstream value chain | Own operations | Downstream value chain

Through advances in plant breeding, KWS makes a tangible, positive contribution to feeding a growing global population. We achieve this progress through the continuous development of innovative seed varieties. KWS focuses on sugarbeet, corn, sunflower and soybean seeds; cereal seeds such as rye, wheat, barley and canola; and vegetable seeds. With this broad product range, KWS serves both conventional and organic farming. Moreover, innovative plant breeding helps make agricultural production more resource-efficient. A particular focus here is on continuously achieving yield gain and enhancing the robustness of our varieties. Varieties that reliably deliver high yields help alleviate the pressure on arable land in food production caused by the growing global population, thereby supporting long-term food security. This positive impact presents the KWS Group with a strategic market opportunity that is closely linked to its core business. Based on its strategic orientation and its business model focused on breeding high-performing seed varieties, the KWS Group is well-positioned to capitalize on this opportunity. Accordingly, we incorporate this topic into our vision and mission, our strategic planning and our Sustainability Ambition 2035. The strategic market opportunity we see in the rising demand for food can have positive effects on our earnings in the short, medium and long-term. We do not currently provide a separate, direct quantification of these effects.

Policies related to consumers and end-users (MDR-P)

KWS aims to contribute to resource-efficient agriculture through innovative plant breeding. In doing so, KWS indirectly supports the food supply for consumers. The following overview presents our overarching policies related to this topic.

Policies related to consumers and end-users

Policy	Content	Scope of application	Overarching responsibility	Commitment to external standards	Availability	Relevant impacts, risks and opportunities
Vision and mission	Definition of our overarching target and what KWS stands for	Group-wide	Executive Board	–	Website: https://www.kws.com/corp/en/company/vision-mission-values/	S4 I Impact 1 S4 I Opportunity 1
Strategic planning	Definition of strategic targets, initiatives and key actions with a ten-year time horizon as the basis for the further development of the KWS Group	Group-wide	Executive Board	–	Intranet	S4 I Impact 1 S4 I Opportunity 1
Sustainability Ambition 2035	Definition of the KWS Group's sustainability targets	Group-wide	Executive Board	–	Website: https://www.kws.com/corp/en/sustainability/strategy-targets/	S4 I Impact 1 S4 I Opportunity 1

In line with our vision and mission, KWS seeds are at the beginning of the food chain – and can indirectly make an important contribution across the entire agricultural production process. Through innovative plant breeding, KWS helps strengthen the performance and resilience of agriculture. This commitment is reflected both in our strategic planning and in our Sustainability Ambition 2035. As part of our Sustainability Ambition, we aim to promote the resilience of agriculture and, in this context, contribute to yield gains. Our Sustainability Ambition 2035 is presented at the beginning of our Non-Financial Declaration.

Actions and resources related to consumers and end-users (MDR-A)

Yield gain through breeding programs

S4 I Impact 1 and S4 I Opportunity 1

Through our core business, we make a positive contribution to feeding a growing global population. Thanks to breeding advances, we develop varieties that enable higher and more stable yields on the same amount of farmland. In this way, we help limit the growing demand for land in food production and thereby support long-term food security. To this end, we carry out targeted breeding programs that take into account breeding objectives such as yield gain. Depending on the crop type and targets, various breeding methods are employed.

Targets related to consumers and end-users (MDR-T)

S4 I Impact 1 and S4 I Opportunity 1

As part of our Sustainability Ambition 2035, we strive to promote the resilience of agriculture. In this way, we can contribute to feeding a growing global population. For this reason, we have set the following targets regarding annual yield gains through seed varieties.

Sustainability Ambition 2035: Target for annual yield gain

in %	2035 target	Annual target for 2026/2027	2025/2026
Annual Yield Gain[1]	Cumulative yield gain of 10% compared to the base year 2025/2026	Annual yield gain of 0.7% compared to the base year 2025/2026	1.1%

1 Data collected for the German and British markets. The metric is calculated based on the crop types corn, wheat, barley, canola, rye and sugarbeet.

The annual yield gain achieved through new plant varieties serves as an indicator for KWS of the effectiveness and progress of our breeding programs. Moreover, this metric supports the monitoring of strategic development in the areas of plant breeding and innovation performance. The targets set are voluntary and not based on legal requirements.

Methodology

The annual yield gain is calculated using a rolling ten-year index. This is based on the results of all KWS varieties in official, standardized trials conducted by the regulatory authorities for the crop types corn, wheat, barley, canola, rye and sugarbeet in Germany and the United Kingdom. To account for differences in market size, the ten-year indices are weighted based on the respective country's sales revenue. The reported yield gain corresponds to the average of the last three revenue-weighted ten-year indices. The targets were set in collaboration with the Research & Development division based on yield gains achieved to date, the potential of ongoing breeding programs and expected scientific and strategic developments.

2.4.4 Governance Information

2.4.4.1 Business Conduct

Material impacts, risks and opportunities and their interaction with strategy and business model (SBM-3)

Our business conduct encompasses competent, forward-looking and transparent corporate governance. This forms the basis for the trust that business partners, employees, investors and the public place in our company. At the same time, our business conduct shapes our corporate culture by providing guidance for responsible, ethical and compliant conduct. As part of our business model, we process confidential information and personal data. Accordingly, we consider information security and data protection to be material components of effective business conduct, as they support the protection of confidential information and personal data, as well as the reliability of our business processes. Based on our existing processes and management systems in the areas of information security and data protection, we consider our business model to be resilient to the resulting risks. Furthermore, we view a strong corporate culture as a prerequisite for sustainable and stable financial growth. For this reason, we take the further development of our corporate culture into account in strategic and business decisions. The following section outlines KWS's material impacts, risks and opportunities related to business conduct.

Material impacts, risks and opportunities related to business conduct

ID	Sustainability matter	Impact, risk or opportunity	Description	Value chain	Time horizon
G1 I Impact 1	Corporate culture	Positive impact (actual)	Strengthening corporate culture by creating visible structures and processes, promoting clarity regarding lived values and shaping fundamental beliefs and norms	Own operations	Ongoing
G1 I Impact 2	Information security and data protection (entity-specific)	Negative impact (potential)	Potential occurrence of incidents related to information security and data protection	Own operations	Short-term
G1 I Risk 1	Information security and data protection (entity-specific)	Risk	Legal, reputational, or operational costs resulting from potential information security and data protection incidents	Own operations	Short-term
G1 I Opportunity 1	Corporate culture	Opportunity	Promoting stable financial growth through a strong corporate culture	Own operations	Short-term

Short-term | Medium-term | Long-term | Ongoing
Upstream value chain | Own operations | Downstream value chain

The impact and risks associated with information security and data protection are entity-specific.

Business conduct policies and corporate culture (G1-1)

Business conduct and corporate culture form the binding framework for ethical conduct, compliant decision-making and responsible collaboration within the KWS Group. The implementation of our business conduct and corporate culture is based in particular on the policies and guidelines outlined below:

Policies related to business conduct

Policy	Content	Scope of application	Overarching responsibility	Commitment to external standards	Availability	Relevant impacts, risks and opportunities
Vision and mission	Definition of our overarching target and what KWS stands for	Group-wide	Executive Board	–	Website: www.kws.com/corp/en/company/vision-mission-values/	G1 I Impact 1 G1 I Opportunity 1
Code of Business Ethics	Code setting forth binding principles of business ethics and compliance with legal frameworks	Group-wide	Executive Board	–	Website: www.kws.com/corp/en/sustainability/social-responsibility/human-rights-due-diligence/	G1 I Impact 1 G1 I Opportunity 1
Code of Business Ethics for Suppliers	Code to ensure that suppliers adhere to high standards regarding working conditions, ethical and lawful business practices and social and environmental requirements	Group-wide with regard to the upstream value chain	Executive Board	UN Guiding Principles on Business and Human Rights	Website: www.kws.com/corp/en/company/suppliers/code-of-business-ethics-for-suppliers.html	G1 I Impact 1 G1 I Opportunity 1
Compli-ance Policy	Framework for compliance activities	Group-wide	Executive Board	–	Intranet	G1 I Impact 1 G1 I Opportunity 1
Compliance Reporting Channels Guideline	Description of the procedure for reporting potential violations of governance principles or legal requirements, as well as other misconduct, including the existing reporting channels	Group-wide	Executive Board	–	Intranet	G1 I Impact 1 G1 I Opportunity 1
Human Rights Policy	Definition of minimum requirements regarding human rights	Group-wide	Executive Board	UN Guiding Principles on Business and Human Rights OECD Due Diligence on Human Rights German Supply Chain Act	Website: www.kws.com/corp/en/sustainability/social-responsibility/human-rights-due-diligence/	G1 I Impact 1 G1 I Opportunity 1

Policy	Content	Scope of application	Overarching responsibility	Commitment to external standards	Availability	Relevant impacts, risks and opportunities
Health, Safety and Environment Guideline	Definition of minimum requirements for environmental protection, occupational and operational safety, as well as emergency preparedness and hazard prevention	Group-wide	Executive Board	–	Intranet	G1 I Impact 1 G1 I Opportunity 1
Information Security Guideline	Basic framework for ensuring information security	Group-wide	Executive Board	–	Intranet	G1 I Impact 2 G1 I Risk 1
Data Protection Standards Guideline	Definition of data protection standards to ensure a high level of data protection and prevent unlawful processing of personal data	Group-wide	Executive Board	–	Intranet	G1 I Impact 2 G1 I Risk 1

Corporate culture

For us, adherence to fundamental principles of business ethics is part of our "license to operate". Accordingly, the compliance rules apply to all employees of the KWS Group. Building on this, KWS's approach to compliance is defined as follows: to earn and maintain customer trust through ethical conduct and to protect the company's employees, reputation and assets. Through information, training and ongoing, intensive consultation, we promote the integration of compliance into business processes and support management in making business decisions in line with our corporate culture.

At KWS, the corporate culture is grounded in clear guidelines set by senior management and is continuously refined. Every single KWS employee bears responsibility for KWS, while KWS assumes responsibility for its employees. Our Code of Business Ethics defines the requirements for our conduct and our mutual responsibility. It is binding for the KWS Group and all its employees. Compliance with the KWS Group's corporate guidelines is regularly reviewed by the Group Internal Audit. Building on this, our corporate culture is further developed and promoted through our internal communication and training programs.

Compliance Management System

Our Code of Business Ethics, along with its accompanying guidelines, is crucial for guiding our employees in their daily work. It sets forth the basic rules for complying with laws regarding fair competition, the prevention of corruption and money laundering, workplace safety, environmental protection and treating one another – as well as customers, business partners, other third parties and government authorities – with respect. Upon hiring, every employee signs a commitment to comply with the Code and is provided with general compliance information as well as information specifically relevant to their role.

The Code of Business Ethics also includes international anti-corruption management as an integral part of our Compliance Management System. Based on the provisions of the Code, a zero-tolerance policy applies to any form of corruption within the KWS Group. This is established as a Group-wide standard in the Anti-Corruption Guideline and the Anti-Corruption Policy. This standard applies regardless of whether bribery is prohibited by law, tolerated, or permitted in the respective country. The Group-wide Anti-Corruption Guideline sets forth the relevant responsibilities, processes and requirements for preventing corruption and bribery within the KWS Group.

KWS has procedures in place to investigate incidents related to business conduct promptly, independently and objectively. If, in the course of an investigation or following a report, there is evidence of a compliance violation, the investigation is conducted in accordance with the Compliance Reporting Channels Guideline. KWS employees are encouraged to report suspected violations. The open-door policy applies here: Information regarding suspected violations can be reported to a supervisor, the Compliance Department, or the Compliance Reporting Platform. Moreover, the Compliance Reporting Platform also serves as a whistleblower hotline and is accessible 24/7 via our website in over 50 national languages for both employees and external third parties. Reports of suspected violations may also be submitted anonymously. KWS investigates all reported suspected violations. The most important information for both KWS employees and external third parties – such as how violations can be reported and what happens to the reports – is summarized in a guidance document on our website. Whistleblowers will not suffer any adverse consequences as a result of their report – unless the report is clearly made in bad faith. The whistleblower will receive confirmation that their report has been received. If necessary, they will be asked for additional information via the portal. Once the investigation is complete, they will be informed of the outcome.

In cases where suspicions are confirmed, the sanctions system applies. It is generally applicable to all types of compliance violations. The sanctions system outlines various criteria that determine the actions to be taken, such as the severity of the violation, the extent to which the individual breached their duties, their level of responsibility, their conduct after the incident – including cooperation in the investigation or attempts to cover it up – and the consequences of the violation, such as potential or actual damage. Sanctions range from a warning or reprimand to termination without notice and criminal charges.

The implementation of and compliance with individual compliance aspects are reviewed as part of audits. The Executive Board and the Audit Committee of the Supervisory Board are informed once a year about the status and current developments of the Compliance Management System.

Moreover, the KWS Group has a centralized risk management system designed to identify material risks at an early stage, minimize potential financial, reputational, environmental, legal, strategic, or health-related damage and ensure compliance with core corporate principles and social standards. In this context, our internal control system helps ensure compliance with applicable rules in our business processes.

Compliance trainings

Group-wide, employees complete mandatory e-learning courses upon joining the company on the topics of anti-corruption and antitrust law, data protection and anti-money laundering. In addition, compliance officers regularly provide information on the Compliance Management System and its principles, as well as on frequently asked questions and current developments, through training sessions, informational events and workshops. These sessions generally take place Group-wide, with their scope and frequency determined by a risk-based assessment. Besides, our employees have access to a wide range of additional resources. Checklists, toolkits, fact sheets and other guides provide practical advice on implementing compliance rules in day-to-day work. Compliance information and codes of conduct are accessible to employees worldwide via the Compliance Portal on the KWS intranet.

Actions and resources related to information security and data protection

Information security

G1 I Impact 2 and G1 I Risk 1

For many organizations, information is a key driver of value. For this reason, protecting it is a top priority. Information security at KWS encompasses both technical and non-technical systems and aims to ensure confidentiality, availability and integrity of data and processes. To this end, KWS has established information security processes to protect company data and information – particularly research, customer and employee data – from risks and threats. Information security thus helps protect our business processes and our know-how and supports the maintenance of business continuity. The associated risks are mitigated through appropriate organizational and technical actions in compliance with legal requirements.

Phishing attacks are among the most material threats to the security of corporate data. To strengthen security awareness and help employees recognize potential attacks, KWS conducts awareness-raising initiatives for employees. These include both mandatory and voluntary training sessions on information security. Furthermore, simulated phishing emails are sent at irregular intervals to promote the recognition and reporting of suspicious messages and to verify the effectiveness of the actions. This is part of the Group-wide security strategy. In financial year 2025/2026, these simulations were further developed in terms of both concept and organization.

Data protection

G1 I Impact 2 and G1 I Risk 1

Careful handling of personal data strengthens the trust of employees and customers, protects confidential information and reduces the risk of fines and claims for damages. The protection of personal data is enshrined in the Charter of Fundamental Rights of the European Union. KWS fulfills this responsibility through clearly defined processes designed to ensure compliance with relevant data protection regulations. To support implementation, KWS has established a data protection management system that includes, among other things, a data protection standard, checklists, work instructions and information sheets. The data protection management system thus serves as a central tool for addressing data protection issues, with a focus on the KWS Group's EU units.

In financial year 2025/2026, our local data protection coordinators in the EU, as well as employees in the marketing department in the DACH region, received in-depth training on the data protection-compliant handling of personal data.

Our privacy policies published on the KWS website **www.kws.com/corp/en/company/privacy-policies/** provide information on the principles governing the processing of personal data in various contexts. They contain details onthe purposes of processing, legal bases and the rights of data subjects.

2.5 Opportunity and Risk Report

The opportunities and risks as part of our business activity as an international plant breeding company, as well as the processes for identifying them, are described in the following section.

2.5.1 Opportunity Management

Strategic opportunities

We define strategic opportunities as being developments that are of significant importance for the KWS Group and have a sustained positive impact on our commercial success. We can leverage these opportunities successfully only if we always keep on improving our company in terms of economics, ecology, social engagement and governance. In the global agricultural raw material and seed industry, there are strategic opportunities for the KWS Group both externally (due to the changing needs of farmers and consumers, changes in global food systems, regulatory developments, climate change and technological advances) and internally (as a result of innovations in plant breeding, digital farming solutions, sustainability initiatives and excellence initiatives within our organization).

Our objectives and initiatives are regularly reviewed as part of our strategic planning. This planning covers the 10-year period ahead of us and is conducted at regular intervals. The company's objectives can be retained, adapted or expanded as a result of the insights from the strategic planning. For example, new fields of business can be tapped or procedures and processes adjusted and improved.

We continue to see a particular strategic opportunity in the growing importance of sustainability in agricultural practice. Our breeding objectives are geared toward increasing yields while improving plant health and nutrient use efficiency, with the aim of potentially reducing the use of pesticides and fertilizers. Apart from the possibility of cutting costs, these variety traits also give our customers a means to reduce their emission footprint and operate in a more climate-friendly manner. Our diverse portfolio of crops also enables crop rotation that conserves the soil's fertility and binds emissions by fostering humus formation. Thanks to this broad offering, we can supply both conventional and organic farms with suitable varieties and services.

In the year under review, there were no significant changes from the previous strategic planning. We identified long-term opportunities in the areas of innovative varieties, modern breeding technologies, digitalization, changes in demand and global macroeconomic developments.

Innovative varieties

To succeed in achieving sustainable growth in the future as well, our prime goal must be to retain and increase our innovativeness. That is increasingly important, especially in times of climate change, when resilient varieties that deliver reliable yields must ensure that the population has enough food. It is vital for us to increase plants' yield potential, enhance resource efficiency or develop their resistance and tolerance to detrimental influences, of whatever type. That requires continuous and intensive research work, since it takes up to 10 years for a new variety to gain approval and be put on the market.

We therefore invest a double-digit percentage of our net sales in research and development projects every year in order to achieve our goal of cumulative yield progress of at least 10% by 2035. However, our complex research and breeding processes are also subject to risks that may result in regional weaknesses in our portfolio. They include external factors such as changing disease patterns as a result of climate change or new statutory regulations on reducing the use of operating resources, as well as internal factors such as technical problems and process delays. We demand high quality standards in our variety development. The performance of our varieties is reassessed every year by management and the Supervisory Board so that we can respond immediately to weaknesses in our portfolio if necessary.

Our product – seed – stands right at the beginning of the agricultural value chain. Continuous and forward-looking breeding work can make the agricultural process chain more sustainable. The introduction and use of new cultivation systems, resistances and tolerances or nutrient efficiencies can help increase and stabilize yields, reduce the use of resources such as fertilizer, pesticide or water, and promote biodiversity. Varieties with improved resource utilization mean the carbon footprint per unit yield can be reduced. At the same time, higher yields per unit area can also result in less cultivation area being required. KWS is working to develop such products and cultivation systems to leverage this potential.

Modern breeding technologies

Plant breeders are developing new varieties to meet all challenges caused by the consequences of climate change, new pests, reduced fertilizer use and the need to deliver high-quality agricultural products. KWS uses the most suitable breeding methods for that. Increasing complexity and the growing pace of change also mean we have to use state-of-the-art technologies and analysis methods so as to speed up our variety development and improve precision. These new methods complement our plant breeders' toolset and offer additional opportunities to improve plants in a targeted way through breeding. Against the backdrop of expected regulatory changes for genome editing in the European Union, our goal is to succeed as a leading developer of plant traits in this field and to use genome editing to develop innovative varieties that benefit farmers and consumers alike.

KWS is working on the hybridization of potatoes, wheat and barley using a combination of new methods and conventional breeding, as well as exploiting the natural resilience offered by hybrid breeding, with market launches planned in the coming years. High-yielding hybrid potato, wheat and barley varieties can make an important contribution to increasing land efficiency in agriculture.

Digitalization

New methods of data analysis are important tools for increasing efficiency in plant breeding and agriculture. Advances in automated data collection and transmission, big data analytics, robotics or artificial intelligence are creating new opportunities for tailor-made digital agriculture solutions. Drones or high-quality satellite technology, for example, offer services for detecting pests or diseases that can be combated with pinpoint precision. This can reduce the use of pesticides and the number of field crossings. These technologies are already being used in our research and breeding processes. They are becoming increasingly relevant in agricultural practice and vegetable cultivation. Growing AI capabilities, i.e. generative AI and the availability of AI infrastructures, offer the opportunity to strengthen our core business of plant breeding and seed production, while expanding our range of digital products and tools.

Changes in demand

More and more people are adopting a mainly plant-based diet. In order to satisfy growing demand, the food industry is turning to new plant-based products and is substituting meat, eggs or milk, for example, with vegetarian alternatives. This opens numerous opportunities for KWS. Our goal is to develop nutrient-rich varieties that, when harvested, can be used in food directly or with little processing. In addition, aspects such as texture, color and taste play a fundamental role in the development of alternative plant-based sources of protein. Here we see an opportunity for KWS to make an important contribution to the food industry with our extensive knowledge and experience in plant genetics.

The vegetable sector is likewise a strategically important, promising growth market for us. We intend to capitalize more strongly on the growing demand for plant-based foods with numerous new products in the future.

Global macroeconomic developments

An easing of global geopolitical tensions – in particular a de-escalation in relation to tariffs and in the conflicts in Ukraine and the Middle East – would lead to a more stable and predictable macroeconomic environment. This shift could be an opportunity to improve global trade flows, reduce the volatility of input costs and strengthen investor confidence. For a global company like the KWS Group, this would create more favorable conditions for our global trading activities and for cross-border payment transactions.

Operational opportunities

By an operational opportunity, we understand a development that is consistent with our strategic planning and might have a positive short-term impact on our earnings, financial position and assets and has not yet been reflected fully or at all in the company's financial planning. Operational opportunities are identified and assessed by our Business Units. We leverage them by pinpointed investment in production capacities, research and development activities and by further enhancing distribution and central purchasing, for example.

Market opportunities arise from our fledgling activities in the vegetable market, with which we are tapping a new field of business and new customer segments. Volatility in the agricultural commodity markets can present an operational opportunity for KWS, as it increases farmers' need for high-performing, resilient varieties that deliver stable yields, thereby boosting demand for innovative seed and complementary services.

We see a further operational opportunity in restructuring our country organizations and the associated sales units in the most important core markets for our crops. With the holistic approach we launched in fiscal year 2024/2025 with the goal of supporting customers with a single point of contact for KWS' entire portfolio of crops, we strive to forge an even better relationship with our customers. At the same time, we adapt and optimize background processes so that customers are supplied optimally with KWS' varieties and services from a single source in the future.

Investing in expansion of our production capacities and modernization of our seed processing creates the foundation for leveraging opportunities and potential in existing and adjacent markets. Further development of our variety portfolio and expansion of production capacities are accompanied by steps to enhance our international distribution structures. In addition, continuous optimization of processes offers the KWS Group opportunities to increase productivity and digitalization and improve cost structures. Recording of operational opportunities is part of risk management.

2.5.2 Risk Management

Risk management strategy and objectives

The objective of the KWS Group's central risk management is to identify material risks at an early stage, mitigate potential financial, reputational, ecological, legal, strategic and health-related impacts, and ensure compliance with key corporate principles and social standards. We consequently understand the term "risks" as denoting events and possible developments, both inside and outside the KWS Group, that have a negative impact on achievement of our corporate objectives or adherence to these principles. That also includes events that impair our value chain and harm the environment and which we can influence (outside-in/inside-out perspective).

KWS strives to address risks openly and shapes the company's risk culture accordingly. Sharing information about risks should be established practice in our day-to-day work. KWS applies an entrepreneurial attitude to risk: Deliberate risks can be taken if that offers opportunities that are consistent with the KWS Group's strategic planning, corporate objectives and internal standards. Risks that do not offer commensurate opportunities or might have a significant negative impact on key financial indicators → **2.1.4 Objectives and Strategy** are to be avoided or reduced as far as possible, taking cost-benefit aspects into account. Violations of the applicable laws and key corporate principles, in particular respect for human rights, are unacceptable without exception.

The risk-bearing capacity describes the financial framework within which identified risks can be tolerated without jeopardizing the company's economic stability and ability to continue as a going concern. It is reviewed regularly and reported to the responsible bodies. The assessment is based on simulation procedures that analyze financial risks over a defined time horizon. The risk metrics derived from that are compared with defined quantitative stress limits and internally specified key indicators in order to ensure financial stability.

We discuss the results of the analysis of the risk-bearing capacity in the overall statement on the risk situation by the Executive Board.

Responsibility

The Executive Board is responsible for Group-wide risk management. The Audit Committee reviews the risk management system at least once a year to assess its adequacy and effectiveness. It is assisted in that by the independent auditor of the financial statements as part of its statutory audit assignment and – as mandated by the Supervisory Board – by Internal Auditing.

In addition, there is a Risk Committee consisting of expert representatives from all divisions. It usually convenes twice a year, reviews the risks and control measures recorded in the risk management system to ensure they are complete and adequate and, if necessary, makes recommendations to the Executive Board. Responsibility for identifying, assessing and controlling risks lies with the divisions, while central risk management coordinates the underlying processes and ensures reporting to company management. Other roles in our risk management are specified in the chart "Players and systems in managing risks at KWS."

Players and systems in managing risks at KWS in accordance with the Three Lines Model

Supervisory Board		
Executive Board		
Risk Committee		
Central Risk Management		
Divisions (1st line)	**Control and monitoring systems (2nd line)**	**Process-independent controls (3rd line)**
■ Business Units ■ Research & Development ■ Global Functions	■ Controlling (incl. early detection) ■ Internal control system, accounting processes ■ Compliance Management ■ Risk Management ■ Other systems (e.g. Quality Management, Stewardship)	■ Internal Auditing
KWS Governance (Code of Business Ethics, Group Standards)		

Central risk management process

We base the design of our risk management system on internationally recognized frameworks, in particular COSO II and the German auditing standard IDW PS 981. Central risk management coordinates the entire risk management process and supports the departments in their tasks. Our central risk management process consists of the phases of identification, assessment, control, documentation, monitoring of risks and risk reporting. It is conducted regularly (twice a year). As part of risk identification, we record individual risks on an electronic platform and assess them qualitatively or quantitatively based on Group-wide standards, in each case before (gross risk) and after (net risk) any countermeasures. On the basis of this, risks are classified uniformly according to the risk levels "moderate," "medium" and "high." This enables consistent and comparable risk assessment and prioritization of risk control measures. Linkages between risks are queried as part of risk identification and taken into account in the assessment. The risk management system enables the recording of risks over short-term (one-year), medium-term (four-year) and long-term (ten-year) planning horizons. The individual risks are classified as follows:

Scheme for assessing individual risks

		Likelihood of occurrence			
		Unlikely <10%	**Possible** ≥10% to <50%	**Likely** ≥50% to <90%	**Almost certain** ≥90%
Quantitative/ qualitative impacts	**Very low** €0.1 to <3.0 million				
	Low ≥€3.0 to <7.5 million				
	Medium ≥€7.5 to <15.0 million				
	High ≥€15 million				

In the risk situation section, we report the risks in the area framed in black in aggregate form.

Risk classification for single risks

Risk level	Risk score
Moderate	<1
Medium	≥1 to <5
High	≥5

Formula for assessing individual risks

Risk score
Net financial damage (in € million) × net likelihood = risk score for an individual risk

To enable a more in-depth assessment of financial risks, we also introduced a centrally executed simulation procedure in the year under review. It is used to supplement the existing standardized risk assessment and focuses on financial risks that could affect KWS' earnings within a one-year time frame.

We decide systematically on what appropriate countermeasures to take to manage risks, in particular high risks. They may be measures to reduce risks, constant monitoring of them or taking out insurance, or the acceptance of risks (where no measures are possible or make economic sense), for example.

The KWS Group's current risk situation is aggregated by central risk management into risk categories and reported first to the Risk Committee. On that basis, it reviews the recorded risks and control measures to ensure they are complete and adequate and, if necessary, makes recommendations to the Executive Board.

We meet the statutory requirements for early detection of risks with our financial controlling and risk management processes.

Description of the KWS Group's internal control system, including the accounting-related internal control and risk management system (Section 315 (4) of the German Commercial Code (HGB))

The KWS Group's internal control system (ICS) comprises principles, procedures and measures designed to ensure proper, compliant and reliable financial and sustainability reporting, as well as compliance with material legal and internal requirements. Like risk management, it is an integral part of KWS' control and monitoring system and is geared toward IDW PS 982 on the basis of the COSO Framework.

The Executive Board bears overall responsibility for the internal control system. The ICS is controlled centrally and developed further by Group Risk & Sustainability Management, while the controls are carried out – in accordance with the Three Lines Model – locally at the operating units.

The primary objective of the ICS is to provide reasonable assurance about the reliability of the financial and sustainability reporting. As part of that, the ICS follows a standardized, risk-oriented control process that encompasses the identification and assessment of process risks, the implementation and standardized documentation of controls, and their risk-based monitoring and reporting.

Risks and controls are documented in a central IT solution to ensure transparency and traceability. The ICS includes preventive and investigative controls.

The effectiveness of the ICS is monitored by means of self-assessments, as well as risk-oriented, independent efficiency tests and internal audits, among other things. The results are reported regularly to the Executive Board and the Audit Committee.

The processes and structures related to consolidated accounting are of particular importance in connection with the ICS. Responsibility for them lies with Global Finance and Controlling. The established structures and processes in this organizational unit are designed to ensure proper and effective accounting and financial reporting. They include:

- Process-integrated controls, such as validation of reported data, separation of functions and the four-eyes principle, as well as regular analytical controls by Business Partner Finance and Controlling.
- Standardized financial accounting processes in the functions of Global Business Operations, in which almost all Group companies are integrated, and appropriate assurance that business transactions are included in accounting consistently, promptly and correctly and that all applicable statutory accounting regulations, standards and internal guidelines are implemented throughout the Group.
- Ensuring that the consolidated financial statements (including the Management Report) comply with the rules by means of Group-wide specifications relating to accounting guidelines, charts of accounts and uniform reporting processes.
- Central preparation of the consolidated financial statements using the uniform reporting process as well as system and manual controls with regard to accounting-specific interconnections.
- Notification of employees in Global Business Operations, Business Partner Finance and Controlling, as well as other relevant contact persons at subsidiaries, about changes in the financial statement preparation process on a quarterly basis.
- Protection of accounting-related IT systems against unapproved access by means of authorization and access regulations for the IT accounting systems.
- Ensuring the professional aptitude of employees involved in the accounting and financial reporting process by means of selection processes and training.

Following completion of the audit and monitoring processes, there are currently no indications of material weaknesses with respect to the adequacy and effectiveness of the system. The ICS is continuously refined so as to meet regulatory and internal requirements and enhance the quality and efficiency of the reporting processes further. In principle, however, it should be borne in mind that an internal control system, regardless of its design, does not provide absolute certainty that errors in our business processes will be detected.[6]

6 This paragraph is not an audited part of the Combined Management Report

Description of the KWS Group's current risk situation

As part of reporting, we continue to include individual risks with a risk level of "medium" to "high" and involving anticipated net financial damage of at least €7.5 million or at least anticipated medium net non-financial damage (see the marked area in the table "Scheme for assessing individual risks"). These risks are grouped together in overarching categories. In turn, these categories are divided into four levels ranging from "low" to "substantial" (see the table "Risk classification for aggregated risk categories").

In the period under review, no non-financial risks were identified that are highly likely to occur and could have a substantial impact on the reportable aspects (in accordance with Section 289c and Section 315c of the German Commercial Code (HGB)).

Strategic risk categories with an horizon up to ten years

Risk Type	Risk Category	Risk classification 25/26	Risk classification 24/25	Risk Trend
Strategic risks	■ Change of portfolio and alliances and market access	Substantial	Substantial	→
	■ Limited access to technology	Medium	Medium	→
	■ Structural change of demand	Noticeable	Noticeable	→
	■ Structural underperformance of products	Noticeable	Medium	↗

Risk categories with a horizon up to four years

Risk Type	Risk Category	Risk classification 25/26	Risk classification 24/25	Risk Trend
Operational risks	■ Human Resources	Low	Low	→
	■ Incidents	Substantial	Substantial	→
	■ Influence on cultivation	Medium	Low	↗
	■ Price and supply chain	Substantial	Substantial	→
	■ Competition and business partners	Low	Below the threshold	↗
ESG	■ Environmental	Medium	Low	↗
	■ Governance	Medium	Noticeable	↘
	■ Social	Noticeable	Noticeable	→
Operational risks	■ Compliance risks	Noticeable	Noticeable	→
	■ Other legal risks	Low	Medium	↘
Financial risks	■ Financing & liquidity	Low	Low	→
	■ FX risks	Medium	Low	↗
	■ Receivable risks	Low	Low	→
	■ Tax risks	Medium	Medium	→
Reputational risks	■ Public perception and customer trust	Low	Low	→

Risk classification for aggregated risk categories

Risk classification	Threshold values (risk score)
Low	< 10
Medium	≥ 10 to < 20
Noticeable	≥ 20 to < 30
Substantial	≥ 30

Formulas for an aggregated view

Formulas
1: Net impact (in € million) × net likelihood = risk score for an individual risk
2: ∑ of all reported risk scores within a category = risk score of a category

The following section deals with KWS' risk situation in more detail. If the risk class of a category has changed from the previous year, this is explained accordingly. The overall development of the risk situation is presented at the end of this section in the overall statement on the risk situation by the Executive Board.

Strategic risks

Geopolitical risks and market access

Geopolitical tensions, trade restrictions and armed conflicts pose considerable risks to our business operations and could result in the partial or complete loss of one or more markets. This risk category currently includes, in particular, financial risks arising from the conflict in Eastern Europe. The prevalent health risks facing our Ukrainian employees are described under "Social." The escalations in the Middle East, which have been ongoing for months, are described in particular under "Prices and supply chains," as inflation risks play an important role in this connection. If other risk categories are significantly affected by geopolitical risks, this is dealt with and explicitly described in the respective categories.

Some geopolitical implications can currently be quantified only to a limited extent; however, they are continuously observed and assessed qualitatively as part of our constant risk monitoring. We counter the risks at various levels through operational measures and, where necessary, strategic adjustments.

Restricted access to technology

Climate change, new pests, increasing regulatory restrictions on the use of pesticides and fertilizers, and increasing demands on the quality of agricultural products present growing challenges for agriculture. KWS counters these trends by continuously developing new varieties and using suitable breeding methods. Moreover, increasing complexity and growing pressure to innovate in plant breeding require the use of modern technologies and analysis methods, which are already an integral part of our research and development activities. Access to such technologies is a key factor in KWS' competitiveness. At the same time, recent progress in Europe as part of the regulation on new genomic techniques (NGTs) is opening up additional prospects for more efficient and more precise plant breeding. KWS therefore aims to develop innovative technologies at an early stage, or acquire the rights to use them, and integrate them in its research and development processes. If the underlying opportunity and risk profiles change significantly, we review our strategic orientation and adjust it accordingly if necessary.

The rapid advancements in artificial intelligence are creating new opportunities to enhance efficiency, innovativeness and the quality of decision-making. Risks may arise if KWS fails to make adequate use of relevant technological developments, uses AI applications incorrectly or lags behind the competition in rolling them out. Given the great pace of innovation and the growing strategic importance of these technologies, new risks have been identified. If AI technologies are integrated early on and in a responsible manner, this can deliver significant opportunities for speeding up research and development processes in particular, as well as for ensuring long-term competitiveness.

Structural change in demand

Risks in this category include external developments that might affect KWS' commercial success and cannot be directly influenced by the company. They include, in particular, changes in market conditions and demand, as well as changing requirements among our customer groups regarding products, sales and service. This also includes potential regulatory measures, such as the planned taxation of sugar-sweetened beverages in Germany. The further development and possible relevance for KWS are continuously monitored. These and other developments are systematically monitored as part of regular strategic analyses in order to recognize the need for action and to determine suitable measures in a timely manner. A key and recurring component in this regard is trend monitoring, which identifies strategically relevant changes at an early stage and provides the basis for a prompt assessment of their impact.

Structurally inadequate performance of our products

In order to achieve sustainable growth in the future as well, it is vital that we keep on strengthening our innovation competence and research expertise. That is especially true in view of climate change, where developing resilient varieties that deliver stable yields is growing in importance. Plant breeding is an innovation-driven business in which KWS regularly succeeds in obtaining approval for new varieties. At the same time, research and breeding processes involve risks that can lead to regional restrictions on the competitiveness of individual varieties or the product portfolio. That may be caused by external factors such as changes in disease and pest patterns, regulatory requirements or the fact that existing resistances lose their effectiveness. Internal factors, such as technical challenges or delays in development processes, might also play a role. In the period under review, a reassessment of a potential decline in the effectiveness of resistances led to an

increase in the risk situation in this category. KWS counters these risks through close performance monitoring and regular assessment of the portfolio by management and the Supervisory Board so that we can respond promptly to weaknesses we identify.

Operational risks

Human resources

KWS' long-term success depends greatly on attracting qualified employees, enabling them to develop and ensuring they stay with the company long term. Risks for KWS may arise, in particular, if the company is unable to recruit qualified specialists and managers in sufficient numbers, retain them long term or secure critical knowledge in time. The competition for talents remains intense and that, together with demographic trends and foreseeable age-related staff departures in the coming years, entails greater demands on recruitment, succession planning and employee retention. To mitigate these risks, KWS relies on structured succession planning, targeted knowledge transfer and measures to strengthen its attractiveness as an employer. In the period under review, the employee satisfaction survey was conducted again so as to identify trends, progress and further areas where action is required. The results are used to derive area-specific measures and implement them as part of a structured follow-up process.

Incidents, disruptions, interruptions to business operations

This category includes risks that may result from sudden disruptive incidents, in particular in relation to IT and seed production. Cyberattacks or other IT security incidents may impair the confidentiality, availability, integrity or authenticity of data and systems and result in the loss of know-how, data manipulation, data breaches, damage to our reputation and financial burdens. To mitigate these risks, KWS sets store by technical and organizational security measures, regular security audits conducted by external specialists, insurance coverage and targeted awareness-raising measures for employees, such as recurring anti-phishing training. Nevertheless, even with a high level of security, loss and damage resulting from cyberattacks cannot be completely ruled out.

In addition, there are risks associated with disruptions to business operations throughout the seed production and processing chain. Outages of technically complex production plants, disruptions to the energy supply, and weather-related crop failures can adversely impact the availability of seed and cause financial burdens, particularly during the sales season. KWS counters these risks by means of preventive maintenance, regular risk assessments, insurance coverage and geographically diversified seed propagation in Europe, North America and South America. In addition, contra-seasonal propagation is carried out in the southern hemisphere if and when required so as to reduce bottlenecks.

There are also risks from geopolitical developments. In parts of Eastern Europe, the continuing hostilities may lead to restrictions on seed production and distribution. Furthermore, there are risks in individual markets within this region, in particular from regulatory interventions and efforts to increase localization and control of the seed market. KWS continuously monitors these developments and regularly assesses their potential impact.

Influences on plant cultivation

This category comprises risks arising from changes in general economic conditions in commercial arable farming and vegetable cultivation. These include, in particular, changes in local market conditions, fluctuations in demand and risks associated with changes in the amount of land under cultivation for the various crops. The risk situation for this category increased noticeably in the period under review. The reasons for this were a decline in land under cultivation for sugarbeet due to lower sugar prices, as well as for corn and sunflowers in Eastern Europe as a result of the ongoing Russia-Ukraine war. These developments could lead to lower demand for seed and thus have a negative impact on our business performance. KWS continuously monitors relevant market and cultivation trends so that it can respond to changes in a timely manner.

Prices and supply chains

As an international seed company, KWS depends on globally networked supply chain, trade and logistics flows. Risks currently stem in particular from geopolitical tensions, trade policy interventions and pressures on international transportation and procurement markets. The recent volatility in international tariff and trade policies, as well as the military conflicts in the Middle East, have led to a moderate increase in expected procurement and logistics costs. In addition, there are risks from possible delayed repercussions of the conflict between Iran and the U.S. and Israel. In particular, these could place additional strain on global supply chains through further increases in energy prices, higher transportation and insurance costs, and restrictions on key trade and maritime routes. Reports of continuing disruptions to shipping in the

Strait of Hormuz illustrate the significance of these risks for the international flow of goods. In addition, continuing capacity bottlenecks and price increases in the logistics sector, particularly in relation to ocean freight, pose a risk for KWS.

Overall, the risk situation in this category remained tense and at a high level in the period under review, but changed only insignificantly as a whole, since risks also decreased in the wake of reassessments. To mitigate these risks, our central purchasing organization constantly monitors market and procurement trends, assesses potential impacts on supply chains and initiates appropriate measures to control risks as and when needed.

Competitors and business partners
This category comprises risks from the competitive environment as well as from cooperation with dealers and business partners. Risks may arise in particular from adjustments to sales strategies and sales channels in individual product areas, which was also the reason for the increase in risk in this category this year. This may result in lower market penetration, slower acceptance of new sales approaches and a loss in sales volumes and market share in individual markets. KWS counters these risks by continuous enhancement of its sales organization, close collaboration with trade partners and constant monitoring of relevant market trends.

ESG (environment, social, governance)
Environment
In this category, we record environmental risks, in particular risks from the effects of climate change, the loss of biodiversity, and potential environmental incidents. Climate change and the increasing frequency of extreme weather events, such as heat waves, droughts, heavy rainfall and late frosts, can have a negative impact on cultivation, harvests, seed quality and agricultural production systems. In addition, changing climatic conditions are facilitating the spread of new pests and diseases, creating additional risks for agricultural production and the breeding of high-performance varieties. KWS addresses these challenges, among other things, with its dedicated phytosanitary department, which supports the development of new resistances and appropriate countermeasures.

The risk situation in this category increased in the period under review. In addition to the growing importance of climate-related pest and disease risks, the risk of a decline in cultivation area for corn in Southeastern Europe as a result of persistent drought and heat stress was taken into account for the first time. The expected reduction in cultivated land, as well as potential shifts toward alternative crops, may adversely affect the market potential for corn seed in individual regions and thus impact our future business performance.

Social
Accidents, technical problems or misconduct in our business processes may result in injury to persons and have a considerable impact on employees and our business operations. To mitigate these risks, we have implemented a Group-wide health, safety and environment standard that is continuously refined and is supported by central Health, Safety & Environment (HSE) structures and the HSE Manager.

The security situation in Ukraine continues to have a significant influence on the assessment of risks in this category. Despite the geographical distance between our business operations and the immediate combat zones, the ongoing drone attacks and air raids still pose heightened risks to the health and safety of local our employees. KWS is therefore continuing its established crisis management efforts, with a focus on protecting the employees and their families there. The company recently moved into a new office in Kyiv with enhanced security features in the period under review.

In addition, there are risks in connection with compliance with social and labor standards throughout the supply chain. Risks related to child labor, forced labor or inadequate working conditions may arise, particularly in individual regions. KWS counters them by conducting risk-based analyses, as well as audits of service providers and suppliers, and by continuously enhancing preventive and corrective measures to ensure compliance with social standards.

Governance
Governance risks comprise potential weaknesses in process and project management, as well as risks that may result from the complexity of internal regulations and stipulations. Unclear responsibilities, inefficient processes or inadequate project implementation can impair the effectiveness of corporate controlling. The risk situation in this category decreased in the period under review. The key factors behind this were the successful completion of a project to revise internal regulations and the implementation of further measures to improve transparency, the quality of application of the regulations, and governance structures.

Legal and compliance

Compliance risks
Our company is exposed to potential compliance risks that may result from, among other things, violations of antitrust, competition, anti-corruption and money laundering law, sanctions and data protection requirements. Violations may incur serious consequences under criminal and civil law, including financial penalties, official measures and considerable damage to our reputation. To mitigate these risks, KWS has a comprehensive compliance management system comprising Group-wide policies, the Code of Business Ethics, binding Group Standards, and regular training and awareness-raising measures for employees and managers.

In the period under review, antitrust issues and suspected violations in individual markets came to light and were subsequently reviewed and addressed by the Compliance department. Given the limited scope, close management and constant monitoring of these matters, there are currently no further findings that would justify a structural increase in the risk situation for our company.

Other legal risks
Other legal risks include, in particular, risks related to the protection of intellectual property, as well as risks arising from official proceedings and legal disputes. Safeguarding variety protection rights, patents and other industrial property rights is vital for KWS to secure the results of its long-term research and breeding activities. The seed-specific property rights under “variety protection” ensure that companies are compensated for the years-long process of research, breeding and development of new varieties and that third parties cannot market the same variety at no costs to themselves. KWS uses patents to protect certain plant traits, in particular if they have been developed or produced by means of technical methods. In order to secure its freedom of action and avoid infringing third-party proprietary rights, KWS has implemented far-reaching due diligence processes throughout the company.

Moreover, KWS is exposed to legal risks from official proceedings and disputes with business partners, customers or other stakeholders. The legal proceeding mentioned in last year’s Annual Report was concluded in the period under review. Consequently, the risk situation in this category has decreased. At the time of reporting, no material financial liabilities are expected to arise from pending matters.

Financial risks

Information on Risks Arising from the Use of Financial Instruments
As part of its international business activities, the KWS Group uses financial instruments to manage and limit financial risks. Derivative financial instruments are used exclusively for hedging purposes. These include, in particular, the hedging of risks arising from fluctuations in exchange rates and prices. The hedging measures applied are based on defined policies and are centrally managed and continuously monitored. As a result, the risks arising from the use of financial instruments are currently assessed as low. Further information on the financial instruments used and their accounting treatment is provided in the Notes to the Consolidated Financial Statements.

Financing and liquidity
Ensuring the ability to pay on time is a top priority for KWS. External factors such as geopolitical conflicts, economic crises or turmoil on the financial markets can impair the availability of financing and lead to less favorable terms. KWS addresses these risks by means of centralized liquidity and financing management. The need for funds is constantly planned and covered by cash, promised credit lines and other financial instruments.

Currency risks
Currency risks arise, in particular, from receivables, liabilities and planned transactions denominated in foreign currency. Exchange rate fluctuations can affect the KWS Group's earnings, financial position and assets. Following a reassessment, the situation relating to currency risks has increased slightly, especially due to heightened volatility on international financial and foreign exchange markets due to ongoing geopolitical uncertainties. There are significant risks from positions in the currencies USD, GBP, TRY and PLN. These risks are reduced by what is known as natural hedging, provided that there are corresponding payment flows in the same foreign currency. To further mitigate these currency risks, KWS uses the usual hedging instruments, where that makes economic sense.

Receivable risks
Receivable risks arise from our diverse business relationships with customers in the sugar industry, agricultural wholesalers and farms worldwide. A deterioration in the economic situation of individual customers or customer groups can lead to payment defaults and thus financial burdens. Although the geopolitical situation was still tense, the KWS Group's receivable risk remained at the same level in the period under review.

KWS addresses these risks by means of Group-wide receivables and credit management. Credit limits are reviewed under a risk-based approach and continuously monitored. In cases of heightened credit risk, hedging instruments, such as bank guarantees, letters of credit and credit insurance, or advance payments are additionally used. In addition, customer-specific and macroeconomic risk factors are systematically incorporated into the assessment. For example, default risks in individual Eastern European markets continue to be largely mitigated through the use of advance payments.

Tax risks
Tax risks arise from KWS' international business operations and the associated complex tax requirements stipulated by the respective fiscal authorities. Changes to tax laws, their interpretation by the fiscal authorities and changes to the regulatory environment may affect KWS' tax position and future tax payments. KWS counters these risks by continuously monitoring and assessing the tax environment, implementing Group-wide tax policies, centrally coordinating tax matters and obtaining support from external tax advisors. Where necessary, potential tax liabilities are recognized in the financial statements on the basis of reasonable estimates.

In connection with an ongoing tax audit, there are still tax-related issues that have yet to be definitively assessed. The underlying matters and the resultant tax risks are continuously reviewed as part of the regular assessment of uncertain tax positions. The risk situation in this category remains unchanged.

Reputation

Public perception and customer trust
Reputational risks may arise from the public perception of KWS' business operations, as well as from the assessment of strategic decisions, innovation activities and social responsibility. They include, in particular, risks related to the communication of our business strategy, research and breeding activities, sustainability efforts, our presence in individual markets and the protection of intellectual property. KWS counters these risks through transparent and continuous communication with relevant stakeholder groups, as well as constant monitoring of developments that could impact its reputation.

Overall statement on the risk situation by the Executive Board

The KWS Group's net risk position at the end of the fiscal year was higher compared with the previous year, mainly due to geopolitical developments. Factors that can be mentioned in this regard include higher currency risks, receivable risks and market risks. There are still political risks from Russia's localization efforts. Internal teams of experts analyze, assess and control risk-related developments on an ongoing basis and report to the Executive Board as and when required.

In view of the available assessments and countermeasures we have initiated, risks that jeopardize the company's existence are not discernible at present.

Furthermore, based on the analysis of our risk-bearing capacity, we did not identify any potential threat to the company's existence. We feel sure that, thanks to our global footprint, innovative strength and the quality of our products, we can seize opportunities and successfully manage risks as they arise. However, we cannot rule out the possibility that other factors that are currently unknown or which are not assessed as significant may jeopardize the continued existence of the KWS Group in the future.

2.6 Forecast Report

The expectations of management outlined here are based on our corporate planning and the information it considers, including market expectations, strategic decisions, regulatory measures or exchange rate trends. They are subject to the same premises as the consolidated financial statements and forecast our business performance up to the end of fiscal 2026/2027 on June 30, 2027. In our forecast for the KWS Group's statement of comprehensive income and for our product segments, we deal with the KWS Group's anticipated net sales (on a comparable basis, excluding exchange rate and portfolio effects) and the anticipated EBITDA margin, while we forecast the EBITDA in the Corporate Segment.

2.6.1 Forecast for the KWS Group's Statement of Comprehensive Income

The KWS Group's economic performance in fiscal 2026/2027 will probably continue to be impacted by the challenging general conditions on global agricultural markets. In addition to low prices for agricultural raw materials, they include the increased occurrence of weather extremes as a result of climate change, which increases the level of volatility when it comes to farmers making decisions on what crop to grow.

The associated fluctuations in supply and demand impair planning security for farmers and thus also for us as a seed vendor. However, our broad product portfolio enables us to counter these fluctuations to a certain extent. There are still significant currency risks in important markets, in particular in Türkiye and Eastern Europe.

In the medium-term period 2025–2028, we have set ourselves the target of average annual growth in net sales (on a comparable basis, excluding exchange rate and portfolio effects) of 3% to 5%.

Provided there is a recovery in the agricultural environment, we assume that net sales growth (on a comparable basis, excluding exchange rate and portfolio effects) in fiscal 2026/2027 will be around 3%, and so at the lower end of the target range, compared to the previous year (€1,626.8 million). In line with our medium-term targets, we anticipate that the EBITDA margin will be in the range of 19% to 20%.

Due to the strongly seasonal nature of our business as a result of the great importance of the spring sowing season and external factors that are difficult to anticipate, such as the weather and fluctuations in area under cultivation, our statements on our anticipated net sales and earnings performance are subject to uncertainty.

2.6.2 Forecast for the Segments

In the **Sugarbeet Segment**, our high-yielding portfolio of varieties will likely make a positive contribution to our business performance. We assume that land under sugarbeet cultivation will remain stable all in all. The segment's business performance should benefit from further growth due to CONVISO® SMART seed and demand for Cercospora-tolerant (CR+) varieties. We expect that the segment's net sales (on a comparable basis, excluding exchange rate and portfolio effects) will increase slightly compared with the previous year (€854.2 million) and that the EBITDA margin will be at the level of the previous year (41.9%).

In fiscal 2026/2027, we anticipate that the **Corn Segment** (on a comparable basis, excluding exchange rate and portfolio effects) will grow its net sales slightly compared to the previous year (€433.6 million). As far as can be seen at present, the EBITDA margin is expected to be at the level of the previous year (14.6% excluding a positive special effect in the year under review).

In the **Cereals Segment**, we assume that net sales (on a comparable basis, excluding exchange rate and portfolio effects) will rise sharply compared to the previous year (€263.9 million), in particular on the back of anticipated growth in revenue from oilseed rape seed. We also expect the EBITDA margin to improve sharply compared with the previous year (13.1%).

The **Vegetables Segment** essentially comprises the net sales and earnings contributed by acquired vegetable seed businesses. Assuming a stable market environment, in particular for spinach seed, we expect the segment's net sales (on a comparable basis, excluding exchange rate and portfolio effects) to increase sharply over the previous year (€67.5 million). There are also costs for establishing an international breeding program and the Business Unit in the segment. Consequently, the number of employees will probably increase further. Due to the above-mentioned effects, we still expect the EBITDA margin to be negative and at the level of the previous year (–38.2%).

Revenue (albeit slight) from our farms in Germany, France and Poland is grouped in the **Corporate Segment**. Since all cross-segment costs for the KWS Group's central functions and research expenditure are still charged to the Corporate Segment, its income is usually negative. In view of the planned cost developments, we expect the segment's EBITDA to be at the level of the previous year (€ –116.0 million).

2.7 Further Information

2.7.1 Corporate Governance and Declaration on Corporate Governance[7]

Responsible corporate governance has always been of great importance at KWS SAAT SE & Co. KGaA.

Since the company was founded in 1856, its successful development has been based on thinking in the long term and acting in terms of sustainability. The Executive Board (the personally liable partner KWS SE, whose Executive Board is responsible for management of the company's business) and the Supervisory Board run and accompany KWS with the goal of ensuring it creates sustainable value added. They once again examined in the year under review whether the company complies with the stipulations of the German Corporate Governance Code and issued the Declaration of Compliance in accordance with Section 161 AktG (German Stock Corporation Act) to the effect that the company complies fully with the code's recommendations.

You can find detailed information on corporate governance in our declaration on corporate governance in accordance with Section 289f and Section 315d of the German Commercial Code (HGB), which is available in full on our website at www.kws.com/corp/en/investors/corporate-governance/. The Remuneration Report for fiscal 2025/2026 is also available there.

2.7.2 Declaration of Compliance in Accordance with Section 161 AktG (German Stock Corporation Act)[7]

The final version of the Declaration of Compliance in accordance with Section 161 AktG (German Stock Corporation Act) is available to shareholders on the website www.kws.com/corp/en/investors/declaration-of-corporate-governance.html.

2.7.3 Remuneration Report[7]

The Remuneration Report outlines the principles and salient features of the compensation systems for the Executive Board of KWS SE, the managing partner of KWS SAAT SE & Co. KGaA, and its Supervisory Board. It is not part of the Group Management Report. The Remuneration Report pursuant to Section 162 of the German Stock Corporation Act (AktG) for the fiscal year 2025/2026, together with the audit report by the independent auditor, can be found on our website at www.kws.com/corp/en/investors/publications/financial-reports/.

2.7.4 Explanatory Report of the Personally Liable Partner (KWS SE) of KWS SAAT SE & Co. KGaA in Accordance with Section 176 (1) Sentence 1 AktG (German Stock Corporation Act) on the Disclosures in Accordance with Section 289a (1) and Section 315a (1) HGB (German Commercial Code)

The personally liable partner of KWS SAAT SE & Co. KGaA provides the following explanation on the following disclosures in accordance with Section 289a and Section 315a HGB (German Commercial Code):

Composition of the subscribed capital

The subscribed capital of KWS SAAT SE & Co. KGaA is €99,000,000.00 and is divided into 33,000,000 bearer shares. The pro-rata share of each share in the capital stock is €3.00. Each share grants the holder the right to cast one vote at the Annual Shareholders' Meeting. The rights of shareholders are governed by the German Stock Corporation Act (AktG) and the Articles of Association.

Restrictions relating to voting rights or the transfer of shares

There may be restrictions relating to voting rights or the transfer of shares as a result of statutory or contractual provisions. For example, shareholders are barred from voting under certain conditions pursuant to Section 136 of the German Stock Corporation Act (AktG) in conjunction with Section 278 (3) of the German Stock Corporation Act (AktG) or Section 44 of the German Securities Trading Act (WpHG); the bars on voting pursuant to Section 285 of the German Stock Corporation Act (AktG) must also be observed for personally liable partners at a partnership

7 Not an audited part of the Combined Management Report

limited by shares (KGaA). In addition, no voting rights accrue to the company on the basis of the shares it holds (Section 71b AktG).

The personally liable partner is not aware of any contractual restrictions relating to voting rights or transfer of shares. If there are no restrictions on voting rights, all shareholders who register for the Annual Shareholders' Meeting in time and have submitted proof of their authorization to participate in the Annual Shareholders' Meeting and exercise their voting rights are authorized to exercise the voting rights conferred by all the shares they hold and have registered. If members of the Executive Board of the personally liable partner or executive employees of the company have acquired shares as part of the long-term incentive programs, these shares are subject to a lock-up period until the end of the fifth year after the end of the quarter in which they were acquired.

The lock-up period for shares that employees have acquired as part of the Employee Stock Purchase Plans runs until the end of the fourth year as of when they are posted to the employee's securities account.

Direct and indirect participating interests in excess of 10% of the voting rights

The company has been informed by shareholders of the following direct or indirect participating interests in the capital of KWS SAAT SE & Co. KGaA in excess of 10% of the voting rights in accordance with Section 33 and Section 34 of the German Securities Trading Act (WpHG) or elsewhere:

1. The voting shares, including mutual allocations, of the persons, companies and foundations stated below each exceed 10% and total 69.3%:

- AKB Stiftung, Hanover
- Büchting Beteiligungsgesellschaft mbH, Hanover
- Zukunftsstiftung Jugend, Umwelt und Kultur, Einbeck
- Dr. Drs. h.c. Andreas J. Büchting, Germany
- RETOKE Holding Vermögensverwaltungsgesellschaft mbH & Co. KG, Bad Schwartau
- Tessner Beteiligungs GmbH, Goslar
- Tessner Holding KG, Goslar

2. The voting shares of the persons stated below, including mutual allocations and allocations of voting shares of Dr. Drs. h.c. Andreas J. Büchting, Germany, AKB Stiftung, Hanover, Büchting Beteiligungsgesellschaft mbH, Hanover, Zukunftsstiftung Jugend, Umwelt und Kultur, Einbeck, and RETOKE Holding Vermögensverwaltungsgesellschaft mbH & Co. KG, Bad Schwartau, each exceed 10% and total 54.8%:

- Christiane Stratmann, Germany
- Michael C.-E. Büchting, Germany
- Annette Büchting, Germany
- Stephan O. Büchting, Germany
- Matthias Sohnemann, Germany
- Malte Sohnemann, Germany
- Arne Sohnemann, Germany

3. The voting shares of the shareholder named below, including allocations of the persons, companies and foundations named in 1. above, exceed 10% and total 69.3%:

- Hans-Joachim Tessner, Germany

4. The voting shares of the shareholder named below, including allocations of all the persons, companies and foundations named in 2. above, exceed 10% and total 56.2%:

- Dr. Arend Oetker, Germany

5. The voting shares of the shareholders named below, including allocations of all the persons, companies and foundations named in 2. above, exceed 10% and total 55.0%:

- Dr. Marie Th. Schnell, Germany
- Johanna Sophie Oetker, Germany
- Leopold Heinrich Oetker, Germany
- Clara Christina Oetker, Germany
- Ludwig August Oetker, Germany

Shares with special rights and voting control

Shares with special rights that grant powers of control have not been issued by the company. There is no special type of voting control for the participating interests of employees. Employees who have an interest in the company's capital exercise their control rights in the same way as other shareholders.

Appointment and removal of management

The personally liable partner, KWS SE, is responsible for managing the business of KWS SAAT SE & Co. KGaA under Section 7.2 of the Articles of Association of KWS SAAT SE & Co. KGaA.

In accordance with Section 6.3 of the Articles of Association of KWS SAAT SE & Co. KGaA, the personally liable partner shall leave the company if the majority of shares in the personally liable partner can no longer be held directly and/or indirectly for a time longer than 30 calendar days by persons who hold a combined total of more than 15% of the company's capital stock directly and/or indirectly

through a company that is dependent in accordance with Section 17 (1) of the German Stock Corporation Act (AktG) or is controlled in accordance with Section 290 (2) of the German Commercial Code (HGB). This shall not apply if all shares in the personally liable partner are held by the company.

Furthermore, Section 6.4 of the Articles of Association of KWS SAAT SE & Co. KGaA stipulates that the personally liable partner shall leave the company if a person who is not a family shareholder (acquiring party) obtains control over the personally liable partner directly or indirectly (acquisition of control) and does not submit to the company's limited partners a takeover or mandatory offer in accordance with this provision and otherwise in accordance with the provisions in the German Securities Acquisition and Takeover Act (WpÜG) within three months of acquisition of control.

Under Section 6.5 of the Articles of Association of KWS SAAT SE & Co. KGaA, the personally liable partner shall also leave the company by means of termination. Notice of termination shall be given to all the limited partners at the Annual Shareholders' Meeting. Outside of the Annual Shareholders' Meeting, notice of termination shall be given to the chairperson of the Supervisory Board or his or her deputy. The notice of termination can be submitted with a period of at least six months effective the end of a fiscal year.

The other statutory grounds for the personally liable partner leaving the company shall remain unaffected.

The members of the Executive Board of the personally liable partner, which is responsible for managing the company's business, are appointed and removed by the Supervisory Board of the personally liable partner, KWS SE. Pursuant to Article 46 (1) of Council Regulation (EC) 2157/2001 in conjunction with Section 6 of the Articles of Association of KWS SE, members of the Executive Board are appointed for a maximum period of six years. Members may be reappointed.

Amendments to the Articles of Association

Amendments to the company's Articles of Association are made pursuant to a resolution adopted by the Annual Shareholders' Meeting in accordance with Section 278 (3) in conjunction with Section 179 of the German Stock Corporation Act (AktG). Section 285 (2) Sentence 1 of the German Stock Corporation Act (AktG) stipulates that amendments to the Articles of Association require the approval of the personally liable partner.

In accordance with Section 133, Section 179 (2) of the German Stock Corporation Act (AktG) and Section 18.1 of the Articles of Association of KWS SAAT SE & Co. KGaA, a resolution by the Annual Shareholders' Meeting to amend the Articles of Association must be adopted by a simple majority of the votes cast and a simple majority of the capital stock represented in adoption of the resolution, unless obligatory statutory regulations or the Articles of Association otherwise compel.

The power to make amendments to the Articles of Association that only affect the wording (Section 179 (1) Sentence 2 AktG) has been conferred on the Supervisory Board in accordance with Section 22 of the Articles of Association of KWS SAAT SE & Co. KGaA.

Powers of the personally liable partner, in particular in relation to issuing or buying back shares

The personally liable partner is authorized, with the consent of the Supervisory Board, to increase the capital stock of the company in the period up to midnight on December 2, 2030, once or in installments by a total of up to €9,900,000.00 by issuing new shares in exchange for cash contributions and/or contributions in kind (Authorized Capital 2025).

As a matter of principle, shareholders have a subscription right to the shares. The shares can also be assumed by one or more credit institutions or enterprises within the meaning of Section 186 (5) Sentence 1 of the German Stock Corporation Act (AktG) appointed by the personally liable partner, with the obligation to offer them for subscription solely to the shareholders (indirect subscription right). However, the shareholders' subscription right can be excluded with the consent of the Supervisory Board, subject to certain conditions defined in the authorization.

Significant agreements in the event of a change of control, compensation agreements

Significant agreements subject to the condition of a change in control pursuant to a takeover bid have not been concluded. The agreements with members of the Executive Board of the personally liable partner stipulate that any commitments in the case of a change in control are limited to the maximum amounts specified by the German Corporate Governance Code.

2.8 Report on KWS SAAT SE & Co. KGaA (Declaration based on the German Commercial Code (HGB))

References to KWS SAAT SE & Co. KGaA in the KWS Group's Annual Report

The Management Reports of KWS SAAT SE & Co. KGaA and the KWS Group are combined. The declaration on corporate governance in accordance with Section 289f of the German Commercial Code (HGB), which also contains the Declaration of Compliance in accordance with Section 161 AktG (German Stock Corporation Act), has been published on the Internet at www.kws.com/corp/en/investors/. The following disclosures are identical to those of the KWS Group and are printed in this Annual Report:

References to KWS SAAT SE & Co. KGaA in the KWS Group's Annual Report

Disclosures	Chapter
Report in accordance with Section 289 (4) of the German Commercial Code (HGB) and explanatory report of the Executive Board	→ 2.7 Further Information
On business activity, corporate strategy, corporate controlling and management, as well as explanations on business performance	→ 2.1 Fundamentals of the KWS Group, 2.3 Economic Report
On the dividend	→ Section 9.1 "Proposal for the appropriation of net retained profits" of the Notes for the KWS Group
On research and development	→ 2.2 Research & Development Report
On the report on events after the balance sheet date	→ Section 9.6 "Report on Events after the Balance Sheet Date" of the Notes for the KWS Group

KWS SAAT SE & Co. KGaA is the parent company of the KWS Group. It is responsible for strategic management and, among other things, propagates and distributes sugarbeet and corn seed. It finances basic research and breeding of the main range of varieties at the KWS Group and provides its subsidiaries with new varieties every year for the purpose of propagation and distribution.

Earnings

Net sales at KWS SAAT SE & Co. KGaA in the year under review rose slightly to €1,003.9 (964.7) million (guidance: slight decline in net sales). Whereas revenues from corn and cereal seed were higher, net sales of sugarbeet seed were lower. The gross profit increased to €597.0 (595.3) million. Research and development expenditure, which is mostly pooled at KWS SAAT SE & Co. KGaA, fell to €270.9 (294.3) million.

Selling expenses were €98.9 million and thus below the figure for the previous year (€102.4 million). Most of the administrative expenses at the KWS Group are incurred at KWS SAAT SE & Co. KGaA. General and administrative expenses in the year under review totaled €156.3 (156.2) million. The balance of other operating income and other operating expenses was €8.0 (–2.8) million. Due to these trends, KWS SAAT SE & Co. KGaA's operating income increased sharply to €78.9 (39.5) million (guidance: sharp decline).

The investment and financial result increased to €26.4 (22.3) million. This is partly attributable to the improved interest result of € –5.3 (–8.4) million, which increased as a result of lower interest expenses. In addition, expenses from equity investments decreased to €0.0 (10.3) million. In the previous year, these included losses on the disposal of equity investments. On the other hand, there were higher expenses from the assumption of losses to the amount of €15.8 (1.6) million.

Taking into account tax expenditures totaling €48.5 (38.5) million, the net income for the year was €56.8 (23.4) million. The net retained profit at the end of the fiscal year was €299.9 (284.3) million.

Financial position and assets

KWS SAAT SE & Co. KGaA's total assets in the year under review increased to €2,250.2 (2,207.1) million. Fixed assets at the balance sheet date were €1,005.7 (1,012.8) million. Property, plant and equipment increased to €244.6 (234.5) million, as did intangible assets (€41.6 million; previous year: €34.0 million). The decrease in financial assets to €719.5 (744.2) million was primarily due to the decline in shares in affiliated companies resulting from a company merger. Current assets rose to €1,233.9 (1,184.9) million. This was mainly due to higher inventories of €224.7 (187.5) million and receivables and other assets of €746.3 (726.3) million. Cash and cash equivalents were €262.9 (271.1) million.

On the other side of the balance sheet, liabilities were €1,420.7 million, on a par with the previous year's figure of €1,420.9 million. Significant changes were a decrease in liabilities to banks, as well as the increase in trade payables and liabilities to affiliated companies. KWS SAAT SE & Co. KGaA's equity increased to €509.8 (494.2) million, giving an equity ratio of 22.7% (22.4%).

Employees

An average of 2,061 (1,987) people were employed at KWS SAAT SE & Co. KGaA in the year under review.

Risks and opportunities

The opportunities and risks at KWS SAAT SE & Co. KGaA are essentially the same as at the KWS Group. It shares the risks of its subsidiaries and associated companies in accordance with its respective stake in them. You can find a detailed description of the opportunities and risks and an explanation of the internal control and risk management system (Section 289 (4) of the German Commercial Code (HGB)) in → **2.5.2 Risk Management**.

Forecast Report

KWS SAAT SE & Co. KGaA generates the main part of its net sales from sugarbeet, cereal and corn seed business and royalties from basic seed. Its further development depends, among other things, on the performance of our varieties, area under cultivation in our key markets and developments in our growth markets. Based on our planning, we anticipate a slight decline in net sales in fiscal 2026/2027. KWS SAAT SE & Co. KGaA's operating income is also mainly impacted by the costs of central functions of the KWS Group and cross-segment research and development activities. We expect a slight decline in operating income in fiscal 2026/2027.

Einbeck, September 7, 2026

KWS SE

Dr. Felix Büchting | Dr. Jörn Andreas |
Sebastian Talg | Nicolás Wielandt

3. Consolidated Financial Statements of KWS SAAT SE & Co. KGaA 2025/2026

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Consolidated Statement of Comprehensive Income

July 1 to June 30

in € thousand	Note no.	2025/2026	2024/2025
I. Income statement			
Continuing operations			
Net sales	6.1	1,626,821	1,676,628
Cost of sales	6.1	631,020	619,198
Gross profit on sales		**995,801**	**1,057,431**
Selling expenses	6.1	285,811	296,742
Research & development expenses	6.1	342,057	348,951
General and administrative expenses	6.1	154,672	165,269
Other operating income	6.2	66,702	49,129
Other operating expenses	6.3	41,005	47,966
Operating income		**238,958**	**247,633**
Financial income	6.4	15,191	26,152
Financial expenses	6.4	24,099	27,877
Result from equity-accounted financial assets	6.4	10,023	–33,718
Net financial income/expenses	**6.4**	**1,115**	**–35,442**
Earnings before taxes from continuing operations		**240,072**	**212,191**
Income taxes	6.5	81,707	72,210
Earnings after taxes from continuing operations	**6.8**	**158,366**	**139,980**
Discontinued operation			
Earnings after taxes from discontinued operations	**4.2**	**2,470**	**96,366**
Group			
Earnings after taxes		**160,835**	**236,346**
II. Other comprehensive income			
Changes in reserve for currency translation differences and hyperinflation for foreign operations	7.9	10,804	3,802
Other income from equity-accounted financial assets	7.9	–5,950	–6,398
Net gain/(loss) on cash flow hedges	7.9	0	0
Net change in cost of hedging	7.9	0	597
Items that may have to be subsequently reclassified as profit or loss		**4,855**	**–2,000**
Net gain/(loss) on equity instruments designated at fair value through other comprehensive income	7.9	–1,044	–2,320
Remeasurement gain/(loss) in defined benefit plans	7.9	3,288	2,591
Items not reclassified as profit or loss		**2,244**	**271**
Other comprehensive income after tax	**7.9**	**7,099**	**–1,729**
III. Comprehensive income		**167,934**	**234,617**
Diluted and basic earnings per share from continuing operations (in €)	**6.8**	**4.80**	**4.24**
Diluted and basic earnings per share for the Group (in €)	**6.8**	**4.87**	**7.16**

Consolidated Balance Sheet

Assets

in € thousand	Note no.	06/30/2026	06/30/2025
Goodwill	7.1	105,385	105,391
Intangible assets	7.1	265,414	266,809
Right-of-use assets	7.15	47,845	42,673
Property, plant and equipment	7.2	695,607	661,001
Equity-accounted financial assets	7.3	59	56
Financial assets	7.5	16,493	13,706
Other noncurrent receivables	7.5	74,919	10,806
Deferred tax assets	6.5	17,687	25,771
Noncurrent assets		**1,223,409**	**1,126,212**
Inventories and biological assets	7.6	460,931	420,328
Trade receivables	7.7	536,731	489,330
Cash and cash equivalents	7.8	394,402	373,987
Current tax assets	7.7	121,826	113,934
Other current financial assets	7.7	43,400	33,022
Other current assets	7.7	43,530	40,358
Current assets		**1,600,821**	**1,470,961**
Assets held for sale	**4.2**	**0**	**79,048**
Total assets		**2,824,230**	**2,676,221**

Equity and liabilities

in € thousand	Note no.	06/30/2026	06/30/2025
Subscribed capital	7.9	99,000	99,000
Capital reserve	7.9	5,530	5,530
Retained earnings	7.9	1,623,685	1,497,001
Equity	**7.9**	**1,728,215**	**1,601,531**
Long-term provisions	7.11	89,428	91,963
Long-term borrowings	7.11	249,341	393,449
Noncurrent lease liabilities	7.11; 7.15	37,841	33,349
Deferred tax liabilities	6.5	34,651	34,063
Other noncurrent financial/non-financial liabilities	7.11	166	475
Noncurrent liabilities	**7.11**	**411,426**	**553,298**
Short-term provisions	7.12	31,086	30,032
Short-term borrowings	7.12	153,722	42,100
Current lease liabilities	7.12; 7.15	15,889	14,637
Trade payables	7.12	186,089	180,191
Current tax liabilities	7.12	119,894	85,144
Other current financial liabilities	7.12	16,672	12,062
Contract and refund liabilities	7.12	53,446	51,630
Other current liabilities	7.12	107,793	105,596
Current liabilities	**7.12**	**684,590**	**521,392**
Liabilities		**1,096,016**	**1,074,690**
Total equity and liabilities		**2,824,230**	**2,676,221**

Consolidated Statement of Changes in Equity

July 1 to June 30

in € thousand	Parent company									Group equity
	Subscribed capital	Capital reserve	Accumulated Group equity from earnings	Comprehensive other Group income					Total	Total
				Reserve for currency translation differences and effects of hyperinflation for foreign operations	Reserve for currency translation differences on equity-accounted financial assets	Cash flow hedge reserve on equity-accounted financial assets	Net gain/(loss) on equity instruments designated at fair value through other comprehensive income	Revaluation of defined benefit plans	Cost of hedging reserve	
07/01/2024	**99,000**	**5,530**	**1,391,822**	**–85,948**	**16,236**	**–3,889**	**2,048**	**–24,290**	**–597**	**1,399,914**	**1,399,914**
Dividends paid			–33,000							–33,000	–33,000
Earnings after taxes			236,346							236,346	236,346
Other comprehensive income after taxes				3,802	–9,166	2,767	–2,320	2,591	597	–1,729	–1,729
Total consolidated gains (losses)			**236,346**	**3,802**	**–9,166**	**2,767**	**–2,320**	**2,591**	**597**	**234,617**	**234,617**
Other changes			0	0	0	0	0	0	0	0	0
06/30/2025	**99,000**	**5,530**	**1,595,168**	**–82,146**	**7,071**	**–1,122**	**–272**	**–21,700**	**0**	**1,601,531**	**1,601,531**
07/01/2025	**99,000**	**5,530**	**1,595,168**	**–82,146**	**7,071**	**–1,122**	**–272**	**–21,700**	**0**	**1,601,531**	**1,601,531**
Dividends paid			–41,250							–41,250	–41,250
Earnings after taxes			160,835							160,835	160,835
Other comprehensive income after taxes				10,804	–7,071	1,122	–1,044	3,288	0	7,100	7,100
Total consolidated gains (losses)			**160,835**	**10,804**	**–7,071**	**1,122**	**–1,044**	**3,288**	**0**	**167,935**	**167,935**
Other changes			0	0	0	0	0	0	0	0	0
06/30/2026	**99,000**	**5,530**	**1,714,753**	**–71,342**	**0**	**0**	**–1,316**	**–18,411**	**0**	**1,728,215**	**1,728,215**

Consolidated Cash Flow Statement

July 1 to June 30

in € thousand	Note no.	2025/2026	2024/2025
Earnings after taxes	**6.8**	**160,835**	**236,346**
Depreciation and amortization/impairment losses/reversals of impairment losses	7.1; 7.2; 7.15	104,110	102,887
Increase/decrease in long-term provisions	7.11	–4,119	–2,124
Other non-cash expenses/income	8	52,032	93,525
Increase/decrease in short-term provisions	7.12	1,128	66
Net gain/loss from the disposal of assets	6.2; 6.3	–36,040	–2,438
Gain from the sale of the discontinued operation	4.2	0	–108,080
Income tax expense/income	6.5	81,707	72,210
Income tax payments/refunds	6.5	–32,902	–37,070
Interest expense/interest income	6.4	5,961	6,312
Increase/decrease in inventories	7.6	–102,941	–112,545
Increase/decrease in trade receivables	7.7	–49,035	–4,086
Increase/decrease in other assets not attributable to investing or financing activities		–8,351	2,678
Increase/decrease in trade payables	7.12	7,655	–17,045
Increase/decrease in other liabilities not attributable to investing or financing activities		–7,466	–4,159
Proceeds and payments from equity-accounted entities	7.3	0	60
Net cash from operating activities of the Group		**172,575**	**226,537**
minus net cash from operating activities of the discontinued operation		0	–1,180
Net cash from operating activities of continuing operations		**172,575**	**227,717**
Proceeds from disposal of tangible assets	7.2	1,259	3,939
Payments for capital expenditures for tangible assets	7.2	–93,439	–108,116
Proceeds from disposal of intangible assets	7.1	4,902	128
Payments for capital expenditures for intangible assets		–16,027	–13,862
Proceeds from the sale of consolidated entities and other business units		42,771	276,739
Interest received		10,497	8,003
Net cash from investing activities of the Group		**–50,037**	**166,830**
minus net cash from investing activities of the discontinued operation		0	271,369
Net cash from investing activities of continuing operations		**–50,037**	**–104,539**

July 1 to June 30

in € thousand	Note no.	2025/2026	2024/2025
Dividend payments to shareholders	7.9	–41,250	–33,000
Payment of principal portion of lease liabilities	7.15	–17,682	–15,294
Payment of interest portion of lease liabilities	6.4; 7.15	–3,201	–2,781
Interest paid incl. transaction costs on issuance of promissory notes and borrowings		–7,596	–11,964
Proceeds from long-term borrowings		0	0
Repayment of long-term borrowings	7.11; 7.12	–36,755	–169,465
Changes from proceeds/repayments of short-term borrowings		4,688	–4,346
Net cash from financing activities of the Group		**–101,795**	**–236,849**
minus net cash from financing activities of the discontinued operation		0	–6,291
Net cash from financing activities of continuing operations		**–101,795**	**–230,558**
Net cash changes in cash and cash equivalents (including restricted cash)		**20,744**	**156,518**
Changes in cash and cash equivalents (including restricted cash) due to exchange rate, consolidated group and measurement changes		**–329**	**–4,894**
Cash and cash equivalents (including restricted cash) at beginning of year		373,987	222,363
Cash and cash equivalents (including restricted cash) at end of year	**7.8**	**394,402**	**373,987**
thereof restricted cash and cash equivalents at end of year		**1,583**	**54**

Notes for KWS SAAT SE & Co. KGaA 2025/2026

1 General Disclosures

The consolidated financial statements of KWS SAAT SE & Co. KGaA and its subsidiaries (hereinafter also referred to as “KWS” or the “KWS Group”) were prepared under the assumption that the operations of the companies will be continued and applying Section 315e of the German Commercial Code (HGB). They comply with the IFRS Accounting Standards as applicable in the European Union (EU) for the fiscal year 2025/2026.

KWS SAAT SE & Co. KGaA, the ultimate parent company of the KWS Group, is an international company based in Germany, has its headquarters at Grimsehlstraße 31, 37574 Einbeck, Germany, and is registered at Göttingen Local Court under the number HRB 205722. Since it was founded in 1856, the KWS Group has specialized in developing, producing and distributing high-quality seed for agriculture. The KWS Group covers the complete value chain of a modern seed producer – from breeding of new varieties, propagation and processing to marketing of the seed and consulting for farmers. KWS’ core competence is in breeding new, high-performance varieties that are adapted to regional needs, such as climatic and soil conditions.

The Executive Board of KWS SE, the personally liable partner of KWS SAAT SE & Co. KGaA, prepared the consolidated financial statements on September 1, 2026, and released them for distribution to the Supervisory Board. The Supervisory Board has the task of examining the consolidated financial statements and declaring whether it approves them.

2 Standards and Interpretations Applied for the First Time

The following standards and interpretations have been adopted and applied for the first time in fiscal year 2025/2026:

Standards and interpretations applied for the first time

Standards and interpretations
Amendments to IAS 21 – The Effects of Changes in Foreign Exchange Rates: Lack of Exchangeability

At the date of signing, all amendments to the standards and interpretations applied as of July 1, 2025, did not have any impact on the consolidated financial statements of the KWS Group.

2.1 Standards and interpretations to be applied in future

The IASB has issued the following standards and interpretations and amendments to standards and interpretations whose application was not yet mandatory for the 2025/2026 fiscal year or where the standards or interpretations have been published by the IASB, but the European Union had not yet completed the endorsement process by the balance sheet date. The standards in the table below have not yet been applied by the KWS Group.

The KWS Group is currently assessing the potential impact of the new standard **IFRS 18**, which introduces the following significant new requirements:

- Entities are required to classify all items of income and expense in the statement of profit or loss or income statement in one of five categories: the operating category, the investing category, the financing category, the income taxes category and the discontinued operations category.
- Clear rules on allocating income and expenses to five defined categories must be applied. In addition, reporting of the subtotals “Operating Profit or Loss” and “Profit or Loss before Financing and Income Taxes” is mandatory. The new allocation rules have no impact on earnings after taxes.
- Certain entity-specific performance indicators (termed management-defined performance measures (MPMs)) are disclosed in a separate note in the financial statements.
- If the indirect method is used, entities are required to use the operating profit or loss as the starting point for the cash flow statement.

According to the current assessment, the KWS Group does not have any specified main business activity as defined by IFRS 18.

Furthermore, as of the current time of analysis, the KWS Group does not assume that the new allocation of income and expenses to the above-mentioned categories will result in any significant changes to the operating category.

Rather, based on the current assessment, the anticipated reclassifications relate in particular to individual items of income and expense that were previously reported under net financial income/expenses and must be allocated to the investing category in the future. These include, for example, interest income from cash and cash equivalents, interest income from individual financial assets, and earnings from entities carried using the equity method; however, the latter is expected to be of only minor significance in the future due to the sale of material joint ventures of the KWS Group.

In addition, the KWS Group includes the decisions of the IFRS Interpretations Committee (IFRS IC) in connection with IFRS 18 in its analysis. These relate in particular to the classification of foreign exchange differences from intra-Group monetary assets and liabilities, for which entities will be able to choose which classification approach to apply in the future. In this respect, KWS will continuously monitor further developments and market practice as part of the implementation project.

With regard to the management-defined performance measures (MPMs), based on the current analysis, no measures that would qualify as management-defined performance measures within the meaning of IFRS 18 have been identified for the KWS Group.

The other new and amended standards and interpretations are not expected to have any significant impact on the consolidated financial statements.

Standards and interpretations to be applied in future

Standards and interpretations (adopted into European law)	Mandatory first-time application
Amendments to IFRS 9 – Financial Instruments and IFRS 7 – Financial Instruments: Disclosures: Classification and Measurement of Financial Instruments	Fiscal year 2026/2027
Amendments to IFRS 9 – Financial Instruments and IFRS 7 – Financial Instruments: Disclosures: Contracts Referencing Nature-dependent Electricity	Fiscal year 2026/2027
Annual Improvements to IFRS Accounting Standards – Volume 11	Fiscal year 2026/2027
IFRS 18 – Presentation and Disclosure in Financial Statements	Fiscal year 2027/2028

Standards and interpretations to be applied in future

Standards and interpretations (not yet adopted into European law)	Anticipated mandatory first-time application acc. to IASB
IFRS 19 – Subsidiaries without Public Accountability: Disclosures (published by the IASB on May 9, 2024)	Fiscal year 2027/2028
Amendments to IFRS 19 – Subsidiaries without Public Accountability: Disclosures (published by the IASB on August 21, 2025)	Fiscal year 2027/2028
Amendment to IAS 21 – Translation to a Hyperinflationary Presentation Currency (published by the IASB on November 13, 2025)	Fiscal year 2027/2028
Amendments to IAS 28 – Fair Value Option for Investments in Associates and Joint Ventures (published by the IASB on June 26, 2026)	Fiscal year 2027/2028
IFRS 20 – Regulatory Assets and Regulatory Liabilities (published by the IASB on May 27, 2026)	Fiscal year 2029/2030

3 Accounting Policies

3.1 Consistency of accounting policies

Consistent accounting policies are applied in the financial statements of the companies included in the consolidated financial statements. There were no changes to the accounting policies from the previous fiscal year.

3.2 Companies consolidated in the KWS Group

The consolidated financial statements of the KWS Group include the single-entity financial statements of KWS SAAT SE & Co. KGaA and its subsidiaries in Germany and other countries, as well as joint ventures and associated companies, which are carried using the equity method, and joint operations. A company is a subsidiary if KWS SAAT SE & Co. KGaA currently has existing rights that give it the ability to control its relevant activities. Relevant activities are the activities that significantly affect the company's returns. Control therefore only exists if KWS SAAT SE & Co. KGaA has the ability to use its power to affect the amount of the variable returns. Control can usually be derived from holding a majority of the voting rights directly or indirectly. Details on the changes in the consolidated group are provided in section 4 "Consolidated Group and Changes in the Consolidated Group" of the Notes.

3.3 Consolidation methods

The single-entity financial statements of the individual subsidiaries included in the consolidated financial statements and the single-entity financial statements of the joint ventures and associated companies included using the equity method and of the proportionately consolidated joint operations were uniformly prepared on the basis of the accounting and measurement policies applied at KWS SAAT SE & Co. KGaA. For business combinations, capital consolidation is performed according to the acquisition method by allocating the cost of acquisition to the Group's interest in the subsidiary's remeasured equity at the time of acquisition. Any excess of interest in equity over cost is recognized as an asset to the extent by which fair value exceeds the carrying amount. Any goodwill remaining after first-time consolidation is recognized as an intangible asset. Costs incurred as part of the business combination are recognized as an expense and carried as administrative expenses.

According to IAS 36, goodwill is not amortized, but tested for impairment at least once a year at the end of the year (impairment-only approach).

Joint ventures are consolidated using the equity method in application of IFRS 11 and IAS 28. The basis for a joint venture is a contractual agreement with a third party to control and manage a venture collectively. In the case of joint ventures, the parties who exercise joint management have rights to the net assets of the agreement.

In the case of joint ventures carried in accordance with the equity method, the carrying amount is increased or reduced annually by the equity capital changes corresponding to the KWS Group's share. In the case of first-time consolidation of equity investments using the equity method, differences are treated in accordance with the principles of full consolidation. The changes in the proportionate equity that are recognized in profit or loss are included under the item "Result from equity-accounted financial assets." Associated companies in which the KWS Group exerts a significant influence (which can usually be assumed if it holds a stake of between 20% and 50%) are likewise measured using the equity method.

The basis for a joint operation is likewise a contractual agreement with a third party to manage the company's activities jointly. In this case, the parties have rights to the assets that can be ascribed to the agreement and obligations in respect of the liabilities. The assets and liabilities and revenue and expenses are included in the consolidated financial statements proportionately in accordance with the KWS Group's stake (50%).

Deferred taxes on consolidation transactions recognized in income are calculated at the tax rate applicable to the company concerned. These deferred taxes are aggregated with the deferred taxes recognized in the separate financial statements.

As part of the elimination of intra-Group balances, borrowings, receivables, liabilities, and provisions are netted between the consolidated companies. Intercompany profits not realized at Group level are eliminated from intra-Group transactions. Sales, income, and expenses are netted between consolidated companies, and intra-Group distributions of profit are eliminated.

If there are non-controlling interests, they are recognized in the amount of the imputed percentage of equity in the consolidated companies.

3.4 Currency translation

Under IAS 21, the financial statements of the consolidated foreign subsidiaries that conduct their business as financially, economically, and organizationally independent entities are translated into euros using the functional currency method and rounded in accordance with standard commercial practice as follows:

- Income statement items at the average exchange rate for the year on a monthly basis
- Balance sheet items at the exchange rate on the balance sheet date.

The following exchange rates were applied in the consolidated financial statements for the main foreign currencies relative to the euro:

Exchange rates for main currencies

1 EUR/		Rate on balance sheet date		Average rate	
		06/30/2026	06/30/2025	2025/2026	2024/2025
GBP	UK	0.86	0.86	0.87	0.84
RUB	Russia	88.65	92.28	91.46	98.91
TRY[1]	Türkiye	53.10	46.55	53.10	46.55
UAH	Ukraine	51.17	48.78	49.86	45.14
USD	U.S.	1.14	1.18	1.17	1.09

1 The average exchange rate corresponds to the rate on the balance sheet date pursuant to the application of IAS 29 for the Turkish subsidiaries.

The difference resulting from the application of annual average rates on a monthly basis to the earnings after taxes in the income statement at the rate on the balance sheet date is taken directly to equity.

Differences arising from currency translation of monetary balance sheet items denominated in foreign currency are recognized in profit or loss under “Other operating income” or “Other operating expenses” and, where they result from financial transactions, under “Financial income” or “Financial expenses.” An exception is currency translation differences from loan receivables that represent part of the net investment in a foreign subsidiary. According to IAS 21, these translation differences are recognized in the other comprehensive income and are not reclassified to profit or loss until disposal of the net investment. The accumulated amount is recognized in the income statement only when the net investment is disposed of.

Türkiye was still classified as a hyperinflationary economy this fiscal year, as a result of which IAS 29 was applied to the significant subsidiaries in this country.

The net gains or losses from the ongoing inflation of non-monetary assets and liabilities as well as equity and all items in the income statement are recognized under “Other comprehensive income.”

The financial statements of these subsidiaries are generally based on the historical cost concept. Due to changes in the general purchasing power of the functional currency, these financial statements had to be adjusted to the unit of measure applicable at the balance sheet date.

Türkiye’s Consumer Price Index (CPI) was 3,132.17 points at July 1, 2025, and rose by 32.1% in the past fiscal year to 4,137.93 points at June 30, 2026.

3.5 Classification of the statement of comprehensive income

The KWS Group has prepared the income statement using the cost-of-sales method. The costs for the functional areas include all directly attributable costs, including other taxes, as well as received government grants recognized in profit or loss.

3.6 Recognition of income and expenses

Revenue from contracts with customers is primarily generated from the sale of seed. It is recognized when the KWS Group transfers control over products to the customer. That is usually the time when risk passes to the customer. The revenue is recognized at the amount of the consideration promised in the contract.

The revenue is limited to the amount that the KWS Group expects to receive for fulfilling its performance obligations. Accordingly, revenue is reduced by value-added or sales taxes as well as actual and expected discounts, cash discounts and bonuses. If rights of return are provided for in the contract, these must be measured separately. The KWS Group uses empirical country-specific and seasonal figures and information on already announced returns to estimate the anticipated returns.

The KWS Group's contracts with customers do not usually have any significant separable performance obligations apart from the delivery of seed. Consequently, splitting of the transaction price is not required for most of the KWS Group's contracts with customers. The total purchase price must be recognized at a point in time.

The level of the promised consideration is not adjusted by the effects of a financing component if the period for payment is less than 12 months. For contracts with customers that have a period for payment of more than 12 months, the financing component is carried separately on the basis of present value.

The incremental costs of obtaining a contract are recognized as a current expense in the period.

Revenue from service transactions is recognized over the period of time in which the service is provided and measured using the percentage of completion method or in accordance with the costs incurred. Revenue from royalties and other income, such as interest and dividends, are recognized in the period in which they accrue as soon as there is a contractual or legal entitlement to them.

Performance-based public grants are carried as a reduction in the respective function costs.

Operating expenses are recognized in the income statement upon the service in question being used or as of the date on which they occur.

3.7 Intangible assets

Purchased intangible assets are carried at cost less straight-line amortization and impairment losses.

Research & development is recognized as an expense in the year it is incurred. Development costs for new varieties are not recognized as an intangible asset because evidence of economic benefit can only be provided after the variety has been officially approved.

It is necessary to examine whether the useful life of intangible assets is finite or indefinite. Any amortization is included in the respective functional areas. Goodwill has an indefinite useful life. Goodwill and intangible assets with an indefinite useful life are not amortized, but tested for impairment at least once a year.

Intangible assets acquired as part of business combinations are carried separately from goodwill if they are separable according to the definition in IAS 38 or result from a contractual or legal right.

The useful life of intangible assets with a finite useful life is as follows:

Useful life of intangible assets

	Useful life
Breeding material, proprietary rights to varieties and trademarks	10 – 30 years
Distribution rights	5 – 20 years
Software	3 – 8 years
Other rights	3 – 10 years
Customer relationships	1 – 5 years

The residual values, useful economic lives (finite and indefinite) and methods of amortization for intangible assets are reviewed no later than at the end of each fiscal year and adjusted prospectively if necessary.

3.8 Property, plant and equipment

Property, plant and equipment is measured at cost less straight-line depreciation over its expected useful life and impairment losses. Depreciation of an asset commences when the asset is at its location and is in the condition necessary for it to be capable of operating in the manner intended by management. Depreciation of an asset ends when the asset has been fully expensed or is classified as held for sale in accordance with IFRS 5 or at the latest when it is derecognized.

If property, plant and equipment is sold or scrapped, the profit or loss from the difference between the proceeds and residual carrying amount is recognized under the other operating income or other operating expenses.

In addition to directly attributable costs, the cost of self-produced plant or equipment also includes a proportion of the overheads and depreciation/amortization.

Useful life of property, plant and equipment

	Useful life
Buildings	10 – 50 years
Operating equipment and other facilities	5 – 25 years
Technical equipment and machinery	5 – 15 years
Laboratory and research facilities	5 – 13 years
Other equipment, operating and office equipment	3 – 15 years

Low-value assets (with a value of up to €1 thousand) are fully expensed in the year of purchase; they are reported as additions and disposals in the year of purchase in the statement of changes in fixed assets.

If there is evidence of a possible impairment, an impairment test on the property, plant and equipment or at a cash-generating unit is carried out in accordance with IAS 36. An impairment is recognized if the recoverable amount for the asset/cash-generating unit has fallen below the residual carrying amount. The recoverable amount is the higher of the fair value less costs to sell or the value in use. If the reason for an earlier impairment loss on property, plant and equipment no longer applies, its value is increased to up to the amount that would have resulted if the impairment loss had not occurred, taking depreciation into account. In accordance with IAS 20, government grants for assets are deducted from the costs of the asset.

The residual values, useful economic lives and methods of depreciation for property, plant and equipment are reviewed at the end of each fiscal year and adjusted prospectively if necessary.

In accordance with IAS 23, borrowing costs are capitalized if they can be classified as qualifying assets.

3.9 Leases

A lease is an agreement whereby the lessor conveys the right to use an asset for an agreed period of time to the lessee in exchange for a payment or a series of payments.

If the KWS Group is the lessee, leases are recognized as a right-of-use asset and lease liability in the balance sheet in accordance with the regulations of IFRS 16. In subsequent periods, the right-of-use asset is depreciated over the lease's term, taking into account the exercise of any renewal options. This depreciation is recognized in the respective function costs. Interest expense is accrued on the lease liability in the course of the lease and the liability is reduced by the lease payments that have been made. The effect from the accrued interest is recognized in the interest expense under net financial income/expenses.

The lease payments for short-term leases and leases of low-value assets are recognized as operating expenses in accordance with the available exemption.

The right-of-use assets are recognized to the amount of the corresponding lease liabilities, adjusted for any prepaid or accrued lease payments if applicable. The right-of-use assets and lease liabilities are each reported in the balance sheet under a separate item.

If the KWS Group is the lessor and the main risks and rewards from use of the leased object are transferred to the contractual partner, the lease is deemed to be a financial lease. The net investment in the lease is recognized as a receivable.

If the KWS Group acts as a lessor as part of an operating lease, the lease payments are recognized as other operating income in the income statement on a straight-line basis over the lease's term.

The KWS Group's leases mainly relate to tenancy agreements for office space, lease agreements and leased vehicles.

3.10 Assets and disposal groups held for sale and discontinued operations

Noncurrent assets or disposal groups comprising assets and liabilities are classified as held for sale if it is highly probable that they will be realized predominantly through sale or distribution rather than through continued use.

In general, these assets or the disposal group are recognized at the lower of their carrying amount and fair value less costs to sell. Any impairment loss on a disposal group is first allocated to goodwill and then to the remaining assets and liabilities on a pro rata basis – with the exception that no loss is allocated to inventories, financial assets, deferred tax assets, assets arising from employee benefits, investment property or biological assets, which continue to be measured in accordance with the KWS Group's other accounting policies.

Impairment losses on initial classification of an asset as held for sale and subsequent gains and losses on remeasurement are recognized in profit or loss.

Intangible assets and property, plant and equipment are no longer amortized or depreciated from the time they are classified as held for sale, and any equity-accounted investee is no longer carried using the equity method as soon as it is classified as held for sale.

An operation is classified as a discontinued operation upon its sale or as soon as it meets the criteria for classification as held for sale, whichever is earlier.

A discontinued operation is a component of the Group's business where

- its business area and cash flows can be clearly segregated from the rest of the KWS Group and it represents a separate major line of business or geographical area of operations;
- it is part of a single coordinated plan to dispose of a separate major line of business or geographical area of operations, or
- it is a subsidiary acquired exclusively with a view to resale.

If an operation is classified as discontinued, the income statement for the comparative year is adjusted as if the operation had been classified as discontinued from the beginning of the comparative year.

Consolidation processes are regularly applied in calculating current earnings after taxes from discontinued operations, i.e. all transactions between the discontinued and continuing operations are eliminated in full.

In addition, the regulations of IAS 29 are also applied if the discontinued operation includes subsidiaries located in hyperinflationary economies.

In subsequent periods, changes in amounts previously reported in the section for discontinued operations – insofar as they are directly related to the sale of the discontinued operation – must be carried as part of earnings after taxes from discontinued operations.

Cash proceeds/payments from discontinued operations are presented separately from cash proceeds/payments from continuing operations in the consolidated cash flow statement. The proceeds from the sale of discontinued operations are allocated to the net cash from investing activities of the discontinued operation. Prior-year figures are adjusted as if the operation had been classified as discontinued from the beginning of the comparative year.

3.11 Financial instruments

Classification and measurement

Apart from equity instruments, financial instruments are financial assets and financial liabilities.

When financial assets are initially recognized, they are assigned to one of the following three categories for the purpose of subsequent measurement:

- At amortized cost
- At fair value through other comprehensive income
- At fair value through profit or loss.

Equity instruments are generally measured at fair value through profit or loss, unless an option to classify them irrevocably as being measured at fair value through other comprehensive income is exercised when they are initially recognized. Such an option is available if the financial investments in equity instruments are neither held for trading nor constitute a contingent consideration as part of a company acquisition. The debt instruments are classified taking into account the KWS Group's business model for controlling these financial assets and the contractual cash flow characteristics for the financial instrument. A financial asset is measured at amortized cost if it is held with the objective of collecting contractual cash flows and the latter comprise solely payments of interest and principal. If financial assets are held as part of the business model to collect contractual cash flows and sell accordingly designated financial instruments, these financial instruments are classified as being measured at fair value through other comprehensive income. All the other financial instruments are classified in the category "measured at fair value through profit or loss." There is also the option of designating the debt instrument as being measured at fair value through profit or loss under certain conditions when it is carried for the first time.

The financial assets consist of bank balances and cash on hand, trade receivables, loans, fund shares, securities, derivatives and other financial assets. Regular-way purchases and sales of financial assets are recognized or derecognized in general at the settlement date. Because fund shares have the characteristics of equity, they are classified irrevocably as being measured at fair value through other comprehensive income. The changes to fair value in subsequent measurement are recognized as unrealized gains and losses directly in other comprehensive income in the reserve for revaluation of equity instruments.

In addition, derivatives designated as hedging relationships are classified in accordance with hedge accounting regulations as being measured through other comprehensive income. In contrast, derivatives not designated as hedging relationships are recognized through profit or loss.

The other financial assets are measured at amortized cost. The carrying amount of receivables, money market accounts and cash is assumed as the fair value.

Impairment losses

The credit risk is the risk that a contractual partner does not fulfill its payment obligations as part of a financial instrument. The risks of default are monitored and controlled constantly and reflected by means of impairment losses. The KWS Group ascertains the need to recognize an impairment loss for all financial assets not classified in the category "at fair value through profit or loss." That is calculated on the basis of the expected losses. The expected losses are in general the present value resulting from the difference between the cash flows defined in the contract and the cash flows the KWS Group expects to receive.

In general, a two-stage model must be applied in calculating the expected losses. If the credit risk for financial instruments has not increased significantly, the risk provision is recognized only on the basis of losses resulting from default events within the next 12 months. In the case of financial instruments whose credit risk has increased significantly since first-time recognition, the entire remaining lifetime is used to calculate the expected losses.

The KWS Group uses a simplified approach under IFRS 9 to determine the expected losses because the financial assets mainly consist of current trade receivables. Measurement and first-time recognition of the receivables and also their subsequent measurement therefore take into account expectations of default on the item in question over its entire lifetime.

The KWS Group determines the expected counterparty default on the basis of the probability of default and the loss rate in the event of default.

The probability of default is generally determined on the basis of customer-specific ratings. The probability of default relates to a year, which is usually the maximum lifetime of receivables at the KWS Group. Since specific ratings are not available for all customers, an average rating based on all classified customers is calculated for each country, regardless of the receivables per customer. It is then applied to the total amount for all the receivables in the country in question. If that information is not available for a country, the average rating of a country with a comparable risk is applied.

The loss rate is the percentage loss in the event of default and corresponds to the amount of the unpaid receivables less an expected recovery rate. The KWS Group applies a uniform recovery rate determined regardless of customer group, due date and country over a long period of time and over a broad total number of company insolvencies.

Changes to the level of the risk provision must be carried in the income statement as a reversal of an impairment loss or as an impairment loss.

Cash and cash equivalents are exposed only to an insignificant risk of fluctuations in their value. The seasonal nature of the KWS Group's liquidity situation over the fiscal year only permits short-term cash deposits in the period from May to August. The bank balances and short-term cash deposits are mainly with banks that have high and stable creditworthiness. Given the external credit rating for these banks, the KWS Group's cash and cash equivalents are regarded as low-risk. Moreover, bank balances are spread over multiple banks in order to avoid any concentration of them. Impairment losses on cash and cash equivalents are regularly calculated on the basis of credit default swaps (CDS) of the banks and are only recognized as an impairment loss in the balance sheet if they are material. Bank balances are recognized at nominal value less any necessary risk provision for expected credit losses.

Financial assets are derecognized once the contractual rights to obtain cash flows from financial assets have expired or the financial assets with all their risks and rewards have been transferred to a third party. When the contractual rights are transferred, the KWS Group assesses whether and to what extent risks and rewards associated with ownership of them remain with the Group. If the risks and rewards are not transferred in full, the KWS Group continues to recognize the asset to the extent of its continuing involvement. In that case, a related liability is also recognized.

The financial liabilities mainly comprise trade payables, loans from banks, derivatives and other financial liabilities. When financial liabilities are initially recognized, they are classified as being measured at fair value through profit or loss or at amortized cost. The KWS Group adopts first-time measurement at fair value. The fair value of financial liabilities with a long-term fixed interest rate is determined as present values of the payments related to the liabilities, using a yield curve applicable on the balance sheet date.

All financial liabilities at the KWS Group, with the exception of derivative financial instruments, are measured at amortized cost using the effective interest method. The liabilities are derecognized at the time they are settled or when the reason why they were formed no longer exists.

Depending on their structure, liabilities from derivative financial instruments are recognized with changes in value in the other comprehensive income or in profit or loss (see also section → **3.12 Derivatives** of the Notes). Financial instruments in level 1 are measured using quoted prices in active markets for identical assets or liabilities. In level 2, they are measured by directly observable market inputs or derived indirectly on the basis of prices for similar instruments. Finally, input factors not based on observable market data are used to calculate the value of level 3 financial instruments.

3.12 Derivatives

The KWS Group uses derivatives to reduce currency, interest rate and commodity price risks. It mainly uses forward and swap deals and options that are customary in the market for that purpose. Derivative instruments are measured at fair value; they can be assets or liabilities.

The fair value of the financial instruments is measured on the basis of the market information available on the balance sheet date and using recognized mathematical models, such as present value or Black-Scholes, to calculate option values, taking their volatility, remaining maturity and capital market interest rates into account. The instruments must also be classified in a level of the fair value hierarchy.

The changes in the market value of derivatives not designated as hedging relationships are recognized in the income statement. Derivatives are derecognized on their day of settlement.

Hedging relationships

The KWS Group uses commodity options to hedge against commodity price risks. Derivatives can be designated as hedges of cash flows from a transaction that is highly likely to occur in the future in individual cases, but this is not taken into consideration at present. In such cases, the hedged item and hedging transactions formally defined and documented as a hedging relationship are managed and monitored as part of operational risk management.

The effective portion of the changes in the market value of designated derivatives is recognized in other comprehensive income in the reserve for cash flow hedging. The ineffective portion is recognized immediately in the income statement under other operating expenses. The reserve for cash flow hedging is adjusted to the lower of the cumulative gain or loss from the hedging instrument and the cumulative change in fair value of the hedged item.

The KWS Group only designates the change in the intrinsic value of an option as a hedging instrument. The change in fair value is recognized directly in other comprehensive income and accumulated in a separate equity component, the “Cost of hedging reserve.”

If a hedged future transaction subsequently results in the recognition of a non-financial item (for example, inventories), the amount accumulated in other comprehensive income is reclassified to initial cost (basis adjustment). If recognition of hedging relationships for cash flow hedging is discontinued, the amount accumulated in other comprehensive income remains in other comprehensive income if the hedged future cash flows are still expected to occur. Otherwise, the amount is immediately reclassified to the income statement.

3.13 Inventories and biological assets

Inventories are measured at the lower of cost or net realizable value less an allowance for obsolescent or slow-moving items. In addition to directly attributable costs, the cost of sales also includes indirect labor and materials including depreciation under IAS 2.

As in previous years, biological assets result from the KWS Group’s farming activities at its locations in Germany, France and Poland. At these locations, the KWS Group has farms that carry out all agricultural activities as part of seed propagation. Under IAS 41, biological assets are measured at fair value less the estimated costs to sell. If their fair value cannot be reliably determined, they are measured at cost. Immature biological assets are carried as inventories as of the time they are harvested.

3.14 Deferred taxes

Deferred taxes are calculated in accordance with IAS 12. Deferred taxes are calculated on temporary differences between the different carrying amounts of assets and liabilities between the IFRS Accounting Standards and the tax regulations, including differences from consolidation measures, and on tax loss carryforwards, tax credits and interest carryforwards. Since it is not permissible to recognize deferred tax liabilities arising from initial recognition of goodwill pursuant to a business combination, the KWS Group does not calculate any deferred taxes on them. Deferred taxes are generally recognized in profit or loss, except to the extent that they are linked to an item recognized in equity or in other comprehensive income.

Deferred taxes are measured on the basis of the applicable local income tax rates anticipated at the time the asset is realized or the liability is settled. Deferred tax assets and liabilities are measured based on the tax rates/laws that apply or have been enacted or substantively enacted by the balance sheet date. No discounting is carried out. Deferred taxes and actual taxes are generally recognized as an expense, unless they relate to transactions or events that are recognized outside of profit or loss, for example in relation to pension provisions (remeasurement gain/loss in defined benefit plans) or certain financial assets (net gain/loss on equity instruments designated at fair value through other comprehensive income).

Deferred tax assets are netted off against deferred tax liabilities if there is a legally enforceable right to set off actual tax refund claims against actual tax liabilities and if the deferred taxes relate to income taxes levied by the same taxing authority.

Deferred tax assets are recognized if it is considered probable that there will be a sufficient future taxable profit against which the deductible temporary differences, tax loss carryforwards, tax credits and interest carryforwards can be offset. Future taxable gains are determined on the basis of the reversal of taxable temporary differences and existing forecasts. Deferred tax claims are reviewed at each balance sheet date and reduced to the extent that it is no longer probable that the related tax benefit can be realized. Write-ups are made if the probability of future taxable income improves. Irrespective of the forecast for taxable gains, deferred tax assets are recognized to the extent that they are offset by deferred tax liabilities. Deferred tax liabilities must be recognized for all taxable temporary differences.

The measurement of deferred taxes reflects the tax consequences that result from the KWS Group's expectations with regard to the way in which the carrying amounts of its assets will be realized or its liabilities settled at the balance sheet date.

Deferred tax liabilities on taxable temporary differences associated with investments in subsidiaries, branches and associated companies, and interests in joint arrangements, are not recognized if the KWS Group is able to control the timing of the reversal of the temporary differences and it is probable that the reversal will not occur in the foreseeable future.

3.15 Actual taxes

Actual taxes are the expected tax liability or tax asset on the taxable income or tax loss for the fiscal year, based on tax rates that apply at the balance sheet date or will soon apply. The actual income taxes are calculated on the basis of the respective national taxable profit and regulations for the year. In addition, the actual taxes recognized in the fiscal year also include adjustments for any tax payments or refunds in respect of years that have not yet been definitively assessed, but excluding interest payments, interest refunds and penalties on payments of tax arrears.

If there is uncertainty over the income tax treatment, the KWS Group measures actual or deferred tax assets or liabilities in accordance with the regulations of IAS 12 and IFRIC 23. The KWS Group decides on a case-by-case basis whether the uncertain tax treatment should be considered independently or collectively together with one or more other uncertain tax treatments, depending on which approach provides better predictions of the resolution of the uncertainty.

If it is considered improbable that the tax authority will accept an uncertain tax treatment, the KWS Group recognizes the effects of the uncertainty at the amount of the anticipated tax payment (the expected value or most likely amount of the tax treatment). Tax assets from uncertain tax positions are recognized if it is probable that they can be realized. No provision for taxes is recognized for these uncertain tax positions only if there is a tax loss carryforward or an unused tax credit; instead, the deferred asset is adjusted for the unused tax loss carryforwards and tax credits.

In assessing whether and how an uncertain tax treatment affects determination of the taxable profits/taxable losses, tax bases, unused loss carryforwards, unused tax credits and tax rates, the KWS Group assumes that a tax authority will examine the amounts it is authorized to examine and has full knowledge of all related information as part of such examinations.

The KWS Group operates in a large number of countries and is therefore subject to various tax jurisdictions. Determining the tax liabilities requires a number of assessments by management. Management has conducted an extensive assessment of tax-related imponderables; however, it is not possible to rule out a deviation from the results of that and the actual outcome of the imponderables.

Any deviations may impact the amount of tax liabilities or deferred taxes in the year the decision is made.

In order to reduce tax avoidance and profit shifting, the Organization for Economic Cooperation and Development (OECD) has published the Pillar Two Model Rules, which are intended to address the tax challenges arising from digitalization of the global economy in order to ensure an effective minimum tax rate of 15%.

The global minimum tax under Pillar Two is calculated on the basis of the taxable profit or loss in the country in question. This profit or loss – before elimination of intra-Group items and after other adjustments – is included in the consolidated financial statements of the ultimate parent company, i.e. the global minimum tax is levied on a net amount. The KWS Group has therefore come to the conclusion that this global minimum tax, which is payable under national legislation for Pillar Two, is an income tax within the scope of IAS 12. The KWS Group has applied the temporary, mandatory exemption regarding the recognition of deferred taxes resulting from introduction of global minimum taxation, i.e. deferred taxes in connection with income taxes resulting from current or announced tax regulations to implement the Pillar Two legislation do not have to be recognized or disclosed. These taxes are carried accordingly as actual tax expense/income at the time they are incurred.

3.16 Provisions for pensions and other employee benefits

The provisions for pensions and other employee benefits are calculated using actuarial principles in accordance with the projected unit credit method. Actuarial gains and losses must be recognized directly in equity in other comprehensive income. The service costs (including past service costs) are recognized in operating income in accordance with the employees' assignment to the functional areas. If there are plan assets and the relevant requirements for netting them off are met, they are netted off against the associated obligations.

The defined-benefit obligations are calculated annually by a qualified actuary using the projected unit credit method. If the calculation results in a potential asset for the Group, the recognized asset is limited to the present value of economic benefits in the form of any future refunds from the plan or reductions in future contributions to the plan.

The provisions for semi-retirement include obligations from concluded semi-retirement agreements. Payment arrears and top-up amounts for semi-retirement pay and for the contributions to the statutory pension insurance program are recognized in measuring them.

3.17 Other provisions

Provisions are recognized for present legal and constructive obligations arising from past events that will likely give rise to a future outflow of resources, provided that a reliable estimate can be made of the amount of the obligations.

Provisions are measured at their expected amount or most likely amount, depending on whether they comprise a large number of items or constitute a single obligation. Provisions are reviewed regularly and adjusted to reflect new findings or changes in circumstances. If it is no longer likely that the economic outflow of a provision will occur, or the conditions for why it was recognized no longer apply, the provision is reversed by the corresponding amount and the resulting income recognized in the item(s) in which the original charge was recognized. If the reversal amount is material and so the effect not related to the period must be classified as material, the reversal is carried as income from the reversal of provisions under other operating income not related to the period.

Long-term provisions are discounted taking into account future cost increases and using a market interest rate that adequately reflects the risk, provided the interest effect is material.

3.18 Contingent liabilities

The contingent liabilities result from debt obligations where outflow of the resource is not probable or the level of the obligation cannot be estimated with sufficient reliability or from potential obligations for loan amounts drawn down by third parties as of the balance sheet date.

3.19 Significant accounting judgments, estimates and assumptions

In preparing the IFRS consolidated financial statements, management has to make certain assumptions and estimates that may substantially impact the presentation of the Group's financial position and/or results of operations. Essential estimates and assumptions that may affect reporting in the various item categories of the financial statements are described in the following:

- Calculation of the expected returns and discounts from customers at the balance sheet date (→ section 3.6 of the Notes)
- Determination of the useful life of the depreciable asset (→ sections 3.7 and 3.8 of the Notes)
- Assessment by management of uncertainties in connection with income taxes and of whether deferred tax assets can be realized, taking into account the time at which deferred tax liabilities are reversed and the anticipated future taxable income in the period under review (→ sections 3.14, 3.15 and 6.5 of the Notes)
- Definition of measurement assumptions and future results in connection with impairment tests, above all for capitalized goodwill (→ section 7.1 of the Notes)
- Determination of the need to recognize impairment losses on inventories (→ sections 6.1 and 7.6 of the Notes)
- Definition of the parameters required for measuring pension provisions (→ section 7.11 of the Notes)
- Measurement of other provisions (→ section 7.12 of the Notes)
- Determination whether there is reasonable certainty as to whether extension or termination options as a part of a lease will be exercised or not (→ section 7.15 of the Notes).

Estimates are based on historical experience and other assumptions that are considered reasonable under given circumstances. They are continually reviewed but may vary from the actual values.

3.20 Impact of significant events

Impacts due to the overall economic situation

In recent years, a number of global events, such as geopolitical and economic conflicts, have caused greater economic uncertainty. These include Russia's ongoing war of aggression in Ukraine and the various armed conflicts in the Middle East, as well as the effects of U.S. trade and tariff policy.

The war between Russia and Ukraine

The ongoing war resulting from Russia's invasion of Ukraine in February 2022 is of major importance for the KWS Group. The situation in both countries is therefore being constantly monitored and assessed. The spread of hostilities in Ukraine may result in interruptions to business operations (corn seed production), for example. There are continued efforts by the Russian Ministry of Agriculture to increase localization and control of the local seed market, as well as tighter import restrictions.

Like in the previous year, the associated risk situation was taken into account in the adopted budget and medium-term planning, which in turn were included in the annual goodwill impairment test at June 30, 2026. In addition, indications of impairment of property, plant and equipment and other intangible assets were examined against the backdrop of the war between Russia and Ukraine. All in all, the examination did not reveal any impairment losses.

The effect on other assets, such as trade receivables and inventories, was continually examined with regard to the impact of the war in Ukraine on the economic environment. The KWS Group's business model is seasonal in nature, which is why it generates most of its net sales by the end of the third quarter and collects a large proportion of the receivables owed to it in the fourth quarter. As regards customers' solvency, no circumstances justifying impairment of the receivables above and beyond the existing approach were identified. Potential industry- and country-specific risks were, and will continue to be, taken into account in assessing the potential impact of the war between Russia and Ukraine on trade receivables.

Our business activities in Russia in fiscal 2025/2026 accounted for 8.4% (previous year: 9.1%) of consolidated net sales. Potential effects on the recognition and measurement of assets and liabilities are analyzed on an ongoing basis. The KWS Group's assets, financial position and earnings in fiscal 2025/2026 were impacted by the repercussions of the war between Russia and Ukraine only to a small extent.

Other geopolitical events

The impact of other current geopolitical developments is continuously evaluated and constantly analyzed as part of our risk management. At present, however, there are no significant effects on the KWS Group's assets, financial position and earnings. Nevertheless, there are still greater uncertainties, partly as a result of the unforeseeable global consequences of the change in U.S. trade and tariff policy and the countermeasures taken by other countries, as well as in relation to exchange rate movements.

Impacts of climate change

Climate-related effects on our business activities are analyzed as part of our global risk management and in our strategic planning. There are operational risks in particular from extreme weather events such as heavy rain, flooding, storms or drought, which according to prevailing scientific analyses will continue to increase in number. We mainly develop new varieties and propagate our seed outdoors, meaning these activities are exposed to weather events. In addition to local protection measures such as irrigation, flood control or greenhouses, we can limit these risks through regional diversification. Contra-seasonal production in the southern hemisphere enables two cultivation cycles a year.

In addition to extreme weather events, climate change is also causing a gradual increase in average temperatures, changes in regional average rainfall, and changes in disease or pest pressure. We counter that by continuously improving our varieties as part of our global breeding programs. The breeding objectives as part of that include drought resistance, standing ability, better nutrient utilization or new resistances. Climate change thus also entails opportunities for KWS, which we explain in the section "Opportunity Management" in the Management Report.

In general, the above-mentioned climate-related issues are already inherent in the KWS Group's business activities and are therefore reflected in the accounting policies and assumptions. Consequently, there is currently no or only a minor impact on estimates of the useful lives and impairment of noncurrent assets, including goodwill, for example.

The Group Management Report provides a more detailed explanation of these significant events.

4 Consolidated Group and Changes in the Consolidated Group

4.1 Changes in the consolidated group in the current fiscal year

There are 69 companies consolidated in the KWS Group (previous year: 72).

Number of companies including KWS SAAT SE & Co. KGaA

	06/30/2026			06/30/2025		
	Germany	Abroad	Total	Germany	Abroad	Total
Fully consolidated	11	54	65	12	54	66
Equity method	0	2	2	0	4	4
Joint operation	0	2	2	0	2	2
Total	**11**	**58**	**69**	**12**	**60**	**72**

There were the following changes among the fully consolidated German subsidiaries:

- RAGIS KARTOFFELZUCHT- UND HANDELS-GESELLSCHAFT MBH, Einbeck, was merged with KWS SAAT SE & Co. KGaA retroactively effective July 1, 2025.

There were the following changes among the fully consolidated foreign subsidiaries:

- GLH SEEDS INC., Bloomington (U.S.), was merged with KWS SEEDS INC., Bloomington (likewise U.S.) effective July 2, 2025.
- KWS BEL LLC, Minsk (Belarus), was newly established on June 8, 2026.

There were the following changes among the equity-accounted foreign companies:

- The 50% stakes in the joint ventures AGRELIANT GENETICS INC. (Canada) and AGRELIANT GENETICS LLC (U.S.) were successfully sold effective August 29, 2025 (see section → **4.2 Other assets and disposal groups held for sale** of the Notes).

There were no changes among the foreign joint operations.

4.2 Other assets and disposal groups held for sale

At the end of the previous fiscal year 2024/2025, the KWS Group concluded an agreement (“share deal”) to sell its 50% stakes in the joint ventures AGRELIANT GENETICS INC. (Canada) and AGRELIANT GENETICS LLC (U.S.), whose main business activity involves the production and sale of corn and soybean seed in North America. Under license agreements, KWS was also to sell the rights to genetic material from joint corn breeding with the joint venture partner and the rights to selected European corn breeding material of the KWS Group for use in North America (“asset deal”). The transaction was subject to customary regulatory approvals and closing conditions. In view of the associated intention to sell the shares, the two joint ventures were classified as held for sale as of the end of the previous fiscal year 2024/2025. An at-equity valuation was performed for the last time immediately prior to classification as held for sale and the stake was then tested for impairment. An impairment loss of €20,663 thousand was recognized in the fourth quarter of 2024/2025; it was entirely attributable to net financial income/expenses.

The transaction was closed in the current fiscal year 2025/2026 effective August 29, 2025, with the following effects on earnings:

- A gain of €31,277 thousand from the asset deal was recognized in the income statement as other operating income.
- A gain of €10,023 thousand from the share deal was recognized in the result from equity-accounted financial assets (net financial income/expenses), which results mainly from the reclassification of the reserve for other comprehensive income (see → **Other income from equity-accounted financial assets** in the consolidated statement of comprehensive income).
- Total transaction costs of €2,315 thousand were incurred and were carried under administrative expenses. Taking into account the gain from the asset deal, there was overall a positive effect of €28,962 thousand on operating income.

In connection with the sale, a portion of the purchase price was collected as soon as the transaction was closed. Under the agreement, other portions of the purchase price are not due until later periods and are accordingly carried under the noncurrent receivables (see also section → **7.5 Financial assets and noncurrent receivables** of the Notes).

5 Segment Reporting for the KWS Group

In accordance with its internal reporting and controlling system, the KWS Group is primarily organized according to the following business segments

- Sugarbeet
- Corn
- Cereals
- Vegetables and
- Corporate

The core competency for the KWS Group's entire product range, plant breeding, including the related biotechnology research, is essentially concentrated at the parent company KWS SAAT SE & Co. KGaA in Einbeck. The breeding material, including the relevant information and expertise about how to use it, is owned by KWS SAAT SE & Co. KGaA with respect to sugarbeet and corn and mainly by KWS LOCHOW GMBH in Bergen (Germany) with respect to cereals. Product-related R&D costs are carried directly in the product segments Corn, Sugarbeet and Cereals. The technologies and corresponding expertise of the Vegetables Segment are pooled at KWS VEGETABLES B.V. in Andijk (the Netherlands) and its subsidiaries. Centrally controlled corporate functions are grouped in the Corporate Segment. Furthermore, the breeding, production and distribution of oilseed rape seed are allocated to the Cereals Segment, while activities related to sunflowers are included in the Corn Segment.

The Executive Board is the main decision-making body and is responsible for allocating resources and assessing the earnings strength of the business segments. The segments and regions are defined in compliance with the internal controlling and reporting systems (management approach). The accounting policies used to determine the information for the segments are adopted in line with those used for the KWS Group.

The main performance indicators for the KWS Group were changed at the beginning of the current 2025/2026 fiscal year. In addition to the indicator "net sales development on a comparable basis" (excluding exchange rate and portfolio effects), which we continue to use, the "EBITDA margin" (operating income before depreciation and amortization as a percentage of net sales) has been used to measure operating performance since July 1, 2025. However, the previous main indicators "EBIT margin" (operating income as a percentage of net sales) and "R&D intensity" (research & development expenditure as a percentage of net sales) are no longer used. By switching to the main indicator "EBITDA margin" to assess operating performance, KWS enables better external comparability and a stronger focus on operating cash flow.

In light of the sale of all significant equity-accounted joint ventures of the KWS Group (Corn Segment), the approach as regards the consolidation of joint ventures has also been adjusted. Net sales and earnings are no longer included proportionately from now on. Instead, segment reporting is based directly on financial reporting in accordance with the International Financial Reporting Standards (IFRS Accounting Standards).

In this respect, there is also no longer any need for the most part to reconcile the segment information with the KWS Group, since the following presentation of net sales, income, depreciation and amortization, other non-cash items, selling expenses, research & development expenses, administrative expenses, operating assets, operating liabilities and capital expenditure on noncurrent assets by segment now directly complies with financial reporting in accordance with the IFRS Accounting Standards.

The previous year's figures for the Corn Segment have been adjusted accordingly.

Sales per segment

	Segment sales		Internal sales		External sales	
in € thousand	2025/2026	2024/2025	2025/2026	2024/2025	2025/2026	2024/2025
Sugarbeet	854,218	871,756	0	0	854,218	871,756
Corn[1]	433,634	458,128	0	0	433,634	458,128
Cereals	263,937	263,297	9	0	263,928	263,297
Vegetables	67,563	72,276	24	147	67,539	72,129
Corporate	20,118	25,942	12,615	14,623	7,502	11,319
Total for the segments	**1,639,470**	**1,691,398**	**12,649**	**14,770**	**1,626,821**	**1,676,628**

1 The figures for the previous year have been adjusted due to the change in the control system (see the current section 5 "Segment Reporting for the KWS Group" of the Notes for details of the control system).

Segment sales contains both net sales from third parties (external sales) and net sales between the segments (intersegment sales). The prices for intersegment sales are determined on an arm's-length basis. Technology revenues from genetically modified traits ("tech fees") are paid as a per-unit royalty on the basis of the number of units sold, due to their growing competitive importance.

Earnings, depreciation and amortization and other non-cash items per segment

	Segment earnings (EBITDA)		Depreciation and amortization		Other non-cash items	
in € thousand	2025/2026	2024/2025	2025/2026	2024/2025	2025/2026	2024/2025
Sugarbeet	358,102	396,980	31,482	29,743	–48,900	–37,985
Corn[1]	92,150	52,679	23,664	23,097	–15,776	–6,105
Cereals	34,646	42,939	12,559	10,870	–13,588	–9,063
Vegetables	–25,798	–21,957	15,800	23,872	–1,519	–3,399
Corporate	–116,032	–120,122	20,607	15,307	–10,775	–18,971
Total for the segments	**343,068**	**350,520**	**104,110**	**102,887**	**–90,558**	**–75,522**

1 The figures for the previous year have been adjusted due to the change in the control system (see the current section 5 "Segment Reporting for the KWS Group" of the Notes for details of the control system).

Reconciliation with earnings before taxes from continuing operations

in € thousand	2025/2026	2024/2025
Total for the segments (EBITDA)	**343,068**	**350,520**
Amortization/depreciation	104,110	102,887
Operating income	**238,958**	**247,633**
Net financial income/expenses	1,115	–35,442
Earnings before taxes from continuing operations	**240,072**	**212,191**

Selling expenses, research & development expenses and administrative expenses

in € thousand	Selling expenses		Research & development expenses		Administrative expenses	
	2025/2026	2024/2025	2025/2026	2024/2025	2025/2026	2024/2025
Sugarbeet	91,681	92,391	105,969	105,298	30,512	28,294
Corn[1]	99,887	103,837	76,027	95,445	23,405	22,132
Cereals	59,487	57,189	66,956	64,994	12,555	11,522
Vegetables	19,271	26,873	41,666	35,712	8,522	8,780
Corporate	15,486	16,452	51,438	47,502	79,679	94,542
Total for the segments	**285,811**	**296,742**	**342,057**	**348,951**	**154,672**	**165,269**

1 The figures for the previous year have been adjusted due to the change in the control system (see the current section 5 "Segment Reporting for the KWS Group" of the Notes for details of the control system).

The income statements of the consolidated companies are assigned to the segments by means of profit center allocation. As part of the adjusted controlling, the **operating income** before depreciation and amortization has been used since the beginning of the current fiscal year as an indicator of the earnings strength (segment earnings = EBITDA). The segment earnings are presented on a consolidated basis and include all directly attributable income and expenses. Items that are not directly attributable are allocated to the segments on the basis of an appropriate formula.

The main expenses include selling expenses, research & development expenses and administrative expenses. **Depreciation and amortization** charges allocated to the segments relate exclusively to intangible assets, right-of-use assets and property, plant and equipment.

The other **non-cash items** recognized in the income statement relate to non-cash changes in the allowances on inventories and receivables, and in provisions.

Operating assets and operating liabilities per segment

in € thousand	Operating assets		Operating liabilities	
	2025/2026	2024/2025	2025/2026	2024/2025
Sugarbeet	646,747	562,074	113,445	101,405
Corn	382,221	393,438	63,491	71,425
Cereals	173,427	167,240	35,217	34,260
Vegetables	463,790	453,446	10,524	13,804
Corporate	445,613	408,921	282,496	277,197
Total for the segments	**2,111,798**	**1,985,119**	**505,173**	**498,091**
Others	712,432	691,102	590,842	576,599
KWS Group acc. to consolidated financial statements	**2,824,230**	**2,676,221**	**1,096,016**	**1,074,690**

The operating assets of the segments are composed of intangible assets, right-of-use assets, property, plant and equipment, inventories, biological assets and trade receivables that can be charged directly to the segments or indirectly allocated to them by means of an appropriate formula.

Other assets include financial assets, tax assets, deferred tax assets, cash and cash equivalents and other noncurrent receivables and are accordingly carried under the "Others" item.

The operating liabilities attributable to the segments include – in accordance with the management approach – trade payables, contractual and refund obligations, lease liabilities and provisions.

Other liabilities include financial liabilities, tax liabilities, deferred tax liabilities and liabilities in connection with assets held for sale and are accordingly carried under the "Others" item.

Investments in long-term assets by segment[1]

in € thousand	2025/2026	2024/2025
Sugarbeet	24,732	41,159
Corn[2]	4,249	11,823
Cereals	3,309	10,692
Vegetables	16,733	18,563
Corporate	59,580	37,353
Total for the segments	**108,603**	**119,589**

1 Excluding right-of-use assets in accordance with IFRS 16
2 The figures for the previous year have been adjusted due to the change in the control system (see the current section 5 "Segment Reporting for the KWS Group" of the Notes for details of the control system).

The main capital spending for each segment is as follows:

- **Sugarbeet:** Erection of new greenhouses and office buildings in the U.S., as well as modernization and expansion of production plants in Germany, France and the U.S.
- **Corn:** Expansion and modernization of production and processing plants and storage facilities, in particular in France.
- **Cereals:** Expansion and modernization of production plants, in particular in France.
- **Vegetables:** Construction of a new research center in the Netherlands, as well as expansion of the breeding stations and construction of new greenhouses in Italy, the Netherlands and Spain.
- **Corporate:** In addition to the implementation of new ERP software and new IT applications for the customer relationship management system, in particular projects related to research & development, including the construction of a new phytopathology center at the Einbeck location.

5.1 Disclosures by region

The disclosures on the regional composition of net sales and noncurrent operating assets have been made on the basis of the accounting policies applicable to the consolidated financial statements of the KWS Group. Noncurrent operating assets comprise goodwill, other intangible assets, right-of-use assets, property, plant and equipment, and financial assets.

The external net sales by sales region are broken down on the basis of the country where the customer is based. As in previous years, no individual customer accounted for more than 10% of total net sales.

External sales by region

in € thousand	2025/2026	2024/2025
Germany	289,105	295,908
Europe (excluding Germany)	907,234	936,216
thereof in France	165,884	176,887
North and South America	254,429	309,870
thereof in the U.S.	230,954	274,500
Rest of world	176,053	134,634
KWS Group	**1,626,821**	**1,676,628**

Long-term assets by region

in € thousand	2025/2026	2024/2025
Germany	368,379	344,553
Europe (excluding Germany)	626,439	631,541
thereof in the Netherlands	396,256	403,553
North and South America	100,281	81,899
thereof in the U.S.	79,792	62,873
Rest of world	35,704	31,643
KWS Group	**1,130,803**	**1,089,636**

6 Notes to the Consolidated Statement of Comprehensive Income

6.1 Net sales and function costs

Net sales were €1,626,821 (1,676,628) thousand and thus below the level of the previous year; they are mainly generated from seed deliveries (€1,469,092 thousand, previous year: €1,478,123 thousand) and royalties (€108,176 thousand, previous year: €137,094 thousand). The year-on-year decline in net sales is attributable to the persistently challenging conditions on global agricultural markets, with low prices for agricultural products in some cases. A breakdown by segments and regions is provided in the segment reporting in section 5 of the Notes.

The **cost of sales** increased to €631,020 (619,198) thousand, or 38.8% (36.9%) of net sales. The increase in the cost of sales ratio is mainly due to changes in the product portfolio and regional shifts in net sales. The total cost of goods sold was €521,935 (509,979) thousand. The grants recognized in the cost of sales amounted to €1,101 (1,459) thousand. The impairment losses on and destruction of inventories and the reversals of impairment losses, which are carried as a reduction in the cost of materials in the period, are as follows:

July 1 to June 30

in € thousand	2025/2026	2024/2025
Impairment losses	75,444	65,990
Reversals of impairment losses	11,867	3,296

The impairment losses relate mainly to unsold or destroyed seed. They are based on, among other things, empirical values (such as germination capacity) and expectations as to substitution by new varieties. Furthermore, the impairment losses also reflect current information from strategic inventory and sales planning. The higher impairment losses in the year under review were due in particular to KWS' very high quality requirements for seed, in conjunction with exogenous factors such as cross-pollination. At the same time, the reasons for previously recognizing impairment of some inventories ceased to apply, meaning there were significantly higher reversals of impairment losses. As a result, net expenses from impairment losses and reversals of impairment losses were approximately at the previous year's level.

Selling expenses fell by €10,931 thousand to €285,811 (296,742) thousand. A key aspect here was that amortization of €10,376 thousand on the "Pop Vriend" brand was recognized for the last time in the previous year (see also section "7.1 Intangible assets" of the Notes). Accordingly, the selling expense ratio improved slightly and is now 17.6% (17.7%) of net sales.

Research & development expenses are in principle recognized in full as an expense in the year they are incurred; in the year under review, they amounted to €342,057 (348,951) thousand. They are 21.0% of net sales and thus higher than in the previous year (20.8%), which underscores the great importance of research & development as an essential foundation for the continuous further development of KWS' product portfolio and for ensuring long-term innovativeness and competitiveness. The grants recognized in the R&D expenses amounted to €12,239 (11,474) thousand.

General and administrative expenses decreased by €10,597 thousand to €154,672 (165,269) thousand as a result of cost savings in the central functions, disciplined cost controlling in general, and the efficient use of existing internal resources. They are now 9.5% (9.9%) of net sales.

6.2 Other operating income

July 1 to June 30

in € thousand	2025/2026	2024/2025
Income from the disposal of noncurrent assets	36,401	3,269
Income from reversal of valuation allowances for trade receivables and recovery of written-off receivables	11,030	6,423
Foreign exchange gains	9,468	19,312
Income from the reversal of provisions	1,221	7,817
Unrealized gain on derivatives measured at fair value through profit or loss	446	388
Other income related to previous periods	289	610
Income from received compensation	145	340
Miscellaneous	7,702	10,969
Total	**66,702**	**49,129**

Other operating income in the 2025/2026 fiscal year is mainly attributable to income from the disposal of noncurrent assets. It results primarily from the sale of rights to genetic material from corn breeding and of rights to selected corn breeding material, including in particular under the asset deal in connection with the sale of the two joint ventures, AGRELIANT GENETICS INC. (Canada) and AGRELIANT GENETICS LLC (U.S.) (see section → **4.2 Other assets and disposal groups held for sale** of the Notes).

The increase in income from the reversal of valuation allowances for trade receivables and recovery of written-off receivables is the result of receivables management measures (for receivables that are long overdue).

The foreign exchange gains are due to exchange rate changes between the time at which foreign currency receivables and liabilities arose and when they were paid, as well as from foreign exchange gains from measurement at the rate on the balance sheet date. As in the previous year, the foreign exchange gains were largely impacted by exchange rate movements in Eastern Europe; however, they were much lower in the year under review due to the fact that there was less volatility during the year.

Income from the reversal of provisions results mainly from the definitive clarification of a regulatory obligation, as the payment obligation specified in the settlement agreement was less than the amount set aside as a provision. Income in the previous year was impacted by a positive one-off effect of €7,755 thousand from the reversal of a provision for VAT risks in the Sugarbeet Segment.

The “Miscellaneous” item includes income for a variety of different individual matters.

6.3 Other operating expenses

July 1 to June 30

in € thousand	2025/2026	2024/2025
Foreign exchange losses	12,739	26,653
Valuation allowances on receivables	11,672	4,426
Loss on net monetary position (hyperinflation)	1,457	4,285
Expenses relating to previous periods	59	445
Unrealized loss on derivatives measured at fair value through profit or loss	35	389
Miscellaneous	15,043	11,768
Total	**41,005**	**47,966**

The foreign exchange losses result from exchange rate changes between the time at which foreign currency receivables and liabilities arose and when they were paid, as well as from exchange rate losses from measurement at the rate on the balance sheet date. As in the previous year, the foreign exchange losses were mainly impacted by exchange rate movements in Eastern Europe. However, less volatility during the year, as well as smaller depreciation in the value of the Turkish lira and the US dollar, resulted in far lower foreign exchange losses in the year under review.

The increase in valuation allowances on receivables is attributable not only to the much larger amount of receivables, but also to higher expected average default rates and the age structure of the receivables portfolio.

The decline in the loss on net monetary position by €2,828 thousand to €1,457 (4,285) thousand is due to lower inflation in Türkiye.

The “Miscellaneous” item includes, in particular, a provision of €5,000 thousand for ongoing antitrust proceedings by an antitrust authority in the Cereals Segment. The item also includes a variety of different individual matters.

6.4 Net financial income/expenses

July 1 to June 30

in € thousand	2025/2026	2024/2025
Interest income	6,579	7,188
Foreign exchange gains	4,455	18,100
Interest income from other financial assets and noncurrent receivables	4,157	865
Financial income	**15,191**	**26,152**
Interest expenses	10,533	8,497
Foreign exchange losses	7,402	13,512
Interest expenses for lease liabilities	3,201	2,763
Interest effects from pension provisions	2,573	2,714
Interest expense for other long-term provisions	389	391
Financial expenses	**24,099**	**27,877**
Result from equity-accounted financial assets	**10,023**	**–33,718**
Net financial income/expenses	**1,115**	**–35,442**

Net financial income/expenses improved to €1,115 (–35,442) thousand, in particular due to the far better result from equity-accounted financial assets. On the one hand, the negative result for the previous year was impacted by the impairment of €20,663 thousand on the stakes in the joint ventures AGRELIANT GENETICS LLC and AGRELIANT GENETICS INC. On the other hand, the previous year's negative result included the high current loss of AGRELIANT GENETICS LLC from the last at-equity valuation, which was recognized prior to classification of the joint ventures as "held for sale." In addition, final closing of the sale of the two joint ventures resulted in a gain of €10,023 thousand, mainly due to the reclassification of the reserve for other comprehensive income (see also section → **4.2 Other assets and disposal groups held for sale** of the Notes).

Net foreign exchange gains and losses had the opposite effect. There was a net loss of €2,947 thousand in the year under review, after a net gain of €4,588 thousand in the previous year. This is essentially related to short-term intra-Group foreign currency positions as part of the Group's financing and reflects changes in exchange rates as well as the structure of the underlying loans. While loans denominated in US dollars and Turkish lira, in particular, had a negative impact in the year under review, the previous year's net gain was predominantly attributable to short-term intra-Group loans denominated in US dollars.

The net interest result was € –5,961 (–6,312) thousand and thus virtually on a par with the previous year. The increase in interest expenses of €2,332 thousand – in particular due to additional borrowings in Türkiye and higher interest rates there – was largely offset by an increase of €2,683 thousand in interest income. This income was mainly due to effects from interest accrued on long-term purchase price receivables in connection with the sale of the South American and North American corn business.

6.5 Taxes

Income tax expenses

in € thousand	2025/2026	2024/2025
Actual income taxes	**74,763**	**82,324**
thereof from previous years	–1,000	4,034
thereof global minimum tax (Pillar Two)	374	0
Deferred taxes	6,944	–10,114
Income taxes	**81,707**	**72,210**

The KWS Group pays tax in Germany at a rate of 29.7% (29.8%). Corporate income tax of 15.0% (15.0%) and solidarity tax of 5.5% (5.5%) are applied uniformly to distributed and retained profits. In addition, trade tax is payable on profits generated in Germany. Trade tax is applied at a weighted average rate of 13.9% (14.0%), resulting in a total tax rate of 29.7% (29.8%).

The profits generated by Group companies outside Germany are taxed at the rates applicable in the country in which they are based. The tax rates of the fully consolidated companies in foreign countries vary between 2.0% (2.0%) in Russia (Special Economic Zone) and 34.0% (34.0%) in Brazil.

The deferred taxes that are recognized relate to the following balance sheet items and tax loss carryforwards:

Deferred taxes

in € thousand	At 06/30/2025			Changes in current year		
	Deferred tax assets	Deferred tax liabilities	Net value	Recognized in profit or loss	Other comprehensive income	Currency effects
Intangible assets[1]	90	43,811	–43,721	–6,821		58
Property, plant and equipment	958	18,002	–17,045	1,537		–13
Financial assets	12,776	7,266	5,509	–3,821		33
Inventories	19,070	3,359	15,712	–13,392		115
Current assets	4,093	4,701	–609	1,797		–15
Noncurrent liabilities[2]	16,094	2,479	13,615	–756	–1,859	7
of which pension provisions	7,895	135	7,760	–1,132	–2,139	10
Current liabilities[3]	17,878	5,447	12,431	6,059		–52
Deferred taxes recognized (gross)	**70,958**	**85,065**	**–14,107**	**–15,397**	**–1,859**	**132**
Tax loss carryforward	5,815	0	5,815	8,453		
Setting off	–51,002	–51,002	0	0		
Deferred taxes recognized (net)	**25,771**	**34,063**	**–8,292**	**–6,944**	**–1,859**	**132**

in € thousand	At 06/30/2026		
	Deferred tax assets	Deferred tax liabilities	Net value
Intangible assets[1]	119	50,603	–50,484
Property, plant and equipment	1,085	16,605	–15,520
Financial assets	4,227	2,507	1,721
Inventories	7,675	5,240	2,435
Current assets	5,539	4,366	1,173
Noncurrent liabilities[2]	14,414	3,408	11,006
of which pension provisions	6,384	1,885	4,498
Current liabilities[3]	23,550	5,112	18,438
Deferred taxes recognized (gross)	**56,609**	**87,841**	**–31,231**
Tax loss carryforward	14,268	0	14,268
Setting off	–53,190	–53,190	0
Deferred taxes recognized (net)	**17,687**	**34,651**	**–16,964**

1 Due to application of IFRS 16, there are deferred tax liabilities of €7,332 (7,068) thousand attributable to intangible assets as of June 30, 2026.
2 Due to application of IFRS 16, there are deferred tax assets of €5,564 (6,558) thousand attributable to noncurrent liabilities as of June 30, 2026.
3 Due to application of IFRS 16, there are deferred tax liabilities of €3,289 (3,030) thousand attributable to temporary differences in the recognition of current liabilities as of June 30, 2026.

No deferred taxes were formed for corporation income tax loss carryforwards amounting to €9,729 thousand and for trade tax loss carryforwards amounting to €8,532 thousand. These loss carryforwards can be utilized without any time limit.

Deferred tax assets relating to deductible temporary differences amounting to €0 (2,568) thousand were not recognized, as it is not likely that there will be a taxable profit in the future against which the KWS Group can offset the deferred tax assets.

No deferred taxes were recognized on temporary differences totaling €56,002 (46,778) thousand associated with investments in subsidiaries, branches and associated companies, and interests in joint arrangements, where the KWS Group is able to control the timing of the reversal of the differences and if it is probable that the reversal will not occur in the foreseeable future.

In the year under review, there were surpluses of deferred tax assets from temporary differences and loss carryforwards totaling €2,741 (3,978) thousand at Group companies that made losses in the past period or the previous period. They were considered recoverable, since it is assumed that the companies in question will post taxable profits in the future. The fact is taken into account here that the KWS Group may realize income with a delay due to the long-term nature of research and development spending.

The reconciliation of the expected income tax expense to the reported income tax expense is derived on the basis of the consolidated income before taxes and applicable tax rate for the Group of 29.7% (29.8%), taking into account the following effects:

Reconciliation of income taxes

in € thousand	2025/2026	2024/2025
Earnings before income taxes	240,072	212,191
Expected income tax expense[1]	**71,381**	**63,214**
Reconciliation with the reported income tax expense		
Differences from the Group's tax rate	–6,700	–7,912
Effects of changes in the tax rate	–426	–835
Tax effects from:		
Expenses not deductible for tax purposes and other additions	7,478	11,230
Tax-free income	–2,389	–5,409
Other permanent deviations	–3,956	–3,432
Recognition and measurement of deferred tax assets	–242	–172
Income taxes for prior years, withholding taxes and uncertain tax positions	13,416	16,333
Global minimum tax (Pillar Two)	374	0
Other effects	2,771	–808
Reported income tax expense	**81,707**	**72,210**
Effective tax rate	34.0%	34.0%

1 Tax rate of the Group's parent company: 29.7% (29.8%)

The other effects include effects from the application of IAS 29 (hyperinflation) amounting to €1,723 (382) thousand in Türkiye.

The item "Recognition and measurement of deferred tax assets" includes in particular the effects of the non-recognition and initial recognition of deferred tax assets on temporary differences and tax loss carryforwards. There is a deferred tax expense of €910 (1,587) thousand from the non-recognition of deferred taxes on tax loss carryforwards and temporary differences in the year under review. The reversal of the valuation allowance for tax loss carryforwards results in deferred tax income of €1,271 (0) thousand in the year under review. The use of deferred taxes on loss carryforwards that had not previously been recognized results in deferred tax income of €60 thousand. Due to the use of tax loss carryforwards and tax credits on which no deferred taxes were recognized in the past, the actual tax expense fell by €813 thousand in the previous year.

Effects from changes in tax rates relate in particular to the Dutch, Turkish and German companies. In the Netherlands, this effect results from updating of the blended tax rate used to measure deferred tax assets and liabilities, for the purpose of accurately reflecting the development of individual areas within the Vegetables Segment. In Germany, the effects of the enacted gradual reduction in the corporate income tax rate from 15.0% to 10.0% by 2032 were taken into account in measuring deferred taxes in the year under review. This resulted in deferred tax income of €805 thousand in the income statement and a deferred tax effect of €777 thousand that was recognized in other comprehensive income. In addition, the deferred taxes of the Turkish subsidiaries were measured taking into account the 12.5% tax rate that was introduced in June 2026 and will apply beginning in 2027. The remeasurement resulted in a decrease in deferred tax liabilities of €2,147 thousand.

The item "Income taxes for prior years, withholding taxes and uncertain tax positions" essentially contains the increase in uncertain tax positions in the year under review.

There is no definitive tax assessment for the KWS Group in respect of several years. A tax audit in Germany and in a number of other countries has currently not been concluded. Since the KWS Group operates multinationally and there are numerous relationships between affiliated companies, queries on the subject of transfer prices in particular are expected from the local fiscal authorities. The KWS Group believes it has made adequate provisions for these years where the tax assessment is not concluded. As a result of future legislation or changes in the opinions of the fiscal authorities, and allowing for the fact that there is some uncertainty in the area of transfer pricing, it is not possible to rule out that there will be tax refunds or payments of tax arrears for past years.

Based on qualified country-by-country reporting and taking into account the (simplified) Full GloBE (Global Anti-Base Erosion Rules) calculation scheme, the application of the global minimum taxation regulations in the year under review resulted in additional tax expense of €374 (0) thousand.

6.6 Personnel costs/employees

July 1 to June 30

in € thousand	2025/2026	2024/2025
Wages and salaries	362,029	352,260
Social security contributions, expenses for pension plans and benefits	94,726	90,548
Total	**456,756**	**442,808**

Personnel costs went up by 3.1% (11.5%). The number of employees increased from 4,837 to 4,983, or by 3.0%. 4,740 (4,610) of them are permanent employees and 243 (226) are temporary employees. The number of trainees and interns is recorded separately and not included in the headcount. There were 167 (181) trainees and interns at KWS at June 30, 2026.

Number of employees (avg. FTE) by region

	2025/2026	2024/2025
Employees (avg. FTE)		
Germany	2,528	2,446
Europe (excluding Germany)	1,825	1,765
North and South America	416	406
Rest of world	214	220
Total	**4,983**	**4,837**
Trainees and interns	167	181

6.7 Share-based payment

Employee Stock Purchase Plan

KWS has an Employee Stock Purchase Plan. All employees who have been with the company for at least one year without interruption and have an employment relationship that has not been terminated at a KWS Group company that participates in the program are eligible to take part. That also includes employees who are on maternity leave or parental leave or who are in semi-retirement.

Each employee can acquire up to 2,000 shares. A bonus of 20% is deducted from the purchase price, which depends on the price applicable on the key date. The shares are subject to a lock-up period of four years beginning when they are posted to the employee's securities account. The right to a dividend, if declared by KWS SAAT SE & Co. KGaA, exists during the lock-up period. Holders can also participate in the Annual Shareholders' Meeting during the lock-up period. They can dispose freely of the shares after the lock-up period.

In the year under review, 50,164 (56,015) shares were repurchased for the Employee Stock Purchase Plan at a total price of €3,630 (3,299) thousand and transferred directly to the employees. The total cost for issuing shares at a reduced price was €908 thousand in the past fiscal year (previous year: €645 thousand).

Long-term incentive (LTI)
The stock-based compensation plans awarded at the KWS Group to members of the Executive Board and of the first management level are recognized in accordance with IFRS 2 "Share-based Payment." The incentive program, which was launched in fiscal 2009/2010 and was modified effective July 1, 2024, involves stock-based payment transactions with cash compensation, which are measured at fair value at every balance sheet date. Members of the Executive Board are obligated to acquire shares in KWS SAAT SE & Co. KGaA every year in a freely selectable amount ranging between 35% and 50% of the gross performance-related bonus. Along with that, members of the first management level below the Executive Board likewise take part in an LTI program. As part of this program, they are obligated to invest in shares in KWS SAAT SE & Co. KGaA every year in a freely selectable amount ranging between 10% and 40% of the gross performance-related bonus. The shares acquired under the LTI program may be sold at the earliest after a regular holding period of five years beginning at the time they are acquired (end of the quarter in which the shares were acquired). In addition to the shares being unlocked, the entitled persons are paid a long-term incentive (LTI) in the form of cash compensation after the holding period for the tranche in question. Its level is calculated on the basis of KWS SAAT SE & Co. KGaA's share performance and on the KWS Group's return on sales (ROS), measured as the ratio of operating income to net sales, over the holding period. Non-financial environmental, social and governance (ESG) targets are likewise included in this assessment. For persons with contracts as of July 1, 2014, the cash compensation for members of the Executive Board is a maximum of one-and-half times (for the Spokesperson of the Executive Board two times), and for members of the first management level below the Executive Board a maximum of two times their own investment (LTI cap). The costs of this compensation are recognized in the income statement over the period and, taking the cash compensation in January 2026 into account, were €743 (806) thousand in the period under review. The provision for it at June 30, 2026, was €4,087 (3,373) thousand. The LTI fair values are calculated by an external expert.

6.8 Earnings after taxes

Earnings after taxes from continuing operations
The earnings after taxes of the continuing operations were €158,366 (139,980) thousand on operating income of €238,958 (247,633) thousand and net financial income/expenses of €1,115 (–35,442) thousand and after taxes totaling €81,707 (72,210) thousand.

Earnings after taxes from discontinued operations
The companies KWS SEMENTES LTDA. and SERVICOS E PARTICIPACOES SOUTH AMERICA LTDA. (both in Brazil) and KWS ARGENTINA S.A. (Argentina) were successfully sold in the previous year. The subsidiaries are part of the discontinued operation (sale of the corn and sorghum business, together with licenses, in South America). Including the earnings after taxes of the discontinued operation totaling € –11,715 thousand and the after-tax profit from the sale of the discontinued operation of €108,080 thousand, total earnings after taxes of €96,366 thousand were recognized for the discontinued operation in the previous fiscal year 2024/2025.

In the current fiscal year 2025/2026, continued settlement of the sale that was closed in the previous year resulted in updated assessments of transaction-related matters. This led to the reversal of a previously recognized obligation and a positive effect of €2,470 thousand on earnings from discontinued operations.

Earnings after taxes of the KWS Group
Including the earnings after taxes of the discontinued operation totaling €2,470 (96,366) thousand, the KWS Group's earnings after taxes amounted to €160,835 (236,346) thousand.

The return on sales (earnings after taxes of the continuing operations relative to net sales) was 9.7% and thus above the level of the previous year (8.3%). Diluted/basic earnings per share are calculated by dividing the KWS Group's earnings after taxes by 33,000,000 shares and were €4.87 (7.16) for the KWS Group and €4.80 (4.24) for the continuing operations.

7 Notes to the Consolidated Balance Sheet

7.1 Intangible assets

Reconciliation of the carrying amount of intangible assets

in € thousand	Other intangible assets	Goodwill	Intangible assets
Gross carrying amounts: 07/01/2025	**459,589**	**105,391**	**564,980**
Currency translation	134	–5	128
IAS 29 inflation adjustment	64	0	64
Additions	16,027	0	16,027
Disposals	2,731	0	2,731
Transfers	1,545	0	1,545
Reclassification of assets held for sale (IFRS 5)	0	0	0
Gross carrying amounts: 06/30/2026	**474,628**	**105,385**	**580,013**
Amortization and write-downs: 07/01/2025	**192,780**	**0**	**192,780**
Currency translation	136	0	136
Additions	19,054	0	19,054
Impairments	0	0	0
Disposals	2,579	0	2,579
Transfers	–176	0	–176
Reclassification of assets held for sale (IFRS 5)	0	0	0
Amortization and write-downs: 06/30/2026	**209,214**	**0**	**209,214**
Net carrying amounts: 06/30/2026	**265,414**	**105,385**	**370,799**
Net carrying amounts: 06/30/2025	**266,809**	**105,391**	**372,200**

in € thousand	Other intangible assets	Goodwill	Intangible assets
Gross carrying amounts: 07/01/2024	**445,333**	**105,407**	**550,740**
Currency translation	–433	–17	-450
IAS 29 inflation adjustment	38	0	38
Additions	13,862	0	13,862
Disposals	1,171	0	1,171
Transfers	1,960	0	1,960
Reclassification of assets held for sale (IFRS 5)	0	0	0
Gross carrying amounts: 06/30/2025	**459,589**	**105,391**	**564,980**
Amortization and write-downs: 07/01/2024	**165,417**	**0**	**165,417**
Currency translation	–409	0	–409
Additions	28,815	0	28,815
Impairments	0	0	0
Disposals	1,043	0	1,043
Transfers	–1	0	–1
Reclassification of assets held for sale (IFRS 5)	0	0	0
Amortization and write-downs: 06/30/2025	**192,780**	**0**	**192,779**
Net carrying amounts: 06/30/2025	**266,809**	**105,391**	**372,200**
Net carrying amounts: 06/30/2024	**279,916**	**105,407**	**385,323**

Intangible assets include purchased varieties, rights to varieties and distribution rights, brands, customer relationships, software licenses for electronic data processing, and goodwill. The current additions of €16,027 (13,862) thousand related to the ongoing implementation of new ERP software and digital IT applications for the customer relationship management system.

Amortization of intangible assets fell to €19,054 (28,815) thousand. A key aspect in this was that amortization of €10,376 thousand on the "Pop Vriend" brand was recognized for the last time in the previous year, meaning the brand no longer had any residual carrying amount at the end of the 2024/2025 fiscal year.

The main carrying amount of the other intangible assets still relates to the technology from acquisition of the POP VRIEND SEEDS Group on July 1, 2019, namely €202,023 (210,806) thousand, which has an expected remaining useful life of 23 years.

Similarly to intangible assets with an indefinite useful life, goodwill obtained as part of company acquisitions is tested for impairment at least once a year.

To enable that, cash-generating units have been defined in line with internal budgeting and reporting processes. In the KWS Group, these are the Business Units. To test for impairment, the carrying amount of each Business Unit is determined by allocating the assets and liabilities, including attributable goodwill and intangible assets. An impairment loss is recognized if the recoverable amount of a Business Unit is less than its carrying amount. The recoverable amount is the higher of the fair value less costs to sell and the value in use of a cash-generating unit. As of June 30, 2026, only the Business Unit Vegetables had significant goodwill.

Goodwill

in € thousand	06/30/2026	06/30/2025
Vegetables	99,576	99,576
Cereals	3,994	3,999
Other	1,815	1,816
Total	**105,385**	**105,391**

The recoverable amount for the Business Unit Vegetables is calculated as the fair value less costs to sell. Measurement is based on the present value of future cash flows derived from planning (fair value hierarchy level 3). This takes into account not only the medium-term but also the long-term net sales and earnings expectations from establishment of KWS' vegetable breeding operations. For this reason, the estimate of future cash flows covers a long-term period extending beyond the basic detailed planning horizon until a stable state is reached in fiscal 2039/2040.

In addition to actual profitability levels that were in line with the forecast, further important foundations for the Business Unit's future long-term growth were laid in fiscal 2025/2026. They included further expansion of the location in the Netherlands, as well as expansion of the breeding stations and construction of new greenhouses, such as in Italy and Spain. Moreover, further large short- to medium-term capital spending projects were adopted, with the aim of speeding up achievement of the KWS Group's strategic goals. In addition to the established crops of spinach and beans, the goal is to win significant long-term market share (predominantly in the high single-digit range), especially with the world's five most important crops – tomatoes, peppers, cucumbers, watermelons and melons –, in particular in Europe, Türkiye, and Central and South America. Among other things, the first variety from the newly launched vegetable breeding activities was already awarded approval in the previous fiscal year – the watermelon variety Tropikalia in Brazil. The product pipeline is being continuously expanded across all types of vegetables that KWS has classified as strategically relevant.

On the basis of that, average net sales growth in the low double-digit percentage range is projected for the period up to 2039/2040. The discount rate at the Business Unit Vegetables has been derived as the weighted average cost of capital (WACC) and was 6.07% (6.30%) after taxes.

A long-term growth rate of 2.0% (2.0%) has been assumed here on the basis of the long-term business expectations beyond the detailed planning horizon.

The impairment test conducted at the end of fiscal year 2025/2026 confirmed that the goodwill is not impaired.

Various sensitivity analyses were also carried out, and it was assumed that the future cash flows would fall by 10%, the weighted average cost of capital would increase by 10% and the long-term growth rate would fall by 1 percentage point.

None of the sensitivity analyses revealed the need to recognize an impairment loss.

7.2 Property, plant and equipment

Reconciliation of the carrying amount of property, plant and equipment

in € thousand	Land and buildings	Technical equipment and machinery	Operating and office equipment	Prepayments for assets under construction	Property, plant and equipment
Gross carrying amounts: 07/01/2025	**549,570**	**419,153**	**168,328**	**80,040**	**1,217,091**
Currency translation	–71	–1,200	509	236	–526
IAS 29 inflation adjustment	3,019	9,071	1,292	–291	13,091
Additions	10,632	19,942	19,007	43,003	92,584
Disposals	2,144	9,709	9,176	189	21,218
Transfers	24,633	34,524	3,161	–63,903	–1,585
Gross carrying amounts: 06/30/2026	**585,639**	**471,781**	**183,122**	**58,896**	**1,299,437**
Depreciation and write-downs: 07/01/2025	**170,884**	**266,767**	**118,390**	**50**	**556,090**
Currency translation	323	–98	465	–1	689
IAS 29 inflation adjustment	403	5,022	1,049	0	6,474
Additions	16,858	28,470	15,070	2	60,400
Disposals	1,966	9,062	8,930	0	19,959
Transfers	97	199	–160	0	136
Depreciation and write-downs: 06/30/2026	**186,598**	**291,297**	**125,885**	**51**	**603,831**
Net carrying amounts: 06/30/2026	**399,041**	**180,483**	**57,236**	**58,845**	**695,607**
Net carrying amounts: 06/30/2025	**378,686**	**152,386**	**49,937**	**79,990**	**661,000**

in € thousand	Land and buildings	Technical equipment and machinery	Operating and office equipment	Prepayments for assets under construction	Property, plant and equipment
Gross carrying amounts: 07/01/2024	**478,449**	**392,543**	**157,863**	**116,448**	**1,145,304**
Currency translation	–10,166	–9,856	–3,196	–3,163	–26,380
IAS 29 inflation adjustment	7,692	3,739	979	–2,301	10,109
Additions	27,929	14,662	10,836	52,299	105,726
Disposals	4,244	5,211	6,306	28	15,789
Transfers	49,910	23,275	8,151	–83,217	–1,880
Reclassification of assets held for sale (IFRS 5)	0	0	0	0	0
Gross carrying amounts: 06/30/2025	**549,570**	**419,153**	**168,328**	**80,040**	**1,217,091**
Depreciation and write-downs: 07/01/2024	**160,462**	**251,605**	**111,942**	**0**	**524,008**
Currency translation	–2,856	–6,970	–2,329	–1	–12,155
IAS 29 inflation adjustment	1,523	2,591	730	0	4,843
Additions	15,002	24,667	13,899	51	53,619
Disposals	3,247	5,253	5,805	0	14,305
Transfers	0	126	–46	0	80
Reclassification of assets held for sale (IFRS 5)	0	0	0	0	0
Depreciation and write-downs: 06/30/2025	**170,884**	**266,767**	**118,390**	**50**	**556,090**
Net carrying amounts: 06/30/2025	**378,686**	**152,386**	**49,937**	**79,990**	**661,000**
Net carrying amounts: 06/30/2024	**317,987**	**140,938**	**45,922**	**116,448**	**621,296**

The main focus of the KWS Group's capital spending in the year under review was again on erecting and expanding production and research and development capacities. Further details on the capital spending projects of the Business Units can be found in section → 5 Segment Reporting for the KWS Group of the Notes.

7.3 Equity-accounted financial assets

In fiscal year 2025/2026, only two insignificant associated companies were included in the KWS Group's consolidated financial statements using the equity method. They are IMPETUS AGRICULTURE, INC. with a carrying amount of €0 (0) thousand and GIE RHP RECOLTE HAUTE PRECISION with a carrying amount of €59 (56) thousand.

7.4 Proportionately consolidated joint operations

In general, the assets and liabilities and revenue and expenses from the joint operations are included proportionately (at 50%) in the consolidated financial statements.

AARDEVO B.V., including its subsidiaries, which specializes in developing potato seed, is the only proportionately consolidated joint operation in the KWS Group.

7.5 Financial assets and noncurrent receivables

Financial assets mainly comprise the investments in the capital investment fund MLS Capital Fund II (financing of projects/access to biotechnology developments) totaling €3,666 (4,987) thousand, which are measured at fair value through other comprehensive income. The remainder relates to a large number of financial investments that – taken individually – are insignificant, such as other interest-bearing loans, shares in cooperatives, and other securities. The financial assets also include net plan assets totaling €6,279 (2,312) thousand in the U.S., as the fair value of the plan assets for these pension commitments exceeded the present value of the accrued benefit entitlements from retirement obligations by a corresponding amount at June 30, 2026 (see also section → 7.11 Noncurrent liabilities, subsection "Defined benefit plans").

As in the previous year, no noncurrent tax assets were recognized in the year under review.

The other noncurrent receivables amount to €74,919 (10,806) thousand. This figure includes loan receivables of €5,926 (5,783) thousand, noncurrent receivables of €1,645 (2,218) thousand from the subleasing of office space that is classified as a financial lease, as well as trade receivables amounting to €323 (25) thousand that have a remaining period for payment of more than 365 days on June 30. Unlike in the previous year (€639 thousand), no noncurrent receivables from derivative financial instruments were recognized. The remaining amount for the other noncurrent receivables, which also explains the significant year-over-year increase, stems almost exclusively from the long-term purchase price receivables agreed in connection with the sale of the North American corn business (see section → 4.2 Other assets and disposal groups held for sale of the Notes).

7.6 Inventories and biological assets

Inventories and biological assets

in € thousand	06/30/2026	06/30/2025
Raw materials and consumables	48,787	49,354
Work in progress	204,480	192,092
Immature biological assets	4,234	7,008
Finished goods	197,926	167,592
Rights of return	5,504	4,282
Total	**460,931**	**420,328**

Inventories and biological assets increased year over year by €40,603 thousand or 9.7%. This is mainly attributable to the Sugarbeet Segment and, despite declining volumes, reflects in particular the higher share in terms of value from innovative seed varieties for which there is strong demand, such as CONVISO® SMART and CR+.

Immature biological assets relate to living plants in the process of growing (before harvest) at the farms in Germany, France and Poland. The field inventories of the previous year have been harvested in full and the fields have been newly tilled in the year under review. Government grants of €799 (€1,378) thousand, for which all the requirements were met at the balance sheet date, were awarded for agricultural activity in the fiscal year. Future government grants depend on the further development of European agricultural policy.

7.7 Current receivables and other assets

Current receivables and other assets

in € thousand	06/30/2026	06/30/2025
Trade receivables	536,731	489,330
Current tax assets	121,826	113,934
Other current financial assets	43,400	33,022
Other current assets	43,530	40,358
Total	**745,488**	**676,645**

Unlike in the previous year (€10,888 thousand), the trade receivables include no receivables from joint ventures and joint operations.

The need to recognize impairment losses at June 30, 2026, was analyzed using the provision matrix on the basis of the expected losses. To enable that, the receivables were grouped by geographical region and the length of time they were overdue and multiplied by appropriate default rates. Receivables that are overdue by more than 360 days and are no longer subject to an enforcement measure have been classified as uncollectible and written off in full.

The maximum credit risk exposure from noncurrent and current trade receivables is the carrying amount reported on the balance sheet and is as follows at June 30, 2026:

Credit risk exposure on trade receivables

	Overdue in days				
in € thousand	Not overdue	1–180 days	181–360 days	>360 days	Total
06/30/2026					
Expected credit loss rate	1%	2%	66%	94%	
Total gross amount upon default	474,841	67,216	3,743	5,642	**551,442**
Expected credit loss	**5,148**	**1,472**	**2,476**	**5,290**	**14,387**
06/30/2025					
Expected credit loss rate	1%	2%	62%	91%	
Total gross amount upon default	441,450	51,640	2,435	6,798	**502,324**
Expected credit loss	**4,371**	**938**	**1,506**	**6,154**	**12,968**

The credit risks were reflected by the following allowances at June 30, 2026, and in the previous year:

Change in allowances on receivables

in € thousand	2025/2026	2024/2025
07/01	**12,968**	**15,288**
Currency translation	768	–280
Addition	11,672	4,426
Disposal	4	47
Reversal	11,017	6,419
Reclassification of disposal group (IFRS 5)	0	0
06/30	**14,387**	**12,968**

Current tax assets mainly include income tax receivables of €53,836 (45,814) thousand and other tax assets (in particular value-added tax) of €67,990 (68,121) thousand.

The deposited security for concluded commodity derivatives is €74 (109) thousand. It is carried in the other current financial assets. This item also includes other current receivables that are not allocated to trade receivables (e.g. creditors with debit balances and other short-term loans and deferrals).

Other current assets include payments on account totaling €27,883 (25,066) thousand.

7.8 Cash and cash equivalents

This item comprises cash and cash equivalents in the form of cash on hand, checks, and immediately available balances at banks, as well as securities.

Cash and cash equivalents at June 30, 2026, were €394,397 (373,982) thousand. Securities at the balance sheet date amounted to €5 (5) thousand. As in the previous year, the annual impairment test of cash and cash equivalents did not result in the need for any significant write-downs, meaning that no impairment loss has been recognized.

The change in cash and cash equivalents compared to the previous year is explained in the cash flow statement.

At June 30, 2026, the KWS Group had firmly promised loans it had not used totaling €430,677 (432,085) thousand.

7.9 Equity

The fully paid-up capital of KWS is still €99,000 thousand. The no-par bearer shares are certificated by a global certificate for 33,000,000 shares. The company does not hold any shares of its own. KWS has Authorized Capital of up to €9,900 thousand at the balance sheet date.

The capital reserves essentially comprise the premium obtained as part of share issues.

The other reserves and net retained profit essentially comprise the net income generated in the past by the companies included in the consolidated financial statements, minus dividends paid to shareholders, and the net retained profit. Differences from currency translation and effects of hyperinflation, the reserve for revaluation of net liabilities/assets from defined benefit plans, the reserve for revaluation of equity instruments (with changes in value in the other comprehensive income), the reserves for cash flow hedging and the cost of hedging are also carried here.

Differences from translation of the functional currency of foreign business operations into the currency used by the KWS Group in reporting (euro) and inflation-related remeasurement effects for subsidiaries located in hyperinflationary economies are carried in the item “Reserve for currency translation differences and effects of hyperinflation for foreign operations.”

The item “Revaluation of net liabilities/assets from defined benefit plans” and the associated plan assets includes the actuarial gains and losses from pensions and similar obligations. Differences from translation of the functional currency of equity-accounted foreign business units into the currency used by the KWS Group in reporting (euro) are carried in the “Reserve for currency translation differences on equity-accounted financial assets.” The effective portions of the changes in the value of derivatives recognized as part of cash flow hedges are carried in the “Cost of hedging reserve” for cash flows. If options are used in hedging, the changes in value of the fair value component are carried in a separate cash flow hedge reserve.

Other comprehensive income

in € thousand	2025/2026			2024/2025		
	Before taxes	Tax effect	After taxes	Before taxes	Tax effect	After taxes
Items that may have to be subsequently reclassified as profit or loss	**4,855**	**0**	**4,855**	**–1,692**	**–307**	**–2,000**
Changes in reserve for currency translation differences and effects of hyperinflation for foreign operations	10,804	0	10,804	3,802	0	3,802
Other comprehensive income from equity-accounted financial assets	–5,950	0	–5,950	–6,398	0	–6,398
Net gain/(loss) on cash flow hedges	0	0	0	0	0	0
Net change in cost of hedging	0	0	0	904	–307	597
Items not reclassified as profit or loss	**4,103**	**–1,859**	**2,244**	**947**	**–676**	**271**
Net gain/(loss) on equity instruments designated at fair value through other comprehensive income	–1,324	280	–1,044	–2,410	90	–2,320
Revaluation of net liabilities/assets from defined benefit plans	5,427	–2,139	3,288	3,357	–767	2,591
Other comprehensive income	**8,958**	**–1,859**	**7,099**	**–745**	**–984**	**–1,729**

The objective of the KWS Group's capital management activities is to pursue the interests of shareholders and employees in accordance with the corporate strategy and earn a reasonable return on investment. The KWS Group is not subject to any external minimum capital requirements. One main goal is to retain the trust of investors, lenders and the market so as to strengthen the company's future business development. The KWS Group's capital management activities intend to continue optimizing the average cost of capital. Another goal is a balanced mix of equity and debt capital. The KWS Group's earnings after taxes were €160,835 (236,346) thousand. On the other hand, there was a total dividend payout of €41,250 (33,000) thousand in December 2025. This mix ensures the adequate financing of future operating business expansion in the long term.

The focus in selecting financial instruments is on financing with matching maturities, which is achieved by controlling the maturities.

Additional financial flexibility is also provided by the renewal of the syndicated credit line signed in the previous fiscal year 2024/2025 with a volume of €200,000 thousand (including an option to increase it by €100,000) and a term of five years (as from signing of it). It was not utilized in the previous year or in the year under review.

Capital structure

in € thousand	06/30/2026	06/30/2025
Equity	**1,728,215**	**1,601,531**
Long-term borrowings	249,341	393,449
Other noncurrent liabilities	162,085	159,849
Short-term borrowings	153,722	42,100
Other current liabilities	530,868	479,292
Total capital	**2,824,230**	**2,676,221**
Equity ratio (%)	**61.2**	**59.8**

7.10 Minority interests

As in the previous year, there are no minority interests in the KWS Group at June 30, 2026.

7.11 Noncurrent liabilities

Noncurrent liabilities

in € thousand	06/30/2026	06/30/2025
Long-term borrowings	249,341	393,449
Long-term provisions	89,428	91,963
Lease liabilities	37,841	33,349
Deferred tax liabilities	34,651	34,063
Other noncurrent liabilities	166	471
Trade payables[1]	0	3
Total	**411,426**	**553,298**

1 This item has been disclosed in the consolidated balance sheet within "Other noncurrent financial/non-financial liabilities" and is not stated separately.

Noncurrent liabilities decreased by €141,872 thousand to €411,426 (553,298) thousand. A major factor in this was the €144,108 thousand decrease in long-term borrowings, which resulted mainly from their reclassification to short-term borrowings. This is due to scheduled repayments within the next 12 months, in particular of various tranches of the loan from the European Investment Bank as well as of a tranche of the borrower's note loan (see section → 7.12 Current liabilities of the Notes). In addition, no new long-term loans were taken out in the current year under review. The noncurrent liabilities existing as of the balance sheet date mainly relate to a remaining tranche of the borrower's note loan to the amount of €60,000 (167,000) thousand, which will be repaid within the next five years and has an interest rate of 0.80%, and financial liabilities to the European Investment Bank totaling €173,415 (200,671) thousand with a weighted average interest rate of 1.67% and maturing through 2035.

The long-term provisions fell slightly year over year. This is essentially attributable to pension provisions, which are explained in more detail later in this section of the Notes.

The increase in long-term lease liabilities results from additions of rights of use for leased assets, in particular for land, land rights and buildings (see section → 7.15 Leases of the Notes).

Deferred tax liabilities remained virtually unchanged from the previous year (see section → 6.5 Taxes of the Notes).

Long-term provisions

in € thousand	06/30/2025	Changes in the consolidated group, currency	Interest expenses from compounding	Addition	Adjustment not affecting profit or loss	Consumption	Reversal	06/30/2026
Pension provisions	77,424	–4	2,736	475	–1,519	4,877	0	74,235
Other provisions	14,538	–12	389	5,911	0	5,633	0	15,193
Total	**91,963**	**–15**	**3,125**	**6,386**	**–1,519**	**10,510**	**0**	**89,428**

in € thousand	06/30/2024	Changes in the consolidated group, currency	Interest expenses from compounding	Addition	Adjustment not affecting profit or loss	Consumption	Reversal	06/30/2025
Pension provisions	79,391	5	2,772	446	–421	4,768	0	77,424
Other provisions	11,942	14	391	6,266	0	4,074	0	14,538
Total	**91,333**	**18**	**3,162**	**6,711**	**–421**	**8,842**	**0**	**91,963**

Nature and scope of the pension benefits
At the KWS Group, the company retirement pension program is based on both defined contribution plans and defined benefit plans. The defined contribution plans are statutory or contractual requirements or involve voluntary contributions to an external pension provider.

In previous years, the KWS Group countered the usual risks of direct obligations in Germany by converting the pension obligations from defined benefit to defined contribution plans. As a result, subsequent benefits will be provided by a provident fund backed by a guarantee. The existing obligations, which are partly covered by plan assets, are funded from the operating cash flow and are subject to the measurement risks specified below.

Defined benefit plans
The pension provisions are based on defined benefit obligations, determined by years of service and pensionable compensation. They are measured using the accrued benefit method under IAS 19, on the basis of assumptions about future development.

Germany
The following benefits are provided under a company agreement relating to the company retirement pension program:

- An old-age pension at the age of 65
- An early retirement pension before the age of 65, coupled with benefits from the early retirement pension from the statutory pension insurance program
- An invalidity pension for persons who suffer from occupational disability or incapacity to work as defined by the statutory pension insurance program
- A widow's or widower's pension.

For benefit obligations backed by a guarantee by an insurance company toward three former members of the Executive Board, the plan assets of €6,016 (6,478) thousand correspond to the present value of the obligation. In accordance with IAS 19, the pension commitments are netted off against the corresponding plan assets.

U.S.
The defined benefit obligations abroad mainly relate to pension commitments in the U.S. Share funds and bonds were mainly invested as plan assets to cover them. All employees who have reached the age of 21 are entitled to benefits. In addition, each employee must have worked at least one year and at least 1,000 working hours to earn an entitlement.

The legal and regulatory framework of the pension plan in the U.S. is based on the U.S. Employee Retirement Income Security Act (ERISA), which sets minimum standards for pension plans, including the minimum funding level. In accordance with U.S. regulations, the funding level is determined on the basis of a regular assessment in order to avoid benefit restrictions.

Other
Other retirement obligations abroad relate to defined benefit plans in France, Italy and Poland.

The following benefits are granted from the pension plan:

- An old-age pension at the age of 65
- An early retirement pension before the age of 65 – to be eligible, the employee must be at least 55 and the minimum vesting period is five years and
- A pro-rata pension if the employee reaches the minimum vesting period of five years, but is below 55.

The assumptions in detail are that wages and salaries in Germany will increase by 3.00% (3.00%) annually, in the U.S. by 4.50% (4.50%) annually and in the rest of the world by 2.20% to 3.00% (2.20% to 3.00%) annually. An annual increase in pensions of 2.00% (2.00%) in the long term is assumed in Germany. The discount rate in Germany was 3.94% (3.65%), 5.85% in the U.S. compared with 5.70% the year before, and between 3.31% and 5.25% (3.20% and 5.50%) in the rest of the world.

The following mortality tables were used at June 30, 2026:

- In Germany: The 2018 G mortality table of Klaus Heubeck
- Abroad: Mainly Pri-2012 Private Retirement Plans Mortality Table Projection Scale MP-2021 and INSEE TABLE TD/TV 20-22.
- A retirement age of 65 years is imputed for Germany and the U.S.

The pension plans are mainly subject to the following risks:

Investment and return

The present value of the defined benefit obligation from the pension plan is calculated using a discount rate defined on the basis of the returns on high-quality fixed-income corporate bonds. If the income from the plan assets is below this rate of interest, that may result in general in a shortfall in the plan. The corporate bonds and share funds are chosen to ensure risk diversification and managed by an external fund manager.

Change in interest rates

The fall in the returns on corporate bonds and thus the discount rate will result in an increase in the defined benefit obligation, which is only partly compensated for by a corresponding change in the value of the plan assets.

Life expectancy

The present value of the defined benefit obligation from the plan is calculated on the basis of the best-possible estimate using mortality tables. An increase in the life expectancy of the entitled employees results in an increase in defined benefit obligation.

Salary and pension trends

The present value of the defined benefit obligation from the plan is calculated on the basis of future salaries/pensions. Consequently, increases in the salary and pension of the entitled employees results in an increase in the defined benefit obligation.

Changes in accrued benefit entitlements

	2025/2026				2024/2025			
in € thousand	Germany	U.S.	Others	Total	Germany	U.S.	Others	Total
Accrued benefit entitlements from retirement obligations on July 1	**81,623**	**25,464**	**3,012**	**110,099**	**83,919**	**26,820**	**2,954**	**113,694**
Service cost	257	1,165	228	1,650	287	1,102	165	1,554
Interest expense	2,882	1,466	104	4,452	2,926	1,313	104	4,343
Actuarial gains (–)/losses (+)	–1,132	–909	–400	–2,441	–119	–429	–159	–707
of which due to a change in financial assumptions used for calculation	–2,428	–601	–132	–3,161	–450	–754	30	–1,174
of which due to demographic assumptions	0	–717	–62	–779	0	0	82	82
of which due to experience adjustments	1,296	409	–206	1,499	331	325	–271	385
Pension payments made	–5,518	–1,050	–53	–6,621	–5,390	–903	–57	–6,350
Exchange rate changes	0	815	–4	811	0	–2,439	5	–2,434
Accrued benefit entitlements from retirement obligations on June 30	**78,112**	**26,951**	**2,887**	**107,950**	**81,623**	**25,464**	**3,012**	**110,099**

Change in plan assets

in € thousand	2025/2026				2024/2025			
	Germany	U.S.	Others	Total	Germany	U.S.	Others	Total
Fair value of the plan assets on July 1	**6,478**	**27,776**	**733**	**34,987**	**6,764**	**27,356**	**719**	**34,839**
Interest income	224	1,632	26	1,882	232	1,367	26	1,625
Income(+)/expenses(–) from plan assets excluding amounts already recognized as interest income	5	2,987	–11	2,981	161	1,546	–12	1,695
Pension payments made	–691	–1,050	0	–1,741	–679	–903	0	–1,582
Contributions to plan assets	0	1,089	0	1,089	0	985	0	985
Exchange rate changes	0	889	0	889	0	–2,488	0	–2,488
Other changes in value	0	–93	0	–93	0	–87	0	–87
Fair value of the plan assets on June 30	**6,016**	**33,230**	**748**	**39,994**	**6,478**	**27,776**	**733**	**34,987**

In order to allow reconciliation with the figures in the balance sheet, the accrued benefit must be netted off with the plan assets.

As the fair value of the plan assets for the pension commitments in the U.S. exceeded the present value of the accrued benefit entitlements from retirement obligations by €6,279 (2,312) thousand at June 30, 2026, these pension commitments were shown separately from the other pension commitments abroad in the presentation of the changes in the accrued benefit entitlements, plan assets and balance sheet values. The net plan assets totaling €6,279 (2,312) thousand were reported under financial assets (see also section → **7.5 Financial assets and noncurrent receivables** of the Notes).

Reconciliation with the balance sheet values for pensions

in € thousand	2025/2026				2024/2025			
	Germany	U.S.	Other	Total	Germany	U.S.	Other	Total
Accrued benefit entitlements from retirement obligations on June 30	78,112	26,951	2,887	107,950	81,623	25,464	3,012	110,099
Fair value of the plan assets on June 30	6,016	33,230	748	39,994	6,478	27,776	733	34,987
Balance sheet values on June 30	**72,096**	**–6,279**	**2,139**	**67,956**	**75,145**	**–2,312**	**2,279**	**75,112**

The following amounts were recognized in the statement of comprehensive income:

Effects on the statement of comprehensive income

	2025/2026				2024/2025			
in € thousand	Germany	U.S.	Other	Total	Germany	U.S.	Other	Total
Service cost	257	1,165	228	1,651	287	1,102	165	1,554
Net interest expense (+)/ income (–)	2,658	–166	78	2,570	2,694	–54	78	2,718
Amounts recognized in the income statement	**2,915**	**999**	**306**	**4,220**	**2,981**	**1,048**	**243**	**4,272**
Gains (–)/losses (+) from revaluation of the plan assets (excluding amounts already recognized as interest income)	–5	–2,988	12	–2,981	–161	–1,547	12	–1,696
Actuarial gains (–)/losses (+) due to a change in financial assumptions used for calculation	–2,428	–601	–132	–3,161	–450	–754	31	–1,173
Actuarial gains (–)/losses (+) due to a change in demographic assumptions used for calculation	0	–717	–62	–779	0	0	82	82
Actuarial gains (–)/losses (+) due to experience adjustments	1,296	409	–206	1,499	331	325	–271	385
Amounts recognized in other comprehensive income	**–1,137**	**–3,897**	**–388**	**–5,422**	**–280**	**–1,976**	**–146**	**–2,402**
Total (amounts recognized in the statement of comprehensive income)	**1,778**	**–2,898**	**–82**	**–1,202**	**2,701**	**–928**	**97**	**1,870**

The service cost is recognized in operating income in the respective functional areas by means of an appropriate formula. Net interest expenses and income are carried in the interest result.

The fair value of the plan assets was split over the following investment categories:

	2025/2026				2024/2025			
in € thousand	Germany	U.S.	Other	Total	Germany	U.S.	Other	Total
Corporate bonds		8,677		8,677		7,755		7,755
Equity funds		23,460	748	24,208		18,098		18,831
Consumer industry		2,853		2,853		2,631		2,631
Finance		3,772		3,772		3,354		3,354
Industry		3,120		3,120		2,393		2,393
Technology		6,233		6,233		3,982		3,982
Health care		2,538		2,538		2,056		2,056
Other		4,944	748	5,692		3,682	733	4,415
Cash and cash equivalents		1,093		1,093		1,923		1,923
Reinsurance policies	6,016			6,016	6,478			6,478
Plan assets on June 30	**6,016**	**33,230**	**748**	**39,994**	**6,478**	**27,776**	**733**	**34,987**

The plan assets abroad relate mainly to the U.S.

There is no active market for the reinsurance policies in Germany. There is an active market for the other plan assets: The fair value can be derived from their stock market prices. 63.71% (59.79%) of the corporate bonds have an AAA rating.

The following sensitivity analysis at June 30, 2026, shows how the present value of the obligation would change given a change in the actuarial assumptions. No correlations between the individual assumptions were taken into account in this, i.e. if an assumption varies, the other assumptions were kept constant. The projected unit credit method used to calculate the balance sheet values was also used in the sensitivity analysis.

Sensitivity analysis

	Effect on obligation in 2025/2026			Effect on obligation in 2024/2025		
in € thousand	Change in assumptions	Decrease	Increase	Change in assumptions	Decrease	Increase
Discount rate	+/–100 bps	13,743	–11,243	+/–100 bps	14,163	–11,539
Anticipated annual pay increase	+/–50 bps	–710	756	+/–50 bps	–716	779
Anticipated annual pension increase	+/–25 bps	–1,709	1,775	+/–25 bps	–1,849	1,922
Life expectancy	+/–1 year	–3,000	3,038	+/–1 year	–3,135	3,175

The following undiscounted payments for pensions (with their due dates) are expected in the following years:

Anticipated payments for pensions

	2025/2026			
in € thousand	Germany	U.S.	Other	Total
2026/2027	5,486	1,156	90	6,732
2027/2028	5,447	1,217	90	6,754
2028/2029	5,379	1,261	213	6,853
2029/2030	5,335	1,322	99	6,756
2030/2031	5,262	1,383	210	6,855
2031/2032–2035/2036	24,903	7,749	2,065	34,717

	2024/2025			
in € thousand	Germany	U.S.	Other	Total
2025/2026	5,323	1,094	90	6,507
2026/2027	5,307	1,196	90	6,593
2027/2028	5,289	1,264	137	6,690
2028/2029	5,259	1,315	253	6,827
2029/2030	5,233	1,400	145	6,778
2030/2031–2034/2035	25,002	7,932	2,230	35,164

The weighted average time at which the pension obligations are due is 10.9 (11.3) years in Germany, 16.0 (16.0) years in the U.S. and 22.2 (22.0) years for other retirement obligations abroad.

Defined contribution plans
Apart from the above-described pension obligations, there are other old-age pension systems. However, no provisions have to be recognized for them, since there are no further obligations above and beyond payment of the contributions (defined contribution plans). These comprise benefits that are funded solely by the employer and allowances for conversion of earnings by employees.

The total pension costs for fiscal 2025/2026 were as follows:

Pension costs

	2025/2026				2024/2025			
in € thousand	Germany	U.S.	Other	Total	Germany	U.S.	Other	Total
Cost for defined contribution plans	4,780	944	74	5,797	4,802	912	205	5,919
Service cost for the defined benefit obligations	257	1,165	228	1,650	287	1,102	165	1,554
Pension costs	**5,037**	**2,109**	**302**	**7,447**	**5,089**	**2,014**	**370**	**7,473**

In addition, contributions of €21,936 (17,674) thousand were paid to statutory pension insurance institutions.

The costs for defined contribution plans in Germany mainly related to the provident fund backed by a guarantee. The contributions to this pension plan were €4,705 (4,489) thousand. In addition, the pension benefits from salary conversion were backed by a guarantee that exactly matches the present value of the obligation of €6,558 (6,135) thousand.

Other provisions
The other provisions mainly comprise provisions by the German companies for semi-retirement and loyalty bonuses.

7.12 Current liabilities

The current liabilities to banks include loan liabilities in Germany to an amount of €144,305 (38,279) thousand.

The sharp increase in current liabilities to banks in Germany is mainly due to the reclassification of a tranche of the existing borrower's note loan in the amount of €107,000 thousand from long-term to short-term borrowings, as this tranche is scheduled to be repaid in the first quarter of 2026/2027. With regard to the loan from the European Investment Bank, various payments were made for the individual tranches of the loan in the current year under review and further repayments are due within the next 12 months, with the result that an amount of €27,073 thousand is contained in the carrying amount for the short-term borrowings.

The remaining current liabilities to banks totaling €9,342 (3,731) thousand are attributable to loan liabilities in Türkiye. The year-over-year increase is due to the additional raising of short-term loans as part of the short-term financing of net working capital.

The tax liabilities of €119,894 (85,144) thousand include amounts for the year under review and the period for which the external tax audit has not yet been concluded. Of that figure, income taxes account for €114,071 (80,696) thousand and other taxes (in particular value-added tax) account for €5,824 (4,448) thousand.

The increase in short-term lease liabilities results from additions of rights of use for leased assets, in particular for land, land rights and buildings (see section → 7.15 Leases of the Notes).

The other current liabilities remained largely stable compared with the previous year. They mainly relate to an amount of €93,882 thousand to employee-related liabilities such as bonuses, variable compensation, vacation entitlements, social security contributions and similar employee entitlements.

The increase in contract liabilities to €18,771 (€16,183) thousand is mainly due to higher payments on account received from our customers. Payments on account received are always carried as net sales in the next fiscal year.

The refund liabilities of €34,675 thousand are at the level of the previous year (€35,447 thousand) and relate in particular to retroactive customer bonuses, volume discounts and rights of return for expected returns.

Current liabilities

in € thousand	06/30/2026	06/30/2025
Short-term provisions	**31,086**	**30,032**
Current liabilities to banks	153,647	42,010
Other short-term borrowings	75	90
Short-term borrowings	**153,722**	**42,100**
Trade payables	**186,089**	**180,191**
Tax liabilities	**119,894**	**85,144**
Other current financial liabilities	**16,672**	**12,062**
Lease liabilities	**15,889**	**14,637**
Other current liabilities	**107,793**	**105,596**
Contract liabilities	**18,771**	**16,183**
Refund liabilities	**34,675**	**35,447**
Total	**684,590**	**521,392**

The short-term provisions are as follows:

Short-term provisions

in € thousand	06/30/2025	Changes in the consolidated group, currency	Addition	Consumption	Reversal	06/30/2026
Obligations from sales transactions	12,472	71	11,395	10,342	318	13,279
Other obligations	17,560	–203	13,889	9,963	3,476	17,807
Total	**30,032**	**–132**	**25,284**	**20,304**	**3,794**	**31,086**

in € thousand	06/30/2024	Changes in the consolidated group, currency	Addition	Consumption	Reversal	06/30/2025
Obligations from sales transactions	10,339	–236	10,135	7,704	62	12,472
Other obligations	20,571	–97	10,259	5,417	7,755	17,560
Total	**30,910**	**–333**	**20,394**	**13,121**	**7,817**	**30,032**

The obligations from sales transactions essentially relate to guarantees, obligations for services received that have not yet been invoiced (licenses) and sales commission obligations, where they are not contained in the trade payables. The other obligations relate to risks from legal disputes, provisions from procurement transactions, such as compensation for breeding areas, and other provisions that cannot be assigned to the group of sales transactions.

7.13 Financial instruments

In general, the fair values of financial assets and liabilities are calculated on the basis of the market data available on the balance sheet date and are assigned to one of the three hierarchy levels in accordance with IFRS 13. The principal market, i.e. the market with the largest volume of trading and the greatest business activity, is used to calculate the fair value. If this market does not exist for the asset or liabilities in question, the market that maximizes the amount that would be received to sell the asset or minimizes the amount that would be paid to transfer the liability, after taking into account transaction costs, is used. These are active and accessible markets for identical assets and liabilities, where the fair value results from quoted prices that are observable (level 1 input factors). The KWS Group has commodity derivatives that are assigned to level 1 in the current fiscal year.

The level 2 input factors relate to equity instruments (fund shares) and derivative financial instruments that have been concluded between Group companies and banks. The fair values of such financial instruments are measured on the basis of market data that is directly or indirectly connected with the financial instrument. The level 3 input factors cannot be derived from observable market information. There were no reclassifications between the levels in the fiscal year.

The carrying amounts and fair values of the financial assets (financial instruments), split into the measurement categories in accordance with IFRS 9, are as follows:

06/30/2026

in € thousand	Financial assets				
	Fair values	Carrying amounts			
		At amortized cost	At fair value through other comprehensive income	At fair value through profit and loss	Total carrying amount
Financial assets					
Financial assets	16,444	5,926	10,567	0	16,493
Other noncurrent receivables	75,103	74,919	0	0	74,919
of which derivative financial instruments	0	0	0	0	0
Short-term trade receivables	536,731	536,731	0	0	536,731
Cash and cash equivalents	394,402	394,402	0	0	394,402
Other current financial assets	43,400	42,953	0	447	43,400
of which derivative financial instruments	447	0	0	447	447
Total	**1,066,081**	**1,054,932**	**10,567**	**447**	**1,065,946**

06/30/2025

in € thousand	Financial assets				
	Fair values	Carrying amounts			
		At amortized cost	At fair value through other comprehensive income	At fair value through profit and loss	Total carrying amount
Financial assets					
Financial assets	13,706	5,783	7,923	0	13,706
Other noncurrent receivables	10,806	10,166	0	639	10,806
of which derivative financial instruments	639	0	0	639	639
Short-term trade receivables	489,330	489,330	0	0	489,330
Cash and cash equivalents	373,987	373,987	0	0	373,987
Other current financial assets	33,022	33,022	0	0	33,022
of which derivative financial instruments	0	0	0	0	0
Total	**920,852**	**912,290**	**7,923**	**639**	**920,852**

The financial assets comprise a loan receivable measured at amortized cost, whose fair value is slightly above its carrying amount as of the balance sheet date. The financial assets also include derivative financial instruments, which are measured and carried at fair value. The fair value of the long-term fund shares contained in the financial assets and of the plan assets is measured using generally accepted methods based on directly and indirectly observable market inputs.

The fair value of currency derivatives is the present values of the payments related to these balance sheet items. These instruments are mainly forward exchange and currency swap deals. They are measured on the basis of quoted exchange rates and yield curves available from the market data and allowing for counterparty risks. Commodity derivatives are mainly measured on the basis of current market prices.

The noncurrent receivables consist mainly of the long-term purchase price receivables related to the sale of the South American and North American corn business, whose fair values were slightly above their carrying amounts as of the balance sheet date.

The fair values of current receivables corresponded approximately to their carrying amounts at the balance sheet date.

The carrying amounts and fair values of the financial liabilities (financial instruments), split into the measurement categories in accordance with IFRS 9, are as follows:

06/30/2026

in € thousand	Financial liabilities			
	Fair values	Carrying amounts		
		At amortized cost	At fair value through profit and loss	Total carrying amount
Financial liabilities				
Long-term borrowings	230,686	249,341	0	249,341
Long-term trade payables	0	0	0	0
Other long-term borrowings	480		480	480
of which derivative financial instruments	480		480	480
Short-term borrowings	153,722	153,722	0	153,722
Short-term trade payables	186,089	186,089	0	186,089
Other current financial liabilities	16,672	16,672	0	16,672
of which derivative financial instruments	0	0	0	0
Total	**587,648**	**605,824**	**480**	**606,303**

06/30/2025

in € thousand	Financial liabilities			
	Fair values	Carrying amounts		
		At amortized cost	At fair value through profit and loss	Total carrying amount
Financial liabilities				
Long-term borrowings	371,405	393,449	0	393,449
Long-term trade payables	3	3	0	3
Short-term borrowings	42,100	42,100	0	42,100
Short-term trade payables	180,191	180,191	0	180,191
Other current financial liabilities	12,062	11,945	117	12,062
of which derivative financial instruments	117	0	117	117
Total	**605,762**	**627,688**	**117**	**627,805**

The fair value of long-term borrowings was calculated on the basis of discounted cash flows. To enable that, interest rates for comparable transactions and yield curves were used.

Due to the generally short times by which trade payables and other current financial liabilities (excluding derivatives) are due, it is assumed that their carrying amounts are equal to the fair value.

The following table shows the financial assets and liabilities measured at fair value:

Financial assets and liabilities measured at fair value

	06/30/2026				06/30/2025			
in € thousand	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
Derivative financial instruments without application of hedge accounting under IFRS 9	0	447	0	447	0	639	0	639
Financial assets	0	10,567	0	10,567	0	7,923	0	7,923
Financial assets	**0**	**11,015**	**0**	**11,015**	**0**	**8,562**	**0**	**8,562**
Derivative financial instruments without application of hedge accounting under IFRS 9	0	480	0	480	0	117	0	117
Financial liabilities	**0**	**480**	**0**	**480**	**0**	**117**	**0**	**117**

The table below presents the net gains/losses carried in the consolidated statement of comprehensive income for financial instruments in each measurement category:

Net gain/losses of financial instruments (gain(+)/loss(–))

in € thousand	2025/2026	2024/2025
Equity instruments measured at fair value through other comprehensive income	–1,164	–2,320
Financial assets measured at fair value through profit or loss	446	1,028
Financial assets measured at amortized cost	4,971	7,174
Financial liabilities measured at amortized cost	–10,533	–8,497
Financial liabilities measured at fair value through profit or loss	–1,154	–1,525

The net losses for equity instruments measured at fair value through other comprehensive income include income from non-terminable interests in investment funds.

The net gains from financial assets and net losses from financial liabilities measured at fair value through profit or loss solely comprise changes in the market value of derivative financial instruments.

The net gains from financial assets measured at amortized cost mainly include effects from changes in the allowances for impairment and interest effects.

The net losses from financial liabilities measured at amortized cost result mainly from interest expense.

Credit risks

The credit risk is the risk that a business partner does not fulfill its obligations as part of a financial instrument or contract with a customer, resulting in a financial loss. The KWS Group is exposed to credit risks in its operational activities mainly in relation to trade receivables.

In order to control the credit risks resulting from receivables from customers, a regular creditworthiness analysis is conducted in accordance with the credit volume. If a customer's credit risk is classified as high, it is reduced by means of security. This includes, in particular, credit insurance, prepayments, down payments, promissory notes and guarantees. Depending on the contract's design, reservation of ownership of goods is agreed with our customers. Credit limits are defined for our customers. Credit limits, outstanding claims and the collection of receivables are analyzed in regular meetings of the Credit Committee. For details of the exposure to the risk of default at June 30, 2026, please refer to section → **7.7 Current receivables and other assets** of the Notes.

Credit risks from financial transactions are controlled centrally by the Treasury department. In order to minimize risks, financial transactions are exclusively conducted within defined limits with banks and partners who always have an investment grade. Compliance with the risk limits is constantly monitored. The limits are adjusted depending on the credit volume only subject to the approval of management and, at KWS SAAT SE & Co. KGaA, of the Executive Board.

Liquidity risks

Liquidity risk is the risk that funds to settle due payment obligations cannot be obtained on time or at all.

Liquidity is managed across all currencies by the central Treasury unit using a cash pooling system. Liquidity requirements are generally determined by means of cash planning and are covered by cash and promised credit lines.

As part of its liquidity management, the KWS Group ensures that it complies with the financial covenants that have been agreed as part of specific interest-bearing loans and relate to the capital structure. The lenders have the right to terminate the loan agreements in question immediately if these requirements are not met. The KWS Group complied with all agreed financial covenants in fiscal 2025/2026.

As part of the renewal of the syndicated credit in the previous year (see section → **7.8 Cash and cash equivalents** of the Notes), the participating banks waived the agreement of financial covenants, meaning that there are only financial covenants with the European Investment Bank.

The table below shows the KWS Group's liquidity analysis for nonderivative and derivative financial liabilities. The table is based on contractually agreed, undiscounted payment flows (interest and payments of principal):

Liquidity analysis of financial liabilities, fiscal 2025/2026

in € thousand	Carrying amount 06/30/2026	Cashflows 06/30/2026 Total	Due in <1 year	Due in >1 year and <5 years	Due in >5 years
Financial liabilities	**403,062**	**425,227**	**161,123**	**194,717**	**69,387**
Trade payables	186,089	186,089	186,089	0	0
Other financial liabilities	16,672	16,672	16,672	0	0
Lease liabilities	53,729	62,889	16,863	30,096	15,930
Nonderivative financial liabilities	**659,553**	**690,877**	**380,747**	**224,813**	**85,317**
Payment claim	0	0	0	0	0
Payment obligation	480	480	0	480	0
Derivative financial liabilities	**480**	**480**	**0**	**480**	**0**

Liquidity analysis of financial liabilities, fiscal 2024/2025

in € thousand	Carrying amount 06/30/2025	Cashflows 06/30/2025 Total	Due in <1 year	Due in >1 year and <5 years	Due in >5 years
Financial liabilities	**435,549**	**460,698**	**45,717**	**309,157**	**105,824**
Trade payables	180,195	180,195	180,191	3	0
Other financial liabilities	11,945	11,945	11,945	0	0
Lease liabilities	47,985	55,585	15,181	27,994	12,410
Nonderivative financial liabilities	**675,674**	**708,423**	**253,034**	**337,155**	**118,234**
Payment claim	0	0	0	0	0
Payment obligation	117	117	117	0	0
Derivative financial liabilities	**117**	**117**	**117**	**0**	**0**

The cash flows of the derivative financial liabilities for forward exchange deals are presented as an undiscounted gross amount. These derivative financial instruments are settled in gross. Net settlement is envisaged for commodity derivatives. Accordingly, cash flows are presented on a net basis.

Currency risks
Currency risks are where the fair value or future cash flows of a financial instrument are subject to fluctuations due to exchange rate changes. The KWS Group is mainly exposed to currency risks as part of goods deliveries, services and financing activities with foreign subsidiaries. To reduce currency risks in its operating activities, the KWS Group increasingly relies on advance payments and short-term settlement of invoices in volatile currency areas. In some cases, customer receivables are also hedged. Derivative financial instruments (forward exchange deals and currency swaps) are concluded to hedge against currency risks from intra-Group financing. The company ensures that the derivative financial instrument is commensurate with the risk to be hedged.

In order to assess the currency risk, the sensitivity of a currency to fluctuations was determined. The calculated figures relate to the portfolio of financial instruments at the balance sheet date and show the hypothetical effect on income and equity for one year. After the euro, the US dollar is the most important currency in the KWS Group. The currency risk results from intra-Group trade receivables and payables and from financing activity. The average EUR/USD exchange rate in the fiscal year was 1.17 (1.09). If the US dollar depreciated by 10%, the extra income would be €4,306 (5,919) thousand. If the US dollar appreciated by 10%, the extra expense would be €4,306 (5,919) thousand.

The sensitivity for the Russian ruble (RUB) and Turkish lira (TRY) was also determined. In the fiscal year, the average EUR/RUB exchange rate was 91.46 (98.91) and the average EUR/TRY exchange rate was 53.10 (46.55).

If the ruble depreciated by 10%, the extra income would be €910 (320) thousand. If the ruble appreciated by 10%, the extra expense would be €910 (320) thousand. If the Turkish lira depreciated by 10%, the extra income would be €229 (1,028) thousand. If the Turkish lira appreciated by 10%, the extra expense would be €229 (1,028) thousand.

All other currencies are generally of minor importance.

Risk of changes in interest rates
The risk of changes in interest rates is where the fair value or future cash flows of a financial instrument are subject to fluctuations due to changes in market interest rates.

The risk of changes in interest rates is controlled by means of a balanced portfolio of fixed-interest and variable-interest loans. Interest rate swaps are concluded if there is a high risk of interest rate variability in the portfolio. As part of them, the KWS Group exchanges the difference between fixed-interest and variable-interest amounts determined with reference to a previously agreed nominal amount with a contractual partner at defined intervals of time. In addition, the KWS Group uses interest rate collars to secure a certain interest rate spread.

Interest rate sensitivity is a measure for showing the interest rate risk. The interest rate sensitivity analysis was conducted for the portfolio of financial instruments with a variable interest rate at the balance sheet date and shows the hypothetical effect on income for one year. The variable-interest components of the KWS Group's interest expenses and interest income were determined to calculate that. In a scenario analysis, the effects of an increase/reduction of 1 percentage point (100 base points) in the relevant underlying capital market interest rate on the interest result were calculated. An increase in all relevant rates of interest of 1 percentage point would result in additional interest expense of €93 (34) thousand. A reduction in the rate of interest of 1 percentage point would add a further €93 (34) thousand in income.

Commodity price risks

Volatility in the prices of certain agricultural raw materials has an impact on the KWS Group. In its procurement transactions, the KWS Group is partly exposed to a risk from fluctuating market prices for agricultural raw materials.

In order to mitigate the impact of market price risks on operating income, the KWS Group uses derivative financial instruments for hedging purposes in some cases. Various commodity futures (forwards, options and swaps) are used in that.

Selected commodity price hedges can be accounted for using hedge accounting in accordance with IFRS 9, i.e. recognized directly in equity in the other comprehensive income. No such designation was made in the year under review, meaning that changes in the value of existing commodity derivatives are recognized directly in the income statement.

As in the previous year, all currency and commodity hedges have a remaining maturity of less than one year. The interest rate hedges have a remaining maturity of more than one year.

As part of analysis of the market price risk, a sensitivity analysis is performed based on the portfolio of financial instruments at the balance sheet date. The values calculated show the hypothetical impact of a 10% change in forward market quotations on operating income for one year.

A 10% increase in the year-end price of commodity futures would result in additional expense of €62 (78) thousand. A 10% decrease in the year-end price of commodity futures would add a further €62 (78) thousand in income.

7.14 Hedging instruments and derivative financial instruments

Hedging transactions and derivative financial instruments

	06/30/2026			06/30/2025		
in € thousand	Nominal volume	Net carrying amounts	Fair value	Nominal volume	Net carrying amounts	Fair value
Currency hedges	17,925	–479	–479	11,111	639	639
Interest-rate hedges	0	0	0	0	0	0
Commodity hedges	1,064	446	446	2,204	–117	–117
Total	**18,989**	**–32**	**–32**	**13,315**	**522**	**522**

7.15 Leases

Carrying amounts for right-of-use assets

in € thousand	06/30/2026	06/30/2025
Land, land rights and buildings including buildings on third-party land	31,856	25,758
Technical equipment and machinery	1,370	1,189
Other equipment, operating and office equipment	14,620	15,725
Total	**47,845**	**42,673**

Additions to rights of use for leased assets totaling €26,826 (15,272) thousand were recognized in fiscal 2025/2026. Of this amount, €14,624 (3,226) thousand is attributable to "Land, land rights and buildings" (mainly for research & development and the farms), €881 (617) thousand to "Technical equipment and machinery" (mainly warehouse and agricultural vehicles) and €11,321 (11,429) thousand to "Other equipment, operating and office equipment" (almost exclusively in connection with the leasing of company vehicles).

The depreciation on rights of use for leased assets was as follows in the year under review:

Depreciation of right-of-use assets

in € thousand	2025/2026	2024/2025
Land, land rights and buildings including buildings on third-party land	5,872	5,750
Technical equipment and machinery	715	737
Other equipment, operating and office equipment	11,595	9,122
Total	**18,182**	**15,610**

Expenses for short-term leases and for leases relating to low-value assets totaled €19,301 (17,417) thousand in the period under review.

Short-term lease liabilities totaled €15,889 (14,637) thousand and long-term lease liabilities €37,841 (33,349) thousand at June 30, 2026. The maturity analysis of the lease liabilities is presented in section → 7.13 Financial instruments of the Notes. Lease payments (repayment) totaled €17,682 (15,294) thousand in fiscal 2025/2026. Interest expenses from interest accrued on the lease liabilities were €3,201 (2,763) thousand.

In general, lease agreements are concluded without extension or termination options. Possible cash outflows of €25,575 (25,049) thousand for existing options to extend a property rental agreement were not included in determining the lease liabilities since there is no reasonable certainty as to whether the options will be exercised.

The KWS Group also acts as a lessor. There is currently a long-term sublease agreement, which has been classified as a financial lease in relation to the main lease agreement. The interest income was €94 (114) thousand. The sublease is reported under the other noncurrent receivables to an amount of €1,645 (2,218) thousand and under the other current receivables to an amount of €722 (664) thousand. The annual income from the sublease is €825 (828) thousand. The lease agreement contains a clause permitting annual adjustment of the lease payment depending on market circumstances.

7.16 Contingent liabilities and other financial obligations

The obligations from uncompleted capital expenditure projects, mainly relating to property, plant and equipment, and the other capital commitment amount to €22,344 (34,726) thousand.

As of the balance sheet date, there were guarantees with respect to third parties totaling €13,965 (137,617) thousand. The sharp year-over-year decrease is mainly due to the fact that there are no longer any guarantees for obligations of the joint venture AGRELIANT GENETICS LLC, which amounted to €123,467 thousand in the previous year. These guarantees have ceased to exist since the sale was closed in the first quarter of fiscal 2025/2026.

There were contingent liabilities of €553 (114) thousand on the balance sheet date. These relate to potential liabilities for which it is predominantly not likely that they will be incurred.

8 Notes to the Consolidated Cash Flow Statement

The cash flow statement shows the changes in cash and cash equivalents of the KWS Group in the three categories of operating activities, investing activities and financing activities, presenting the three categories separately for the continuing operations and for the discontinued operation. The effects of exchange rate changes and changes in the consolidated group have been eliminated from the respective balance sheet items, except those affecting cash and cash equivalents.

As in previous years, cash and cash equivalents are composed of cash (on hand and balances with banks) and current securities.

Financial liabilities changed as follows this year and in the previous year:

Changes in financial liabilities

		Cash flows	Non-cash-effective changes				
in € thousand	06/30/2025	Group	Reclassification of the cash flow of discontinued operation	Currency	New contracts (IFRS 16)	Other effects	06/30/2026
Group (including discontinued operation)							
Financial liabilities	435,549	–32,067	0	–420	0	0	403,062
Lease liabilities	47,985	–20,882	0	83	27,016	–473	53,729

		Cash flows	Non-cash-effective changes				
in € thousand	06/30/2024	Group	Reclassification of discontinued operation (IFRS 5)	Currency	New contracts (IFRS 16)	Other effects	06/30/2025
Group (including discontinued operation)							
Financial liabilities	607,455	–173,810	2,804	–900	0	0	435,549
Lease liabilities	51,406	–18,075	–63	–1,146	15,272	591	47,985

The non-cash expenses and income totaling €52,032 (93,525) thousand relate, among other things, to the measurement of inventories, trade receivables and derivatives, as well as the result from equity-accounted financial assets and effects from the application of IAS 29 “Financial Reporting in Hyperinflationary Economies.”

9 Other Notes

9.1 Proposal for the appropriation of net retained profits

The net retained profits of KWS SAAT SE & Co. KGaA are €298,970 (284,292) thousand.

A proposal will be made to the Annual Shareholders' Meeting that an amount of €42,900 (41,250) thousand should be used to pay a dividend of €1.30 (1.25) for each of the 33,000,000 shares.

9.2 Total remuneration of the Supervisory Board and the Executive Board and of former members of the Supervisory Board and the Executive Board of KWS SAAT SE & Co. KGaA

The compensation of the members of the Supervisory Board was converted to a purely fixed compensation pursuant to the resolution adopted by the Annual Shareholders' Meeting in December 2017. Members of the Supervisory Board who are members of a committee – with the exception of the Chairperson of the Supervisory Board – receive an additional fixed payment therefor. The total compensation for members of the Supervisory Board amounts to €790 (745) thousand, excluding value-added tax. The total compensation for members of the Supervisory Board of KWS SE, the personally liable partner of KWS SAAT SE & Co. KGaA, in the year under review amounted to €670 (620) thousand, excluding value-added tax.

In fiscal year 2025/2026, total Executive Board compensation amounted to €5,518 (6,263) thousand. The variable compensation, which is calculated on the basis of the earnings after taxes of the KWS Group, is made up of a bonus, an ESG compensation component and a long-term incentive. The bonus totals €2,654 (2,979) thousand, the ESG compensation is €408 (238) thousand and there are contributions from the long-term incentive tranche totaling €404 thousand (previous year: €667 thousand).

Compensation of former members of the Executive Board and their surviving dependents amounted to €329 (324) thousand. Pension provisions recognized for this group of persons amounted to €3,675 (3,881) thousand as of June 30, 2026, after being netted off with the relevant plan assets.

9.3 Related party disclosures

Transactions with related parties in accordance with IAS 24 are all business dealings that are conducted with the reporting entity by entities or natural persons or their close family members, if the party or person in question controls the reporting entity or is a member of its key management personnel, for example.

The personally liable partner KWS SE provides business management services on behalf of KWS SAAT SE & Co. KGaA. KWS SE is therefore considered a related party, as are its respective shareholders who have at least significant influence.

Related parties

	Deliveries and services provided		Received deliveries and services		Receivables		Payables	
in € thousand	2025/2026	2024/2025	2025/2026	2024/2025	2025/2026	2024/2025	2025/2026	2024/2025
KWS SE	0	0	7,366	6,316	0	0	7,189	6,225
Equity-accounted joint ventures	0	11,771	0	7,428	0	11,273	0	3,425
Equity-accounted associated companies	0	0	411	396	0	0	0	8
Other related parties	89	42	0	0	0	0	0	0

As part of its operations, the KWS Group procures goods and services worldwide from a large number of business partners. They also include companies in which the KWS Group has an interest or on which representatives of the KWS Group's Supervisory Board exert a significant influence.

The services for joint ventures and associated companies are mainly rendered under existing license agreements, whereas the services received from joint ventures primarily relate to research activities. The year-over-year decline in transaction volume is mainly attributable to the sale of the joint ventures AGRELIANT GENETICS INC. and AGRELIANT GENETICS LLC (see section → **4.2 Other assets and disposal groups held for sale** of the Notes). Since the sale, the relevant service relationships with these companies have ceased.

Business dealings with related companies are always conducted on an arm's length basis and are not material for the KWS Group in terms of volume.

The compensation of members of the Executive Board comprises short-term employee benefits, share-based payment benefits and post-employment benefits. Individualized disclosures on the compensation of members of the Executive Board and the Supervisory Board are presented in the Remuneration Report. The Remuneration Report can be found on our website at: **www.kws.com**

There were also no business transactions or legal transactions that required reporting for related parties in fiscal 2025/2026.

9.4 Disclosure

The following subsidiaries with the legal form of a corporation within the meaning of Section 264 (3) of the German Commercial Code (HGB) have utilized the exemption provided in Section 264 (3) of the German Commercial Code (HGB) as regards preparation of financial statements and their publication:

- KWS LOCHOW GmbH, Bergen
- KWS Landwirtschaft GmbH, Einbeck
- Betaseed GmbH, Frankfurt am Main
- KWS SAATFINANZ GmbH, Einbeck
- Kant-Hartwig & Vogel GmbH, Einbeck
- Agromais GmbH, Everswinkel
- KWS Berlin GmbH, Berlin
- KWS INTERSAAT GmbH, Einbeck
- Euro-Hybrid Gesellschaft für Getreidezüchtung mbH, Einbeck
- KWS Klostergut Wiebrechtshausen GmbH, Northeim-Wiebrechtshausen

KWS SAAT SE & Co. KGaA prepares the consolidated financial statements for the largest and smallest group of companies.

9.5 Audit of the annual financial statements

On December 3, 2025, the Annual Shareholders' Meeting of KWS SAAT SE & Co. KGaA elected the accounting firm EY GmbH & Co. KG Wirtschaftsprüfungsgesellschaft, Stuttgart, to be the Group's auditors for fiscal year 2025/2026.

Fee paid to the external auditors under Section 314 (1) No. 9 HGB

in € thousand	2025/2026	2024/2025
a) Audit of the consolidated financial statements	1,088	1,099
b) Other certification services	213	235
c) Tax consulting	0	0
d) Other services	21	21
Total fee paid	**1,321**	**1,354**

Other certification services in fiscal 2025/2026 essentially comprised non-audit services as part of the voluntary audit of the Non-Financial Declaration and auditing of the Remuneration Report.

9.6 Report on events after the balance sheet date

There have been no events of particular significance that might have an impact on the presentation of the KWS Group's assets, financial position and earnings since the end of the fiscal year.

9.7 Declaration of Compliance with the German Corporate Governance Code

KWS SAAT SE & Co. KGaA has issued the Declaration of Compliance with the German Corporate Governance Code required by Section 161 of the Aktiengesetz (AktG – German Stock Corporation Act) in September 2025 and made it accessible to its shareholders on the company's homepage at **www.kws.com/corp/en/investors/corporate-governance**.

9.8 List of shareholdings

List of shareholdings in accordance with Section 313 (2) HGB (German Commercial Code)

Fiscal 2025/2026 Name and registered office of the company	Currency	Interest held	Footnote
		total in %	
Fully consolidated subsidiaries (direct)			
Germany			
AGROMAIS GMBH, Everswinkel	EUR	100.00	1
BETASEED GMBH, Eschborn	EUR	100.00	1
EURO-HYBRID GESELLSCHAFT FÜR GETREIDEZÜCHTUNG MBH, Einbeck	EUR	100.00	
KANT-HARTWIG & VOGEL GMBH, Einbeck	EUR	100.00	1
KWS BERLIN GMBH, Berlin	EUR	100.00	1
KWS INTERSAAT GMBH, Einbeck	EUR	100.00	1
KWS KLOSTERGUT WIEBRECHTSHAUSEN GMBH, Northeim-Wiebrechtshausen	EUR	100.00	
KWS LANDWIRTSCHAFT GMBH, Einbeck	EUR	100.00	1
KWS LOCHOW GMBH, Bergen	EUR	100.00	1
KWS SAATFINANZ GMBH, Einbeck	EUR	100.00	
Abroad			
KWS BULGARIA EOOD., Sofia/Bulgaria	EUR	100.00	
KWS SEMENA S.R.O., Bratislava/Slovakia	EUR	100.00	
KWS SRBIJA D.O.O., New Belgrade/Serbia	RSD	100.00	
SEMILLAS KWS CHILE LTDA., Rancagua/Chile	CLP	100.00	
Fully consolidated subsidiaries (indirect)			
Abroad			
BEIJING KWS AGRICULTURE TECHNOLOGY CO., LTD., Beijing/China	CNY	100.00	7
BETASEED FRANCE S.A.R.L., Bethune/France	EUR	100.00	2
BETASEED RUS LLC, Moscow/Russia	RUB	100.00	19
BTS TURKEY TARIM TICARET LIMITED SIRKETI, Eskişehir/Türkiye	TRY	100.00	2
EUROPSEEDS B.V., Enkhuizen/Netherlands	EUR	100.00	14
KLEIN WANZLEBENER SAATZUCHT MAROC S.A.R.L.A.U., Casablanca/ Morocco	MAD	100.00	8
KWS AUSTRIA SAAT GMBH, Vienna/Austria	EUR	100.00	2
KWS BEL LLC, Minsk/Belarus	BYN	100.00	7
KWS BENELUX B.V., Roosendaal/Netherlands	EUR	100.00	2
KWS BRASIL LTDA., Campinas/Brazil	BRL	100.00	2
KWS CEREALS USA LLC, Champaign/U.S.	USD	100.00	3
KWS FRANCE S.A.R.L., Roye/France	EUR	100.00	2
KWS GATEWAY RESEARCH CENTER LLC, St. Louis/U.S.	USD	100.00	3
KWS INTERNATIONAL HOLDING B.V., Roosendaal/Netherlands	EUR	100.00	5

Fiscal 2025/2026 Name and registered office of the company	Currency	Interest held	Footnote
KWS INTERNATIONAL HOLDING II B.V., Roosendaal/Netherlands	EUR	100.00	2
KWS ITALIA S.P.A., Forlì/Italy	EUR	100.00	2
KWS KUBAN O.O.O., Krasnodar/Russia	RUB	100.00	6
KWS LOCHOW POLSKA SP.Z O.O., Kondratowice/Poland	PLN	100.00	2
KWS MAGYARORSZÁG KFT., Györ/Hungary	HUF	100.00	2
KWS MAIS FRANCE S.A.R.L., Champol/France	EUR	100.00	2
KWS MOMONT RECHERCHE S.A.R.L., Mons-en-Pévèle/France	EUR	100.00	10
KWS MOMONT S.A.S., Mons-en-Pévèle/France	EUR	100.00	2
KWS OSIVA S.R.O, Velké Meziříčí/Czech Republic	CZK	100.00	2
KWS PARAGUAY SRL, Asunción/Paraguay	PYG	100.00	19
KWS PERU S.A.C., Lima/Peru	PEN	100.00	4
KWS PODILLYA T.O.V., Kyiv/Ukraine	UAH	100.00	9
KWS POLSKA SP.Z O.O., Poznań/Poland	PLN	100.00	2
KWS R&D INVEST B.V., Emmeloord/Netherlands	EUR	100.00	2
KWS R&D RUS LLC, Lipetsk/Russia	RUB	100.00	6
KWS RUS O.O.O., Lipetsk/Russia	RUB	100.00	16
KWS SCANDINAVIA A/S, Guldborgsund/Denmark	DKK	100.00	2
KWS SEEDS CANADA, LTD., Calgary/Canada	CAD	100.00	2
KWS SEEDS INC., Bloomington/U.S.	USD	100.00	2
KWS SEEDS INDIA PRIVATE LIMITED, New Delhi/India	INR	100.00	18
KWS SEEDS LLC, Bloomington/U.S.	USD	100.00	3
KWS SEMILLAS CANARIAS S.L.U., Gran Canaria/Spain	EUR	100.00	2
KWS SEMILLAS IBÉRICA S.L., Zaratán/Spain	EUR	100.00	2
KWS SEMINTE S.R.L., Bucharest/Romania	RON	100.00	17
KWS SJEME D.O.O., Osijek/Croatia	HRK	100.00	2
KWS SUISSE S.A., Basel/Switzerland	CHF	100.00	2
KWS TÜRK TARIM TICARET A.S., Eskişehir/Türkiye	TRY	100.00	2
KWS UK LTD., Thriplow/UK	GBP	100.00	20
KWS UKRAINA T.O.V., Kyiv/Ukraine	UAH	100.00	21
KWS VEGETABLES B.V., Andijk/Netherlands	EUR	100.00	2
KWS VEGETABLES ITALIA S.R.L: A SOCIO UNICO, Noceto/Italy	EUR	100.00	12
KWS VEGETABLES MEXICO S.A. DE C.V., Mexico City/Mexico	MXN	100.00	18
KWS VEGETABLES NETHERLANDS B.V., Andijk/Netherlands	EUR	100.00	14
POP VRIEND HOLDING B.V., Amsterdam/Netherlands	EUR	100.00	12
POP VRIEND INTERNATIONAAL B.V., Andijk/Netherlands	EUR	100.00	14
SEED PLANT KWS O.O.O., Lipetsk/Russia	RUB	100.00	6

Fiscal 2025/2026 Name and registered office of the company	Currency	Interest held	Footnote
Equity-accounted associated companies			
GIE RHP RECOLTE HAUTE PRECISION, Roye/France	EUR	49.67	13
IMPETUS AGRICULTURE INC., Lewes/U.S.	USD	38.82	15
Joint operations (proportionately consolidated)			
AARDEVO B.V., Nagele/Netherlands	EUR	50.00	22
AARDEVO NORTH AMERICA LLC, Boise/U.S.	USD	50.00	11

1 Profit and loss transfer agreement
2 Subsidiary of KWS INTERNATIONAL HOLDING B.V.
3 Subsidiary of KWS SEEDS INC.
4 Subsidiary of SEMILLAS KWS CHILE LTDA. and KWS INTERNATIONAL HOLDING B.V.
5 Subsidiary of KWS INTERSAAT GMBH
6 Subsidiary of KWS RUS O.O.O.
7 Subsidiary of EURO-HYBRID GESELLSCHAFT FÜR GETREIDEZÜCHTUNG MBH
8 Subsidiary of KWS BENELUX B.V.
9 Subsidiary of KWS UKRAINA T.O.V.
10 Subsidiary of KWS MOMONT S.A.S.
11 Subsidiary of AARDEVO B.V.
12 Subsidiary of KWS VEGETABLES B.V.
13 Participation of KWS FRANCE S.A.R.L
14 Subsidiary of POP VRIEND HOLDING B.V.
15 Participation of KWS R&D INVEST B.V.
16 Subsidiary of EURO-HYBRID GESELLSCHAFT FÜR GETREIDEZÜCHTUNG MBH and KWS SAATFINANZ GMBH
17 Subsidiary of KWS INTERSAAT GMBH and KWS SAATFINANZ GMBH
18 Subsidiary of KWS INTERNATIONAL HOLDING B.V. and KWS VEGETABLES B.V.; in liquidation
19 Subsidiary of KWS INTERNATIONAL HOLDING B.V. and KWS INTERNATIONAL HOLDING II B.V.
20 Subsidiary of KWS INTERNATIONAL HOLDING B.V. Includes two companies that are currently not operational (TWYFORD SEEDS LTD. and CPB TWYFORD LTD.)
21 Subsidiary of EURO-HYBRID GESELLSCHAFT FÜR GETREIDEZÜCHTUNG MBH, KWS SAATFINANZ GMBH and KWS SAAT SE & Co. KGaA
22 Participation of KWS SAAT SE & Co. KGaA

9.9 Supervisory Board and Executive Board of KWS SAAT SE & Co. KGaA in fiscal 2025/2026

9.9.1 Supervisory Board

Members	Other seats held in 2025/2026
Dr. Hagen Duenbostel Innsbruck (Austria) Graduate in business administration Chairman of the Supervisory Board of KWS SAAT SE & Co. KGaA and KWS SE	Membership of comparable German and foreign oversight boards: ■ C. H. Boehringer Sohn AG & Co. KG, Ingelheim am Rhein (member of the advisory group) ■ Georg von Holtzbrinck GmbH & Co. KG, Stuttgart and Verlagsgruppe Georg von Holtzbrinck GmbH, Stuttgart (Deputy Chairperson of the Supervisory Board) ■ HERO AG, Lenzburg (Switzerland) (member of the Board of Administration) ■ Max-Planck-Gesellschaft zur Förderung der Wissenschaften e. V., Berlin (Chairperson of the Audit Committee)
Dr. Marie Schnell Munich Graduate in communications Deputy Chairwoman of the Supervisory Board of KWS SAAT SE & Co. KGaA and KWS SE	Membership of comparable German and foreign oversight boards: ■ DR. SCHNELL GmbH & Co. KGaA, Munich (member of the Supervisory Board)
Victor W. Balli Zurich (Switzerland) Chemical Engineer Member of the Supervisory Board of KWS SAAT SE & Co. KGaA and KWS SE	Membership of comparable German and foreign oversight boards: ■ Givaudan SA, Vernier (Switzerland) (Chairperson of the Audit Committee, member of the Board of Directors and the Compensation Committee) ■ Medacta International SA, Castel San Pietro (Switzerland) (member of the Board of Directors and Chairperson of the Audit Committee) ■ Hemro AG, Zurich (Switzerland) (member of the Management Board) ■ Sika AG, Baar (Switzerland) (member of the Board of Directors, the Audit Committee and the ESG Committee) ■ Louis Dreyfus Company International Holding B.V., Amsterdam (Netherlands) (member of the Supervisory Board and Chairperson of the Audit Committee)

9.9.1 Supervisory Board

Members	Other seats held in 2025/2026
Christine Coenen (until August 31, 2026) Einbeck Interpreter Chairperson of the European Employees' Committee (EEC) of KWS SAAT SE & Co. KGaA Member of the Supervisory Board of KWS SAAT SE & Co. KGaA	
Eric Gombert Villeneuve-sur-Lot (France) Graduate in agricultural engineering Vice-Chairperson of the European Employees' Committee (EEC) of KWS SAAT SE & Co. KGaA Member of the Supervisory Board of KWS SAAT SE & Co. KGaA	
Prof. Dr. Dr. h.c. mult. Stefan W. Hell Göttingen Physicist Director at the Max Planck Institute for Multidisciplinary Sciences, Göttingen, and Director at the Max Planck Institute for Medical Research, Heidelberg Member of the Supervisory Board of KWS SAAT SE & Co. KGaA and KWS SE	
Antoine Rombouts (since September 1, 2026) Einbeck Supply Chain and Logistics Manager Employee representative Member of the Supervisory Board of KWS SAAT SE & Co. KGaA	

9.9.1 Supervisory Board

Honorary members	Other seats held in 2025/2026
Dr. Drs. h.c. Andreas J. Büchting Göttingen Agricultural Biologist Honorary member of the Supervisory Board of KWS SAAT SE & Co. KGaA and KWS SE	
Dr. Arend Oetker Berlin Honorary member of the Supervisory Board of KWS SAAT SE & Co. KGaA and KWS SE	

9.9.2 Supervisory Board committees

Committee	Chairperson	Members in 2025/2026
Audit Committee	Victor W. Balli	Christine Coenen (until August 31, 2026) Antoine Rombouts (since September 1, 2026) Dr. Hagen Duenbostel
Nominating Committee	Dr. Marie Schnell	Dr. Hagen Duenbostel Prof. Dr. Dr. h.c. mult. Stefan W. Hell

9.9.3 Executive Board

Members	Other seats held in 2025/2026
Dr. Felix Büchting Einbeck Spokesperson Research, Breeding, Global Human Resources, Farming Group Strategy, Corporate Office & Services	
Dr. Jörn Andreas Duingen Global Finance & Controlling, Global Business Operations, Global Legal Services & IP, Global Information Technology, Group Governance, Compliance, Risk Management & Internal Audit, Investor Relations	Membership of other legally required supervisory boards: ■ GELITA AG, Eberbach (Deputy Chairperson of the Supervisory Board and member of the Audit Committee)
Dr. Peter Hofmann (until September 30, 2025) Einbeck Sugarbeet, Vegetables, Cereals, Oilseed Rape/Special Crops & Organic Seeds, Global Marketing & Communications	
Sebastian Talg (since September 1, 2025) Einbeck Corn, Cereals, Oilseed Rape/Special Crops & Organic Seeds, Global Marketing & Communications	
Nicolás Wielandt Einbeck Sugarbeet, Vegetables	

Einbeck, September 7, 2026

KWS SE

Dr. Felix Büchting | Dr. Jörn Andreas |
Sebastian Talg | Nicolás Wielandt

Reproduction of the auditor's report

Translation of the German independent auditor's report concerning the audit of the consolidated financial statements and group management report prepared in German

Independent auditor's report

To KWS SAAT SE & Co. KGaA

Report on the audit of the consolidated financial statements and of the group management report

Opinions

We have audited the consolidated financial statements of KWS SAAT SE & Co. KGaA, Einbeck, and its subsidiaries (the Group), which comprise the consolidated statement of comprehensive income for the fiscal year from 1 July 2025 to 30 June 2026, and the consolidated balance sheet as at 30 June 2026, consolidated statement of changes in equity and consolidated cash flow statement for the fiscal year from 1 July 2025 to 30 June 2026, and notes to the consolidated financial statements, including material accounting policy information. In addition, we have audited the group management report of KWS SAAT SE & Co. KGaA, which was combined with the management report of the Company (hereinafter "group management report"), for the fiscal year from 1 July 2025 to 30 June 2026. We have not audited the content of the parts of the group management report specified in the appendix to the auditor's report and the company information stated therein that is provided outside of the annual report and is referenced in the group management report.

In our opinion, on the basis of the knowledge obtained in the audit,

- the accompanying consolidated financial statements comply, in all material respects, with the IFRS Accounting Standards as issued by the International Accounting Standards Board (IASB) (IFRS Accounting Standards) and adopted by the EU, and the additional requirements of German commercial law pursuant to Sec. 315e (1) HGB ["Handelsgesetzbuch": German Commercial Code] and, in compliance with these requirements, give a true and fair view of the assets, liabilities and financial position of the Group as at 30 June 2026 and of its financial performance for the fiscal year from 1 July 2025 to 30 June 2026, and the accompanying group management report as a whole provides an appropriate view of the Group's position. In all material respects, this group management report is consistent with the consolidated financial statements, complies with German legal requirements and appropriately presents the opportunities and risks of future development. Our opinion on the group management report does not cover the content of the parts of the group management report listed in the appendix to the auditor's report.

Pursuant to Sec. 322 (3) Sentence 1 HGB, we declare that our audit has not led to any reservations relating to the legal compliance of the consolidated financial statements and of the group management report.

Basis for the opinions

We conducted our audit of the consolidated financial statements and of the group management report in accordance with Sec. 317 HGB and the EU Audit Regulation (No 537/2014, referred to subsequently as "EU Audit Regulation") and in compliance with German Generally Accepted Standards for Financial Statement Audits promulgated by the Institut der Wirtschaftsprüfer [Institute of Public Auditors in Germany] (IDW). Our responsibilities under those requirements and principles are further described in the "Auditor's responsibilities for the audit of the consolidated financial statements and of the group management report" section of our auditor's report. We are independent of the group entities in accordance with the requirements of European law and German commercial and professional law, and we have fulfilled our other German professional responsibilities in accordance with these requirements. In addition, in accordance with Art. 10 (2) f) of the EU Audit Regulation, we declare that we have not provided non-audit services prohibited under Art. 5 (1) of the EU Audit Regulation. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinions on the consolidated financial statements and on the group management report.

Key audit matters in the audit of the consolidated financial statements

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements for the fiscal year from 1 July 2025 to 30 June 2026. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon; we do not provide a separate opinion on these matters.

Below, we describe what we consider to be the key audit matters:

1. Revenue recognition from the sale of seed

Reasons why the matter was determined to be a key audit matter

In the consolidated financial statements of KWS SAAT SE & Co. KGaA, revenue from the sale of seed is recognized when control is transferred to the customer, allowing for contractual rights of return and expected returns. Revenue is recognized at the point in time when control is transferred in the amount to which the Company is entitled.

Revenue has a significant influence on consolidated net income and forms the basis for one of the Group's key performance indicators. Due to different contractual agreements and judgment exercised in assessing expected return deliveries, there is an elevated risk of misstatement in relation to the proper recognition of revenue on an accrual basis.

Auditor's response

During our audit, we reviewed the internal accounting instructions for the recognition of revenue set forth in the group-wide accounting manual for compliance with the criteria defined in IFRS 15.

We analyzed the process implemented by the executive directors of KWS SAAT SE & Co. KGaA for the recognition of seed sales, particularly with regard to outgoing goods, invoicing and settlement. Based on analytical procedures defined group-wide, we examined whether the significant revenue items for fiscal year 2025/2026 correlate with the corresponding trade receivables to identify any irregularities in the development of revenue. With a view to the recognition of revenue on an accrual basis, we also performed substantive audit procedures and data analyses to assess whether the revenue recognized and accrued was supported by a corresponding shipment of seed. Using returns made after the reporting date of the fiscal year, we applied analytical procedures to examine the calculation of expected returns of seed and their deduction from revenue.

Reference to related disclosures

With regard to the recognition and measurement policies applied for the recognition of revenue from the sale of seed, refer to the disclosures in section 3 "Accounting Policies" and note 3.6 "Recognition of income and expenses" in the notes to the consolidated financial statements.

2. Impairment testing of the goodwill of the Business Unit Vegetables

Reasons why the matter was determined to be a key audit matter

The goodwill of the Business Unit Vegetables presented in the consolidated financial statements of KWS SAAT SE & Co. KGaA results from the acquisition of subsidiaries and is a significant balance sheet item.

Goodwill is tested for impairment as of 30 June each year. For this purpose, the carrying amount of a cash-generating unit to which goodwill has been allocated is compared with its recoverable amount. For the Business Unit Vegetables, the recoverable amount is determined as the fair value less costs of disposal using a discounted cash flow method. The result of the impairment test is highly dependent on the executive directors' estimate of future cash flows and the respective discount rates used.

In light of the complexity of the valuation and the judgment exercised during valuation and the estimation uncertainty, impairment tests for goodwill were a key audit matter.

Auditor's response
During our audit, among other things, we obtained an understanding of the methods used to carry out the impairment tests including an examination of the suitability of the procedure for performing an impairment test in accordance with IAS 36. In doing so, we analyzed the planning process and the controls implemented therein. We also involved our valuation specialists in the audit in order to assess the valuation model and the calculation inputs used.

We discussed the significant planning assumptions with the executive directors of KWS SAAT SE & Co. KGaA and compared these with the results and cash inflows realized in the past. Our assessment of the result of the impairment test as of 30 June 2026 was based among other things on a comparison with general and industry-specific market expectations underlying the expected cash inflows. Based on our understanding that even relatively small changes in the discount rates used can at times have significant effects on the amount of the business value calculated, we analyzed the inputs used to determine the discount rates and reperformed the calculation with regard to the relevant requirements of IAS 36. In addition, we analyzed the sensitivity analyses performed by the executive directors of KWS SAAT SE & Co. KGaA on the goodwill impairment test in order to estimate any potential impairment risk associated with a reasonably possible change in one of the significant assumptions used in the valuation.

Our auditor's response also included the disclosures in the notes to the consolidated financial statements of KWS SAAT SE & Co. KGaA in relation to the requirements of IAS 36.

Reference to related disclosures
With regard to the recognition and measurement policies applied for goodwill, refer to the disclosure in note 3.7 "Intangible assets" in section 3 "Accounting Policies" in the notes to the consolidated financial statements. For the related disclosures on judgments by the executive directors and sources of estimation uncertainty as well as the disclosures on goodwill, refer to the disclosure in note 7.1 "Intangible assets" in section 7 "Notes to the Consolidated Balance Sheet" in the notes to the consolidated financial statements.

Other information
The Supervisory Board is responsible for the Report of the Supervisory Board. The executive directors and the Supervisory Board are responsible for the declaration pursuant to Sec. 161 AktG ["Aktiengesetz": German Stock Corporation Act] on the German Corporate Governance Code, which is part of the declaration on corporate governance. In all other respects, the executive directors are responsible for the other information. The other information comprises the parts of the annual report listed in the appendix to the auditor's report.

Our opinions on the consolidated financial statements and on the group management report do not cover the other information, and consequently we do not express an opinion or any other form of assurance conclusion thereon.

In connection with our audit, our responsibility is to read the other information and, in so doing, to consider whether the other information

- is materially inconsistent with the consolidated financial statements, with the group management report or our knowledge obtained in the audit, or
- otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the executive directors and the Supervisory Board for the consolidated financial statements and the group management report

The executive directors are responsible for the preparation of the consolidated financial statements that comply, in all material respects, with the IFRS Accounting Standards as adopted by the EU and the additional requirements of German commercial law pursuant to Sec. 315e (1) HGB, and that the consolidated financial statements, in compliance with these requirements, give a true and fair view of the assets, liabilities, financial position and financial performance of the Group. In addition, the executive directors are responsible for such internal control as they have determined necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud (i.e., fraudulent financial reporting and misappropriation of assets) or error.

In preparing the consolidated financial statements, the executive directors are responsible for assessing the Group's ability to continue as a going concern. They also have the responsibility for disclosing, as applicable, matters related to going concern. In addition, they are responsible for financial reporting based on the going concern basis of accounting unless there is an intention to liquidate the Group or to cease operations, or there is no realistic alternative but to do so.

Furthermore, the executive directors are responsible for the preparation of the group management report that, as a whole, provides an appropriate view of the Group's position and is, in all material respects, consistent with the consolidated financial statements, complies with German legal requirements, and appropriately presents the opportunities and risks of future development. In addition, the executive directors are responsible for such arrangements and measures (systems) as they have considered necessary to enable the preparation of a group management report that is in accordance with the applicable German legal requirements, and to be able to provide sufficient appropriate evidence for the assertions in the group management report.

The Supervisory Board is responsible for overseeing the Group's financial reporting process for the preparation of the consolidated financial statements and of the group management report.

Auditor's responsibilities for the audit of the consolidated financial statements and of the group management report

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and whether the group management report as a whole provides an appropriate view of the Group's position and, in all material respects, is consistent with the consolidated financial statements and the knowledge obtained in the audit, complies with the German legal requirements and appropriately presents the opportunities and risks of future development, as well as to issue an auditor's report that includes our opinions on the consolidated financial statements and on the group management report.

Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Sec. 317 HGB and the EU Audit Regulation and in compliance with German Generally Accepted Standards for Financial Statement Audits promulgated by the Institut der Wirtschaftsprüfer (IDW) will always detect a material misstatement. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements and this group management report.

We exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements and of the group management report, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinions. The risk of not detecting a material misstatement resulting from fraud is higher than the risk of not detecting a material misstatement resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit of the consolidated financial statements and of arrangements and measures relevant to the audit of the group management report in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control and of such arrangements and measures.
- Evaluate the appropriateness of accounting policies used by the executive directors and the reasonableness of estimates made by the executive directors and related disclosures.
- Conclude on the appropriateness of the executive directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in the auditor's report to the related disclosures in the consolidated financial statements and in the group management report or, if such disclosures are inadequate, to modify our respective opinions. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to be able to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements present the underlying transactions and events in a manner that the consolidated financial statements give a true and fair view of the assets, liabilities, financial position and financial performance of the Group in compliance with the IFRS Accounting Standards as adopted by the EU and the additional requirements of German commercial law pursuant to Sec. 315e (1) HGB.
- Plan and perform the audit of the consolidated financial statements to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the Group as a basis for forming opinions on the consolidated financial statements and on the group management report. We are responsible for the direction, supervision and review of the work performed for the group audit. We remain solely responsible for our audit opinions.
- Evaluate the consistency of the group management report with the consolidated financial statements, its conformity with [German] law, and the view of the Group's position it provides.
- Perform audit procedures on the prospective information presented by the executive directors in the group management report. On the basis of sufficient appropriate audit evidence we evaluate, in particular, the significant assumptions used by the executive directors as a basis for the prospective information, and evaluate the proper derivation of the prospective information from these assumptions. We do not express a separate opinion on the prospective information and on the assumptions used as a basis. There is a substantial unavoidable risk that future events will differ materially from the prospective information.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with the relevant independence requirements, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence and where applicable, the actions taken or safeguards applied to eliminate threats to our independence.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter.

Other legal and regulatory requirements

Report on the assurance on the electronic rendering of the consolidated financial statements and the group management report prepared for publication purposes in accordance with Sec. 317 (3a) HGB

Opinion

We have performed assurance work in accordance with Sec. 317 (3a) HGB to obtain reasonable assurance about whether the rendering of the consolidated financial statements and the group management report (hereinafter the "ESEF documents") contained in the file KWS_SAAT_SE_KA_LB_ESEF_30.06.2026.xbri and prepared for publication purposes complies in all material respects with the requirements of Sec. 328 (1) HGB for the electronic reporting format ("ESEF format"). In accordance with German legal requirements, this assurance work extends only to the conversion of the information contained in the consolidated financial statements and the group management report into the ESEF format and therefore relates neither to the information contained within these renderings nor to any other information contained in the file identified above.

In our opinion, the rendering of the consolidated financial statements and the group management report contained in the file identified above and prepared for publication purposes complies in all material respects with the requirements of Sec. 328 (1) HGB for the electronic reporting format. Beyond this assurance opinion and our audit opinions on the accompanying consolidated financial statements and the accompanying group management report for the fiscal year from 1 July 2025 to 30 June 2026 contained in the "Report on the audit of the consolidated financial statements and of the group management report" above, we do not express any assurance opinion on the information contained within these renderings or on the other information contained in the file identified above.

Basis for the opinion

We conducted our assurance work on the rendering of the consolidated financial statements and the group management report contained in the file identified above in accordance with Sec. 317 (3a) HGB and the IDW Assurance Standard: Assurance on the Electronic Rendering of Financial Statements and Management Reports Prepared for Publication Purposes in Accordance with Sec. 317 (3a) HGB (IDW AsS 410 (06.2022)). Our responsibility in accordance therewith is further described in the "Group auditor's responsibilities for the assurance work on the ESEF documents" section. Our audit firm applies the Standard on Quality Management: Requirements for Quality Management in the Audit Firm (IDW QMS 1 (09.2022)).

Responsibilities of the executive directors and the Supervisory Board for the ESEF documents

The executive directors of the Company are responsible for the preparation of the ESEF documents including the electronic rendering of the consolidated financial statements and the group management report in accordance with Sec. 328 (1) Sentence 4 No. 1 HGB and for the tagging of the consolidated financial statements in accordance with Sec. 328 (1) Sentence 4 No. 2 HGB.

In addition, the executive directors of the Company are responsible for such internal control as they have determined necessary to enable the preparation of ESEF documents that are free from material intentional or unintentional non-compliance with the requirements of Sec. 328 (1) HGB for the electronic reporting format.

The Supervisory Board is responsible for overseeing the preparation of the ESEF documents as part of the financial reporting process.

Group auditor's responsibilities for the assurance work on the ESEF documents
Our objective is to obtain reasonable assurance about whether the ESEF documents are free from material intentional or unintentional non-compliance with the requirements of Sec. 328 (1) HGB. We exercise professional judgment and maintain professional skepticism throughout the assurance work. We also:

- Identify and assess the risks of material intentional or unintentional non-compliance with the requirements of Sec. 328 (1) HGB, design and perform assurance procedures responsive to those risks, and obtain assurance evidence that is sufficient and appropriate to provide a basis for our assurance opinion.
- Obtain an understanding of internal control relevant to the assurance on the ESEF documents in order to design assurance procedures that are appropriate in the circumstances, but not for the purpose of expressing an assurance opinion on the effectiveness of these controls.
- Evaluate the technical validity of the ESEF documents, i.e., whether the file containing the ESEF documents meets the requirements of Commission Delegated Regulation (EU) 2019/815, in the version in force at the date of the financial statements, on the technical specification for this file.
- Evaluate whether the ESEF documents enable an XHTML rendering with content equivalent to the audited consolidated financial statements and to the audited group management report.
- Evaluate whether the tagging of the ESEF documents with Inline XBRL technology (iXBRL) in accordance with the requirements of Arts. 4 and 6 of Commission Delegated Regulation (EU) 2019/815, in the version in force at the date of the financial statements, enables an appropriate and complete machine-readable XBRL copy of the XHTML rendering.

Further information pursuant to Art. 10 of the EU Audit Regulation
We were elected as group auditor by the Annual Shareholders' Meeting on 3 December 2025. We were engaged by the Supervisory Board on 5 March 2026. We have been the group auditor of KWS SAAT SE & Co. KGaA without interruption since fiscal year 2016/2017.

We declare that the opinions expressed in this auditor's report are consistent with the additional report to the audit committee pursuant to Art. 11 of the EU Audit Regulation (long-form audit report).

Other matter – use of the auditor's report
Our auditor's report must always be read together with the audited consolidated financial statements and the audited group management report as well as the assured ESEF documents. The consolidated financial statements and the group management report converted to the ESEF format – including the versions to be published in the Unternehmensregister [German Company Register] – are merely electronic renderings of the audited consolidated financial statements and the audited group management report and do not take their place. In particular, the ESEF report and our assurance opinion contained therein are to be used solely together with the assured ESEF documents made available in electronic form.

German Public Auditor responsible for the engagement
The German Public Auditor responsible for the engagement is Martin von Michaelis.

Appendix to the auditor's report:

1. Parts of the group management report whose content is unaudited

We have not audited the content of the following parts of the group management report:

- The combined non-financial declaration for KWS SAAT SE & Co. KGaA and the KWS Group contained in section 2.4 "Sustainability Information (Combined Non-Financial Declaration)" of the group management report.
- The declaration on corporate governance and the declaration of compliance in accordance with Sec. 161 AktG which are published on the websites stated in sections 2.7.1 "Corporate Governance and Declaration on Corporate Governance" and 2.7.2 "Compliance Declaration in Accordance with Section 161 AktG (German Stock Corporation Act)," which are part of the group management report.

Furthermore, we have not audited the content of the following disclosures extraneous to group management reports. Disclosures extraneous to group management reports are such disclosures that are not required pursuant to Secs. 315, 315a HGB or Secs. 315b to 315d HGB:

- Section 2.1.3 "Vision and Mission"
- Section 2.2 "Research & Development Report"
- Section 2.5.2 "Risk Management," last paragraph of the subsection "The internal control and risk management system in relation to the accounting process (Section 315 (4) of the German Commercial Code (HGB))"

2. Further other information

The other information comprises parts of the annual report, of which we obtained a version prior to issuing this auditor's report, in particular the sections:

- Foreword of the Executive Board
- Report of the Supervisory Board
- KWS on the Capital Market
- KWS in Figures

but not the consolidated financial statements, not the group management report disclosures whose content is audited and not our auditor's report thereon.

3. Company information outside of the annual report referenced in the group management report

We have not audited the content of the following information that is cross-referenced in the group management report:

- Section 2.7.3 "Remuneration Report"

Berlin, 7 September 2026

EY GmbH & Co. KG
Wirtschaftsprüfungsgesellschaft

von Michaelis	Lichtblau
Wirtschaftsprüfer	Wirtschaftsprüferin
[German Public Auditor]	[German Public Auditor]

Assurance report of the independent German public auditor on a limited assurance engagement in relation to the group non-financial statement

To KWS SAAT SE & Co. KGaA

Assurance conclusion

We have conducted a limited assurance engagement on the group non-financial statement, included in section "2.4 Sustainability Information (Combined Non-Financial Declaration)" of the combined management report, of KWS SAAT SE & Co. KGaA, Einbeck, which is combined with the parent company's non-financial statement to fulfill Secs. 289b to 289e and Secs. 315b and 315c HGB together with the disclosures to fulfill the requirements of Art. 8 of Regulation (EU) 2020/852 included in this group non-financial statement ("group non-financial reporting") for the fiscal year from 1 July 2025 to 30 June 2026.

Based on the procedures performed and the evidence obtained, nothing has come to our attention that causes us to believe that the accompanying group non-financial reporting for the fiscal year from 1 July 2025 to 30 June 2026 is not prepared, in all material respects, in accordance with Secs. 289b to 289e and Secs. 315b and 315c HGB, the requirements of Art. 8 of Regulation (EU) 2020/852 and the supplementary criteria presented by the executive directors of the Company.

Basis for the assurance conclusion

We conducted our assurance engagement in accordance with International Standard on Assurance Engagements (ISAE) 3000 (Revised): Assurance Engagements Other Than Audits or Reviews of Historical Financial Information issued by the International Auditing and Assurance Standards Board (IAASB).

The procedures in a limited assurance engagement vary in nature and timing from, and are less in extent than for, a reasonable assurance engagement. Consequently, the level of assurance obtained is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed.

Our responsibilities under ISAE 3000 (Revised) are further described in the section "German public auditor's responsibilities for the assurance engagement on the group non-financial reporting."

We are independent of the Company in accordance with the requirements of European law and German commercial and professional law, and we have fulfilled our other German professional responsibilities in accordance with these requirements. Our audit firm has applied the requirements for a system of quality control as set forth in the IDW Quality Management Standard issued by the Institut der Wirtschaftsprüfer [Institute of Public Auditors in Germany] (IDW): Requirements for Quality Management in the Audit Firm (IDW QMS 1 (09.2022)). We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our assurance conclusion.

Emphasis of matter—principles for the preparation of the group non-financial reporting

Without modifying our assurance conclusion, we refer to the disclosures in the group non-financial reporting describing the principles applied in preparing the group non-financial reporting. According to these disclosures, the Company applied the European Sustainability Reporting Standards (ESRS) for the first time to the extent specified in section “General basis for preparation (BP-1)” and in the “ESRS Index” of the group non-financial reporting. Full compliance with the ESRS is not claimed.

Responsibilities of the executive directors and the supervisory board for the group non-financial reporting

The executive directors are responsible for the preparation of the group non-financial reporting in accordance with the applicable German legal and European requirements as well as with the supplementary criteria presented by the executive directors of the Company and for designing, implementing and maintaining such internal control that they have considered necessary to enable the preparation of group non-financial reporting in accordance with these requirements that is free from material misstatement, whether due to fraud (i.e., fraudulent group non-financial reporting) or error.

This responsibility of the executive directors includes establishing and maintaining the materiality assessment process, selecting and applying appropriate reporting policies for preparing the group non-financial reporting, as well as making assumptions and estimates and ascertaining forward-looking information for individual sustainability-related disclosures.

The supervisory board is responsible for overseeing the process for the preparation of the group non-financial reporting.

Inherent limitations in preparing the group non-financial reporting

The applicable German legal and European requirements contain wording and terms that are subject to considerable interpretation uncertainties and for which no authoritative, comprehensive interpretations have yet been published. As such wording and terms may be interpreted differently by regulators or courts, the legality of measurements or evaluations of sustainability matters based on these interpretations is uncertain.

These inherent limitations also affect the assurance engagement on the group non-financial reporting.

German public auditor’s responsibilities for the assurance engagement on the group non-financial reporting

Our objective is to express a limited assurance conclusion, based on the assurance engagement we have conducted, on whether any matters have come to our attention that cause us to believe that the group non-financial reporting has not been prepared, in all material respects, in accordance with the applicable German legal and European requirements and the supplementary criteria presented by the Company’s executive directors, and to issue an assurance report that includes our assurance conclusion on the group non-financial reporting.

As part of a limited assurance engagement in accordance with ISAE 3000 (Revised), we exercise professional judgment and maintain professional skepticism. We also:

- Obtain an understanding of the process used to prepare the group non-financial reporting, including the materiality assessment process carried out by the Company to identify the disclosures to be reported in the group non-financial reporting.

- Identify disclosures where a material misstatement due to fraud or error is likely to arise, design and perform procedures to address these disclosures and obtain limited assurance to support the assurance conclusion. The risk of not detecting a material misstatement resulting from fraud is higher than the risk of not detecting a material misstatement resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations or the override of internal control.
- Consider the forward-looking information, including the appropriateness of the underlying assumptions. There is a substantial unavoidable risk that future events will differ materially from the forward-looking information.

Summary of the procedures performed by the German public auditor

A limited assurance engagement involves the performance of procedures to obtain evidence about the sustainability information. The nature, timing and extent of the selected procedures are subject to our professional judgment.

In performing our limited assurance engagement, we:

- Evaluated the suitability of the criteria as a whole presented by the executive directors in the group non-financial reporting.
- Inquired of the executive directors and relevant employees involved in the preparation of the group non-financial reporting about the preparation process, the disclosures and the internal controls relating to this process.
- Evaluated the methods applied by the executive directors for the preparation of the group non-financial reporting.
- Evaluated the reasonableness of the estimates and related information provided by the executive directors.
- Inquired of the executive directors and relevant employees regarding the selection of topics for the group non-financial reporting, the risk assessment and the policies of the parent company and the Group relating to the topics identified as material.
- Inquired of relevant employees of the Company and the Group responsible for data collection and consolidation regarding the methods used to obtain and process data, as well as the internal controls relevant to the assurance of the disclosures contained in the group non-financial reporting.
- Identified likely risks of material misstatement in the group non-financial reporting.
- Performed analytical procedures and made inquiries in relation to selected information in the group non-financial reporting.
- Conducted inquiries and inspected documents relating to the collection and reporting of selected qualitative disclosures and data.
- Reconciled selected disclosures with the corresponding data in the consolidated financial statements and the combined management report.
- Considered the presentation of the information in the group non-financial reporting.
- Considered the process for identifying taxonomy-eligible and taxonomy-aligned economic activities and the corresponding disclosures in the group non-financial reporting.

Restriction of use

We draw attention to the fact that the assurance engagement was conducted for the Company's purposes and that the assurance report is intended solely to inform the Company about the result of the assurance engagement. As a result, it may not be suitable for another purpose than the aforementioned. Accordingly, the assurance report is not intended to be used by third parties for making (financial) decisions based on it. Our responsibility is to the Company alone. We do not accept any responsibility to third parties. Our assurance conclusion is not modified in this respect.

General Engagement Terms and Liability

The “General Engagement Terms for Wirtschaftsprüferinnen, Wirtschaftsprüfer and Wirtschaftsprüfungsgesellschaften [German Public Auditors and Public Audit Firms]” dated 1 January 2024, which are attached to this report, are applicable to this engagement and also govern our relations with third parties in the context of this engagement.

In addition, please refer to the liability provisions contained there in no. 9 and to the exclusion of liability towards third parties. We accept no responsibility, liability or other obligations towards third parties unless we have concluded a written agreement to the contrary with the respective third party or liability cannot effectively be precluded.

We make express reference to the fact that we will not update the assurance report to reflect events or circumstances arising after it was issued, unless required to do so by law. It is the sole responsibility of anyone taking note of the summarized result of our work contained in this report to decide whether and in what way this result is useful or suitable for their purposes and to supplement, verify or update it by means of their own review procedures.

Düsseldorf, 7 September 2026

EY GmbH & Co. KG
Wirtschaftsprüfungsgesellschaft

Hintze	Borchard
Wirtschaftsprüfer	Wirtschaftsprüferin
[German Public Auditor]	[German Public Auditor]

Declaration by Legal Representatives

We declare to the best of our knowledge that the consolidated financial statements give a true and fair view of the assets, financial position and earnings of the Group in compliance with the generally accepted standards of consolidated accounting, and that an accurate picture of the course of business, including business results, and the Group's situation is conveyed by the Group Management Report, which is combined with the Management Report of KWS SAAT SE & Co. KGaA, and that it describes the main opportunities and risks of the Group's anticipated development.

Einbeck, September 7, 2026

KWS SE



Dr. Felix Büchting



Dr. Jörn Andreas



Sebastian Talg



Nicolás Wielandt

Additional Information

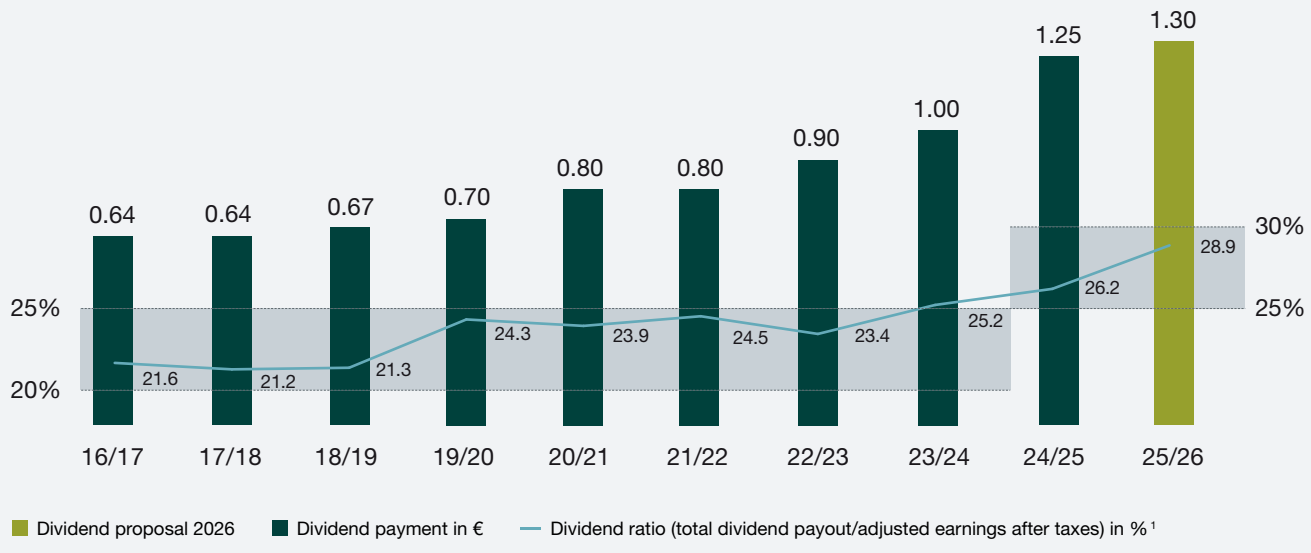
Financial calendar

Date	
November 11, 2026	Quarterly Report Q1 2026/2027
December 1, 2026	Annual Shareholders' Meeting
February 12, 2027	Semiannual Report 2026/2027
May 12, 2027	Quarterly Report 9M 2026/2027
September 23, 2027	Publication of 2026/2027 financial statements

KWS share

Key data of KWS SAAT SE & Co. KGaA	
Securities identification number	707400
ISIN	DE0007074007
Stock exchange identifier	KWS
Transparency level	Prime Standard
Index	SDAX
Share class	Non-par
Number of shares	33,000,000

Dividend payment and dividend ratios of the past ten years



1 Adjusted for portfolio effects and other special effects

About this report

The Annual Report can be downloaded on our Internet sites at www.kws.de and www.kws.com. The KWS Group's fiscal year begins on July 1 and ends on June 30. Unless otherwise specified, figures in parentheses relate to the same period or date in the previous year. There may be rounding differences for percentages and numbers.

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Safe harbor statement

This Annual Report includes forward-looking statements based on the assumptions and estimates of KWS SAAT SE & Co. KGaA's management. These forward-looking statements may be identified by words such as "forecast," "assume," "believe, "assess," "expect," "intend," "can/may/might," "plan," "should" or similar expressions.

These statements are based on current assessments and forecasts of the Executive Board and the information currently available to it and are subject to certain elements of uncertainty, risks and other factors that may result in significant deviations between expectations and actual circumstances. These factors may be, for example, changes in the overall economic situation, the general statutory and regulatory framework, and the industry.

KWS SAAT SE & Co. KGaA provides no guarantee and accepts no liability for future developments and the actual results achieved in the future matching the assumptions and estimates expressed in this Annual Report. Forward-looking statements are therefore not to be understood as a guarantee or assurance of the expected developments or events mentioned therein. KWS SAAT SE & Co. KGaA neither intends nor assumes any obligation to update forward-looking statements to reflect events or developments arising after the date of this report.

Photo credits

Danilo Mariconi – LOOK//one GmbH – Frank Stefan Kimmel – Roman Thomas – Spieker Fotografie

Date of publication: September 23, 2026
This translation of the original German version of the Annual Report has been prepared for the convenience of our English-speaking shareholders. The German version is legally binding.

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